



2026/2027 ANNUAL OPERATING BUDGET

For the Fiscal Year Beginning **July 1, 2026**
and Ending **June 30, 2027**



CITY COUNCIL

David C. Powell, Mayor

At Large

Bryan Elenbaas, Councilmember

First Ward

Scott Hopkins, Councilmember

Second Ward

Robert J. Engels, Mayor Pro-Tem

Third Ward

Ruthann French, Councilmember

Fourth Ward



Administrative Officials:

Marcus Peccia - City Manager

Owen Roberts - Director of Finance/DPW

Jeff Dietlin - Director of Utilities

Theresa Waldo - Community Development Director

Adam Ottjepka - Public Safety Director

Vacant - City Clerk

Keri Lanning - City Treasurer, Deputy City Clerk

Michael Homier—City Attorney

Foster, Swift, Collins & Smith, PC



Office of the Mayor
200 N. Lake Street
Cadillac, MI 49601
(231) 775-0181

May 18, 2026

Dear Citizens of Cadillac:

I am pleased to submit to you the Annual Operating Budget for the City of Cadillac for the fiscal year beginning July 1, 2026 and ending June 30, 2027. This budget represents the culmination of many hours of work beginning over three months ago. Our thorough budget process includes several opportunities for members of the Cadillac community to provide input on the budget, and I am confident that this document presents a realistic and achievable plan for the upcoming fiscal year.



Together, we strive to provide high impact, efficient, and effective governmental services we all expect. This budget makes investments in the things that matter to us - critical public safety services, vital road infrastructure, beautiful parks and recreation opportunities, and utilities infrastructure that protects the quality and safety of our municipal water supply. The budget appropriates over \$27 million for these important investments, while also maintaining important financial reserves that protect our ability to make thoughtful and strategic decisions when challenging issues arise.

Thank you for taking the time to review this extensive budget document. There are two areas that I want to highlight for you that should help make the document easier to navigate and understand. First, the **Budget Reader's Guide** starting on page 5 provides a simple yet valuable overview of the financial management of the organization and the document itself. Second, the City Manager presents his **Transmittal Letter** starting on page 9 of this document. In it he details the challenges facing the City of Cadillac as well as some additional information on the plans incorporated into the current budget.

While I have been in this role for just a short time, I am grateful for the opportunity to serve this community. This document will detail some significant headwinds we are facing to fully fund vital operations and maintain critical infrastructure moving forward. But our great community will work together and overcome our differences as we move towards resolutions and decisions that benefit the greater good of the Cadillac community. I believe this budget directs funding towards the important activities that will help accomplish these important goals.

I am grateful for the effort that has gone into the development of this budget. It is a true pleasure for me to serve alongside our hard-working City staff, and I look forward to hearing from you and interacting with you as we commit together to making this City a community of continuing success and positive momentum.

Sincerely,

David C. Powell, Mayor

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2026-2027 BUDGET READER'S GUIDE

Welcome to the City of Cadillac's Annual Operating Budget for the fiscal year beginning July 1, 2026 and ending June 30, 2027. Thank you for taking the time to learn about the appropriation of resources within the City of Cadillac. Hopefully the time you invest in familiarizing yourself with this information will be time well spent. The City is committed to accountability in serving the citizens, businesses, and industries of the Cadillac community. This brief "Budget Reader's Guide" will help you understand this robust document as well as introduce you to the process that has led to its production.

Financial Structure

The financial structure of a municipality consists of various "funds", which operate just like separate businesses within the City and have their own set of balanced books. The main fund of the City of Cadillac is the General Fund. The General Fund is where you will find information on the resources devoted to providing the types of services that are generally expected from a city - things like police, fire, general administrative services, tax collections, elections, community planning and zoning, and parks maintenance are all core governmental services that are appropriated through the General Fund. An entire section of this document is devoted to the General Fund.



Keeping City parks beautiful is a core service provided by the General Fund.

Within the section called "Major Funds" are activities related to the provision of utilities services, specifically water delivery and wastewater treatment. The Water and Sewer Fund combines these two activities into one fund but tracks the costs and revenues separately so that the true cost of each service can be shown separately. This activity-based approach enhances the ability of City staff to analyze the costs of the activities separately and collectively, depending upon the type of analysis being done.

The "Non-Major Funds" section contains most of the other core services provided by the City of Cadillac that are not part of the General Fund. Financial details for activities related to street maintenance, including rights-of-way, are found in these funds. This is also where you will find information related to the costs of winter maintenance – activities like snow plowing and snow hauling. These are important activities in Cadillac, as we are nestled in the heart of Northern Michigan and can find ourselves knee-deep in snow at any given moment during the winter months.

Also in the "Non-Major Funds" section is the budget detail for the rest of the funds that are within the City's financial structure. Activities such as the operation of the City cemetery, community development services, and others are found in this section, along with the details of the various debt service requirements of the City. Information technology is another area where the City directs substantial resources to in order to enhance efficiency and employee productivity, and these activities are tracked separately in this section. The City's costs for employee health insurance are found in a fund within this section as well.

2026-2027 BUDGET READER'S GUIDE

The Process

A lot of effort has gone into developing a systematic process that will take a wide variety of information into consideration as funding and appropriation decisions are made. In fact, this has become a year-round activity at the City of Cadillac. There are basically four parts to the process:

Council Mission and Vision – The City Council has established a Mission and Vision Statement. These statements essentially establish priorities and communicate the Council's vision for Cadillac. The departmental staff of the City of Cadillac utilizes these statements when evaluating annual priorities and establish goals and objectives that will be implemented into City operations to assist the Council in carrying out their mission and vision. Periodic review of these statements will help assure Council that their priorities play an important role in the direction of the City.

Capital Improvement Program – In late fall each year, work begins on a 6-year capital improvement program. This program lays out projects with a cost greater than \$7,500 and a useful life of more than one year. Any project that meets these criteria typically flows through this program, with very few exceptions. Funding sources are identified through this process, but the actual appropriation of resources does not yet take place. This type of long-term capital planning has been of great benefit as funding has continued to be challenged on many fronts. There are opportunities for public input at this point, and the City Council officially adopts this 6-year program.



Construction activities are a big part of the long-term capital planning process.

Annual Operating Budget – The annual operating budget is required by Cadillac's City Charter to appropriate all resources that will flow through the City, matching expenditures with various sources of revenues. The results of the first two planning processes – the Council Mission and Vision, and Capital Improvement Program – help guide many of the appropriation decisions made at the budget level. Additionally, the first year of the Capital Improvement Program is integrated into the budget as the Capital Budget. There are times that previously identified funding sources are no longer available, and when this happens these projects must be postponed or eliminated during the budget process. However, the City has historically been very successful at funding projects that have been planned for as part of the program. The budgeting process begins in mid-December and involves input from personnel in every department within the City. The process culminates in the document that you now hold in your hand which must be adopted by Council before the end of May each year.

Annual Independent Audit – Each year, the City retains an independent auditing firm to review the financial reports of the City and express an opinion on whether or not they fairly and adequately report the financial activities of the City. The results of this process are a vital part of the planning and budgeting process, as actual results are analyzed and compared with what was budgeted and appropriated. Any variances are closely analyzed and necessary adjustments are made in subsequent planning efforts.

As you can see, the City takes its responsibility for handling financial resources very seriously and is firmly committed to openness and accountability in the planning, budgeting, and subsequent financial reporting activities that take place throughout each fiscal year. There are at least six different opportunities throughout the year for the public to have input on strategic directions that the City will take. This input is both welcomed and encouraged.

2026-2027 BUDGET READER'S GUIDE

Elected Officials

Elected officials play a significant role in the operations of the City. They have the final adoptive authority in each process detailed in this guide. They set strategic plans into place and guide many of the decisions related to the appropriation of resources. The following introductory biographies are offered to familiarize readers with the names and faces of the officials that have been elected to guide and direct City staff in the delivery of services.



Mayor David C. Powell

Councilmember from City at Large
Occupation: Mortgage Manager
Term Expires: December 31, 2027
Annual Salary: \$5,100



Councilmember Bryan Elenbaas

Councilmember from Ward 1
Occupation: Retired
Term Expires: December 31, 2027
Annual Salary: \$3,600



Councilmember Scott Hopkins

Councilmember from Ward 2
Occupation: Speech and Language Pathologist
Term Expires: December 31, 2029
Annual Salary: \$3,600



Councilmember and Mayor Pro-Tem Robert J. Engels

Councilmember from Ward 3
Occupation: Insurance Agent
Term Expires: December 31, 2027
Annual Salary: \$3,600

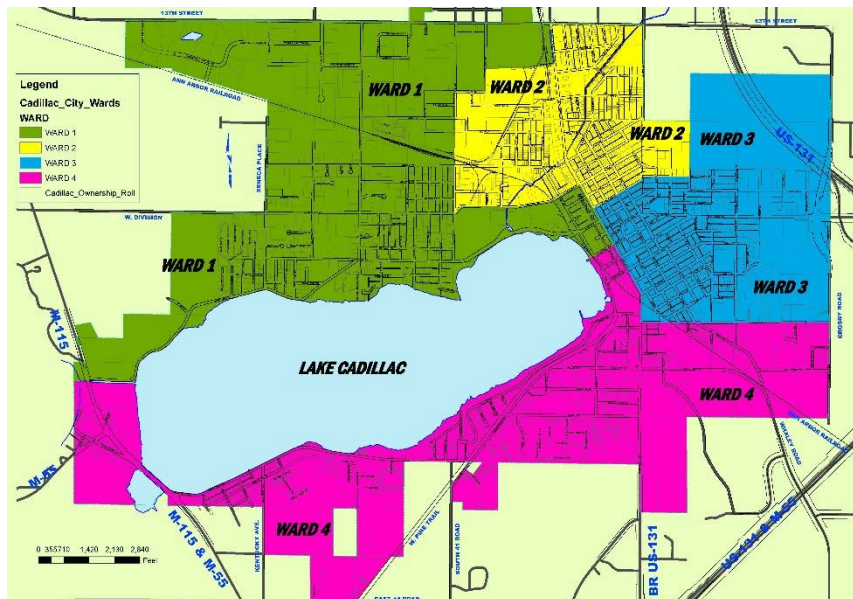


Councilmember Ruthann French

Councilmember from Ward 4
Occupation: Retired
Term Expires: December 31, 2029
Annual Salary: \$3,600

2026-2027 BUDGET READER'S GUIDE

A map of the four city voting wards is shown here as well. If you are wondering who your elected representative to City Council is, the map should help you answer that question. These elected officials welcome public comments and input and will do their best to be available to answer your questions. The Council typically meets on the first and third Monday of each month at 6:00 PM in the council chambers at the City municipal complex. There is time set aside at each meeting for public comment. Agendas and minutes of these meetings can also be found on the City's website.



Thank you again for taking the time to look through this document. As part of our commitment to the readers and users of this information, we are always available to answer questions you may have about the information presented to you. Please feel free to contact our Financial Services Department at (231) 775-0181 if you have any questions. Additionally, this document in its entirety will be available on our website at www.cadillac-mi.net. We have tried to make the document easy to follow and read, and have offered many pictures, graphs, and textual descriptions of most of our activities to help you understand the scope of services that we are committed to providing with unmatched excellence.

Sincerely,

Marcus A. Peccia
City Manager

Owen E. Roberts
Director of Finance

**City Manager's Office**

200 N. Lake Street

Cadillac, MI 49601

(231) 775-0181

MEMORANDUM

To: Honorable Mayor David C. Powell and Cadillac City Council
From: Marcus A. Peccia, City Manager
Subject: Transmittal of 2026-2027 Annual Operating Budget
Date: April 1, 2026

INTRODUCTION

On behalf of the entire City of Cadillac staff, I am pleased to present to you the proposed FY2027 (July 1, 2026 - June 30, 2027) Annual Operating Budget that includes proposed expenditures totaling \$27 million.

OVERVIEW OF BUDGET

The proposed FY2027 budget is balanced, with all operating and capital expenditures analyzed and covered by current revenues and available fund balance in accordance with the City's fiscal reserve standards. Spending for all funds and activities proposes a spending increase of about 5% compared to the prior budget. This increase in spending is primarily due to the timing of various infrastructure projects and capital spending across several funds, as well as activities throughout City operations that can vary from year to year. The following is a general overview of the proposed budget, the City's short-term outlook, and the status of various funds and activities. Overall, changes from the prior budget are summarized below:

	FY2027 Proposed	FY2026 Adopted	Change	% Change
Revenues	\$25,908,900	\$24,342,800	\$1,566,100	6.43%
Expenditures	\$27,017,700	\$25,669,500	\$1,348,200	5.25%
Revenue Over (Under) Expenditures	(\$1,108,800)	(\$1,326,700)		

Capital Expenditures

This budget plans for over \$7.5 million in capital spending. This is primarily targeted toward street, utilities, and other infrastructure and will upgrade several sections of City streets. In addition, several building improvement projects and equipment purchases are scheduled across various funds. Use of fund balance is discussed later in this document but is almost exclusively due to planned use of fund balance on hand in excess of policy levels to make important investments in various types of capital projects. Unfortunately, a recent consulting analysis of needed upgrades to the Cadillac Wastewater Plant came in significantly higher, both in scope and cost, than expected. This will undoubtedly cause delays in these projects, any related debt financing, and will also have an impact on user rates.

Cadillac's finances are in a stable position, enabling the remainder of proposed capital investments outside of the Water and Sewer Fund without utilizing any debt funding for this year. Conservative budgeting and financial planning, coupled with success in securing outside funding, have been key components of the

ongoing ability to accomplish this. However, additional work is necessary to identify cost reductions and new revenue opportunities (grants, etc.) so that capital equipment and infrastructure can continuously be upgraded.

Types of projects included in this proposed budget include:

	General Fund	Water and Sewer Fund	Other Funds	Total
Street Infrastructure			\$1,920,000	\$1,920,000
Utilities Infrastructure		\$3,630,000		3,630,000
Public Safety	\$96,000			96,000
Equipment, Vehicles, Technology		576,000	545,000	1,121,000
Buildings, Property		505,000	50,000	555,000
Recreation and Cemetery	10,000		194,000	204,000
	\$106,000	\$4,711,000	\$2,709,000	\$7,526,000

Further discussion on the capital budget for FY2027 can be found in the Capital Improvement Program section towards the end of this document. This section not only identifies the planned capital spending in this year's budget but also summarizes the planned capital investment for the succeeding five years. The City's 6-Year Capital Improvement Program is developed and published each year and is an important tool in longer-term financial planning.

Revenues and Expenditures

Total budgeted revenues of City-wide operations are projected to be \$25.9 million while planned expenditures are \$27.0 million. Expenditures exceed revenues for the year by about \$1.1 million, almost exclusively due to the use of fund balance in excess of policy levels to make investments in infrastructure and capital. The City's property tax base is expected to increase 5.2% for the year. This is expected to provide an additional \$216,359 in overall property tax revenues. Due to the requirements of Michigan's Headlee amendment the City's operating millage has unfortunately been **rolled back 7 times since 2017**, from 13.9473 to 13.1256 mills. This has restricted the increase in property tax revenues to fund core City services. The impact of these reductions is discussed in several upcoming sections of this budget document.

The City continues to partner with neighboring governments in order to help provide public services with the highest level of efficiency and cooperation. The contract to provide fire protection to Clam Lake Township was renewed in December 2020, which automatically extended through December 31, 2028. This agreement honors a long-standing partnership between the City and the township for fire services and provides revenue to help fund the costs of a full-time fire department. An important public safety mutual aid arrangement has been implemented between the City and several surrounding townships and Wexford County that formalizes reciprocal practices of assisting other agencies as needed during emergency situations. This program is run via the Wexford County Dispatch Center utilizing a mutual aid box alarm system.

The contract with the Wexford County Equalization Department to provide assessing services to the City has been extended through the approval of a new agreement in March 2022. This is another intergovernmental cooperation and collaboration agreement that provides an ongoing benefit to both units. This budget also continues the partnership with Cadillac Area Public Schools pursuant to an ongoing contract to fund 50% of the costs of a School Resource Officer. This budget appropriates funds for a second

School Resource Officer. This position is 50% funded through a federal grant, while the remaining 50% is split evenly by the City and the schools.

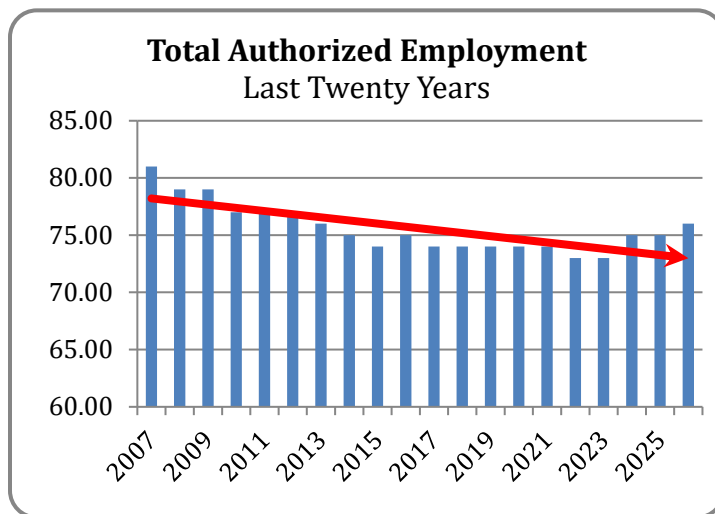
This budget recommends an increase in user charges in the water and sewer system. The proposed increase is approximately 4.5% for water and 8% for sewer. A comprehensive rate study by an outside firm was recently updated for the current budget and reinforced the need to make systematic rate adjustments in the upcoming years. In fact, rate recommendations – including for this budget - will include the need for several higher-than-normal increases in upcoming years. It is hoped that rate adjustments can smooth out in later years, but a recent report on improvements needed at the wastewater treatment plant will add to the challenge facing the City regarding funding the needs of the systems. New rates will enable the department to continue to make critical infrastructure and equipment investments to keep these systems functioning efficiently and safely. Over the last 15 years the City has passed rate increases averaging 2.93% for sewer, and 3.2% for water, and local water and sewer rates always compare very favorably to other municipal utility systems in the region.

Residential trash collection and recycling rates are expected to rise by about \$1.20 per month based on inflationary adjustments. Over half of this increase is based on the very recent spike in fuel prices due to the conflict in Iran. These adjustments are built into the agreements with the haulers and the City retains no additional revenue from increases. The contracts with the City's service providers - refuse removal with Republic Services and recycling with Ms. Green – were last extended in 2022. The primary contract with Republic Services expires at the end of FY2027 but does have an option to extend it for 3 years until June 30, 2030.

Personnel

The City is primarily a service organization, so people are a fundamental and important asset of the organization. The proposed budget recommends a cost-of-living adjustment of 3-4% for all employees depending on the collective bargaining agreement.

Overall, full-time staffing is now at 76, after adding a second School Resource Officer to the Police Department, restoring an administrative position in the Utilities Department, and the DDA has committed funding for a new position to serve as the DDA Director and Main Street Program Manager, which is a newly adopted program of the DDA.



A number of positions have turned over in the last few years, which presents both challenges and opportunities to the organization. It can place an additional workload on remaining staff until a new employee is hired, and the competitive labor market can make it difficult to recruit and hire top talent. However, the City can use the transition period to closely analyze each opening and determine if there is justification to restructure in any way to achieve cost savings or efficiency gains while still providing high quality services. As such, some significant changes have been made in the staffing structure in the last 15 years, including:

- **Eliminate Activities:** In 2010 the City eliminated its full-time Building Inspection department. All inspection and permit activities were turned over to the Wexford County Building Department. This resulted in the elimination of one full-time position. As of July 2015, the City entered into an agreement with a private company, Associated Government Services, to provide these services on a contractual basis. This new arrangement prevents the City from having to subsidize the full-time staff required to conduct these activities using City staff.
- **Consolidation of Positions:** In the past several years several key positions have opened due to staff retirements or resignations. Each time an opening occurred, the position was reevaluated, and, in several cases, duties were shifted and existing staff utilized to perform key job functions while the positions were either left unfilled or restructured to save costs. A brief history of actions taken to maximize efficiency include:
 - o **Assistant City Manager** – This department-head level position was unfilled when the former Assistant resigned in 2010. Since that time, a community development analyst position was created and filled at substantial cost savings.
 - o **Clerk/Treasurer** – This consolidated position was split into two positions that were assumed by two existing employees and the former position was not filled.
 - o **Public Works Director** – This department head position was replaced by an analyst-level position at a 40% cost reduction. Various responsibilities were assigned to other personnel, and the management duties were consolidated into another department head position. This analyst position was again changed in 2016 and absorbed into other areas to reduce costs and gain efficiency.
 - o **Cemetery Foreman** – This mid-management position was unfilled when the former Foreman retired in 2016. Maintenance activities were rolled into the DPW crew and are managed by the Assistant DPW Operations Manager.
 - o **City Engineer** – The City's Engineer retired in 2017 after nearly 38 years of service. Because of changes over the years that limited the ability of a one-person engineering department to handle all facets of the City's engineering needs, the decision was made to utilize a private contractor to provide Engineering services. Other management responsibilities were transferred to the Director of Finance and the Director of Utilities.
 - o **Public Works Department** – By not filling the City Engineer position, the City was able to redistribute some of these available dollars to the DPW which enabled the department to add a maintenance worker to DPW operations.

City Reserves

The City enters the year in a stable financial position with healthy reserves in primary operating funds. Overall, the budget plans for City-wide reserves to decrease by \$853,900. The City will make significant strategic investments of prior funds on hand to fund various capital projects throughout the City's operations.

As of the FY2025 audit and year-end financial reports, the General Fund had total fund balance reserves well above the minimum policy level of 15%. The General Fund is proposed to use \$293,000 in FY2027 to help fund various capital projects and a small amount of operations. Even with this use, fund balance will remain well above policy requirements. However, with Headlee millage rollbacks, reductions in State Shared Revenue, increases in tax captures by various tax capture authorities, and reductions to Franchise

Fees and Marihuana taxes, the General Fund is facing structural shortfalls that will need to be addressed to preserve long term stability.

Two capital projects funds will also use reserves on hand for capital projects, including the Industrial Park Fund, and the Downtown Infrastructure Project Fund. This planned use of funds on hand will not impact ongoing compliance with fund balance policies to preserve future financial stability. The Special Assessment Capital Projects Fund will utilize a small amount of fund balance for construction or engineering costs, and the Cadillac Development Fund will use reserves to help fund community and economic development staff.

Finally, one of the City's component units - the Local Development Finance Authority (LDFA) - will use reserves to fund the costs of groundwater treatment in the LDFA district. A special assessment formerly provided revenue to cover these costs but when the last assessment expired it was not renewed. This will need to be addressed during this year so that the treatment can continue, and the board of the authority is working to fill this funding hole.

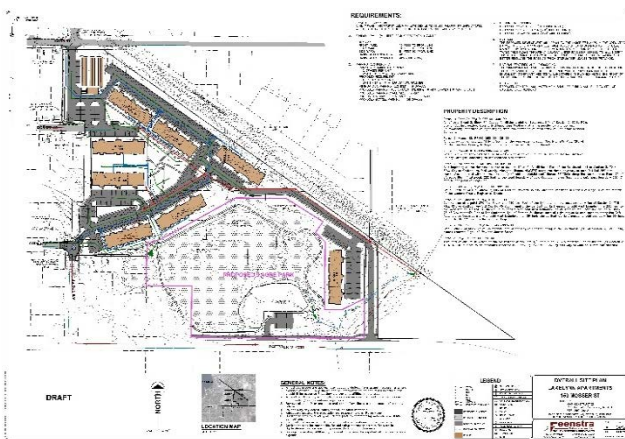
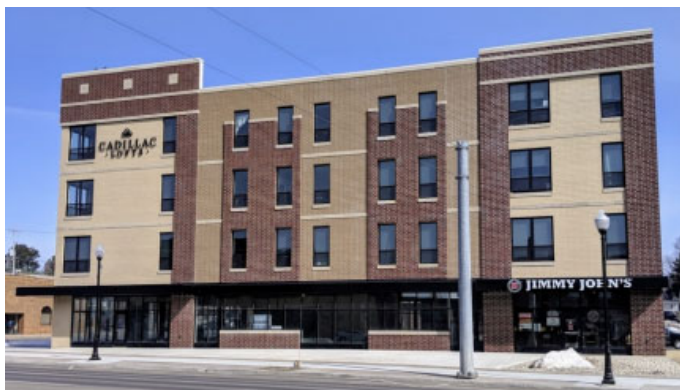
ECONOMIC DEVELOPMENT UPDATE & NEW ACTIVITIES

Former Cooley School Redevelopment – The project at this site is still in the works but has taken longer than expected to commence construction after anticipated grant funding from the State of Michigan fell through. Because of a significant funding shortfall, the project is now being phased into two construction segments, with the first one being the century old school building, and the second segment being the annex building. Should funding through the Michigan State Housing Development Authority's Community Development Block Grant Program come through, it is possible that the annex building could get redeveloped sooner. Additional funding through the State Land Bank Authority may also help to get the project fully underway. The conceptual site plan provides a general overview.



Lake Street Flats - Construction on this project has commenced and is expected to continue through the remainder of 2026. This development includes two 3-story, 24-unit apartment buildings along Lake Street, approximately one block north of City Hall. Interestingly, the project would not be possible but for the introduction of a Grand Rapids-area developer to the City by the Michigan Economic Development Corporation. The City facilitated this introduction with a developer that had control over this property, and now a new partnership is underway. The development received Brownfield Authority and State funding to make it financially viable, and the renderings show the approved concept.

Cadillac Lofts Phase II - Construction has started, and it is anticipated that apartments will be ready for new tenants some time in 2026! The project will look very similar to Phase 1 (shown on right) but some first-floor commercial space will be replaced by residential units located off the side street. There will be a total of 52 residential units in the development, which will also include a fitness center for tenants in both buildings. The project requires the City to complete public street/sidewalk improvements, and funds are appropriated in this budget for this project. Because of infrastructure cost increases, the City applied for a grant to offset the increases, and anticipates being able to start construction before the end of the calendar year.



Lakelynn Apartments - This new development, when fully built out, will consist of several apartment buildings and will offer approximately 250 units and may include new public spaces like a walking trail and a dog park. This project would be the largest multifamily housing development the City has seen in many years – possibly the largest ever - and will target residents that earn 120% or less of the annual median income of Wexford County.

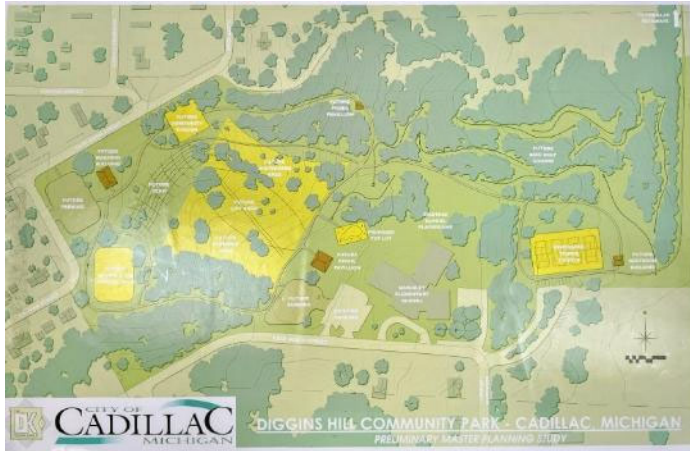
The draft conceptual site plan highlights the proposed public trail, dog park, and overall development. Imperative to the development of

the public trail and dog park would be approval by the voters to allow the City to use some of its property to accommodate the phase two expansion. The ballot question will likely be on the August 2026 primary ballot. Phase one of this project will be commemorated with a groundbreaking in April 2026.

Placemaking

According to the Michigan Municipal League, “Placemaking capitalizes on the distinctive assets of a community to integrate a mixture of uses that connect people and places on a human scale. At its core, placemaking is designed to make communities attractive to both businesses and workers who are increasingly mobile and are seeking more than just employment when deciding where to live.”

Cadillac is a Placemaking pioneer in the State of Michigan. The successful creation of the Cadillac Commons space, the core location of The Plaza, The Pavilion, The City Park, The Market, and The Trailhead have been magnets that attract people into the City’s core downtown area. Construction was completed in late 2025 on a project that significantly improved The Market at Cadillac Commons and the public spaces east of Lake Street. Key project elements included an overhead door system to the facility, electric vehicle charging station, and public bathrooms. Planning to reimagine how best to provide public docks adjacent to the Rotary Performing Arts Pavilion at Cadillac Commons is underway, including an application for grant funding.



area, and bathrooms. The Cadillac Rotary Club is currently fundraising and the City has been awarded a grant for the sensory playground. Looking ahead, there is the possibility of a large grant – potentially 7-figures in size - to help redevelop the top of the hill. Pickle ball, tennis, a ski rope, and other concepts are potential features that could be created or renewed with continued support from the community, outside funding agencies, and City Council.

FUTURE OUTLOOK

The City's financial condition is solid, but Headlee rollbacks have reduced the City's operating millage 7 times since 2017 - evidence of accelerated property value increases, an active real estate market, and the growth of property values that the City has experienced.

There are some significant headwinds on the horizon for all City operations, and challenges that will continue to threaten the City's financial position, predominantly due to factors completely out of local control. The State of Michigan has improved their appropriation of funds for State-shared revenue over the last several years, however looking ahead a rebalancing has taken place whereby additional funds are being made available for road projects at the expense of reduction to revenue sharing that local units of government rely on for operational stability. The Michigan Municipal League has a lot of data available at www.mml.org regarding this issue and others that municipalities are facing.

Though difficult to implement or even initiate, options do exist to increase local revenues to fund core operations such as police, fire, and emergency medical services, and road maintenance and improvements. Examples include a local income tax or a special millage, the latter of which would require a vote of the people to override Headlee millage reductions.

It is, therefore, increasingly important for the City to support and facilitate local economic development with any and all tools available.

New projects, whether they are mixed-use, residential, commercial, and/or industrial, help stabilize and grow Cadillac's economic base. They provide housing, places for people to work, shop, recreate, and in their own way act as a magnet for our City. They also help increase other local property values, which is

Redevelopment projects at Diggins Hill are underway. Located just a few blocks east of downtown, adjacent to a vacated elementary school site, this will be a multi-year endeavor requiring partnership with the community and other agencies.

Successful funding from community agencies such as the Community Foundation and Cadillac Rotary Club fueled the successful completion of the project's first phase, construction of a playground at the base of the hill. The second phase includes the addition of a picnic shelter, construction of a sensory play



important for most residents whose property is their largest asset. Appreciating that value increases their overall wealth.

One of the most significant challenges facing the City is adequate funding for municipal water and sewer systems. The City recently received a report on significant upgrades that are needed at the Cadillac Wastewater Plant, far beyond what is currently included in the Capital Improvement Program and what was included with recent rate analyses. Compounding the problem are reductions in consumption due to users taking advantage of technology that helps reduce water usage. Though the City has been notified of nearly \$10 million in grant funding to expand its water system to connect properties currently on a private well in the City to the municipal system in order to remove any potential PFAS exposure, the related increase in customers is not significant enough to postpone the need for the City to carefully evaluate rate structures.

Combined with the recommended rate adjustments for FY2025 that were not approved, loss of revenues from the implementation of water-saving technologies by local users, and rates that are so low that the City doesn't qualify for USDA-Rural Development funding without first significantly increasing the rates, a complete evaluation of rates and rate structures is ongoing. In fact, the restructuring of the tiered system for water commodity usage is recommended this budget cycle by the City's rate consultant, an independent third-party professional that has been reviewing our infrastructure and expenses over the last couple of years. It is anticipated that at least one or more of the current discount tiers will be removed (discounts are provided based on usage, with higher usage getting a higher discount).

In spite of the challenges and headwinds facing the community, Cadillac is poised for continued growth and development. The City is Redevelopment Ready Certified and has nearly completed the recertification process. Comprehensive updates to the Zoning Code and then starting the process to update the Master Plan are expected to occur in this upcoming fiscal year.

AWARDS

It is with great pride that I mention the awards received by the City of Cadillac this year. These awards are something we can be proud of and are clear indications of the strong teamwork and commitment to excellence exhibited by the City Council and staff.

- ◆ **Tree City Award** goes to only those communities which meet strict standards for forestry management. The City has received this designation every year since 1983, clearly demonstrating our commitment to this most important natural resource.
- ◆ The **Award for Distinguished Budget Presentation** has been presented to the City of Cadillac for 41 consecutive years by the Government Finance Officers Association of the United States and Canada. This award is for one year and covers the budget beginning July 1, 2025. To receive this award, a governmental unit must publish a budget that meets program criteria as a policy document, as an operational guide, as a financial plan and as a communications device. We believe our current budget continues to conform to this high standard and we are submitting this year's document to be considered for another award.
- ◆ The Government Finance Officers Association of the United States and Canada presented the City of Cadillac with a **Certificate of Achievement for Excellence in Financial Reporting**. This award has been received 40 years in a row, reflecting our sincere effort to provide accurate and complete financial data.

CONCLUSION

I would like to thank the City Council for their continued support working with staff to finalize the budget. Through input from a variety of sources, we are hopeful that this budget document identifies those services most needed and desired in the community. The time and effort committed to the development of the budget document by all parties - staff and council alike - are greatly appreciated. I believe this document fairly and accurately reflects revenues and expenditures for FY2027. It is a budget that does a superb job of continuing to serve the needs of our community through the utilization of scarce resources in the most efficient manner, especially considering the challenges presented to us by State and Federal mandates.

This budget is prepared and formulated in accordance with State of Michigan guidelines and the City of Cadillac charter requirements. It also conforms to generally accepted accounting principles. There are four columns in the financial details of each fund: one contains audited figures from the most recently completed fiscal year; the next reflects unaudited anticipated activity for the current fiscal year; the third column is the current approved budget; and the final column is the proposed budget. These four columns, along with the fund balance descriptions are required by P. A. 621, the State of Michigan Budgeting and Accounting Act. The budget document is available for public inspection at the City Clerk's office or on the City's website at www.cadillac-mi.net.

With the receipt of this proposed budget for the 2027 fiscal year, the City Council begins its responsibility of examining the administration's proposals and its eventual approval of the document, which will establish the direction of all municipal services and programs. The City Charter requires that the Council adopt the final budget and set the tax levy authorization before the end of May. This budget will take effect on July 1, 2026 and run through June 30, 2027.

FINAL THOUGHTS

Our organization is a service-oriented operation that strives to create a culture and atmosphere that attracts and retains a high-quality and knowledgeable workforce. Retention of top talent is critical, as is attraction, in this difficult and competitive global employment market, and investing in our people is an important part of this budget.

In closing, the City of Cadillac, from its elected officials, appointed officials, professional staff and volunteers - invests a tremendous amount of time and effort to ensure our community is a place where people want to invest, work, live, and play! I acknowledge the efforts of our elected and appointed officials and staff and thank them for their genuine dedication. Regardless of what at times can be a negative environment, we all focus on providing excellent services, and doing our best for the entire community, which can be difficult from time to time. I must also recognize and acknowledge the tremendous efforts of my executive team and especially thank Owen Roberts and Carol Pacella from the Financial Services Department for their countless hours in the preparation of this budget document that I am pleased to present for consideration.

Respectfully submitted,



Marcus A. Peccia, City Manager

Cadillac, Michigan

Population:

City of Cadillac Estimated Population: 10,371 (31% of County)
Wexford County Estimated Population: 33,673

Area within the City:

- 9 square miles
- 1,150-acre, all-sports lake fully within City limits.
- Located approximately 100 miles north of Grand Rapids and 50 miles southeast of Traverse City.

Other Population Statistics:

Age Range	Population			% Bachelor Degree +
	2000	2010	2023	
< 19	2,624	2,554	2,421	
20-24 years	964	1,040	578	11.2%
25-34 year	1,333	1,435	1,657	18.7%
35-44 years	1,452	1,095	1,156	27.2%
45-64 years	1,959	2,459	2,433	17.1%
65 +	1,668	1,772	2,159	27.6%
Total	10,000	10,355	10,404	



CITY OF CADILLAC

FY2027 Annual Operating Budget

Educational Attainment	Population-25 or older *	Poverty Rate	Median Earnings	% Unemployment
Less than high school graduate	849	41.1%	\$19,625	0.0%
High School/Equivalent	2,725	14.1%	\$34,429	11.1%
Some College/Associate's Degree	2,194	17.1%	\$31,620	2.5%
Bachelor's Degree	967	* 4.0%	\$42,050	* 0.0%
Graduate or Professional Degree	670		\$74,036	

* Category includes 'Bachelor's degree or higher'.

Source: US Census Bureau American Community Survey 2023 5-Year Estimates

Government Profile:

Incorporated in 1877; Council/Manager form of government (one of the first in Michigan)
County Seat for Wexford County

Full-Time Police Force (16 Sworn Officers) and Fire Department (11 Fire Fighters/EMTs)

63.71 miles of Streets (41.72 Local, 21.99 Major)

53 Miles of Sidewalks

51 Miles of Sewer Mains

74 Miles of Water Mains

Major Industries:

Boat Manufacturer	Automobile Parts Manufacturers
Rubber Products	Iron Foundry
Medical Care	Military Hardware/Safety Equipment
Vacuum Cleaner Manufacturer	Beverage Distributing
Truck Parts/Commercial Freezers Manuf.	Tourism

Employment Data:

December, 2025 – 22,063 labor force in the Cadillac Micropolitan Statistical Area
 December, 2025 – 20,913 employed labor force in the Cadillac Micropolitan Statistical Area
 December, 2025 – 5.2% unemployment rate in Cadillac Micropolitan Statistical Area
 Annual, 2024 – 23,038 labor force in the Cadillac Micropolitan Statistical Area
 Annual, 2024 – 5.6% unemployment rate in Cadillac Micropolitan Statistical Area

Other:

- Class 5 fire department rating
- Three police agency headquarters: Cadillac PD, Wexford County Sheriff and Michigan State Police.
- Cadillac is the County seat of Wexford County, so many legal and financial experts reside and practice here
- 49-bed hospital
- Several truck lines serve the area and railroad, bus line and airport further enhance the transportation network

Cadillac Weather

Local citizens like to say that if you don't like the weather, just wait a few minutes and it will change! A true four-season climate awaits you in Cadillac. Spring is exciting with its annual renewal of the lush foliage and flowers and the appearance of the much-awaited May mushrooms. Summer is pleasant with moderately warm temperatures and, for the most part, comfortable humidity levels. Fall, with nature's glorious color show, is a very special time of year. Winter provides abundant snow for a full range of winter activities.

Average Winter Temperature	21.3° F
Average Summer Temperature	65.4° F
Average Annual Rainfall	34 Inches
Average Annual Snowfall	69 Inches
Average High in July	80° F
Average Low in January	11° F
Average Annual Days of Sun	168



Winter Festivities on Lake Cadillac

Data Sources:

Weather Statistics: www.noaa.gov
 Population Statistics and Demographics: www.census.gov
 Other Statistics: www.bestplaces.net
 Employment Data: www.milmi.org



Description of Budget Process

The process of developing the Annual Operating Budget for the City of Cadillac is lengthy and involved. It begins in December each year with the development of the 6-Year Capital Improvement Program and City Council goals. The first year of the Capital Improvement Program becomes the starting point for the Capital Budget that will be appropriated into the Annual Operating Budget. Further timelines for the development of the annual budget are as follows:

December - City Manager and Director of Finance have preliminary discussions regarding budget objectives and priorities.

January - Heads of various City Departments develop departmental budgets and enter budget requests into City's general ledger software.

February-Early March - Director of Finance compiles data and determines if any changes and adjustments need to be recommended.

Mid-March - Director of Finance delivers preliminary budget requests to City Manager for review and approval.

April 1 - Proposed Annual Operating Budget delivered to City Council in accordance with City Charter mandate.

First Monday in April - City Council holds work session to discuss the proposed Annual Operating Budget.

Third Monday in April - City Council holds second work session if needed, and a Public Hearing on the proposed budget is held in accordance with Charter mandate.

Third Monday in May - Council holds public hearing and adopts General Appropriations Act. Section 10.4 of the Cadillac City Charter requires adoption of budget 'Not before the 10th day of May, nor later than the last day in May in each year...'

July 1 - Annual operating budget takes effect.

September-October - Annual financial statement audit and review by independent auditing firm.

November-December - Development of 6-Year Capital Improvement Program

Amending the Budget - The Annual Operating Budget serves as a roadmap and provides accountability to City officials regarding annual spending. Because of the fluid nature of City operations, budget amendments are often needed during a typical fiscal year. The City Charter and the General Appropriations Act allow for amendments according to the following:

- **Within the legal level of appropriation** - (Department level activities in General Fund; Total fund level activities in all other funds) - City Manager is authorized to approve budget transfers within the legal level of appropriation. City Manager may not increase total appropriations.
- **Additional Appropriations or transfers to different activities** - City Council may make amendments to the General Appropriations Act at any time by resolution to add appropriations or to make transfers between activities.

2026-2027 ANNUAL BUDGET CALENDAR**2025**

December City Manager, Director of Finance have preliminary discussions regarding budget objectives and priorities. Department Heads submit projects for development of 6-Year Capital Improvement Program; discussion held on updates to City-wide and departmental goals.

**2026**

January 6 Staff meeting held to discuss the general guidelines for the Annual Operating Budget preparation. Departments given access to Budget Maintenance in financial software as well as given a copy of current Personnel Summary.

February 6 Budget input completed by Department Heads and any related documentation submitted to Finance Department for review. Budget advanced to Director of Finance level for review.

March 16 City Council holds work session to discuss City-wide goals and to review 6-Year Capital Improvement Program.

March 27 Finance review completed. Information on balanced budget submitted to the City Manager for review and approval.

March 30 City Manager concludes review and preliminary budget is prepared.

April 1 Administrative budget is completed and in accordance with the City Charter is submitted to the City Council for their review.

April 6 City Council holds budget work session and sets Public Hearing for budget.

April 10 City Clerk makes public notice of public hearing on the budget.

April 20 Public hearing held on initial proposed budget. Public hearing and approval of 6-Year Capital Improvement Program.

May 18 Budget adoption and tax levy authorization.

June 19 City Treasurer completes 2026 tax roll.

June 28 Tax bills mailed.

July 1 2026-2027 Annual Operating Budget takes effect.



GOVERNMENT FINANCE OFFICERS ASSOCIATION

*Distinguished
Budget Presentation
Award*

PRESENTED TO

**City of Cadillac
Michigan**

For the Fiscal Year Beginning

July 01, 2025

Christopher P. Morrell

Executive Director

DISTINGUISHED BUDGET PRESENTATION AWARD

The Government Finance Officers Association of the United States and Canada (GFOA) presented a Distinguished Budget Presentation Award to the City of Cadillac, Michigan for its annual budget for the fiscal year beginning July 1, 2025. To receive this award, a governmental unit must publish a budget document as an operations guide, as a financial plan, and as a communications device. This award is valid for a period of one year only. We believe our current budget continues to conform to program requirements, and we are submitting it to GFOA to determine if it is eligible for another award.

FY2027 Mission, Vision, and Priority Programs

As part of their overall strategic role for the organization, the Cadillac City Council has outlined the direction of the City in the following mission and vision statements, City-wide goals, and strategic priority programs to help achieve these goals. These statements, goals and priority programs are discussed each year by City Council at a public strategic planning work session and changes are incorporated into the updated document. The public work session for this purpose for the current year was held on March 16, 2026.

The Mission and Vision Statements and the City Council goals were originally developed by City Council in partnership with City staff and public input. These are reviewed each year and amended as necessary. Priority programs are also reviewed each year. Progress is updated, completed programs are removed, and new priority programs are added based on the issues that are important to City Council and the community each year.

Mission & Vision Statements

Mission Statement

It is the mission of the City of Cadillac to be a well-managed, environmentally conscious, fiscally responsible, appealing community in northwest Michigan. We will encourage and advocate for an environment for living and working that is founded upon a strong community spirit of trust, broad-based citizen involvement, and dignity and respect for all regardless of gender, ethnic, social, or economic backgrounds.

Vision Statements

The City preserves and enhances its character and quality of life and will be responsive to the changing needs of the residents and environment in a fiscally responsible manner.

The City will be an outstanding example of a well-managed, planned community which protects and enhances its historical heritage, architecturally significant buildings, residential neighborhoods, natural resources, open spaces and recreational areas. The City fosters well-planned business and commercial districts, encompassing a variety of industrial, manufacturing, retail and service establishments.

A strong commitment will be made to public health and safety, the maintenance of our infrastructure, and the conservation of our open spaces and natural resources, and where and when applicable, environmentally “green” practices will be utilized. Community services are distinguished by a strong commitment to quality, efficiency and outstanding public facilities, supported by reasonable property tax rates and/or fees.

The City will be known for its promotion of dignity, respect, and cooperation among residents regardless of gender, ethnic, social, or economic backgrounds, as well as for its promotion of cooperation among businesses, community agencies, and other units of government.

CITY COUNCIL GOALS

The City Council will annually review and discuss their mission/vision statements, financial realities, and priorities that they believe will maintain and improve our community. Council goals include:

Community Development & Enhancement

1. Promote positive image
2. Advance quality of life
3. Maintain and improve civic infrastructure
4. Maintain and improve public facilities and equipment
5. Maintain and improve environmental infrastructure

Economic Health & Development

1. Actively support business development
2. Promote business retention
3. Maintain and improve financial condition

Public Safety

1. Crime prevention
2. Emergency readiness and response
3. Enhance regional cooperation and communication
4. Fire Prevention

Customer Service & Organizational Enhancement

1. Maintain and improve human infrastructure
2. Maintain & improve use of technology
3. Review & update administrative procedures and policies

KEY PRIORITY PROGRAMS AND PROJECTS

Based on the goals set by the Cadillac City Council, the following have been identified by both Council and staff as key priority programs or projects:

1. Future of Cadillac Community Center (former Naval Reserve)

Time Frame: Ongoing

Initiated: 2016

Project Leader: Owen Roberts

The Cadillac Community Center has three tenants that fill most of the facility. However, low rent levels and vacancies prevent the facility from generating sufficient funds to make capital improvements and major repairs, so the City continues to subsidize the operation of the building.

Status: On-Going - There are three tenants in the facility: Up North Arts, Wexford Genealogy Organization, and the Cadillac Senior Center. Redevelopment options have been discussed informally, but any change of use from what is stipulated by Charter would require a referendum of the people. Building maintenance and operational issues of the facility are a concern. Since 2019 the General Fund has contributed over \$62,000 to fund building maintenance, including replacement of a boiler, interior and exterior painting, and tree removal. The flat roof at the north end of the facility will need to be updated in the next couple of years at an estimated cost of \$100,000. The proposed Capital Improvement Program includes this repair, which has now reached urgent status. The facility does not generate sufficient rental revenue to cover capital expenditures, so other sources of funds will need to be identified to pay for the City's portion of these projects.

2. Lake Cadillac Invasive Species Management Program

Time Frame: On-Going

Initiated: 2016

Project Leader: Marcus Peccia

This program helps insure the ongoing identification and treatment of invasive aquatic plant species in Lake Cadillac.

Status: On-Going The spread of milfoil and other invasive species is under control. Monitoring and treatment applications for invasive species are long-term commitments, especially for an urban public lake that is used primarily in a recreational manner. As such, funding for continued invasive species management is critical, but even more importantly a transition to a more holistic lake management approach is now the top priority.

2023: Lake Cadillac's conditions improved; residual effects from a late 2022 treatment reduced milfoil, with only 50 acres treated in 2023 versus 160 in 2022. A hot, dry spring triggered a moderate algal bloom in mid-June, but blooms were otherwise absent. Water clarity was slightly reduced. Despite more geese, E. coli levels stayed within safe limits and all beaches remained open. City staff participated in Canada Goose nest and egg destruction in spring 2023, with plans to repeat in 2025. DNR did not permit goose capture/relocation in 2024, and 2026 remains uncertain.

2024: New contracts for lake consulting and treatment were awarded to Restorative Lake Sciences (RLS) and PLM Lake & Land Management. RLS's 2024 report recommends continued goose control, stormwater sampling, and exploring new funding sources (millage or special assessment).

2025: Increase community outreach to boaters, anglers, and shoreline residents, stressing the need for cleaning boats and reporting invasive species sightings. Conduct a public survey on Downtown Dock improvements to inform a 2026 DNR grant application, following a structural assessment. Pursuing partnerships with state agencies, universities, and local groups to enhance funding opportunities and share best practices.

Present Funding: The General Fund is the current funding source for this program.

3. Cadillac West Corridor Improvements & Association

Time Frame: Ongoing

Initiated: 2016

Project Leader: Theresa Waldo

The Cadillac West Corridor Improvement Association (CWCIA) is a public redevelopment organization whose purpose is to improve the commercial viability of the resort area commonly referred to as Cadillac West. The CWCIA will be comprised of a local board operating similar to the Downtown Development Authority and will be supported principally through tax increment financing once a plan has been established and approved.

Status: *On-Going* – Past Actions and Improvements timeline:

2018: The city, with Networks Northwest and AES, used a grant to complete a SWOT analysis and corridor plan, confirming city planning independence from nearby townships.

2019: A developer purchased the former Sands Hotel (now Lake Cadillac Resort), Primo's Barbeque & Rosa Blanca, and The Marina Restaurant for rehabilitation. The City established Commercial Redevelopment and Rehabilitation Districts, granting a 10-year partial tax abatement.

2019–2020: Major hotel renovations were completed.

2020: The city appointed the full CWCIA board with AES's support.

2021: The board organized, set bylaws, and began drafting a development and tax increment financing plan. Lake Cadillac Resort announced further redevelopment and added a boat fueling station.

2022: Pines Bowling Alley's proposed storage facility was not approved by CWCIA; discussions shifted to unique short-term housing, with plans pending.

2023: Staff drafted the development plan and met with businesses to refine goals. Rustic design guidelines were developed. A grant was awarded for the resort's ice cream shop but declined due to owner disagreements. Work on a new access easement for several businesses has progressed.

2024: A new joint driveway design was finalized for local businesses; approvals and grant applications are expected in 2025. The draft financing plan is nearly ready for City Council review. A \$25,000 grant was secured for Walraven's equipment. Decorative light pole and fishing pier projects advanced with ongoing grant applications.

2025: Significant progress was made on the streetscape improvement plan, including new landscaping, updated signage, and better accessibility. Staff coordinated implementation and grant applications, working closely with MDOT. Notable achievements include City Council approval of the 2026 TIF and Development Plan, a T-Mobile Neighborhood Grant bid for gateway lighting (unsuccessful but future efforts planned), and a postponed DNR fishing pier proposal due to parking concerns. The CIA amended bylaws for a council assignee, supported events like the Easter Egg Hunt and Harvest Festival, contributed to MDOT's M-115 Corridor study, and maintained efforts to grow the CIA's online presence. The CIA also participated in a federal grant audit for Sunnyside Drive through the Walkability Action Institute, organized annual holiday events, contributed to the City's Zoning Code Update, and completed a driveway design approved by four neighboring property owners.

2026: The CIA updated the bylaws per legal recommendations as an annual best practice. Staff continued pursuing funds to support the infrastructure of a shared driveway and community space in the corridor. The Corridor continued to support festivals in the area, creating a new event called Classics on the Canal to coincide with the state campground Tin Can Festival in June. Plans to continue beautification with the MDNR Urban Tree grant are ongoing.

4. Complete Development of Cadillac Commons*Time Frame: On-Going**Initiated: 2016**Project Leader: Marcus Peccia*The Cadillac Rotary Performing Arts Pavilion - **Status: Completed**The Plaza - **Status: Completed**The Market - **Status: Completed**

The Trailhead – Funding from the Michigan Department of Natural Resources made the White Pine Trail Downtown Trailhead possible, including the transformation of a clocktower entryway. The project also benefited from a picnic shelter funded by the Shared Streets Space Grant (SSSG) program. Additional support for the clock tower came from the Cadillac Area Community Foundation. With these contributions, the trailhead is now substantially complete. Stretching 92 miles, the White Pine Trail begins—or ends—in Cadillac, which was recognized as Michigan’s newest "trail town" during the ribbon cutting ceremony. This initiative is part of the State of Michigan’s *Pure Michigan* campaign to promote travel and tourism throughout the state.

Status: Nearly completed in 2026 – Main facility completed; picnic shelter will be added in 2026.

Public Dock – Plans to upgrade the public docking area near the Pavilion are under review. A new dock concept has been introduced, and outside funding is being sought for implementation.

5. Enhance Web and Social Media Presence to Improve Communication and Expand Online Access to Public Information and Documents*Time Frame: On-Going**Initiated: 2016**Project Leader: Owen Roberts*

Residents, property owners, community stakeholders and businesses are increasingly using existing and emerging technologies to communicate and conduct business. The City will identify, evaluate, and implement new technologies to improve communication with community members and offer electronic access to public services and documents.

Status: On-Going – An overhaul of the City’s website was completed in FY2019 giving the City’s site a more modern look and feel. This platform provided additional functionality and enhanced the efficiency of content updates and additions. Use of social media platforms as a means of communicating with the public has increased. The ability to pay online for most City services has been implemented, including property taxes, utility bills, building permits, business licenses, rental registration fees, and miscellaneous receivable billing. In FY2023 a new module went live to provide a fully functional Citizen Request Management system that replaced a more static incident reporting page on the City’s website. This implementation added electronic workflow, request tracking, and request monitoring functionality to help ensure that issues are resolved in a complete and timely manner. The City is eligible for a website refresh from the company that hosts the site. This project is anticipated to begin in the summer or fall of 2026.

6. Maintain 2-3 Months Fund Balance Reserves in General Fund*Time Frame: On-Going**Initiated: 2016**Project Leader: Owen Roberts*

Prudent financial management includes maintaining adequate reserves on hand to protect ongoing operations and ease cash flow issues. Regular review of expenditures, long-term financial planning, and expanding revenue sources are all an important part of achieving this important financial objective.

Status: On-Going – This objective has been achieved for many years and is expected to continue. Updates to the City’s Fund Balance Policy that will more specifically outline requirements for fund balance on-hand, fund balance categories, utilization of excess fund balance, and a process for restoring fund balance to policy levels if it falls below the required level will be introduced in the spring of 2026. This policy will help inform and justify a recommendation for investment of current excess fund balance into several

important one-time capital projects in the upcoming budget year. Because of positive financial results over a period of years, City Council was able to redirect a portion of excess fund balance to provide the Major and Local Street Funds over \$1.4 million in FY2023 for street improvement projects.

As of the last audit date of June 30, 2025, the General Fund had the following reserves on hand:

Fund Balance	Amount	% of Expenditures
Non-Spendable	\$414	0.00%
Reserved	151,893	1.46%
Assigned*	3,154,548	30.29%
Undesignated	2,783,381	26.73%
	\$6,090,236	58.48%
*Assigned		
Working Capital	\$2,027,450	19.47%
Sick and Vacation Accrual	288,669	2.77%
DNR Grant Match	42,600	0.41%
ARPA Funds	772,616	7.42%
Other	23,213	0.22%
	\$3,154,548	30.29%

7. Implement Plan to Upgrade All Streets Rated in Poor Condition

Time Frame: On-Going

Initiated: 2016

Project Leader: Owen Roberts

The City has several streets listed in poor condition. Updated street ratings will be used to schedule these streets for repair as part of the Capital Improvement Program. The Financial Services Department will assist with grant applications, bond issuance, and identification of other funding sources to improve these streets.

Status: *On-Going* – City staff has worked over the last several months with Prein & Newhof to develop an Asset Management Plan for the City’s road system. The first draft of this plan is now complete and will be presented as part of the FY2027 CIP and budget process. This plan will clearly articulate the current condition of City streets and be a vital tool in planning upcoming maintenance and construction timelines. Nearly \$8.5 million in street improvements have been completed since 2015. Only \$3.5 million of this work was completed with bond funds. Regularly updated street ratings will provide critical data that will inform ongoing decisions regarding timing of street replacements as well as identify other opportunities to extend the useful lives of existing streets. The State passed new road funding in 2025 that is expected to provide relief to the City’s road maintenance budget and provide funds for projects that will provide significant improvements to some of the worst streets in the City. The management plan will include a combination of street reconstruction and other maintenance-type approaches like mill and overlay to stretch limited funds available for construction. Funding for upcoming projects is becoming increasingly difficult as the cost of projects has increased dramatically.

8. Improve Capacity to Encourage and Facilitate Local Economic Development

*Time Frame: On-Going**Initiated: 2016**Project Leader: Marcus Peccia*

Cadillac, Michigan is actively pursuing strategies to promote development across commercial, industrial, and residential sectors. The City regularly engages community stakeholders to identify opportunities for collaboration, resource sharing, and knowledge exchange aimed at addressing key community issues and encouraging sustainable growth. This includes ongoing efforts to market city-owned properties for development.

Status: On-Going – The City has taken or is working on actions related to the following items to encourage and facilitate local development:

Updating both local and state databases of available properties and revising the City's Master Plan to reflect new economic development goals.

Advancing the Cadillac Commons project, which has resulted in significant upgrades to public spaces such as the Rotary Performing Arts Pavilion, City Park, The Plaza, The Market, and The Trailhead.

Actively participating in regional economic development groups and collaborating with the Downtown Development Authority, Brownfield Authority, and other partners to coordinate activities that spur local investment.

Partnering with the Alliance for Economic Success (AES), a nonprofit dedicated to supporting economic growth in Wexford and Missaukee Counties. AES offers business counseling, expansion support, and site selection assistance to help build a strong, sustainable local economy.

- Working with subcommittees on projects like wayfinding systems and Mitchell Street Corridor improvements, in partnership with MDOT and other agencies.
- Facilitating redevelopment projects through direct engagement with developers and property owners and connecting them with agencies like the MEDC for additional support.
- Achieving Redevelopment Ready Community (RRC) renewal status, which maintains the City's eligibility for state grants and technical assistance.
- Overhauling the City's zoning ordinance to streamline the approval process, encourage mixed-use development, and address regulations for new business types.
- Qualifying for expanded Community Development Block Grant (CDBG) Homeowners Rehabilitation grant funding as a designated low-income community.
- Creating redevelopment districts to incentivize investment through tax abatements, and establishing a new Tax Increment Finance District, Cadillac West Corridor Improvement Authority.
- Laying groundwork for future initiatives, including a potential train depot and expanded housing projects, through planning, zoning, and public engagement.
- Securing significant grant funding for downtown business improvements, blight reduction, micro-parks, and housing facade programs.
- Supporting downtown businesses through regular engagement, strategic planning for public infrastructure improvements, and the development of special assessment programs.
- Collaborating with local organizations to expand housing options, advance redevelopment projects, and host major conferences to attract statewide attention to Cadillac's economic opportunities.
- Participating in the Main Street Program and other professional development efforts to advance downtown revitalization, public art, and placemaking projects.

In 2025 and 2026, the Downtown Development Authority will focus on expanding seasonal programming, activating vacant spaces, and supporting local entrepreneurs through regular roundtables and new branding initiatives. Beautification projects, mural installations, and public safety improvements remain priorities, alongside continued work on the zoning code, Mitchell Street redesign, and Cadillac Commons management.

Strategic priorities for 2026 include:

- Investing in placemaking and events to strengthen civic pride and attract visitors.
- Balancing incentives for external investors with robust support for local businesses.
- Deepening partnerships with regional organizations and neighboring communities.
- Prioritizing downtown and brownfield redevelopment through targeted incentives and expedited processes. Engaging the community in ongoing planning and adapting policies based on feedback and evaluation.

9. Enhance Employee Development and Training

Time Frame: On-Going

Initiated: 2016

Project Leader: Marcus Peccia

Continue to explore opportunities to improve the City's largest investment – people. Discovering how to better utilize current technology and/or new technology to improve service provision, encouraging participation in training when applicable and feasible, and reviewing, updating, and/or creating administrative policies and procedures as appropriate.

Status: On-Going – Initiatives that have been implemented and/or are currently underway include:

- Multi-department CPR training.
- Attendance at various Michigan Chapter of the American Public Works Association professional development events.
- Attendance/participation at various Michigan Government Finance Officers Association professional development events.
- Attendance at Michigan Municipal League, Michigan Management Executives, and International City/County Management Association professional development events.
- Attendance at Planning and Zoning, Housing, and Community Development events such as Main Street America, ZBA conferences for certifications and training, and more.
- In-house software refreshment training.
- Updating to an Office 365 cloud-based platform.
- Options for upgrading tablets/mobile devices for Council and staff.
- Network upgrades via fiber and wi-fi connections between facilities.
- Enhancements to employee assistance programs through Encompass and Backing the Badge.
- Improvements to staff workspaces with ergonomically improved equipment/furnishings.
- Police and Fire Department leadership attendance at state, regional and national professional development events, including the Michigan Association of Chiefs of Police, International Association of Chiefs of Police, Fire Department Instructor Conference, and the Northern Michigan Fire Chiefs Association.

- Police Department acquired software called Power DMS to increase the administrative efficiency of the Department by having the ability to create, track and manage official law enforcement policies and programs.
- Acquired and implemented BS&A Building Department Module which will allow for more efficient management of the rental certificate program, building permits, and planning and zoning applications and permits. In addition to improving work efficiency, it will allow for simplified reporting to the MEDC regarding Redevelopment Ready Communities auditing.
- Water and Wastewater Departments leadership/personal attended many state, regional and national professional development events, including the Michigan Water Environmental Association (MWEA), Water Environmental Federation (WEF), Michigan American Water Works Association (MI-AWWA) and American Water Works Association (AWWA). These events allow our staff to maintain the license to run the City's Utilities Infrastructure.

10. Outside Funding Initiative

Time Frame: Ongoing

Initiated: 2019

Project Leader: Marcus Peccia

The city remains committed to pursuing external funding to support projects, programs, and studies that would be challenging to accomplish with internal resources alone. The tracking system for outside funding will be updated, and a new list of capital projects with potential for private donations or significant grant support will be developed.

Status: On-Going - Outside funding initiatives include, but are not limited to:

- Secured a \$260,000 Michigan Department of Natural Resources Trust Fund grant for the White Pine Trail extension and trailhead.
- The DDA annually raises over \$7,000 through public contributions for the downtown flower basket program, covering about half its cost. Efforts to engage sponsors for formal downtown planting areas continue.
- Obtained \$800,000 in Community Development Block Grant (CDBG) funds for the first phase of demolition and abatement activities at the Cadillac Lofts site.
- Supported the developer in acquiring a \$1.5 million MEDC Community Redevelopment Program grant for the Cadillac Lofts project.
- Received \$750,000 in State Brownfield grant/loan funds for Cadillac Lofts site activities and over \$1 million for Mitchell-Bentley site cleanup.
- Ongoing efforts to secure additional CDBG and MEDC grants to support public infrastructure, economic growth, and expansion.
- Pursuing federal funding, such as Transportation Alternative Program grants, for new walkways.
- Allocating Public Act 51 funds for road improvement projects.
- The Chamber of Commerce Leadership Class raised over \$90,000 for the Shay Locomotive shelter and brick pathway, with support from the Cadillac Area Community Foundation and Cadillac Rotary Club.
- Received \$50,000 from the USDA in 2020 for enhancements at The Market, and \$100,000 from the MEDC for Potvin Industrial Park Street design.

- Consumers Energy Prosperity Grant of \$250,000 funded two micro-parks, blight elimination, a residential façade improvement program (in partnership with Habitat for Humanity), and park enhancements. Three homes were renovated.
- Secured \$25,000 Match on Main grants to support local businesses, working in partnership with the Chamber and Visitors Bureau to coordinate ongoing applications. To date, six businesses have received funding through this program to assist with improvements.
- Received \$2,500 in technology grants for downtown businesses, and additional funding for the White Pine Trailhead Project from various local organizations.
- Obtained \$4,000 for a downtown hotel feasibility study from several economic and community organizations.
- Awarded \$33,000 from the state Blight Elimination Program to demolish the old water building on 8th Street.
- \$100,000 received from Cliff Sjogren and additional donations for new pickleball courts at Lakeside Park, with further fundraising assistance from the Community Foundation.
- Obtained a \$750,000 CDBG grant for upgrades to the Market at Cadillac Commons, including overhead doors and public bathrooms.
- Secured over \$570,000 from the State Land Bank Authority to address blight at the former Western Concrete Property.
- Received \$39,600 from MSDHA for updating the City's Zoning Ordinance.
- Awarded a \$200,000 MDOT Shared Streets and Spaces grant to enhance mobility infrastructure, including bicycle and pedestrian safety measures, signage, and new amenities at public spaces.
- Awarded \$90,000 from MDNR Urban Forestry Grant to remove dead and diseased trees at Kenwood Park and plant trees in the park, tree lawns and other city park areas.
- The Letter of Intent (LOI) has been accepted by CDBG for a Homeowner Rehabilitation grant in the amount of \$675,000.
- Staff are collaborating with local groups to make improvements to City-owned properties including:
 - o Story Stroll with Great Starts Collaborative
 - o Kenwood Volleyball improvements: Cadillac Volleyball Club received a grant from the Rotary Club
 - o Diggins Hill Fundraising by the Cadillac Rotary Club
 - o Sound Garden updates with the Garden Club

Collaboration and education are core to the Community Development Department. In 2025, staff expanded their skills through training and partnerships, while the Director advanced economic development with local and regional groups. The team completed leadership programs and specialized coursework. In 2026, staff will focus on rural leadership, zoning certification, and new collaborations with local organizations.

11. Police Department Technology*Time Frame: Ongoing**Initiated: 2026**Project Leader: Adam Ottjepka*

Technology available to law enforcement agencies is rapidly evolving, and now includes tools such as drones, license plate readers, laser drug identifiers, mobile cameras, vehicle immobilization technology, electrified gloves, are just some examples.

The Cadillac Police Department is in a constant state of evaluating opportunities to acquire technology that would be appropriate to serve our community. Technology that can protect CPD officers is always a priority, and recommendations will be made to acquire such devices when appropriate.

Status: On-going – Currently looking at utilizing funding available through the opioid settlements to acquire a laser drug identifier. A laser drug identifier would significantly protect our officers by reducing their need to handle potentially lethal substances.

12. Walkability Enhancements*Time Frame: Ongoing**Initiated: 2019**Project Leader: Theresa Waldo*

This program, aligned with the "Improve Capacity to Encourage and Facilitate Local Economic Development" initiative, aims to enhance quality of life for residents and visitors by expanding walkability and non-motorized transportation options throughout the community. Potential improvements include new amenities such as signage, pedestrian refuge islands, and enhanced bicycle and pedestrian infrastructure. Community stakeholders, particularly those involved in non-motorized transport—will be engaged to help identify priority areas and develop a comprehensive implementation plan. Funding sources within the City budget will be evaluated, and the project may be incorporated into the Capital Improvement Program if a formal plan is adopted.

Status: On-Going

- **2019:** The Downtown Development Authority prepared designs and cost estimates for two mid-block pedestrian crossings on Mitchell Street. While various funding options are being explored, no MDOT funds have been secured. A 2020 proposal from the Chamber of Commerce Leadership Program to fund one crosswalk was not approved by City Council due to maintenance concerns. The City, in partnership with Cadillac Area Public Schools and the State, is seeking a federal Safe Routes to School grant to help fund new pathways for students. As part of the ongoing Street Reconstruction Program, infrastructure projects will continue to feature improved bicycle paths. Each year, the city reviews bike and sidewalk enhancements when streets are repaved, and new sidewalks have recently been added near Franklin School. Streets impacted by these improvements include Cass, West Division, Franklin, and Lester.
- **2023:** City and MDOT staff discussed safety issues in the downtown and West Side Business Districts, resulting in a planned MDOT road safety audit for both areas. The 2023 street program completed 705 feet of new sidewalks, 26 upgraded ADA ramps, and 1,000 feet of new bicycle lanes on Division Street, MDOT initiated safety audits for Mitchell Street and M-115 and is seeking additional grant funding for further study and improvements. The city secured a Shared Streets and Spaces Grant from MDOT to enhance pedestrian and bicycle safety and Wayfinding signage.
- **2024:** Leeson Avenue (railroad to 13th Street): 2,959 feet, with new bike lanes on both sides (no new sidewalks); Burlingame Street (Ford to 13th Street): 1,245 feet, with reconstructed sidewalk ramps at intersections
- **2025:** The City of Cadillac was selected for the Michigan Transportation Alternative Program (TAP) Hybrid Walkability Action Institute/Walkability Virtual Academy Pilot Project. During this program a multidisciplinary local team developed a Community Action Plan, consisting of nine goals to

implement a safe walkable community for all. The focus is on increasing mobility, safety, and walkability through comprehensive planning and pursuit of MDOT TAP and Safe Routes to School funding with phased implementation beginning as early as 2027.

13. Parking Enhancements

Time Frame: On-Going

Initiated: 2020

Project Leader: Marcus Peccia

As downtown Cadillac experiences continued growth, expanding and improving public parking has become a priority. The city is evaluating modern solutions—including valet and automated parking—and has identified key sites near major new developments.

Discussions with agencies and developers are ongoing, particularly regarding funding and partnerships for automated facilities, and a new facility could be incorporated into a mixed-use project within the next two years. Additional on-street parking is also planned as part of these developments. A parking study may be commissioned, pending qualifications for external funding.

Status: Ongoing

The city is actively reviewing several automated parking options, as recommended by the MEDC, and is considering integrating a structure into larger projects such as Cadillac Lofts or Northwood to leverage MEDC funding. With renewed eligibility for CDBG funds, there are new opportunities to partner with developers for parking enhancements. Recent and upcoming improvements include the 2026 reconstruction of the lot behind Cadillac Lofts (serving both loft residents and neighboring businesses), new parking with the North Lake Street Flats project, potential on-street additions as part of broader street upgrades, and 2026 initiatives such as Downtown Dock revitalization and structural repairs near the Wexford Jewelers lot. The City was awarded \$2.1 million in funding from the State to resolve a failing culvert adjacent to this lot. The City is still waiting for the funding process to be in place with the State before the project can fully begin.

14. Commuter Rail Depot

Time Frame: On-Going

Initiated: 2019

Project Leader: Theresa Waldo

Plans to establish passenger rail service from Ann Arbor to Traverse City, with a stop in Cadillac, are ongoing. The proposed route may eventually extend to Detroit and Petoskey. For Cadillac to be included as a stop, the community must support the construction of a passenger depot, requiring a platform of at least 600 feet and space for two tracks. The city has identified a potential site for the depot, but progress depends on continued local support and funding, which is expected to combine external sources with municipal investment. Lease payments could be used to offset construction debt.

Status: Ongoing

2022: The Cadillac Wexford Transit Authority (CWTA) received a \$1.3 million grant to advance the second phase of a rail service study. This study is necessary to secure further funding for rail infrastructure improvements. While groundwork organizations are fundraising to upgrade rail lines for higher speeds, no recent proposals have been made to the city for depot design or development. The city remains prepared to assist as the project advances.

2024: CWTA issued an RFP for the next phase of the study.

2025: Regional stakeholders convened to evaluate the engagement of a national consulting firm and to review various governance models. Currently, CWTA and Groundwork are spearheading the planning process for a proposed north-south rail connection linking Cadillac, Traverse City, and Petoskey with the Amtrak network. The project will leverage an existing state-owned corridor to reduce the need for new infrastructure. This planning phase is scheduled for completion in early 2026, at which point the team

intends to apply for inclusion in the Federal Railroad Administration's Corridor ID Program. In the interim, Cadillac remains served by a range of local and regional transit options, including WexExpress, a Greyhound stop, and a Park & Ride facility. Throughout 2026, staff have maintained active collaboration with Groundwork, coordinating route planning and participating in regular progress meetings.

15. Asset Management Plan & Distribution System Materials Inventory

Time Frame: 3-years

Initiated: 2022

Project Leader: Jeff Dietlin

This program pertains to the City's Drinking Water Asset Management Plan (AMP) and Distribution System Materials Inventory (DSMI). Field verification will be conducted for a minimum of 351 service lines out of a current total that exceeds 3,800. Work will include hydro-excavation of curb stops and in-building documentation of service line materials, as well as excavation and investigation of 51 corporation stops. All information will be reviewed, updated and logged into the city's geographic information system (GIS) database. The State of Michigan requested verification of about 400 additional service line materials. This will include doing 14 hydro-excavations. The State extended the time frame for the Grant until May 2025.

Status: On-Going – This project started in 2022 and currently is 90% completed. This section is completed. The State of Michigan has determined that the City of Cadillac water system is 100% lead free.

16. American Rescue Plan Act Funding Opportunities

Time Frame: 1-2 Years

Initiated: 2022

Project Leader: Owen Roberts

As part of the Coronavirus State and Local Fiscal Recovery Funds (SLFRF) program of the American Rescue Plan Act passed by the US Congress in 2021, the City of Cadillac received an allocation of nearly \$1.1 million. Based on the final guidance for spending these funds, the City exercised the \$10 million standard exemption option to consider all funds under the 'Revenue Loss' category which expanded the flexibility to use these funds for services traditionally provided by government. Per the Final Rule issued by the US Treasury, these uses can include such services as:

- Construction of schools and hospitals
- Road building and maintenance, and other infrastructure
- General government administration, staff, and administrative facilities
- Environmental remediation
- Provision of police, fire, and other public safety services (including purchase of fire trucks and police vehicles)

A priority list of potential uses of these one-time dollars should be developed which ensures that they are being allocated to non-recurring costs, and toward other important priority items of the City Council.

Status: On-Going – In FY2022, City Council authorized the use of \$108,000 of these funds for a one-time COVID-19 payment for all full-time City employees, and the transfer of \$110,000 to complete construction of The Trailhead at Cadillac Commons. An additional \$112,000 was authorized to fund the grant match for improvements at The Market. Over \$772,000 in funds remain available. Discussions with Council have included use of the funds to aid in grant matching and closing gaps for special projects, such as for the Rotary's Diggins Hill vision and other initiatives that otherwise would not have a funding source. Use of these funds to offset other capital infrastructure needs will also be explored, and likely recommended for Fiscal Year 2027 and beyond.

17. Alternate Energy Usage in Utilities Department

Time Frame: 5-year

Initiated: 2023

Project Leader: Jeff Dietlin

Explore the use of renewable energy in the Utilities Department. There are several projects that could be evaluated as part of this program. Construction of a facility or installation of equipment to capture digester gas to reuse for energy production and/or energy conservation is in the current CIP. This program could also include the installation of solar gardens on City property. These projects could involve partnering with CTC or other agencies to educate the students in practical, real-world situations.

Status: On-Going - The project is still being evaluated for viability. Several meetings have occurred with 3rd parties, including DTE, and analyses is ongoing. Currently, grants are being sought to obtain behind-the-meter solar for the LDFA. Staff is also exploring solar for the wastewater treatment plant and water facilities. City was awarded Solar for All Grant for \$3 million, but unfortunately the federal government took back the grant funds. Looking at alternative solar programs for wastewater and water facilities.

18. Public Infrastructure Asset Management Plan

Time Frame: 1-2-years

Initiated: 2024

Project Leader: Owen Roberts

The purpose of this program is to create a publicly available plan that details how the most public-facing infrastructure is being managed in terms of both maintenance and replacement. Examples may include any of the items that qualify as capital projects (\$7,500 in value or higher), but would primarily be focused on the following:

- Parks and park facilities including playground equipment, landscaping features, shelters and/or pavilions.
- Street features such as pavement markings for bikes/trails, signage (electronic or non-electronic).
- Bridge/pathway assets, specifically the McKellop Walkway and surrounding areas, the City Dock, and the Clam River Greenway.

Status: On-Going Initial development continues. Step 1 is the road Asset Management Plan that is now complete in draft form and expected to be introduced during the FY2027 budget and capital planning cycle.

19. Diggins Hill Redevelopment

Time Frame: 3-5years

Initiated: 2024

Project Leader: Marcus Peccia

The City of Cadillac is moving forward with the redevelopment of Diggins Hill, a 14-acre recreation area owned by the City, with the goal of transforming the site into a vibrant, year-round recreation destination. The first phase of improvements—completed in the summer of 2025—was made possible through a significant partnership with the Rotary Club.

Additional upgrades are in progress for 2026, including the installation of a new sensory playground and other enhancements throughout the park. Planned priorities for the next phase include a pavilion, expanded picnic areas, benches, an ice rink with a warming hut, and new pickleball and basketball courts.

The Diggins Hill Fundraising Committee continues to actively seek donations, offering naming opportunities in recognition of major contributions. The project is designed to restore the historic recreational use of Diggins Hill while introducing modern amenities to better serve the community. Updates to both the Recreation Plan and the site's master plan are ongoing, a collaborative effort with Cadillac Area Public Schools. The Cadillac Area Rotary Club is focused on raising funds for the new playground, while future possibilities remain under discussion and include ideas such as a recreation center, ski tow, and redevelopment of the adjacent school property.

Status: On-Going - Continued collaboration between the City, CAPS, and Rotary. Preliminary discussions are underway to redevelop the top of the hill into a recreational area. Pickle ball courts are currently the favored concept, and a Trust has expressed interest in a significant donation to make a project possible. Project would likely require the City to acquire the property from CAPS.

20. Redevelopment of 8th Street Well Field Property

Time Frame: 1-3 years

Initiated: 2024

Project Leader: Marcus Peccia

With the completion of the new well field on 44 Road, the City has decommissioned the 8th Street Well Field due to contamination risks, including trichloroethene (TCE). The 20-acre former well field, located in a longstanding industrial area, has been cleared of all operational infrastructure except for a small storage barn. The site is now being considered for private industrial redevelopment, pending determination of a sale process and potential public referendum for any change in charter-mandated use. Coordination with the Cadillac Industrial Fund, Chamber of Commerce, and Alliance for Economic Success will be essential as the City addresses issues such as utility relocation and the future of the neighboring dog park. Demolition of the adjacent Western Concrete property is also underway as part of a broader redevelopment initiative.

Status: On-Going - Demolition of the former Western Concrete property will happen in 2026. A referendum asking voters to provide authority to the City to change the zoning on the former well field property, so it may be redeveloped, will also likely be on a ballot in 2026.

21. PFAS Initiative

Time Frame: On-Going

Initiated: 2025

Project Leader: Jeff Dietlin

The goal of this initiative is to provide all residents of Cadillac access to a PFAS-free water supply. Currently there are approximately 224 parcels not connected to City water. Some of the parcels have adjacent water mains that can be accessed, while others do not. This project would identify funding sources that could offset the costs of extending water mains and private connection expenses. The City needs to determine its policy position on costs, including potential cost sharing, establishment of special assessment districts, and ordinances that may require connections, all in the interests of public health.

Status: On-Going - This project has started. Bids were solicited for Marathon Drive, and various grant funding opportunities are being pursued. Grant for \$8.2 million and \$1.46 was awarded to the City. This transformational funding will enable the City to offer all Cadillac residents the opportunity to connect to a clean, reliable and safe water source.

22. Reuse & New Uses of Water Resources

Time Frame: 5-year

Initiated: 2026

Project Leader: Jeff Dietlin

Explore the reuse of products that are produced as end-products of various City owned resources. Examples include the reuse of the LDFA effluent as cooling water, pelletizing the City's biosolids to be sold as a commercial fertilizer, and bottling of City water for retail sales. These concepts will require support from multiple departments and City officials.

23. Update City Codes Regarding Criminal Matters and General Code Enforcement

Time Frame: On-going

Initiated: 2024

Project Leader: Adam Ottjepka

With the State of Michigan's planned enactment of the 2021 building code, the City has been preparing to update its Property Maintenance and Fire Codes to remain consistent with the State. This process has included a thorough staff review of how the current codes are aligning with the City's overall objective of improving the health, safety, and welfare of the community. After engaging the public on topics such as rental housing, vacation rentals, and neighborhood vitality, staff have reviewed current operations and codes for effectiveness and efficiency. This ongoing effort will result in a comprehensive suggested action plan bringing with it revised codes targeting community needs, streamlined procedures based upon current staffing levels, and a sustainable code enforcement model that addresses today's concerns while implementing tools for the future. This effort will require support from multiple departments and City officials.

Status: The focus is to update current codes and introduce new codes as appropriate or necessary. The project is underway and is primarily being led by the Fire Marshal and Public Safety Director.

24. I Cadillac Concept

Time Frame: 1-3 years

Initiated: 2026

Project Leader: Marcus Peccia

Explore the opportunity of a new public art concept, perhaps similar to Loveland, Colorado's "City with a Heart" program. Loveland's program consists of primarily 5-foot-tall fiberglass heart sculptures located throughout the city in addition to:

- **Public Art Sculptures:** There are dozens of these hearts placed at businesses, parks, and public buildings. Each heart is unique, having been decorated or painted by local artists with different themes, colors, and designs.
- **Community Symbolism:** The hearts are intended to promote the city's reputation for love and kindness, particularly centered around the famous Valentine Re-Mailing Program, where hundreds of thousands of valentines are sent to Loveland to be stamped with a special verse and postmark.
- **Love Locks:** In addition to painted fiberglass hearts, Loveland features massive steel "Love Lock" sculptures which are the largest in the U.S. Visitors can buy a padlock, have it engraved, and permanently attach it to these sculptures, similar to the famous bridges in Paris.
- **The "Heart Tags":** During the Valentine's season, the city would hang smaller wooden hearts from lampposts across town, often featuring personal messages or names of loved ones purchased by residents.

The City would look to collaborate with area service/community agencies, such as the Community Foundation, Arts Council, and Rotary Club to implement this type of program. Having a program in place in time for the 150th anniversary celebration could be tied into the concept. Looking into other arts and cultural opportunities and collaborating with local art groups like the Cadillac Arts Council on a way to get utility boxes painted (as an example) is another initiative that is hoping to start.

 FY2027 Strategic Priority Programs				Community Development and Enhancement	Economic Health Development	Public Safety	Service and Organizational Enhancement												
				Promote Positive Image	Advance Quality of Life	Maintain & Improve Civic Infrastructure	Maintain & Improve Public Facilities and Equipment	Actively Support Local Environmental Infrastructure	Promote Business Retention	Maintain and Improve Financial Condition	Enhance Regional Cooperation and Response	Fire Prevention	Maintain and Improve Human Infrastructure	Update Administrative Procedures and Policies					
Project No.	Time Frame	Leader	Project Title (Note: Projects may cross multiple fiscal years)																
1	Ongoing	Owen	Study future of Cadillac Community Center (former Naval Reserve)																
2	1-2 Yrs.	Marcus	Update Lake Cadillac Invasive Species Management Program																
3	Ongoing	Theresa	Cadillac West Corridor Improvements & Association																
4	Ongoing	Marcus	Complete Development of Cadillac Commons																
5	1 Year	Owen	Enhance Web and Social Media Presence																
6	Ongoing	Owen	Maintain 2-3 Months Fund Balance Reserves in General Fund																
7	Ongoing	Owen	Implement Plan to Upgrade all Streets Rated in Poor Condition																
8	1-2 Yrs.	Marcus	Improve Capacity to Encourage and Facilitate Local Development																
9	Ongoing	Marcus	Enhance Employee Development and Training																
10	Ongoing	Marcus	Outside Funding Initiative																
11	Ongoing	Adam	Police Department Technology																
12	1 Year	Theresa	Walkability Enhancements																
13	Ongoing	Marcus	Parking Enhancements																
14	Ongoing	Theresa	Commuter Rail Depot																
15	3 Yrs.	Jeff	Asset Management Plan & Distribution System Materials Inventory																
16	1-2 Yrs.	Owen	American Rescue Plan Act Funding Opportunities																
17	5 Yrs.	Jeff	Alternate Energy Usage in Utilities Department																
18	1-2 Yrs.	Owen	Public Infrastructure Asset Management Plan																
19	3-5 Yrs.	Marcus	Diggins Hill Redevelopment																
20	1-3 Yrs.	Marcus	Redevelopment of 8th Street Well Field Property																
21	Ongoing	Jeff	PFAS Initiative																
22	5 Yrs.	Jeff	Reuse & New Uses of Water Resources																
23	2 Yrs.	Adam	Update City Codes - Crminal Matters & Code Enforcement																
24	1-3 Yrs.	Marcus	I "Heart" Cadillac																

DEPARTMENTAL GOALS AND OBJECTIVES

City of Cadillac Departmental Structure

The City of Cadillac is organized under seven (7) main departments. A department director is assigned to each department. Departments are structured as follows:

Department

- Office of the City Manager
- Financial Services
- Public Works
- Community Development
- Police Department
- Fire Department
- Water and Sewer

Department Director Title

City Manager (Marcus Peccia)
Director of Finance (Owen Roberts)
Director of Public Works (Owen Roberts)
Community Development Director (Theresa Waldo)
Director of Public Safety (Adam Ottjepka)
Director of Public Safety (Adam Ottjepka)
Director of Utilities (Jeff Dietlin)

Except for the General Fund, all other funds within the City's fund structure are overseen by one of the primary department directors listed above. Throughout the budget document, each fund other than the General Fund will note which department director is responsible for oversight of the fund.

It is important that each department of the City partners with the City Council to help carry out the mission of the Council. Departmental goals and objectives are presented below. It is also important to measure the outcomes of each department to ensure the progress of each department towards accomplishing this mission. Within each department below is a reference to other sections of this document where various performance measures can be found.

As the Chief Administrative Officer of the City of Cadillac, the City Manager has overall responsibility for the management of all City services and departments. As part of carrying out this responsibility, the City Manager requires each individual department to submit the following goals and objectives to outline how the respective departments will assist and partner with the City Council to achieve the mission and objectives contained in the Council Mission and Vision Concepts. As such, highlighted within each departmental goal is the specific council vision statement that the departmental goal is targeted towards achieving.

In addition, the Cadillac City Council recently approved the Priority Program schedule included in this document. Each departmental objective will include the priority program project that it will help achieve. Each departmental objective will include a reference to the program number (i.e. "PP-1" indicates that the objective relates to the implementation of Priority Program 1 in the schedule). Not all departmental goals may tie directly to a program on the schedule.

Department: Financial Services Department
Director: Owen Roberts
Performance Measures: Pages 56, 67-68, 69, 84, 86, 169

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Financial Services Department** will:

1. Promote *fiscal responsibility* by advocating for and practicing prudent, conservative fiscal practices and decision-making. Identified tasks to help achieve this objective are:
 - a. Minimize personnel legacy costs. **(PP-6)**
 - b. Measure and fully fund annual pension and other post-employment benefits liabilities. **(PP-6)**
 - c. Maintain General Fund Working Capital fund balance assignment of at least 17% of total annual General Fund expenditures. **(PP-6)**
 - d. Approve new Fund Balance Policy for the General Fund. **(PP-6)**
 2. Foster a *community spirit of trust* by providing open and easy access to financial information and results. Identified tasks to help achieve this objective are:
 - a. Property tax information available on the City's website. **(PP-5)**
 - b. Annual Operating Budget, Comprehensive Annual Financial Report, and 6-Year Capital Improvement Program available on the City's website. **(PP-5)**
 3. Promote a *community spirit of trust* by commitment to providing comprehensive and accurate financial information. Identified tasks to help achieve this objective are:
 - a. Obtain Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association (GFOA).
 - b. Obtain Distinguished Budget Presentation Award from the GFOA.
 - c. Obtain unmodified ("clean") audit opinion.
 4. Demonstrate a *strong commitment to quality and efficiency* in the delivery of *community services* by utilizing technology to streamline communications and internal business processes. Identified tasks to help achieve this objective are:
 - a. Evaluate and invest in new and/or upgraded technologies to take advantage of new efficiencies. **(PP-5; 9)**
 - b. Continue IT hardware replacement to ensure optimal efficiency and minimize down time.
 - c. Develop new communication tools and utilize existing tools to enhance delivery of important information to local residents and businesses. **(PP-5)**
 - d. Implement new processes for electronic vendor payments for majority of payments. **(PP-6; 9)**
-

Department: Department of Public Works
Director: Owen Roberts
Performance Measures: Pages 100, 104, 134, 139, 143, 166

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Public Works Department** will:

1. Enhance Cadillac as an *appealing community* by protecting our *natural resources, open spaces and recreational areas* throughout the City's parks, rights-of-way, open spaces and Maple Hill Cemetery. Identified tasks to help achieve this objective are:

- a. Plant 50 trees annually in City right-of-way and public spaces.
 - b. Continue forestry practices that have helped achieve the designation of Tree City USA for many years.
 - c. Adequately staff seasonal crews to facilitate optimal maintenance of parks and cemetery. **(PP-18)**
2. Promote *fiscal responsibility* by seeking ways to help offset costs of parks maintenance and forestry activities and to provide funding for additional activities. Identified tasks to help achieve this objective are:
 - a. Actively seek forestry grants to assist in the cost of purchasing trees. **(PP-10)**
 - b. Utilize competitive bidding process to ensure lowest acquisition costs for goods and services.
 - c. Seek opportunities to utilize volunteer help where appropriate.
3. Promote a *community spirit of trust* by responding to citizen comments and concerns in a timely fashion. Identified tasks to help achieve this objective are:
 - a. Continue to market, publicize and manage current system to track citizen requests and complaints to measure response times and satisfactory resolutions. **(PP-5)**
 - b. Enhance online submission functionality for citizen concerns, comments and complaints. **(PP-5)**
4. Support our *strong commitment to monitoring the City's infrastructure* by continually evaluating and updating the infrastructure needs within the City. Identified tasks to help achieve this objective are:
 - a. Annually rank the condition of City streets. **(PP-7)**
 - b. Review and rank utility infrastructure needs below the streets. **(PP-7)**
 - c. Review and update Capital Improvement Program projects. **(PP-7)**
 - d. Develop Public Asset Management Plan for proactive maintenance of recreational assets. **(PP-18)**
 - e. Aggressively and consistently seek outside funding to offset costs of infrastructure projects. **(PP-10)**
5. Enhance the City as a *highly appealing and desirable community* through maintenance practices including:
 - a. Inspect and repair sidewalks thereby ensuring a safe walking environment for the public. **(PP-12)**
 - b. Complete the sign replacement program and maintain existing system of signs throughout the City.
 - c. Optimize ice and snow control activities on State trunk lines, major and local streets and residential sidewalks.

Department: Community Development Department

Director: Theresa Waldo

Performance Measures: Pages 105, 146, 147

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Community Development Department** will:

1. Promote a *well-managed and fiscally responsible community* through the updating, adoption and implementation of key policy and land use instruments and through the formation of organizational structures identified as important to the city's future growth and development. Identified tasks for achieving this objective include:
 - a. Prepare the Cadillac West Corridor Improvement District Tax Increment Financing and Development Plan. **(PP-8)**
 - b. Update Zoning Ordinance. **(PP-8)**
 - c. Update the City Master Plan. **(PP-8)**
 - d. Research the Michigan Main Street Program and participate as appropriate. **(PP-8)**
 - e. Work with the Michigan Department of Transportation on the future design and function of Mitchell Street in the downtown and M-115 in Cadillac West. **(PP-8)**

2. Promote *fiscal responsibility* by carefully identifying, examining and pursuing local, state, and federal funding programs as a means of leveraging local dollars as well as providing for facilities and services potentially unavailable without the benefit of supplementary resources. Identified tasks for achieving this objective include:
 - a. Pursue additional Community Development Block Grant (CDBG) funding. **(PP-10)**
 - b. Complete applications for additional funding currently available. **(PP-10)**
3. Enhance the City as a *highly appealing and desirable community* by fostering the growth and development of new facilities and services. Identified tasks for achieving this objective include:
 - a. Complete Cadillac Commons project. **(PP-4)**
 - b. Identify targeted redevelopment projects through the Redevelopment Ready Communities process. **(PP-8)**
 - c. Include design standards as appropriate for City programs and licensing processes. **(PP-8)**
4. Foster a *community spirit of trust* by instituting and participating in programs designed to inform and educate the public on community development matters. Identified tasks for achieving his objective include:
 - a. Prepare reference materials for residents submitting applications on common zoning issues such as site plans, rezoning applications, accessory buildings, and fence applications. **(PP-8)**
 - b. Hold public meetings on major changes to the zoning ordinance and master plan. **(PP-8)**
 - c. Maintain current information on the city's website regarding planning and zoning matters of interest to the public. **(PP-5; 8)**
5. Promote the *City's environmental well-being* by instituting programs designed to protect the City's natural resources. Identified tasks for achieving this objective include:
 - a. Continue getting grants for street tree planting throughout the city. **(PP-10)**
 - b. Include a natural resource element in the next update to the city's master plan.
 - c. Evaluate and implement as appropriate environmentally friendly storm drainage design.

Department: Police Department

Director: Adam Ottjepka

Performance Measures: Pages 91-94

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Police Department** will:

1. Foster a *community spirit of trust and broad-based citizen involvement* by continuing to work with the community to reduce crime and increase the feeling of community safety. Identified tasks to help achieve this objective are:
 - a. Promote citizen reporting of “see something say something” to help identify and prevent criminal activity.
 - b. Involve the Cadillac Community Policing Officer with local civic groups and community organizations to share information, offer other available resources, solve community problems, and offer crime prevention training in the community.
 - c. Build community trust by offering professional, competent, respectful, and helpful service to the community. **(PP-11)**

2. Enhance the City as a *highly appealing and desirable community* by placing a high emphasis on traffic safety. Identified tasks to help achieve this objective are:
 - a. Perform traffic surveys to identify problem areas.
 - b. Utilize the department's radar speed trailer and invest in additional speed radar signs throughout the city to raise speed limit awareness and promote compliance with the law.
 - c. Assign traffic patrol to identified problem areas.
 - d. Maintain focus on the increasing problem of operating under the influence of drugs by continuing to train and utilize departmental Drug Recognition Expert to assist officers in recognizing and combating this dangerous situation.
3. Enhance the City as a *highly appealing and desirable community* by decreasing criminal activity such as larcenies, property damage, and breaking and entering. Identified tasks to help achieve this objective are:
 - a. Continue to deploy personnel on targeted neighborhood patrols.
 - b. Continue to put a high emphasis on investigating and solving crimes and prosecuting the offenders.
 - c. Utilize the media, business contacts, and community groups to raise community awareness of current problems to promote early detection and reporting of suspicious or criminal activity. **(PP-5)**
4. Promote a *well-managed and fiscally responsible community* by continuing current efforts and seeking out additional opportunities for co-operative mutual aid agreements with area public safety agencies. Identified tasks to help achieve this objective are:
 - a. Continue to take advantage of opportunities for joint in-house training utilizing local departmental instructors. **(PP-9; 10)**
 - b. Promote sharing of specialized equipment with other local agencies to eliminate duplication in the acquisition of costly equipment. **(PP-11)**
 - c. Continued support of joint specialty teams.

Department: Fire Department

Director: Adam Ottjepka

Performance Measures: Pages 94-97

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Fire Department** will:

1. Demonstrate a *strong commitment to public health and safety* by protecting local residents, businesses, and industries through fast, effective and efficient fire protection emergency medical services (EMS), hazardous materials protection, and extrication, ice and technical rescues. Identified tasks to help achieve this objective are:
 - a. Provide and document adequate training for all personnel. **(PP-9)**
 - b. Maintain safe, efficient, and updated equipment and fire apparatus.
 - c. Develop and maintain pre-incident action plans for high-risk occupancies. **(PP-9)**
 - d. Minimize fire losses through prevention, investigation, and personnel development. **(PP-9)**
 - e. Develop and maintain company inspection program that focuses on Fire Code compliance in the Downtown District.
2. Promote a *fiscally responsible community* by continuing partnerships with local agencies to provide efficient fire and EMS services. Identified tasks to help achieve this objective are:
 - a. Continue partnerships with MMR and Clam Lake Township.
 - b. Maintain and enhance mutual aid agreements with other local departments.
 - c. Develop county-wide training partnerships. **(PP-9; 10)**

- d. Enhance county-wide purchasing partnerships.
 - e. Maximize Wexford Fire Training Committee funds from the State of Michigan. **(PP-9; 10)**
 - f. Fully utilize any available cost-free training opportunities from FEMA and other federal agencies. **(PP-9; 10)**
3. Promote a *strong community spirit of trust* and *broad-based citizen involvement* through community fire prevention and safety education, especially to “at-risk” groups like the very young and elderly. Identified tasks to help achieve this objective are:
- a. Increase educational programs within local school systems, senior housing facilities, and other community-based organizations.
 - b. Develop closer relationships with community stakeholders to improve efficiency and effectiveness of code enforcement activities.

Department: Utilities Department

Director: Jeff Dietlin

Performance Measures: Pages 110, 115, 118, 121, 126, 185

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Utilities Department** will:

- 1. Promote *fiscal responsibility* by advocating and practicing prudent decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate staff to maximize potential workloads. **(PP-9)**
 - b. Evaluate equipment needs and develop a comprehensive preventative maintenance program to extend useful life of all equipment.
- 2. Foster a *community spirit of trust* by providing open and easy access to information and results. Identified tasks to help achieve this objective are:
 - a. Encourage local residents and groups to tour departmental facilities.
 - b. Regularly update results of water quality tests on the City website. **(PP-5)**

Water Resources Division

- 1. Promote *fiscal responsibility* by advocating for and practicing prudent decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate opportunities for new revenue such as accepting additional hauled waste.
 - b. Maintain a well-run digester to ensure the production of alternate fuel sources to offset costs of natural gas usage. **(PP-17)**
- 2. Promote an *environmentally conscious attitude* by advocating for and practicing environmentally prudent decision-making. Identified tasks to help achieve this objective are:
 - a. Maintain a well-run digester to ensure the production of alternate fuel sources to reduce natural gas usage. **(PP-17)**
 - b. Evaluate green component of future purchases.
 - c. Maintain discharge levels below required NPDES permit levels.
 - d. Maintain an active Industrial Monitoring Program to limit amount of industrial waste that is discharged into the wastewater treatment system.
 - e. Maintain the production of Class “A” EQ (Exceptional Quality) biosolids for land application.
 - f. Continue bi-annual collection of Household Hazardous Waste.

Water Distribution and Collection Division

1. Promote *fiscal responsibility* by advocating for and practicing prudent financial decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate opportunities for new revenue such as selling bulk water.
 - b. Maintain a well-run meter program with less than 1% misreads per month.
 - c. Continue educational opportunities for the enhancement and proficiency of employees. **(PP-9)**
2. Promote *environmentally conscious attitude* by advocating for and practicing prudent environmental decision-making. Identified tasks to help achieve this objective are:
 - a. Clean at least 20,000 feet of sewers a year.
 - b. Achieve total coliform test results of zero for the year.
 - c. Flush all fire hydrants within the City two times per year.
 - d. Continue preventative maintenance program for all fire hydrants in the City.
 - e. Evaluate green alternatives for new well field infrastructure.
 - f. Turn and exercise 20% of all main valves in the water system.

Laboratory Division

1. Promote *fiscal responsibility* by advocating for and practicing prudent financial decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate opportunities for new revenue such as expanding customer base for laboratory services.
 - b. Increase number of tests that laboratory and staff are certified to perform. **(PP-9)**
 - c. Perform over 32,000 total tests annually.
 - d. Bill over \$80,000 for contract laboratory services to non-City of Cadillac accounts.
 - e. Provide a chemical hygiene course yearly to prevent accidental chemical exposure.
 - f. Maintain an SDS record for chemical spill response.
 - g. Research new vendors to receive best prices for the goods used.
2. Promote *environmentally conscious attitude* by advocating for and practicing prudent environmental decision-making. Identified tasks to help achieve this objective are:
 - a. Provide a place where total coliform measurements may be performed.
 - b. Maintain an updated and accurate record of chemicals at the Wastewater plant.
 - c. Give tours and classroom instruction for the schools around Cadillac.
 - d. Perform tests for Wastewater plant for compliance in Industrial Pretreatment Program, NPDES and the plant operation to maintain environmental compliance/protection.
 - e. Perform test for the Water plant to obtain/maintain a record of water quality.

ORDINANCE NO. 2026-06
ORDINANCE ESTABLISHING GENERAL APPROPRIATIONS ACT
FOR FISCAL YEAR 2027

THE CITY OF CADILLAC ORDAINS:

Section 1, Title.

This Ordinance shall be known as the City of Cadillac General Appropriations Act for Fiscal Year 2027.

Section 2, Public Hearing on the Budget.

Pursuant to MCL 141.412 and Section 10.3 of the City Charter, notice of a public hearing on the proposed budget was published in a newspaper of general circulation on April 9, 2026, and a public hearing on the proposed budget was held on April 20, 2026.

Section 3, Expenditures.

The City hereby appropriates the expenditures for the fiscal year commencing July 1, 2026 and ending June 30, 2027 on a departmental and activity total basis as follows:

General Fund Expenditures

Legislative	\$57,500
Office of the City Manager	389,400
Financial Services	504,600
City Clerk/Treasurer Department	425,400
Election Services	39,000
Assessing Services	159,600
Legal Services	207,000
City Complex	391,400
Police Department	2,994,800
Fire Department	1,920,300
Public Works	1,352,600
Culture and Recreation	439,200
Economic Development and Assistance	562,700
Intergovernmental	85,000
Other	221,000
Total Expenditures	\$9,749,500

Section 4, Estimated Revenues.

The City estimates that revenues for the fiscal year commencing July 1, 2026 and ending June 30, 2027 will be as follows:

General Fund	
Taxes	\$5,297,500
Licenses & Permits	120,500
Intergovernmental	2,490,000
Charges for Services	1,311,500
Fines & Forfeits	12,000
Miscellaneous	20,000
Interest and Rents	205,000
Total Revenues	\$9,456,500

Section 5, Budgets.

The City hereby approves budgets for the fiscal year commencing July 1, 2026 and ending June 30, 2027 for the following funds in the amounts set forth below:

	<u>Revenues</u>	<u>Expenses</u>
Governmental Funds		
Major Street Fund	\$1,861,800	\$1,860,000
Local Street Fund	1,255,500	1,255,500
Cemetery Operating Fund	187,000	187,000
Cadillac Development Fund	12,000	77,500
Building Inspection Fund	80,000	80,000
Naval Reserve Center Fund	36,000	36,000
Lake Treatment Fund	65,000	65,000
H.L. Green Operating Fund	1,500	0
2016 General Obligation Capital Improvement Bond	162,000	161,300
2020 General Obligation Capital Improvement Bond	317,000	316,500
Industrial Park Fund	12,000	50,500
Special Assessment Capital Projects Fund	3,000	25,500
Downtown Infrastructure Project	800,000	1,270,000
Cemetery Perpetual Care Fund	35,000	29,500
Capital Projects Fund	2,000	0

	<u>Revenues</u>	<u>Expenses</u>
Proprietary Funds		
Water & Sewer Fund	5,639,000	5,635,500
Capital		4,711,000
Principal Payments		963,680
Building Authority Operating Fund	201,000	181,000
Central Stores & Municipal Garage Fund	860,000	859,900
Capital		405,000
Principal Payments		50,000
Information Technology Fund	350,000	350,000
Capital		125,000
Self-Insurance Fund	2,195,000	2,195,000
Employee Safety Fund	12,000	12,000
Pension Trust Fund		
Police & Fire Retirement System	1,130,000	1,130,000
Component Units		
Local Development Finance Authority Operating Fund	420,000	420,000
Local Development Finance Authority Capital Projects Fund	240,000	470,500
Downtown Development Authority Operating Fund	154,500	154,500
Downtown Development Authority Capital Projects Fund	231,000	231,000
Brownfield Redevelopment Authority Operating Fund	183,500	208,500
Cadillac West Corridor Improvement Authority Fund	6,600	6,000

Section 6, Millage Levies.

(a) The City will levy a tax of 13.1256 mills for the period of July 1, 2026 and ending June 30, 2027, on all real and personal taxable property in the City, according to the valuation of the same. This tax is levied for the purpose of defraying the general expense and liability of the City and is levied pursuant to Section 20.6, Article 20 of the City Charter. The maximum authorized levy according to the City Charter is 15.00 mills.

(b) The City further levies a tax of 2.60 mills for the period of July 1, 2026 and ending June 30, 2027, on all real and personal taxable property in the City, according to the valuation of the same. This tax is levied for the purpose of defraying the cost of supporting the retirement plan for personnel of the police and fire departments of the City pursuant to the provisions of Public Act 345 of 1937, as amended, as approved by a vote of the citizens of the City on November 8, 1977.

(c) The City further levies a tax of 1.7668 mills for the period of July 1, 2026 and ending June 30, 2027, on all real and personal taxable property in the City, according to the valuation of the same in a district known as the Downtown Development District. This tax is levied for the purpose of defraying the cost of the Downtown Development Authority.

Section 7, Adoption of Budget by Reference.

The general fund budget of the City is hereby adopted by reference, with revenues and activity expenditures as indicated in Sections 5 and 6 of this Act.

Section 8, Transfer Within Appropriation Centers.

The City Manager is hereby authorized to make budgetary transfers within the appropriation centers established throughout this budget. All transfers between appropriations may be made only by further resolution of the City Council pursuant to Section 10.5 of the City Charter and Section 19(2) of the provisions of the Michigan Uniform Accounting and Budget Act.

Section 9, Appropriations by Resolution.

The City Council may, by resolution, make additional appropriations during the 2027 Fiscal Year for unanticipated expenditures required of the City, but such expenditures shall not exceed the amount by which actual and anticipated revenues of the fiscal year are exceeding the revenues as estimated in the budget unless the appropriations are necessary to relieve an emergency endangering the public health, peace or safety.

Section 10, Effective Date.

This Ordinance shall take effect on July 1, 2026.

Approved this 18th day of May, 2026.

Keri Lanning, Deputy Clerk

David C. Powell, Mayor

FUNDS FORMATION

The financial structure of the City consists of various funds, which operate just like separate businesses within the organization and have their own set of balanced books. Funds are differentiated between major and non-major funds. Major funds represent the significant activities of the City and basically include any fund where revenues or expenditures, excluding other financing sources and uses, constitute more than 10% of the revenues or expenditures of the aggregate appropriated budget of similar funds. The breakdown of the City's fund structure is as follows:

FUND CATEGORY/FUND TYPE/Fund Name	Budget Adopted	Major Fund	In Prior Financial Statements	Responsibility
GOVERNMENTAL FUNDS				
GENERAL FUND	✓	✓	✓	Various Departments
SPECIAL REVENUE FUNDS				
Major Street Fund*	✓	✓	✓	DPW Director
Local Street Fund*	✓	✓	✓	DPW Director
Maple Hill Cemetery Operating Fund	✓		✓	DPW Director
Cadillac Development Fund	✓		✓	Comm. Dev. Director
Building Inspection Fund	✓		✓	Comm. Dev. Director
Naval Reserve Center Fund	✓		✓	Director of Finance
Lake Treatment Fund	✓		✓	City Manager
H.L. Green Operating Fund	✓		✓	Director of Finance
DEBT SERVICE FUNDS				
2016 GO Bond Debt Service Fund	✓		✓	Director of Finance
2020 GO Bond Debt Service Fund	✓			Director of Finance
CAPITAL PROJECT FUNDS				
Industrial Park Fund	✓		✓	Comm. Dev. Director
Special Assessment Capital Projects Fund	✓		✓	Director of Finance
Cadillac Trailhead Project Fund			✓	Comm. Dev. Director
Downtown Infrastructure Project Fund	✓		✓	Comm. Dev. Director
Rotary Park Project Fund			✓	Director of Finance
Clam River Greenway Fund			✓	Director of Finance
The Market Capital Project Fund			✓	Director of Finance
Consumers Energy Prosperity Grant Fund			✓	Comm. Dev. Director
Cooley School Capital Projects Fund			✓	Comm. Dev. Director
PERMANENT FUNDS				
Cemetery Perpetual Care Fund	✓		✓	Director of Finance
Capital Projects Trust Fund	✓		✓	Director of Finance
PROPRIETARY FUNDS				
ENTERPRISE FUNDS				
Water and Sewer Fund	✓	✓	✓	Director of Utilities
Auto Parking Fund			✓	Comm. Dev. Director
Building Authority Operating Fund	✓		✓	Director of Finance

<u>FUND CATEGORY/FUND TYPE/Fund Name</u>	Budget Adopted	Major Fund	In Prior Financial Statements	Responsibility
INTERNAL SERVICE FUNDS				
Stores and Garage Fund	✓		✓	DPW Director
Information Technology Fund	✓		✓	Director of Finance
Self-Insurance Fund	✓		✓	Director of Finance
Safety Fund	✓		✓	Safety Director
FIDUCIARY FUNDS				
TRUST FUNDS				
Police and Fire Retirement Fund	✓		✓	Director of Finance
COMPONENT UNITS				
Local Development Finance Authority				
Operating	✓		✓	Director of Utilities
Capital Projects	✓		✓	Director of Utilities
Utilities			✓	Director of Utilities
Downtown Development Authority				
Operating	✓		✓	Comm. Dev. Director
Capital Projects	✓		✓	Comm. Dev. Director
Brownfield Redevelopment Authority	✓		✓	Director of Finance
Cadillac West Corridor Improvement Fund	✓		✓	Comm. Dev. Director

Major/Local Street Funds classified as “Major” funds in some years in Annual Comprehensive Financial Report depending on level of construction. Because the classification is inconsistent and can change from year to year, for budgetary purposes they are **not classified as “Major.”*

ACCOUNTING/BUDGET BASIS

The City’s government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of the related cash flows. The City’s accounting and budget records for general governmental operations are maintained on a modified accrual basis, with revenue being recorded when available and measurable and expenditures being recorded when the services or goods are received, and the liabilities incurred. The primary differences between the financial statement and the budget record are the recognition of debt issuance and repayment, the treatment of capital outlay, the recognition of depreciation expense, and the recognition of a compensated absence liability. Accounting records for the enterprise and internal service funds are maintained on the accrual basis.

Major Governmental Fund Governmental fund financial statements focus on near-term inflows and outflows of spendable resources. The budgeting and accounting for Governmental Funds are recorded on a modified accrual basis. The main operating fund for the City of Cadillac, the General Fund is a major fund of the City and is used to account for the resources devoted to funding services traditionally associated with local government. It has some limited interaction with many of the other funds.

Major Proprietary Fund This type of fund accounts for the acquisition, operation and maintenance of government facilities and services which are entirely self-supported by user charges. The City of Cadillac incorporates both Enterprise Funds and Internal Service Funds into its accounting structure. The City’s only major proprietary fund is the Water and Sewer Fund, an enterprise fund that provides water and sewer utility services to the City’s 3,500 water and sewer customers. Proprietary funds are budgeted and accounted for on a full accrual basis.

Non-Major Special Revenue Funds This type of fund is used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. Funds include: Major Street Fund, Local Street Fund, Cemetery Operating Fund, H.L. Green Operating Fund, Naval Reserve Center Fund, Cadillac Development Fund, Building Inspection Fund, and the Lake Treatment Fund. These funds are budgeted and accounted for on a modified accrual basis.

Non-Major Debt Service Funds This type of fund is used to account for the accumulation of resources for, and the repayment of general long-term debt, interest and related costs. These funds are budgeted and accounted for on a modified accrual basis. There are two debt service funds, the 2016 General Obligation Capital Improvement Debt Retirement Fund, and the 2020 General Obligation Capital Improvement Debt Retirement Fund.

Non-Major Capital Projects Funds This type of fund is used to account for financial resources to be used for the acquisition or construction of capital facilities. Budgeted funds include: Industrial Park Fund and the Special Assessments Capital Projects Fund. Also included in FY2027 is a capital projects fund to account for the Downtown Infrastructure. These funds are budgeted and accounted for on a modified accrual basis.

Non-Major Permanent Funds This type of fund is used to report resources that are legally restricted to the extent that only earnings, not principal, may be used for purposes that support the City's programs. The City administers the Cemetery Perpetual Care Fund and the Capital Projects Trust Fund, which are both budgeted and accounted for on a modified accrual basis.

Non-Major Proprietary Funds This type of fund accounts for the acquisition, operation and maintenance of government facilities and services which are entirely self-supported by user charges. The Building Authority Operating Fund is the City's only nonmajor proprietary funds, which is budgeted and accounted for on a full accrual basis.

Internal Service Funds Internal Service Funds account for services and/or commodities furnished by a designated program to other programs within the City. Funds include: Central Stores and Municipal Garage Fund, Information Technology Fund, Self-Insurance Fund and Safety Fund. These funds are budgeted and accounted for using a full accrual basis.

Pension Trust Funds Pension Trust Funds account for assets of the Police and Fire Retirement System, which is a pension plan held in trust for members and beneficiaries.

Component Units Component units are legally separate organizations for which the City is financially accountable. A component unit can be another organization for which the nature and significance of its relationship is such that exclusion would cause the City's financial statements to be misleading or incomplete. Organizations presented in this budget document that represent component units of the City are the Downtown Development Authority Fund, Downtown Development Authority Capital Projects Fund, Local Development Finance Authority Operating Fund, Local Development Finance Authority Capital Projects Fund, the Brownfield Redevelopment Authority Fund, and the Cadillac West Corridor Improvement Authority Fund. These component units are budgeted and accounted for on a modified accrual basis.

The City's comprehensive annual financial report contains several funds for which no funds are appropriated and therefore not included in this document. These funds include other funds for which the fund's purpose has been accomplished making further budgeting unnecessary.

	Major Funds		Nonmajor Governmental Funds			
	General Fund	Water and Sewer Fund	Special Revenue Funds	Debt Service Funds	Capital Projects Funds	Permanent Funds
<i>(All numbers in thousands)</i>						
Revenues and Other Sources:						
Taxes	\$5,298	0	0	0	0	\$0
Licenses and Permits	121		80			
Intergovernmental	2,490	0	2,569	0	800	\$0
Charges for Services	1,312	5,575	58			10
Fines and Forfeits	12	0	0	0	0	\$0
Miscellaneous	20	10	7			
Other Financing Sources	0	0	736	454	0	\$0
Local Funds				25		
Rental	5	24	25	0	0	\$0
Principal Payment					2	
Interest Income - Loan	0	0	7	0	0	\$0
Interest Income	199	30	17		14	27
Total	\$9,457	\$5,639	\$3,499	\$479	\$816	\$37
Expenditures:						
General Government	\$2,174	0	0	0	0	0
Public Safety	4,915					
Public Works	1,352	0	0	0	0	0
Culture and Recreation	439					
Economic Development	563	0	0	0	0	0
Intergovernmental	85					
Other Financing Uses	221	0	939	0	0	29
Operating		5,426	1,943	1	51	1
Capital Outlay	\$0	0	0	0	0	0
Construction			679		1,295	
Principal	\$0	0	0	403	0	0
Interest		210		74		
Non-Operating	\$0	0	0	0	0	0
Total	\$9,749	\$5,636	\$3,561	\$478	\$1,346	\$30
Excess (Deficiency) of Revenues over Expenditures (1)	(\$292)	\$3	(\$62)	\$1	(\$530)	\$7
Fund Balances - Beginning	\$5,519	\$16,464	\$671	\$7	\$1,129	\$840
Ending	\$5,227	\$16,467	\$609	\$8	\$599	\$847

(1) Per State mandate, any deficiencies will be offset by the use of prior year's earnings. Budget staff has determined that sufficient prior year's earnings are available to offset each deficiency.

Continued on following page ➡

(2) Includes Nonmajor Enterprise Funds and Internal Service Funds

FY2026/2027 Fund Balance/Net Position Details

	Beginning Fund Balance*	FY2027 Proposed Revenues	FY2027 Proposed Expenditures	Revenues Over (Under) Expenditures	Ending Fund Balance*
MAJOR FUNDS					
General Fund	\$5,519,440	\$9,456,500	\$9,749,500	(\$293,000)	\$5,226,440
Water and Sewer Funds	16,463,648	5,639,000	5,635,500	3,500	16,467,148
NONMAJOR FUNDS					
Special Revenue Funds					
Major Street Fund	30,524	1,861,800	1,860,000	1,800	32,324
Local Street Fund	114,122	1,255,500	1,255,500	0	114,122
Maple Hill Cemetery Fund	34,210	187,000	187,000	0	34,210
HL Green Operating Fund	56,569	1,500	0	1,500	58,069
Naval Reserve Center Fund	4,907	36,000	36,000	0	4,907
Cadillac Development Fund	390,276	12,000	77,500	(65,500)	324,776
Lake Treatment Fund	20,622	65,000	65,000	0	20,622
Building Inspection Fund	19,644	80,000	80,000	0	19,644
Debt Service Funds					
2016 GO Debt Service Fund	6,851	162,000	161,300	700	7,551
2020 GO Debt Service Fund	409	317,000	316,500	500	909
Capital Projects Funds					
Industrial Park Fund	585,672	12,000	50,500	(38,500)	547,172
Special Assessment Capital Projects Fund	71,204	3,000	25,500	(22,500)	48,704
Downtown Infrastructure Project Fund	472,410	800,000	1,270,000	(470,000)	2,410
Permanent Funds					
Cemetery Perpetual Care Fund	699,863	35,000	29,500	5,500	705,363
Capital Projects Trust Fund	139,827	2,000	0	2,000	141,827
Proprietary Funds					
Enterprise Funds					
Building Authority Operating Fund	1,877,642	201,000	181,000	20,000	1,897,642
Internal Service Funds					
Stores and Garage Fund	1,019,216	860,000	859,900	100	1,019,316
Information Technology Fund	309,482	350,000	350,000	0	309,482
Self Insurance Fund	303,369	2,195,000	2,195,000	0	303,369
Safety Fund	8,782	12,000	12,000	0	8,782
Fiduciary Funds					
Police and Fire Retirement Fund	15,216,171	1,130,000	1,130,000	0	15,216,171
	\$43,364,860	\$24,673,300	\$25,527,200	(\$853,900)	\$42,510,960

Note: Fund Balance chart does not include Component Units

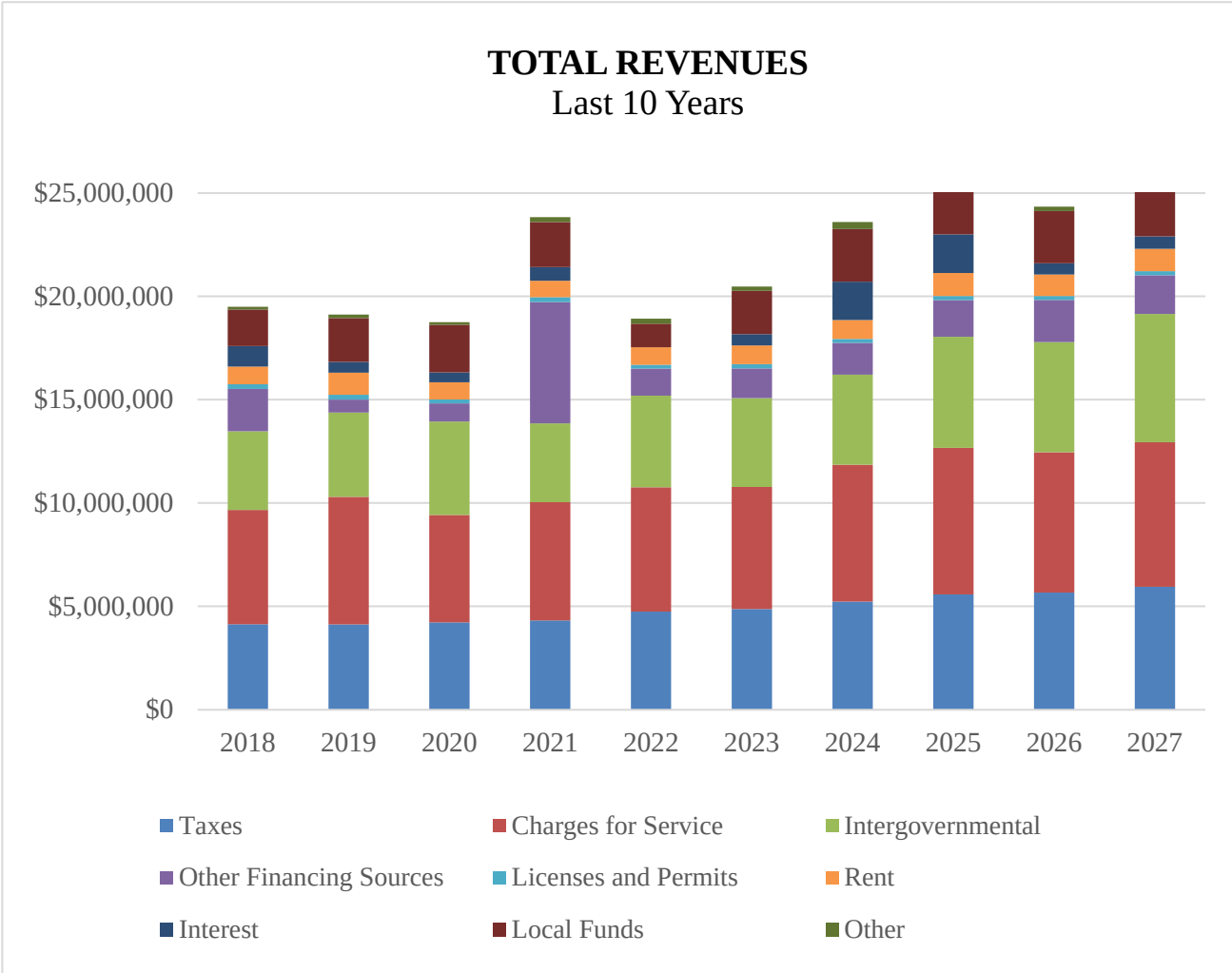
* 'Net Position' for Proprietary Funds and Fiduciary Funds

Use of Fund Balance The General Fund will utilize fund balance reserves on hand for one-time capital projects, including a transfer to the Local Street Fund to help fund the Stimson Street project, and several other capital purchases. Fund Balance in the Industrial Park Fund, Special Assessment Capital Projects Fund, and Downtown Infrastructure Project Fund are all projected to decrease due to the spending down of reserves on hand to fund capital projects. The Cadillac Development Fund is utilizing funds on hand to cover various economic development efforts.

FY2027 ANNUAL OPERATING BUDGET SUMMARY INFORMATION

2026-2027 BUDGET SUMMARY

The Budget Summary section, as its name implies, is designed to give the reader a big-picture overview of the City of Cadillac's budget as a whole. The section offers this summary graphically, by the numbers in the following charts, and then textually in the last pages of the section, where some discussion is provided regarding the City's most significant sources of revenue.



The growth in total City revenues will vary based on grants, tax increases, service charges, and other adjustments to the revenue stream. The revenue spikes in FY2017 and FY2021 are attributable to proceeds from bond issues to fund street construction as well as a major grant received.

ANALYSIS OF PRINCIPAL REVENUE SOURCES

The City of Cadillac has a number of revenue sources, summarized as follows:

Revenue	Amount (Budget)	% of Total
Taxes	\$5,945	22.95%
Intergovernmental Revenues	6,205	23.94%
Charges for Services	6,997	27.01%
Interest Income	597	2.30%
Other Financing Sources	1,875	7.24%
Local Funds	2,767	10.68%
Rental Revenue	1,082	4.18%
Other Revenue	441	1.70%
Total	\$25,909	100.00%

PROPERTY TAXES

A primary source of revenue for FY2027 is property taxes levied on property within the City. Authorized tax levies in the form of various millages (one mill equals \$1 in taxes for each \$1,000 in value) levied against the taxable value of a property make up the bulk of these revenues. The City contracts with Wexford County for assessing services provided by the Wexford County Equalization Department. The assessor determines the taxable value of properties which is then used to calculate the tax levy due each year.

Millage	Fiscal Year Ending June 30,				
	2023	2024	2025	2026	2027
City Operating	13.4922	13.4922	13.3397	13.2663	13.1256
Police and Fire Retirement	2.6000	2.6000	2.6000	2.6000	2.6000
Total City Millage Rate	16.0922	16.0922	15.9397	15.8663	15.7256
TAX BASE (Taxable Value of City Property) <i>FY27 Projected</i>	\$270,904,206	\$287,021,418	\$306,680,708	\$316,796,096	\$333,390,962
Taxes Generated (Total)	\$4,359,445	\$4,618,806	\$4,888,398	\$5,026,414	\$5,242,773
Change from Prior Year	\$228,237	\$259,361	\$269,592	\$138,015	\$216,359

Authorization to levy the City's operating millage rests in the City Charter. The charter authorizes a maximum operating levy of 15 mills. Due to the Headlee Amendment, which restricts the growth in property tax levies, the City's operating millage has now been **rolled back seven times** since 2017 and can only be increased back to the charter maximum levy by a vote of the City electors.

The Police and Fire Retirement millage was established when the City electors approved the adoption of an Act 345 Retirement System for sworn officers of the police and fire departments in November 1977. This millage rate is determined by comparing the City's taxable value to the annual required contribution to the pension determined by the annual actuarial valuation. The millage is set at a rate that will provide sufficient revenue to cover the required actuarially determined contribution.

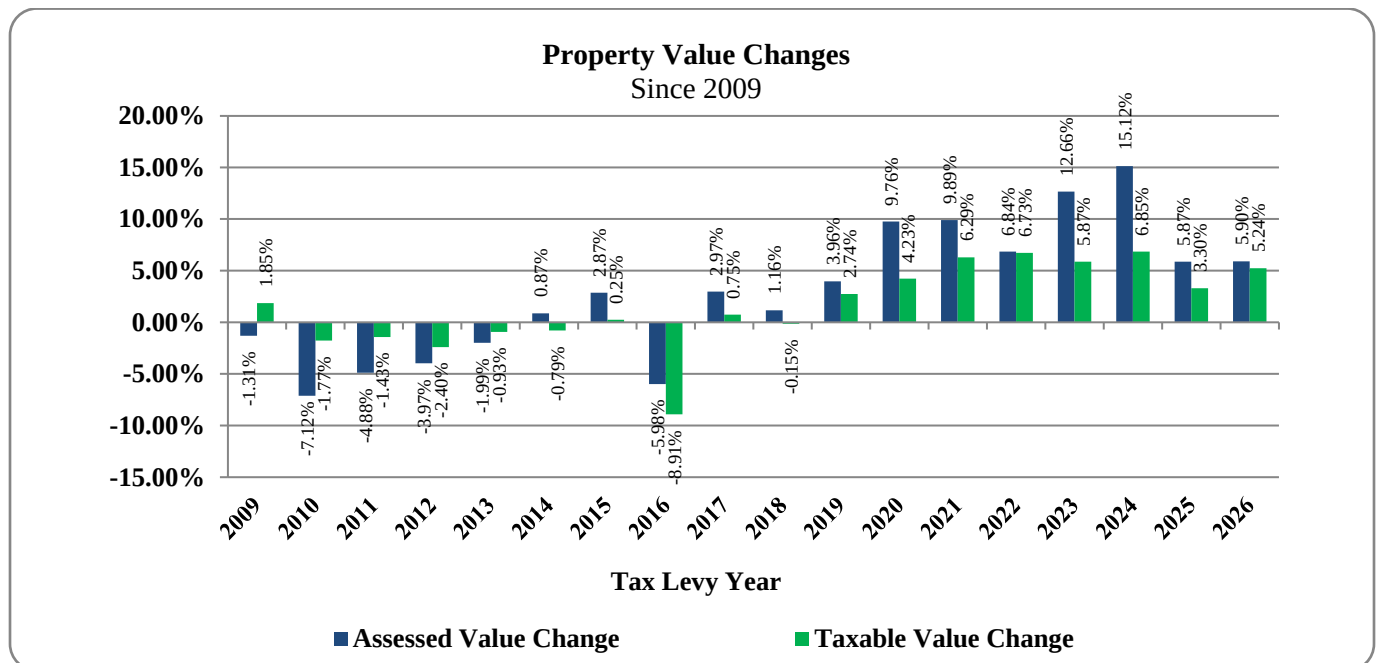
Property Tax Revenue Estimates Property tax estimates throughout the FY2027 budget are based on preliminary numbers provided by the Wexford County Equalization Department in March. Conservative revenue estimates are utilized to provide some margin in case of taxable value reductions through the Board of Review or Michigan Tax Tribunal. Once the roll is set and tax bills are sent out, the actual revenue received from taxes is not expected to change materially during the year.

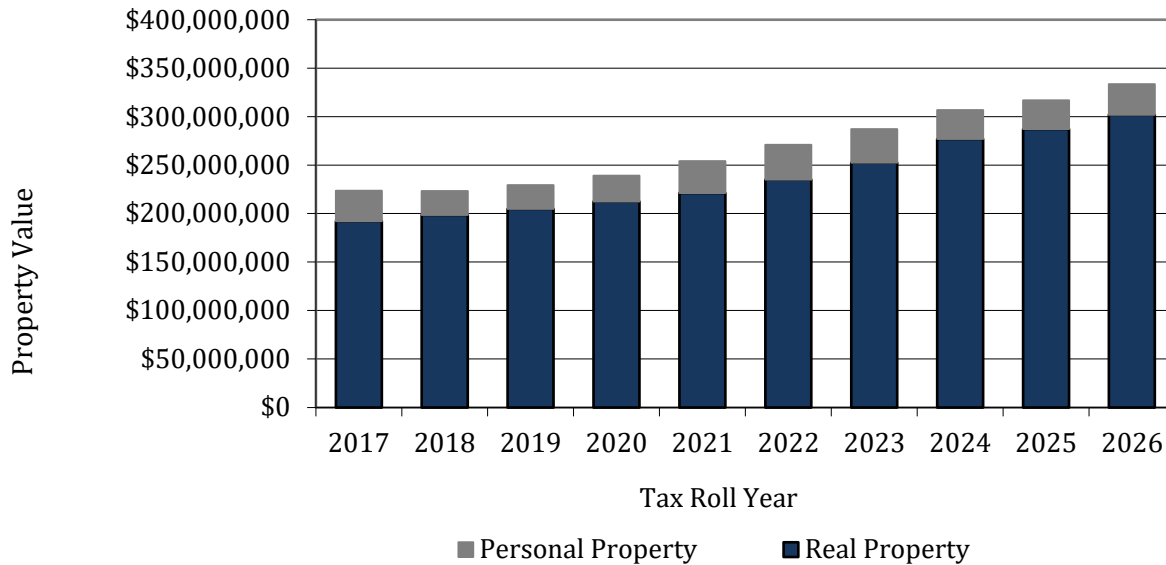
Tax Captures There are four tax increment financing (TIF) authorities within the City of Cadillac with authority to capture a portion of each component of property taxes for use within each authority's specific district. The tax captures are based on the right of each authority to utilize TIF for approved funding uses within the districts. For FY2027, these entities, along with the amounts of City taxes they will capture, are:

Authority	City Operating	Police and Fire Retirement	Total Capture
Downtown Development Authority (DDA)	\$107,982	\$21,423	\$129,405
Local Development Finance Authority (LDFA)	\$73,787	\$14,616	\$88,403
LDFA Industrial Facilities Tax Exemption Capture	\$11,971	\$2,371	\$14,342
Cadillac West Corridor Improvement Authority	\$3,306	\$655	\$3,961
Brownfield Redevelopment Authority	\$47,920	\$9,473	\$57,393
Total Capture	\$244,966	\$48,538	\$293,504

Total captures of the City's operating millage increased by about \$40,000 for the year. This helps the capturing authorities accomplish the goals of their related TIF plans but reduces general purpose revenues that would otherwise be available in the General Fund.

Property Tax Outlook The recent 8-year trend for annual property value change has been positive; however, the City's taxable value declined in 7 out of the prior 10 years. While the significant drop in 2016 was in part related to statutory tax reform at the State level, general economic pressures were a contributor as well. Losses from tax reform have been legislatively promised to be reimbursed, and it is hoped that the State of Michigan will keep its promise of reimbursement of the loss through the Local Community Stabilization Authority. It remains to be seen, however, if the 100% reimbursement will take place for the long term.



Taxable Value – Last 10 Tax Rolls

Tax Levy Year	Ad Valorem		Total Taxable Value	L.D.F.A. (1)	D.D.A. (2)
	Real	Personal			
2017	192,217,626	31,304,500	\$223,522,126	4,053,536	14,056,189
2018	198,557,561	24,630,700	\$223,188,261	3,490,112	13,604,610
2019	204,914,412	24,380,400	\$229,294,812	4,418,994	13,838,572
2020	212,442,845	26,549,700	\$238,992,545	4,442,325	13,866,620
2021	221,137,737	32,887,200	\$254,024,937	4,514,864	14,404,136
2022	235,068,706	35,835,500	\$270,904,206	4,924,151	15,824,624
2023	252,616,758	34,404,660	\$287,021,418	4,497,300	10,057,806
2024	277,030,308	29,650,400	\$306,680,708	5,737,770	18,612,296
2025	287,169,796	29,626,300	\$316,796,096	5,877,612	19,753,003
2026	301,947,762	31,443,200	\$333,390,962	6,173,029	21,053,853

(1) Base value for LDFA is \$551,400. Taxes captured for FY2027 are anticipated to be \$73,787 from the operating millage levy, and \$14,616 from Police and Fire Retirement millage levy. The LDFA also captures \$1,824,122 in value from Industrial Facilities Tax Exemption certificates. This generates an additional capture of City taxes of \$111.971 from the operating levy, and \$2,371 from the Police and Fire Retirement levy.

(2) Base value for DDA is \$11,650,150. Taxes captured for FY2027 are anticipated to be \$107,982 from the operating millage levy, and \$21,423 from the Police and Fire Retirement millage levy.

Residential Taxable Values Residential class parcels comprise nearly 70% of the total parcels and 60% of the total taxable value of property within the City of Cadillac. Over the last five years, residential class parcels have experienced the following changes:

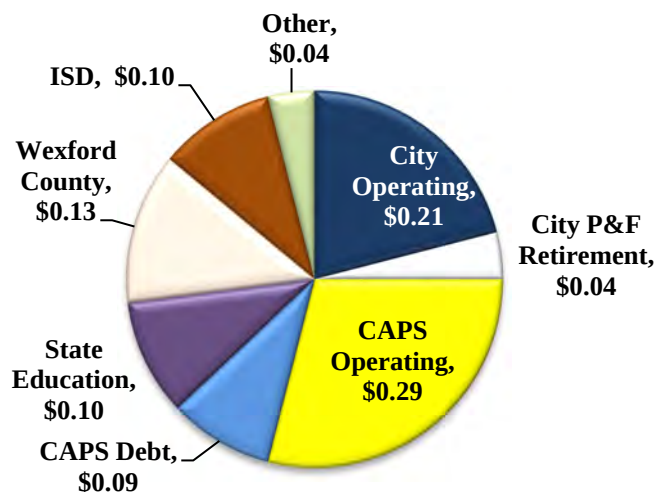
Tax Roll Year:	2022	2023	2024	2025	2026
Residential Class					
Assessed Value (AV)	\$209,376,100	\$245,153,100	\$288,438,700	\$312,695,650	\$340,147,000
Change from prior year	6.14%	17.09%	17.66%	8.41%	8.78%
Taxable Value (TV)	\$157,029,548	\$170,513,822	\$186,236,148	\$194,779,897	\$204,949,887
Change from prior year	6.56%	8.59%	9.22%	4.59%	5.22%
AV-TV Gap	\$52,346,552	\$74,639,278	\$102,202,552	\$117,915,753	\$135,197,113
Gap as % of TV	33.34%	43.77%	54.88%	60.54%	65.97%
TV/AV	75.00%	69.55%	64.57%	62.29%	60.25%

* 2026 Values are projected based on assessment numbers provided by Wexford County Equalization Department in March 2026.

Average Single-Family Residential Taxable Value For the last ten years, the average taxable value of a single-family residence and the City taxes levied against it has trended as shown in the chart to the right. The average taxable value has increased but the increase in taxes has been restricted due to the decrease in the City's millage rate because of the State of Michigan's Headlee amendment which controls annual growth in property taxes. This amendment has resulted in rollback of the operating millage 7 times since 2017. This cumulative rollback will save the average residential taxpayer about 5% in City taxes, or about \$46.

Tax Year	Average Home Taxable Value	City Millage	Average City Taxes Paid
2017	\$34,163	16.5473	\$565.31
2018	\$35,447	16.5166	\$585.46
2019	\$36,635	16.5166	\$605.09
2020	\$38,486	16.3774	\$630.30
2021	\$40,090	16.2630	\$651.98
2022	\$42,649	16.0922	\$686.32
2023	\$46,086	16.0922	\$741.63
2024	\$50,461	15.9397	\$804.33
2025	\$53,184	15.8663	\$843.83
2026	\$56,305	15.7256	\$885.43

Tax Allocation When property owners within the City of Cadillac pay their annual tax bills, a common misperception is that the entire amount collected stays at the City. In reality only about \$0.25 of every \$1 in taxes paid stays at the City. The other \$0.75 is collected on behalf of the other taxing jurisdictions and is then paid to the jurisdiction within a couple weeks of collection, as governed by state law. The actual allocation of an average tax bill on a non-principal residence within the City of Cadillac is illustrated in the chart to the right. If the property is a principal residence, about \$0.36 of every \$1 in taxes remains at the City.



City Property Tax Rates**Operating Millage – Headlee Amendment Impact**

Last Ten Years

(1 mill = \$1 per \$1,000 in taxable value)

Year	Operating Millage	Reduction	Cumulative Reduction	2017 v. Current	TV	Loss v. Prior Year	Loss v. 2017 Rate
2017	13.9473	0.0000	(1.0527)	0.0000	223,522,126	0	0
2018	13.9166	(0.0307)	(1.0834)	(0.0307)	223,188,261	(6,852)	(6,852)
2019	13.9166	0.0000	(1.0834)	(0.0307)	229,304,412	0	(7,040)
2020	13.7774	(0.1392)	(1.2226)	(0.1699)	238,992,545	(33,268)	(40,605)
2021	13.6630	(0.1144)	(1.3370)	(0.2843)	254,024,937	(29,060)	(72,219)
2022	13.4922	(0.1708)	(1.5078)	(0.4551)	271,111,142	(46,306)	(123,383)
2023	13.4922	0.0000	(1.5078)	(0.4551)	287,021,418	0	(130,623)
2024	13.3397	(0.1525)	(1.6603)	(0.6076)	306,680,708	(46,769)	(186,339)
2025	13.2663	(0.0734)	(1.7337)	(0.6810)	316,796,096	(23,253)	(215,738)
2026	13.1256	(0.1407)	(1.8744)	(0.8217)	333,390,962	(46,908)	(273,947)
						(232,416)	(1,056,746)

Total Property Tax Rates

Last Ten Years

City Taxes				Overlapping Tax Rates							
Tax Levy Year	General Operating	Extra Voted	Total City Millage	Wexford County	Wexford Transit Authority	Council On Aging	Cadillac Wexford Library	Cadillac Area Public Schools	Wexford Missaukee ISD	State Education Tax	Direct and Overlapping Annual Tax Rate
2016	13.9473	2.6000	16.5473	8.1997	0.6000	1.0000	0.7500	20.9000	6.1604	6.0000	60.1574
2017	13.9473	2.6000	16.5473	8.1997	0.6000	1.0000	0.7500	20.9000	6.1604	6.0000	60.1574
2018	13.9166	2.6000	16.5166	8.1997	0.6000	1.0000	0.7500	23.8000	6.1604	6.0000	63.0267
2019	13.9166	2.6000	16.5166	8.6997	0.6000	1.0000	0.7500	24.1500	6.1604	6.0000	63.8767
2020	13.7774	2.6000	16.3774	8.6881	0.5992	0.9987	0.7490	24.1500	6.1604	6.0000	63.7228
2021	13.6630	2.6000	16.2630	8.6272	0.5950	0.9917	0.7437	24.1500	6.1323	6.0000	63.5029
2022	13.4922	2.6000	16.0922	8.5475	0.5895	0.9825	0.7368	24.0600	6.1044	6.0000	63.1129
2023	13.4922	2.6000	16.0922	8.5475	0.5895	0.9825	0.7368	24.0600	6.1044	6.0000	63.1129
2024	13.3397	2.6000	15.9397	8.4489	0.5827	0.9712	0.7283	23.6000	6.0602	6.0000	62.3310
2025	13.2663	2.6000	15.8663	8.4113	0.5827	0.9712	0.7283	23.6000	6.0602	6.0000	62.2200

(1) Extra voted millage for City Taxes includes 2.6 mills for Act 345 Police and Fire Retirement.

(2) Wexford County 2025 rate included county allocated mills of 6.5472, 0.0969 mills for Veterans Relief, 1.4082 mills for Public Safety, 0.1941 mills for Animal Control, and .1649 mills for MSU-Extension Services.

(3) Cadillac Area Public Schools 2025 rate included 18 mills for operating and 5.6 mills for debt service.

Millage Rate Benchmarks

Comparable City	Total Millage	General Operating	Police & Fire	Other
Manistee	18.1081	16.9581	0.0000	1.1500
Big Rapids	14.4932	12.2334	1.2697	0.9901
Alpena	16.8349	15.8436	0.0000	0.9913
Traverse City	14.8812	11.5775	2.3200	0.9837
Sault Ste Marie	23.4359	16.5358	6.2481	0.6520
Coldwater	13.7772	11.4439	0.0000	2.3333
Sturgis	14.0467	11.0800	0.0000	2.9667
Cadillac	15.8663	13.2663	2.6000	0.0000

The information in the chart above illustrates that the City of Cadillac compares favorably with other similar communities in northern Michigan. *Comparison is based on 2025 tax year millage rates, which is the millage levied by the City on July 1, 2025.*

Total Tax Burden The information presented below shows the total tax burden of property owners within the City of Cadillac for several classes of properties. Properties with a principal residence exemption (PRE) are exempt from school operating taxes. Properties within the Downtown Development Authority are subject to an additional millage to fund downtown development activities.

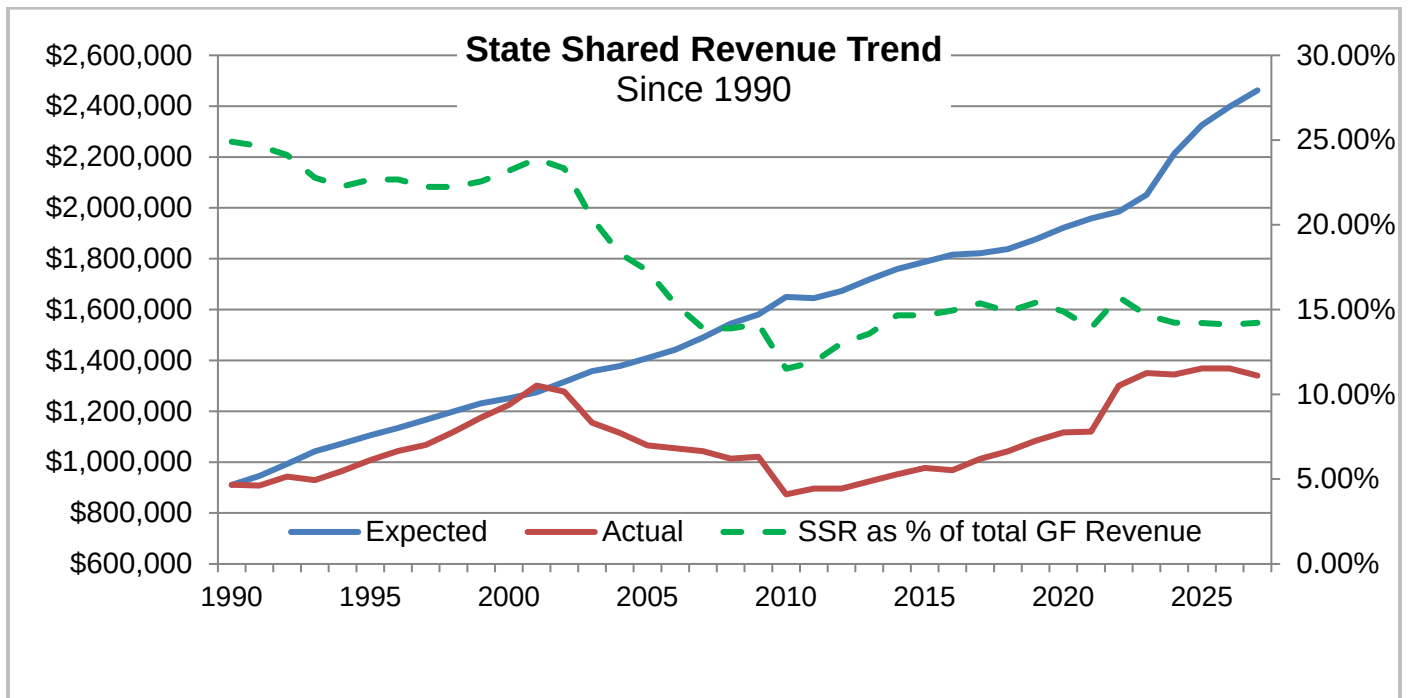
		Property Type and Total Taxes at average taxable value of \$75,000 (estimated home value of \$150,000)					
Taxing Unit	Millage Rate	Principal Residence		Non-Principal Residence		DDA	
City of Cadillac		Millage	Taxes	Millage	Taxes	Millage	Taxes
City Operating	13.1256	13.1256	\$984.42	13.1256	\$984.42	13.1256	\$984.42
Police & Fire Retirement	2.6000	2.6000	195.00	2.6000	195.00	2.6000	195.00
Downtown Development Authority	1.7668		0.00		0.00	1.7668	132.51
Wexford County							
Allocated	6.5472	6.5472	491.04	6.5472	491.04	6.5472	491.04
Public Safety	1.4082	1.4082	105.62	1.4082	105.62	1.4082	105.62
Animal Control	0.1941	0.1941	14.56	0.1941	14.56	0.1941	14.56
Veterans Relief	0.0969	0.0969	7.27	0.0969	7.27	0.0969	7.27
MSU Extension	0.1649	0.1649	12.37	0.1649	12.37	0.1649	12.37
Cadillac-Wexford Transit Authority	0.5827	0.5827	43.70	0.5827	43.70	0.5827	43.70
Cadillac-Wexford Public Library	0.7283	0.7283	54.62	0.7283	54.62	0.7283	54.62
Council on Aging	0.9712	0.9712	72.84	0.9712	72.84	0.9712	72.84
Cadillac Area Public Schools							
Operating	18.0000	<i>Exempt</i>	0.00	18.0000	1,350.00	18.0000	1,350.00
Debt	5.6000	5.6000	420.00	5.6000	420.00	5.6000	420.00
State Education Tax	6.0000	6.0000	450.00	6.0000	450.00	6.0000	450.00
Wexford-Missaukee ISD	6.0602	6.0602	454.52	6.0602	454.52	6.0602	454.52
Total	63.8461	44.0793	\$3,305.96	62.0793	\$4,655.96	63.8461	\$4,788.47

INTERGOVERNMENTAL REVENUES

The primary components of intergovernmental revenues are state shared revenue in the General Fund, which comes primarily from state-generated sales taxes, and Act 51 revenues via the Michigan Transportation Fund in the Major and Local Street Funds which are primarily generated from gas taxes and vehicle registration fees. These revenues are passed down from the State of Michigan according to formulas that annually allocate certain revenues received by the State down to local units of government.

State Shared Revenue These revenues provide funding for critical General Fund services like Police and Fire protection and Parks and Recreation. Grant revenues from various state and federal sources are included in this category as well. State shared revenue estimates are available from the State of Michigan and are used for budget projections. Grant revenue projections are based upon actual grants received or expected on an annual basis.

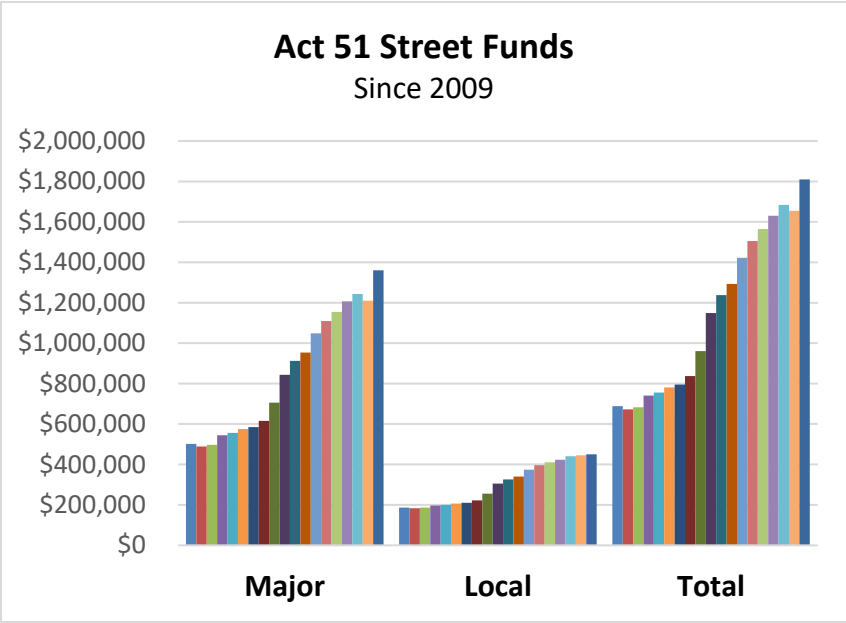
State Shared Revenue Outlook State shared revenue declined significantly between 2001 and 2010 but has been slowly recovering since. Projected revenue for FY2027 is just slightly more than what was received nearly twenty-five years ago in 2001, but unfortunately it is down about \$40,000 from FY2026. This forces the City to rely to an increasing degree on revenues that are derived from local sources – principally property taxes. The City Manager further discusses this funding gap in his transmittal letter.



The SSR revenue estimates provided by the state of Michigan were updated in February 2026. These are very recent and relevant projections and were utilized to develop the current budget. The projections from the State will be updated a couple of times during the fiscal year and these updates will be analyzed to confirm whether final actual revenues will meet the anticipated budget.

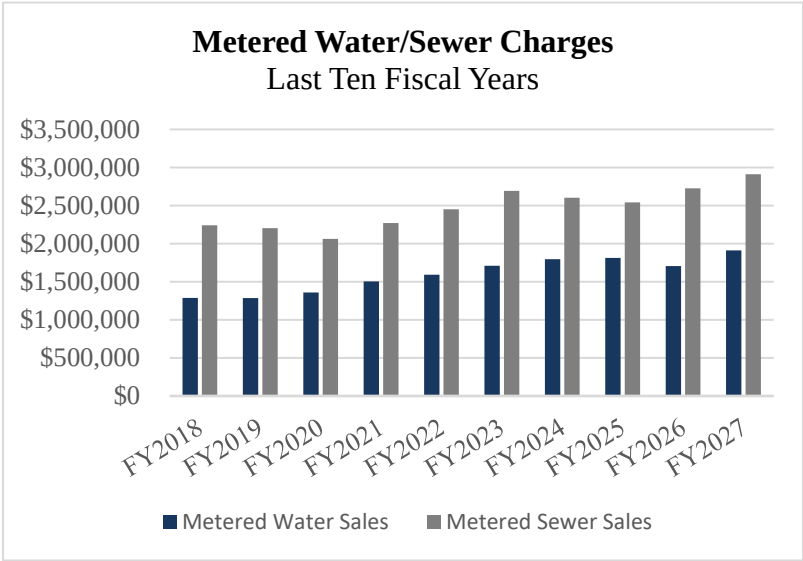
Michigan Transportation Fund Act 51 Payments The Michigan Transportation Fund (MTF) was created by Public Act 51 of 1951 as the main collection and distribution fund for state-generated revenue pursuant to Act 51. These funds are primarily from two sources: vehicle registration fees and motor fuel taxes. Revenues for the City are based on the total mileage of streets in the City and a population factor applied to total MTF revenues available in the State. Based on legislative increases in fuel taxes and registration fees, these revenues have been increasing in the last few fiscal years.

Act 51 Revenue Outlook The chart below shows the growth in street maintenance funds since 2009. This increase has certainly eased the pressure on the General Fund to help fund street maintenance costs, but funds for street construction at today’s construction costs are very limited without issuing additional debt.



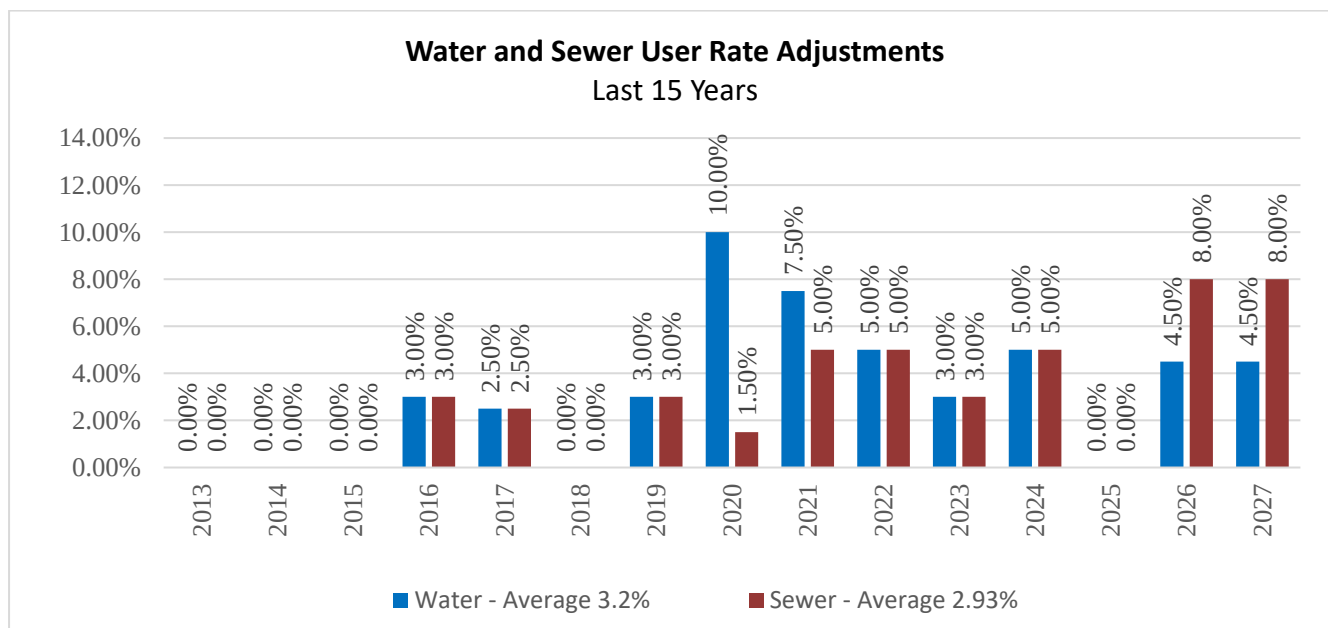
Projections from the State released in February 2026 are the latest numbers available and were used to develop the current budget and are typically a reliable indicator of what actual revenues will be, barring unforeseen events. The projections show that the City will receive approximately \$1,876,000 total in the State’s 2027 fiscal year. Based on the difference in fiscal years, revenue received in the City’s 2027 fiscal year will be slightly less. Additionally, increases are based on the new revenue package passed in 2025 so conservative estimates will be used as the new package is implemented. The current budget proposes revenues of \$1,810,000 (\$1,360,000 in the Major Street Fund and \$450,000 Local).

Charges for Services Charges for Services represent a significant revenue source for the City. These revenues are primarily derived from user charges within the City’s Water and Sewer systems. Rates within the systems are reviewed each year and are set at a level that will provide adequate funding to meet the City’s debt covenants and provide for the maintenance and operational costs of the systems. With moderate declines in usage over the last decade, rate increases are the only way to provide additional revenue to cover ever-increasing costs of providing water and water treatment to City utility customers. Total user charges generated for each of the last ten years is presented in the chart to the right.



The City-wide contract for Solid Waste removal is accounted for in the General Fund. To provide funding for this contract, each residential property with less than four (4) living units within the City is charged a user fee. The user fee is based on a competitively bid contract with a waste hauler, with a slight markup that the City uses to cover the costs of billing and administering the contract. This fee is projected to increase about \$1.19 per month in FY2027 based on the inflationary indexes included in the waste removal and recycling contracts. These increases are passed through to the contract hauler while the City's portion of the revenue will remain the same at \$0.65 per account per month. Both solid waste and recycling contracts were renewed in 2022.

User Charges Outlook Recent results of a rate study for both water and sewer user rates confirmed the need for an ongoing series of systematic and data-driven rate increases to sustain capital investment into the system as well as a thorough repairs and maintenance program. The City is proposing a rate increase of 4.5% for water readiness-to-serve charges as well as a change in the tiered water commodity charges that reduce the discount on higher usage rate tiers. Commodity rates will be unchanged for typical residential meters. Sewer rates are proposed to increase 8.0% in order to address upcoming capital needs. Rate increases for the last 15 years are shown in the chart below:



Important infrastructure and equipment investments need to be made, and existing infrastructure and equipment need to be regularly and consistently maintained. As such, annual rate increases are expected, some of which may be above normal increases due to the level of capital investment needed. The Water and Sewer Fund budget assumes the adoption of rate increases recommended by an outside rate consultant after a detailed rate analysis confirmed the need to adjust user rates to provide funds to cover the increasing costs of maintaining the system, while at the same time making up for slight declines in usage.

Other Revenue Other Revenue for the City of Cadillac includes a variety of miscellaneous sources. Included in this category are items such as Fines and Forfeits, Licenses and Permits, and Other Financing Sources. Other Financing Sources include administrative charges that come into the General Fund from other City funds and activities, as well as contributions from various funds and activities into the City's Self Insurance Fund to cover the costs of annual medical and life insurance benefits. Transfers between funds are also part of Other Revenue.

UNFUNDED LIABILITIES**Retirement and Other Post-Employment Benefit (OPEB) Liabilities**

The City of Cadillac has three components of post-retirement benefits that are available to City employees. The appointed board of the **Act 345 Police and Fire Retirement System** administers the retirement benefits for all sworn police officers and fire fighters. The required contributions to this system are calculated annually by an actuary and are funded through a special millage. Virtually all full-time employees of the City who are not sworn police officers or fire fighters are a member of the **Municipal Employees Retirement System of Michigan (MERS)**, an agent multiple-employer system that administers the benefits and manages the assets of the system. Finally, many current full-time employees are eligible for certain **other post-employment benefits (OPEB)** including life insurance and medical insurance until age 65. Details of these three systems are presented below.

Status: ■ = Negative ■ = Watch ■ = Positive

Act 345 Police & Fire Retirement System

	Valuation Date				Status
	6/30/2022	6/30/2023	6/30/2024	6/30/2025	
Actuarially Accrued Liabilities	\$15,634,629	\$16,270,145	\$16,498,488	\$16,041,519	■
Actuarial Value of Assets	<u>\$12,970,887</u>	<u>\$13,319,401</u>	<u>13,833,830</u>	<u>14,974,064</u>	■
Unfunded Liabilities	\$2,663,742	\$2,950,744	\$2,664,658	\$1,067,455	■
% Funded	83%	82%	84%	93%	■
Average Pension	\$25,599	\$27,094	\$27,094	\$26,434	■
Required Actuarially Determined Contribution (ADC)	\$468,400	\$434,410	\$573,038	\$671,291	■
% of ADC Contributed	133%	108%	121%	157%	■

Municipal Employees Retirement System

	Valuation Date				Status
	12/31/2021	12/31/2022	12/31/2023	12/31/2024	
Actuarially Accrued Liabilities	\$16,206,252	\$16,732,091	\$17,394,373	\$17,922,680	■
Actuarial Value of Assets	<u>12,230,694</u>	<u>12,244,538</u>	<u>12,482,108</u>	<u>11,819,554</u>	■
Unfunded Liabilities	\$3,975,558	\$4,487,553	\$4,912,265	\$6,103,126	■
% Funded	75%	73%	72%	66%	■
Average Pension	\$13,765	\$14,089	\$14,954	\$14,889	■
Required Actuarially Determined Contribution	\$500,464	\$559,363	\$567,130	\$684,413	■
% of ADC Contributed	100%	100%	100%	100%	■

Other Post-Employment Benefits (OPEB)

	Valuation Date				Status
	6/30/2022	6/30/2023	6/30/2024	6/30/2025	
Actuarially Accrued Liabilities	\$4,350,938	\$4,535,019	\$4,889,590	\$4,912,299	
Actuarial Value of Assets	<u>3,894,487</u>	<u>3,768,415</u>	<u>3,942,097</u>	<u>4,155,140</u>	
Unfunded Liabilities	\$456,451	\$766,604	\$947,493	\$757,159	
% Funded	90%	83%	81%	85%	
Annual Costs	\$332,917	\$226,527	\$175,967	\$226,908	
% of Annual Costs Contributed	100%	100%	100%	100%	

Cost saving measures have been an ongoing effort for several years, especially geared toward reducing OPEB liabilities. As of July 1, 2009 no new hires in any City employment group are eligible for retiree medical care coverage. Small life insurance policies are still available to eligible retirees.

Total Unfunded Retirement and Other Post-Employment Benefit Liabilities

Though unfunded liabilities exist, the City continues to budget sufficiently to make 100% of the annual required contributions for each retirement system and continues to make progress in pre-funding OPEB. Taken as a whole, total unfunded liabilities for the three systems are:

System	Unfunded Liability (Prior Valuation)	Unfunded Liability (Current Valuation)	% Funded	Status
Act 345 Police & Fire Retirement System	\$2,664,658	\$1,067,455	93%	
Municipal Employees Retirement System	4,912,265	6,103,126	66%	
Other Post-Employment Benefits	<u>947,493</u>	<u>757,159</u>	85%	
Total Unfunded Liabilities	\$8,524,416	\$7,927,740		

EMPLOYMENT AND PERSONNEL STRUCTURE**Employment Statistics – FTE by Activity for Last Ten Years**

	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>	<u>2025</u>	<u>2026</u>	<u>2027</u>
<u>General Government</u>										
City Manager	2.25	2.75	2.75	2.25	2.25	2.25	2.25	2.25	2.25	2.25
Financial Services	2.25	2.15	2.15	2.90	2.90	2.90	2.90	2.95	2.95	2.95
Clerk/Treasurer	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
City Hall	1.00	1.50	1.50	1.00	1.00	1.00	1.00	1.00	1.00	1.00
City Engineer	1.80	0.80	0.80	0.80	0.80	0.80	0.80	0.00	0.00	0.00
Total General Government	11.05	10.95	10.95	10.70	10.70	10.70	10.70	9.95	9.95	9.95
<u>Public Safety</u>										
Police	16.95	16.95	16.95	16.75	16.75	16.75	17.75	17.70	17.70	17.70
Fire	11.00	11.50	11.50	11.50	11.50	11.50	11.50	11.50	11.50	11.50
Code Enforcement	0.50	0.00	0.00	0.25	0.25	0.25	0.25	0.80	0.80	0.80
Total Public Safety	28.45	28.45	28.45	28.50	28.50	28.50	29.50	30.00	30.00	30.00
<u>Other</u>										
Public Works	12.00	12.05	12.05	12.55	12.55	12.55	12.55	12.05	12.05	12.05
Data Processing	0.30	0.35	0.35	0.05	0.05	0.05	0.05	0.00	0.00	0.00
Auto Parking	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Water/Sewer	20.00	20.00	20.00	20.00	19.00	19.00	20.00	20.00	20.00	20.00
Community Dev.	2.20	2.20	2.20	2.20	2.20	2.20	2.20	3.00	2.90	2.90
DDA/Main Street	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1.10	1.10
Total Other	34.50	34.60	34.60	34.80	33.80	33.80	34.80	35.05	37.05	37.05
Total FTE	74.00	74.00	74.00	74.00	73.00	73.00	75.00	75.00	76.00	76.00

Employment Analysis

In FY2024, an administrative position in the Water and Sewer Department that was previously unfilled for budgetary purposes was once again filled based on the administrative needs of the department and the City also added a School Resource Officer in the Police Department. This second SRO is funded 75% by outside sources and 25% by the City. In FY2026, a new position related to the Main Street Program was added, funded primarily by the Downtown Development Authority.

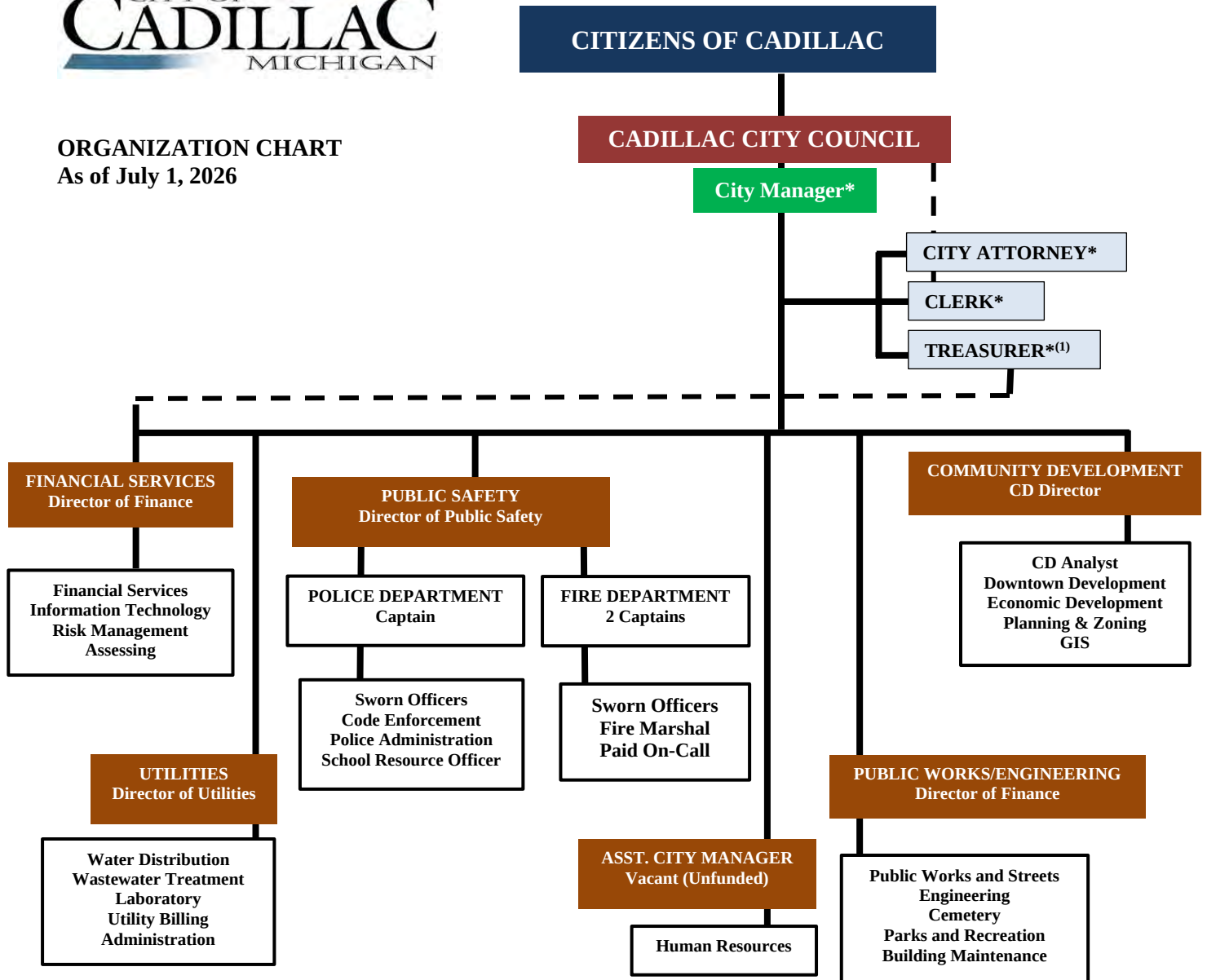
Employment Benchmark Communities	Population	FTE	FTE/Capita Ratio	FTE per 1000 residents
Manistee	6,259	59	1:106	9.43
Big Rapids	7,705	85	1:91	11.03
Alpena	10,189	74	1:138	7.26
Traverse City	15,279	167	1:91	10.93
Sault Ste Marie	13,288	114	1:117	8.58
Coldwater	13,111	131	1:100	9.99
Sturgis	11,082	113	1:98	10.20
Cadillac	10,371	76	1:136	7.33

Cadillac has 1 FTE per 136 residents. This comparison has many inherent variables, but in general a higher ratio indicates greater efficiency in service delivery. City employment peaked in 1993 at 91 FTE. Current employment level represents nearly a 16% decline since the 1993 peak. The chart to the left compares City staffing levels with several other similar-sized units of local government in Michigan.



ORGANIZATION CHART

As of July 1, 2026

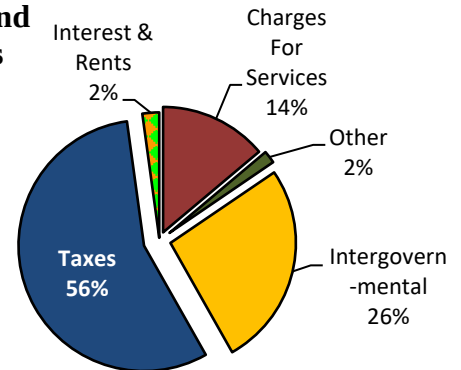


* Positions appointed by the Cadillac City Council.
(1) Reports to Director of Finance

Fund: General Fund**Type:** General Fund**Oversight:** Various Departmental Directors

The General Fund of the City of Cadillac is the main operating fund of the City and records all revenues and expenditures which are not required to be accounted for in another fund. The General Fund accounts for most of the standard services provided to a community. This includes police and fire, tax collections, parks and recreation, election services, community development and other core services. This fund is also where the main operating taxes of the City are received. Property taxes fund 56% of the cost of municipal services, while the remaining 44% is derived from other sources, which help to fully fund services to Cadillac residents and businesses. The graphic to the right summarizes the revenue sources for the General Fund.

**General Fund
Revenues
by Type
FY2027**

**REVENUE SUMMARY AND OUTLOOK**

Property Taxes The General Fund's primary revenue source is property taxes. Recent growth has been solid as local property values have increased which has naturally yielded positive gains for property tax revenues as well. Property tax revenues are discussed in detail in the Budget Summaries and Analysis section, but the chart below shows the impact of the series of Headlee rollbacks since 2017.

Year	Millage	Reduction	Cumulative Reduction	2017 v. Current	TV	Loss v. Prior Year	Loss v. 2017 Rate
2017	13.9473	0.0000	(1.0527)	0.0000	223,522,126	0	0
2018	13.9166	(0.0307)	(1.0834)	(0.0307)	223,188,261	(6,852)	(6,852)
2019	13.9166	0.0000	(1.0834)	(0.0307)	229,304,412	0	(7,040)
2020	13.7774	(0.1392)	(1.2226)	(0.1699)	238,992,545	(33,268)	(40,605)
2021	13.6630	(0.1144)	(1.3370)	(0.2843)	254,024,937	(29,060)	(72,219)
2022	13.4922	(0.1708)	(1.5078)	(0.4551)	271,111,142	(46,306)	(123,383)
2023	13.4922	0.0000	(1.5078)	(0.4551)	287,021,418	0	(130,623)
2024	13.3397	(0.1525)	(1.6603)	(0.6076)	306,680,708	(46,769)	(186,339)
2025	13.2663	(0.0734)	(1.7337)	(0.6810)	316,796,096	(23,253)	(215,738)
2026	13.1256	(0.1407)	(1.8744)	(0.8217)	333,390,962	(46,908)	(273,947)
						(232,416)	(1,056,746)

State Shared Revenue The second most significant source of revenue in the General Fund is from the State of Michigan in the form of State Shared Revenue (SSR). This revenue is derived primarily from sales taxes and include a constitutionally protected portion and an additional payment that is subject to annual State appropriation. SSR remains at the same dollar level as that received in the early 2000s. SSR revenue is projected to be at \$1,340,000 for FY2027. This is unfortunately a loss of about \$30,000 from the current fiscal year. Projections are based on recent estimates produced by the Michigan Department of Treasury.

A more thorough analysis of revenue is found earlier in this document within the 'Analysis of Principal Revenue Sources' section. Other revenue sources and changes are discussed in the revenue section of this fund.

Fund: General Fund**EXPENDITURE SUMMARY AND OUTLOOK**

Salaries and Wages As a primarily service organization, expenditures for salaries and wages represent a significant portion of overall costs in the City's General Fund. For the current year, the General Fund proposes appropriations across all activities of \$3.8 million in wages and an additional \$2.7 million in benefits. Benefits are about 70% of total salaries. A comparison of total salaries and benefits in the General Fund for the last five (5) years is presented in the chart below. The amounts for FY2027 and FY2026 represent budgeted amounts, while FY2023-2025 are actual audited amounts.

	FY2027	FY2026	FY2025	FY2024	FY2023
Wages	\$3,789,000	\$3,635,500	\$3,452,163	\$3,297,060	\$3,096,487
Benefits	2,641,300	2,511,100	2,482,403	2,150,063	1,977,366
Total	\$6,430,300	\$6,146,600	\$5,934,566	\$5,447,123	\$5,073,853
% of G.F. Expenditures	65.96%	59.03%	62.46%	63.17%	53.87%

It is the position of City administration that staffing levels across the organization are now at the lowest possible level that is necessary to maintain current service levels. Further reductions in staffing would result in a reduction of services to the community.

Budgetary Issues There are several issues in recent years that have significantly impacted the General Fund's structural costs, including:

- **Lake Treatment:** This budget proposes a transfer of \$65,000 to support lake treatment activities. The General Fund is the sole source of funds for these activities.
- **Parking Maintenance:** The parking maintenance special assessment was not passed a couple of years ago, so the burden for funding parking lot maintenance activities is now fully on the General Fund. These costs are nearly \$100,000 in the current budget.
- **School Resource Officer:** The City partnered with the Cadillac Area Public Schools to add a second SRO. This position is funded 50% by a federal grant, while the City and the Schools are splitting the remaining costs. The General Fund is responsible for 25% of the costs of this position, or about \$30,000 including benefits.
- **Cemetery Operating Fund Contribution:** It costs about \$160,000 to maintain Maple Hill Cemetery, but only about \$60,000 is covered by various charges and the General Fund picks up the remaining \$100,000.
- **Local Street Fund Contribution:** In order to complete street reconstruction and preventive maintenance, the General Fund needs to contribute \$50,000 to the Local Street Fund for FY2027.

The total cost of these issues in the proposed FY2027 budget is \$345,000.

Capital Outlay The FY2027 budget includes appropriations for several capital purchases, including:

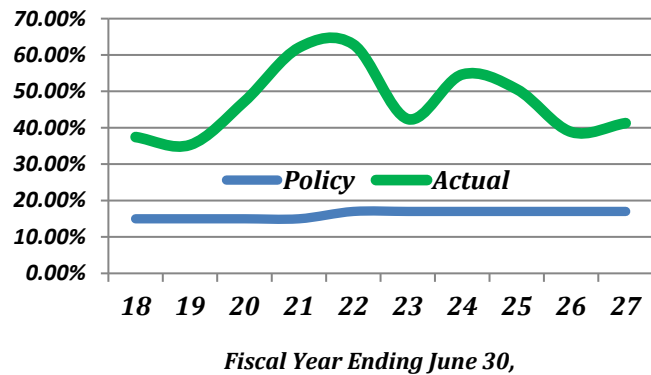
- **Police Department:** Replace a frontline patrol vehicle and department-issued sidearms.
- **Parks and Recreation:** Purchase a new riding mower to replace an older unit.

Capital projects are further discussed in the 'Capital Improvement' section of this budget document.

Fund: General Fund

Fund Balance Cadillac has a longstanding policy that a portion of the General Fund's total expenditures will be set aside in a reserve entitled Working Capital. This policy is currently at 15% but will be proposed to be increased to 17% to reflect a best practice of 2-3 months of reserves. The City has complied with this policy for many years and the proposed FY2027 budget will maintain this reserve. This reserve helps the City with cash flow and is a safety net that prevents the City from having to borrow for short-term operating funds during times of lower revenue collections. The City has additional unassigned fund balance on hand beyond what has been designated for working capital, leaving total available fund balance at 44% of current General Fund expenditures.

General Fund - Fund Balance
Unassigned & Working Capital Fund Balance
as % of Total Expenditures
Last Ten Fiscal Years



The FY2027 budget proposes the use of \$293,000 reserve funds on hand. This will fund various capital projects and purchases. This is a strategic investment of prior funds on hand in excess of policy-level reserves for important one-time uses. The drop in Fund Balance in FY2023 in the chart above is due to a transfer of approximately \$1.4 million to the Major and Local Street Funds for street improvements.

General Fund Outlook and Structural Balance Analysis The City continues to structure its operations and make decisions that maintain long-term stability and sustainability and actively manage ongoing costs in an effort to stay structurally balanced. However, based on current revenue challenges, including the Headlee millage reduction, reduction in state shared revenue, reduction in several other revenue sources, and additional cost pressures discussed above, the table below shows that the proposed budget is structurally imbalanced, meaning ongoing revenues are not adequate to fund ongoing operational expenditures. Reserves in excess to policy levels provide time to analyze how to resolve this imbalance and work will continue to ensure that the City can continue to make needed capital investments and fund critical ongoing operations.

Total Revenues:	\$9,456,500
Less: One-Time Revenue	
Sale of Property	5,000
Total One-Time Revenues	(5,000)
Net = Ongoing Revenue	\$9,451,500
Total Expenditures	9,749,500
Less: One-Time Expenditures	
Capital Outlay	(106,000)
Additional Local Street contribution	(50,000)
Net = Ongoing Expenditures	\$9,593,500
Ongoing Revenues Over (Under) Ongoing Expenditures	(\$142,000)

Fund: General Fund

5-Year Projection Data - General

As of FY2027 Budget Process

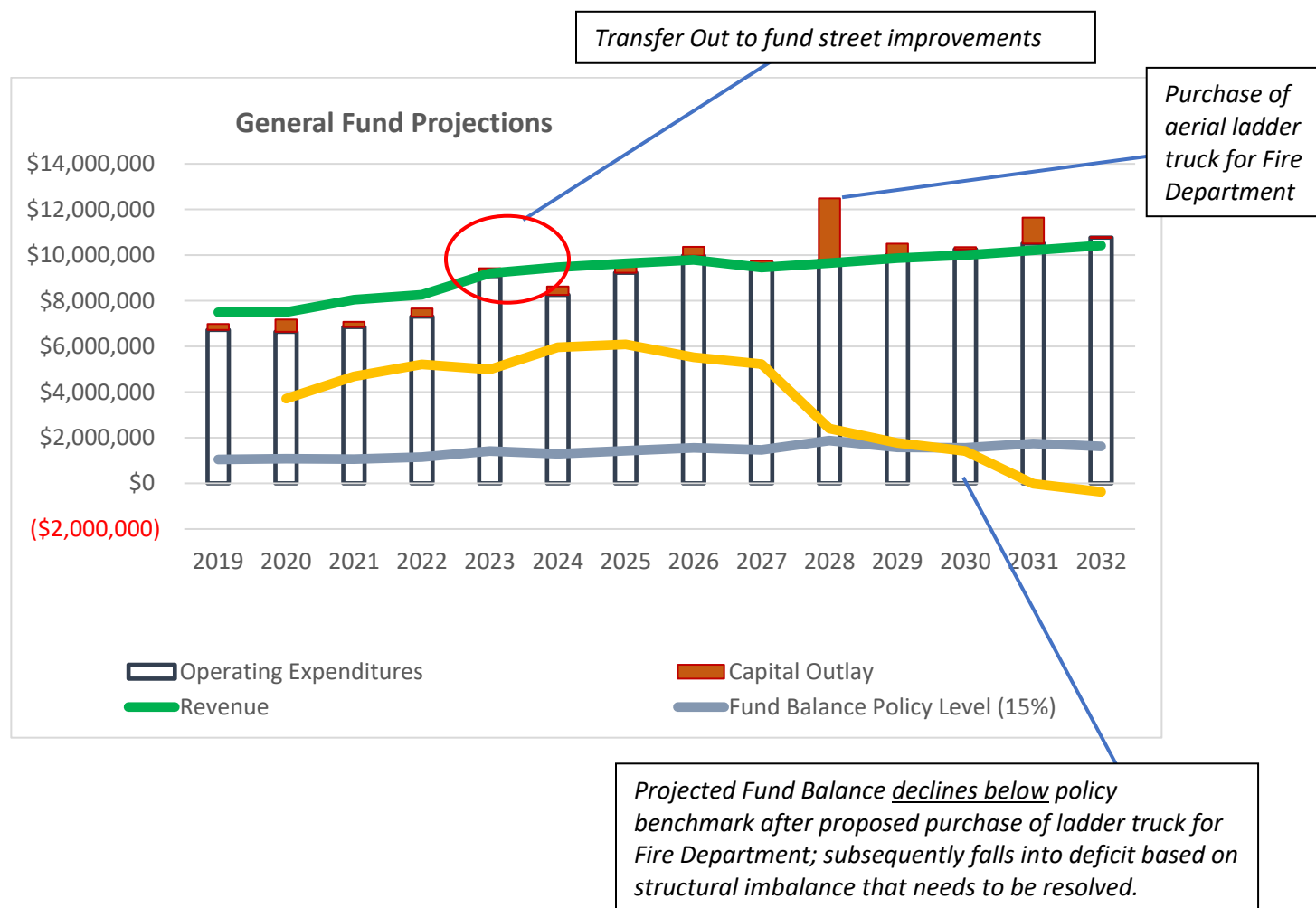
	Projected	Proposed	PROJECTED				
	2026	2027	2028	2029	2030	2031	2032
Revenue							
Taxes	5,153,800	5,297,500	5,450,470	5,608,054	5,770,391	5,937,622	6,109,896
Licenses	119,600	120,500	120,000	120,000	120,000	120,000	120,000
Intergovernmental	2,724,000	2,490,000	2,490,475	2,511,232	2,507,274	2,528,607	2,550,234
Charges for Services	1,283,100	1,311,500	1,339,612	1,367,929	1,397,075	1,427,075	1,457,953
Fines and Forfeits	11,000	12,000	12,000	12,000	12,000	12,000	12,000
Miscellaneous	235,000	20,000	32,084	67,084	32,084	32,084	32,084
Interest and Rents	256,000	205,000	207,749	182,749	157,749	147,749	147,749
Other Financing Sources	10,000	0	0	0	0	0	0
	\$9,792,500	\$9,456,500	\$9,652,389	\$9,869,047	\$9,996,573	\$10,205,137	\$10,429,916
Expenditures							
Salaries and Wages	3,631,400	3,789,000	3,899,280	4,012,868	4,129,864	4,250,370	4,374,491
Employee Benefits	2,518,100	2,641,300	2,667,109	2,746,222	2,827,709	2,911,640	2,998,089
Office and Operating Supplies	262,700	266,000	268,660	271,347	274,060	276,801	279,569
Contractual Services	1,597,700	1,645,300	1,676,890	1,709,319	1,742,612	1,776,792	1,811,885
Repairs and Maintenance	176,500	187,000	188,870	190,759	192,666	194,593	196,539
Equipment Rental	283,100	245,200	247,580	249,984	252,412	254,864	257,340
Travel and Education	57,300	68,500	69,185	69,877	70,576	71,281	71,994
Utilities	263,900	267,000	272,340	277,787	283,343	289,009	294,790
Other Expenses	486,900	206,200	208,262	210,345	212,448	214,573	216,718
Local Support	93,700	107,000	107,000	107,000	107,000	107,000	107,000
Transfers to Other Funds	601,000	221,000	160,000	160,000	160,000	160,000	160,000
	\$9,972,300	\$9,643,500	\$9,765,176	\$10,005,507	\$10,252,689	\$10,506,923	\$10,768,415
Capital Outlay	\$391,000	\$106,000	\$2,717,500	\$494,000	\$94,000	\$1,135,000	\$10,000
Total Expenditures	\$10,363,300	\$9,749,500	\$12,482,676	\$10,499,507	\$10,346,689	\$11,641,923	\$10,778,415
Revenue Over (Under) Expenditures	(\$570,800)	(\$293,000)	(\$2,830,287)	(\$630,460)	(\$350,117)	(\$1,436,786)	(\$348,500)
Beginning Fund Balance	6,090,243	5,519,443	5,226,443	2,396,156	1,765,696	1,415,580	(21,207)
Ending Fund Balance	5,519,443	5,226,443	2,396,156	1,765,696	1,415,580	(21,207)	(369,706)
Policy Fund Balance	1,554,495	1,462,425	1,872,401	1,574,926	1,552,003	1,746,288	1,616,762
Balance Over (Under) Policy	3,964,948	3,764,018	523,755	190,770	(136,424)	(1,767,495)	(1,986,469)
Total Ongoing Revenue	9,792,500	9,456,500	9,652,389	9,869,047	9,996,573	10,205,137	10,429,916
Total Operating Expenditures	9,572,300	9,593,500	9,765,176	10,005,507	10,252,689	10,506,923	10,768,415
Structural Balance (Deficit)	215,200	(142,000)	(112,787)	(136,460)	(256,117)	(301,786)	(338,500)

Fund: General Fund**General Fund 5-Year Projections**

The budget projections shown on the previous page were developed based on current revenue estimates and assumptions for the next five years. Conservative revenue projections were used in the revenue analysis, with tax revenue projected to grow by 3% per year. The other principal source of General Fund revenue, State Shared Revenue, declined for FY2027 is projected to grow at just 1% per year thereafter.

Expense projections are based on analysis of past trends and future expected spending. Salaries are expected to increase 2.5% per year, while benefit costs are expected to increase about 3%. Other operational costs like Operating Supplies, Utilities, and Repairs and Maintenance are projected to increase 2% per year. Capital Outlay expenditures are based on the City's 6-Year Capital Improvement Program.

The projections highlight that the General Fund is at the fund balance policy level of 15% of expenditures for the next couple years, but projected structural imbalance and the proposed replacement of the ladder truck in the Fire Department in FY2028 will reduce total fund balance significantly. Outside funding or an installment purchase loan may be needed to fully fund this replacement. The City must carefully analyze the spending structure and additional revenue opportunities to fully fund operations and capital investment in the future.



Fund: General Fund**Revenue Summary**

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed	% Change
REVENUES AND OTHER SOURCES:					
Taxes	\$5,077,896	\$5,153,800	\$5,147,500	\$5,297,500	2.91%
Licenses	123,751	119,600	125,000	120,500	-3.60%
Intergovernmental	2,729,277	2,724,000	2,685,000	2,490,000	-7.26%
Charges For Services	1,234,822	1,258,100	1,269,000	1,311,500	3.35%
Fines and Forfeits	12,958	11,000	9,000	12,000	33.33%
Miscellaneous	116,960	260,000	20,000	20,000	0.00%
Interest and Rents	271,087	256,000	153,500	205,000	33.55%
Other Financing Sources	68,476	10,000	0	0	0.00%
Total Revenues	\$9,635,227	\$9,792,500	\$9,409,000	\$9,456,500	0.50%

General Fund Revenue Sources

	Percentage of General Fund Revenues from 1980-Current				
	Current	FY2010	FY2000	FY1990	FY1980
Taxes	56.03%	62.50%	53.54%	54.49%	44.58%
Intergovernmental	26.33%	18.63%	27.33%	29.10%	27.11%
Charges for Services	13.87%	12.97%	13.00%	6.74%	6.76%
Other	3.78%	5.90%	6.13%	9.67%	21.55%
	100.01%	100.00%	100.00%	100.00%	100.00%

The chart above illustrates the fact that the revenue sources for the City have remained fairly consistent, but that compared to the 1980's the City is more reliant on local sources of revenue - like Property Taxes - to fund operations.

Property Tax Levy

The City levies 13.2663 mills for general operating purposes and 2.6 mills for the Act 345 Police and Fire Retirement System. Several tax increment financing authorities capture a portion of these taxes for use in the specific district for applicable purposes. Details of the tax levy and various captures are as follows:

	Levy	
Total Anticipated Taxable Value:	\$333,390,962	\$4,375,956 * Projected based on preliminary tax roll.
Prior Year Taxable Value:	\$316,796,096	\$4,202,712
Increase (Decrease):	\$16,594,866	\$173,244
% Change:	5.24%	4.12%

Total Levy	Total Tax Levy	DDA Capture	LDFA Capture	Brownfield Capture	Corridor Improvement	General Fund Taxes
General Operating	\$4,375,956	107,982	73,787	47,920	\$3,306	\$4,142,961
P&F Retirement	\$866,817	21,423	16,988	9,473	655	818,278
		129,405	90,775	57,393	\$3,961	\$4,961,239

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Taxes				
Current Property Tax	\$3,947,063	\$4,020,000	\$4,020,000	\$4,140,000
Industrial Facilities Tax	7,935	4,700	6,000	5,000
Property Tax - Police and Fire	767,644	785,000	783,000	800,000
Delinquent Tax Collections	48	100	1,000	1,000
Marihuana Tax	116,457	108,000	115,000	110,000
Administration Fees	162,375	165,000	165,000	170,000
Trailer Park Fees	2,250	2,000	2,500	2,500
Penalties and Interest	23,078	30,000	30,000	30,000
Payment in Lieu of Taxes				
DNR	0	14,000	0	14,000
Housing	51,046	25,000	25,000	25,000
Total Taxes	\$5,077,896	\$5,153,800	\$5,147,500	\$5,297,500
Licenses and Permits				
Cable Franchise Fees	\$102,771	\$100,000	\$108,000	\$100,000
Business Licenses	20,820	19,000	16,000	20,000
Permits	160	600	1,000	500
Total Licenses and Permits	\$123,751	\$119,600	\$125,000	\$120,500
Intergovernmental Revenues				
State Shared Revenues:				
Sales & Use Tax - Constitutional	\$1,111,784	\$1,112,000	\$1,120,000	\$1,080,000
Sales & Use Tax - Statutory	256,771	257,000	255,000	260,000
Liquor Licenses	12,582	11,000	10,000	12,000
State of Michigan - Other	0	44,000	0	25,000
Local Community Stabilization Authority	801,488	725,000	700,000	720,000
Telecommunications Right of Way	53,220	0	0	0
Grants from Local Units:				
Fire Protection	244,846	255,000	240,000	265,000
Michigan Justice Training Grant	2,795	3,000	3,000	3,000
CAPS - School Officer	159,357	125,000	125,000	125,000
Federal Grants	0	192,000	192,000	0
State of Michigan Grants	86,434	0	40,000	0
Local Funds	0	0	0	0
Total Intergovernmental Revenues	\$2,729,277	\$2,724,000	\$2,685,000	\$2,490,000

Fund: General Fund

Revenue Highlights

Industrial Facilities Tax This tax abatement program has been significantly less active as a result of the reforms related to manufacturing personal property. This program allows Council to abate half of the City taxes for up to 12 years. Exemptions have been granted with a total taxable value of about \$2.6 million. The Local Development Finance Authority captures about 70% of the annual levy.

Fire Protection Clam Lake Township and the City of Cadillac have a fire protection agreement whereby the City provides fire protection to the township and in return the township pays the City a fee of 2 mills. The fire contract runs through December 31, 2028.

Solid Waste Collection Solid waste collection is a contracted service with a private contractor. The cost is passed on to residents with only a slight markup to cover costs associated with administering the waste removal program. Recycling services were added in 2013. The contract for recycling services is separate from the refuse contract, and the service is provided by a separate hauler.

Refuse Collection

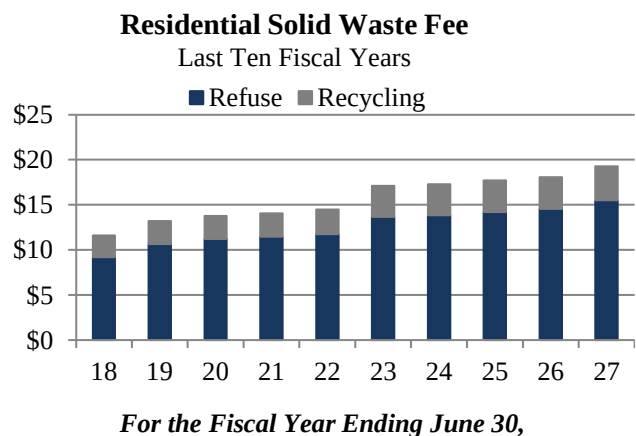
Average # of customers	3,400
Monthly Charge	\$15.50
Total Monthly Revenue	<u>\$52,700</u>
Annual Revenue	\$632,400

Recycling

Average # of customers	3,400
Monthly Charge	\$3.55
Total Monthly Revenue	<u>\$12,070</u>
Annual Revenue	\$144,840

Tidy Tote Garbage Cans

Average # of customers	2,800
Monthly Charge	\$2.10
Total Monthly Revenue	<u>\$5,880</u>
Annual Revenue	\$70,560



Of total monthly charges, \$0.65 per unit for refuse collection and \$0.45 per tidy tote stays with the City to cover the costs of administering the program, including billing and collections services. This administrative charge offsets approximately \$30,000 in costs to manage the delivery of this service to City residents.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Charges For Services				
Zoning Fees	\$4,200	\$4,000	\$2,000	\$7,500
Exemption Certificate Fees	0	0	0	0
Northflight/MMR	100,600	100,000	100,000	100,000
Police Charges	2,303	3,000	3,000	3,000
Fire Department Charges	4,635	2,300	2,000	2,000
Engineering Fees	615	500	0	0
Solid Waste Collection	776,787	800,000	815,000	850,000
EGLE Management Fee	25,000	25,000	25,000	25,000
Rental Housing Ordinance Fee	16,465	9,000	8,000	10,000
Other	2,217	300	0	0
Administrative Charges				
Water and Sewer Fund	\$245,000	\$245,000	\$245,000	\$245,000
Stores & Garage Fund	24,000	24,000	24,000	24,000
Community Development Fund	0	12,000	12,000	12,000
Data Processing Fund	30,000	30,000	30,000	30,000
Building Inspection Fund	3,000	3,000	3,000	3,000
Total Charges For Services	\$1,234,822	\$1,258,100	\$1,269,000	\$1,311,500
Fines and Forfeits				
Violations Bureau	\$12,958	\$11,000	\$9,000	\$12,000
Total Fines and Forfeits	\$12,958	\$11,000	\$9,000	\$12,000
Miscellaneous				
Sale of Property	1	0	5,000	5,000
Opioid Settlement Funds	7,398	25,000	0	0
Contributions - Private Sources	87,503	225,000	5,000	5,000
Miscellaneous - Refunds and Rebates	22,058	10,000	10,000	10,000
Total Miscellaneous	\$116,960	\$260,000	\$20,000	\$20,000
Interest and Rents				
Interest Income	\$263,338	\$250,000	\$150,000	\$200,000
Land and Building Rental	7,749	6,000	3,500	5,000
Total Interest and Rents	271,087	256,000	153,500	205,000
Other Financing Sources				
Insurance Proceeds	68,476	10,000	0	0
Appropriated Fund Balance	0	0	0	0
Total Other Financing Sources	\$68,476	\$10,000	\$0	\$0
TOTAL REVENUES	\$9,635,227	\$9,792,500	\$9,409,000	\$9,456,500

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed	Change
<u>EXPENDITURES</u>					
General Government					
Legislative	\$60,419	\$59,200	\$64,500	\$57,500	-10.85%
Office of the City Manager	350,793	361,600	373,100	389,400	4.37%
Financial Services	445,572	487,600	486,200	504,600	3.78%
Clerk/Treasurer Department	380,744	404,400	408,700	425,400	4.09%
Election Services	16,437	31,000	41,000	39,000	-4.88%
Assessing	146,850	152,000	153,300	159,600	4.11%
Legal Services	247,736	197,000	200,000	207,000	3.50%
City Hall	387,061	385,200	380,500	391,400	2.86%
Total General Government	\$2,035,612	\$2,078,000	\$2,107,300	\$2,173,900	3.16%
Public Safety					
Police Department	\$2,868,196	\$2,762,700	\$2,846,200	\$2,994,800	5.22%
Fire Department	1,843,192	2,153,500	2,092,000	1,920,300	-8.21%
Total Public Safety	\$4,711,388	\$4,916,200	\$4,938,200	\$4,915,100	-0.47%
Public Works	\$1,262,531	\$1,366,000	\$1,274,800	\$1,352,600	6.10%
Culture and Recreation	390,118	420,300	438,300	439,200	0.21%
Economic Development and Assistance	542,032	908,800	649,700	562,700	-13.39%
Intergovernmental Expenses	78,326	73,000	99,200	85,000	-14.31%
Other Financing	481,972	601,000	601,000	221,000	-63.23%
TOTAL EXPENDITURES	\$9,501,979	\$10,363,300	\$10,108,500	\$9,749,500	-3.55%
FUND BALANCE AT YEAR END					
Net Change in Fund Balance	\$133,248	(\$570,800)	(\$699,500)	(\$293,000)	
Fund Balance - Beginning of Year	5,956,992	6,090,240	6,090,240	5,519,440	
FUND BALANCE AT YEAR END					
Nonspendable	261,516	50,000	50,000	50,000	
Restricted	48,673	145,748	16,248	137,748	
Committed	-	-	-	-	
Assigned	2,591,407	2,849,812	3,171,992	2,476,641	
Unassigned	3,055,396	2,473,880	2,152,500	2,562,051	
TOTAL FUND BALANCE	\$6,090,240	\$5,519,440	\$5,390,740	\$5,226,440	

Fund: General Fund**FUND BALANCE**

Fund balance information is presented below. Some of the fund balance remaining at the end of the fiscal year is either reserved or has been assigned for a specific purpose. Specific classifications of fund balance are as follows:

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Nonspendable				
Prepaid Expenditures	414	50,000	50,000	50,000
Restricted For:				
Veterans Memorial	1,855	1,855	1,855	1,855
Flags Forever	0	500	500	500
Youth Services	844	844	844	844
Drug Forfeiture	4,656	656	656	656
Mayor's Youth Council	1,023	262	262	262
Blackburn Skate Park	3,323	3,272	3,272	3,272
White Pine Trail	1,859	1,859	1,859	1,859
Diggins Hill Park	7,578	500	500	500
Sound Garden Sundial Project	2,125	0	0	0
Bike Routes	7,000	5,000	500	500
Cadillac Trail Signage	5,000	2,500	2,500	0
McKellop Walkway Plowing	3,621	2,000	2,000	1,000
Fire Safety House	0	1,000	1,000	1,000
Leadership Projects	6,534	0	0	0
Mayor Wedding Fees	150	0	0	0
CASA Field Use	2,520	0	0	0
Dog Park	662	500	500	500
Opioid Settlement Funds	102,343	125,000	0	125,000
CAMA Lighthouse	800	0	0	0
Total Restricted	151,893	145,748	16,248	137,748
Assigned For:				
Sick and Vacation Funding	288,669	290,000	290,000	300,000
Working Capital	2,027,450	1,554,495	1,516,275	1,462,425
Pistol Range	23,213	5,000	5,000	5,000
Subsequent Year Budget	0	187,000	547,400	0
ARPA Funds	772,616	666,616	666,616	666,616
DNR Grant Match - Sensory Playground	42,600	42,600	42,600	42,600
Police and Fire Retirement	-	104,101	104,101	-
Total Assigned	3,154,548	2,849,812	3,171,992	2,476,641
Unassigned	2,783,381	2,473,880	2,152,500	2,562,051
TOTAL FUND BALANCE	\$6,090,236	\$5,519,440	\$5,390,740	\$5,226,440

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>GENERAL GOVERNMENT</u>				
Legislative				
Salaries	\$18,302	\$19,500	\$20,000	\$20,000
Fringes	1,419	1,600	2,000	2,000
Office Supplies	15	600	1,000	1,000
Contractual Services	0	2,500	3,000	3,000
Data Processing	12,200	13,000	13,000	4,000
Dues & Publications	6,536	7,000	7,500	7,500
Travel and Education	12,957	7,500	8,000	10,000
Ordinances and Proceedings	8,990	7,500	10,000	10,000
Total Legislative	\$60,419	\$59,200	\$64,500	\$57,500

<u>CITY COUNCIL MEASURES</u>				
Full-Time Positions	0	0	0	0
Part-Time Positions	5	5	5	5
Cost Per Resident	\$5.83	\$5.72	\$6.23	\$5.55

Legislative The City Council is the policy making body for the City of Cadillac. Its salaries are set by an independent advisory committee which meets every two years. Education is encouraged for the part-time council members so that they are informed on the latest issues involving municipal government. Contractual Services reflects the ongoing codification of the city code utilizing a third-party to update and host the City Code online.

Elected Officials The structure of the Cadillac City Council is set by City Charter. The Council consists of four (4) members with one each from the City's four districts. Council members are elected to staggered four-year terms, with two council members up for election every two years. The mayor is elected at large by voters of the City and serves a two-year term. Details of the current City Council as well as a map of the City wards can be found in the Budget Reader's Guide on pages iii-vi of the budget document.

Goals The City Council sets the overarching strategy and goals for the direction of the City. These goals can be found in an earlier section of this budget document.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>GENERAL GOVERNMENT (Cont.)</u>				
Office of the City Manager				
Salaries	\$199,121	\$212,000	\$225,000	\$230,000
Fringes	118,890	115,000	112,500	122,500
Office Supplies	2,302	2,000	2,500	2,500
Data Processing	10,200	10,900	10,900	12,200
Dues & Publications	3,799	3,500	3,500	3,500
Telephone	3,000	4,000	4,000	4,000
Travel & Education	6,281	7,000	7,500	7,500
Vehicle Allowance	7,200	7,200	7,200	7,200
Suggestion Award	0	0	0	0
Total Office of the City Manager	\$350,793	\$361,600	\$373,100	\$389,400

<u>CITY MANAGER MEASURES</u>				
Full-Time Positions	2.75	2.25	2.25	2.25
Part-Time Positions	0.50	0.50	0.00	0.00
Cost Per Resident	\$33.88	\$34.92	\$36.03	\$37.61

Office of the City Manager The chief administrative officer of the City of Cadillac is the City Manager. The City Manager is responsible for the administration of all City departments and also for making reports and recommendations to the City Council. Marcus Peccia was appointed the chief administrative officer of the City in November 2009. He came to the city after being the Assistant City Manager in Lake Forest, Illinois.

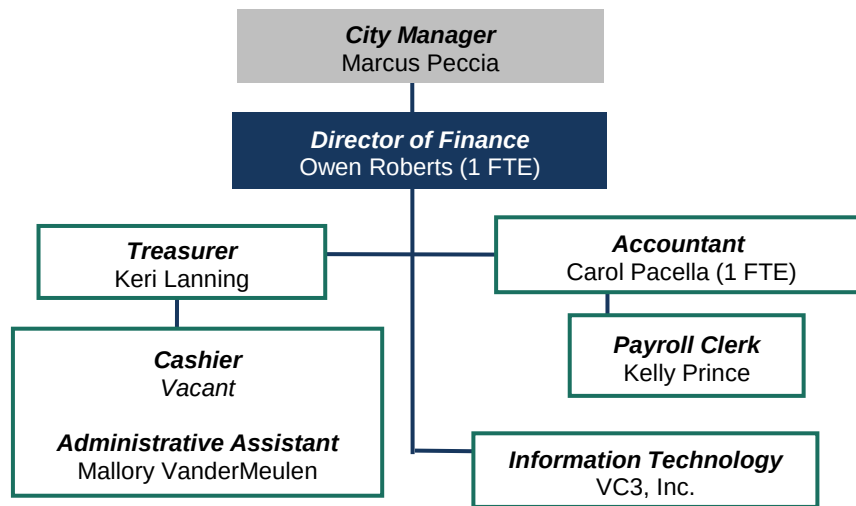
All human resource activities are overseen within the Office of the City Manager.

The City Manager discusses the issues facing the City of Cadillac in the transmittal letter found at the beginning of this budget document.

Fund: General Fund

Financial Services The financial services department has the overall responsibility of all accounting and finance related functions. This responsibility is discharged in accordance with Federal and State regulations, the City Charter, Ordinances enacted by the City Council and directives from the City Manager, and is consistent with governmental accounting and financial standards established by the Governmental Accounting Standards Board. The Director of Finance oversees the treasurer, accounting, and information technology functions. In addition to the management activities, budgeting and investing of the City's money are critical functions of this department.

The treasurer, cashier and payroll clerk are under the supervision of the Director of Finance. The costs of these positions are accounted for in the Clerk/Treasurer department of the General Fund.



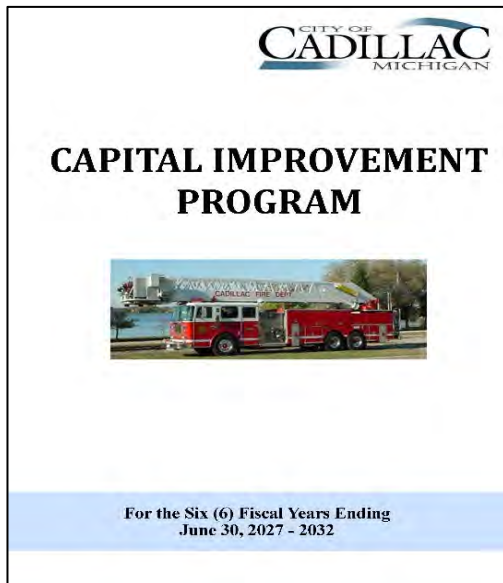
PERFORMANCE MEASURES - FINANCIAL SERVICES

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Received GFOA Budget/ACFR Awards		Yes	Yes	Yes	Yes	↔
General Fund Working Capital + Unassigned Fund Balance + Assigned to Subsequent Budget		\$4,712,376	\$4,810,831	\$4,215,375	\$4,024,476	↓
Total General Fund Expenditures		\$8,623,175	\$9,501,979	\$10,363,300	\$9,749,500	↑
Unreserved Fund Balance as % of General Fund Expenditures		54.65%	50.63%	40.68%	41.28%	↓
Fund Balance Policy Level (17%)		\$1,465,940	\$1,615,336	\$1,761,761	\$1,657,415	↑
Total Above (Below) Policy Benchmark		\$3,246,436	\$3,195,495	\$2,453,614	\$2,367,061	↓
Unmodified Audit Opinion		Yes	Yes	Yes	Yes	↔

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>GENERAL GOVERNMENT (Cont.)</u>				
Financial Services				
Salaries	\$226,839	\$240,000	\$237,000	\$247,000
Fringes	144,595	162,000	162,000	160,000
Office Supplies	2,445	4,500	5,000	5,000
Audit	19,400	24,000	23,600	25,000
Data Processing	44,900	47,600	47,600	57,600
Dues & Publications	1,055	2,000	2,000	2,000
Telephone	3,600	4,000	4,000	4,000
Travel & Education	2,738	3,500	5,000	4,000
Total Financial Services	\$445,572	\$487,600	\$486,200	\$504,600

FINANCIAL SERVICES DEPARTMENT MEASURES				
Full-Time Positions	2.15	2.9	2.9	2.9
Part-Time Positions	0.00	0.00	0.00	0.00
Cost Per Resident	\$43.03	\$47.09	\$46.95	\$48.73



Capital Improvement Planning One of the important responsibilities of the Financial Services Department is developing the annual 6-Year Capital Improvement Program for all City activities. This program is completed prior to the budget process each year. As funds are available, the projects included in the program are scheduled into the Annual Operating Budget. The program identifies over \$30 million in capital projects in the next six years. The picture to the left is the cover of the most recent program document. The program is summarized in the 'Capital Improvement' section of this budget document, and is available for review on the City's website.

Fund: General Fund**Departmental Highlights**

City Clerk/Treasurer This department is divided into two major sections. The first is the City Treasurer's Office, which has all custody of the revenues of the City and is established under the City Charter. Tax rolls are prepared and collected by this department and mailed to citizens. The second major area is the Clerk's Office, which is the Clerk to the City Council, signs all ordinances, keeps a permanent journal of all Council proceedings, and handles the City-wide elections.

PERFORMANCE MEASURES - CITY TREASURER/CLERK

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Total City-wide Assessed Value (ad valorem)		\$388,333,064	\$447,054,400	\$473,291,250	\$501,238,500	↑
Total City-wide Taxable Value (ad valorem)		\$287,021,418	\$306,680,708	\$316,796,096	\$333,390,962	↑
Taxable Value as % of Assessed Value		73.9%	68.6%	66.9%	66.5%	↓
Tax Bills Issued		9,857	9,861	9,813	9,825	↔
Total Number of Annual Receipts		39,076	39,292	39,000	39,000	↔
Total Number of Online Receipts		14,173	15,129	16,000	16,500	↑
Dollar Value of Annual Receipts		\$23,528,554	\$24,632,546	\$25,000,000	\$25,500,000	↑
Accounts Payable Checks Issued		1,675	1,759	1,700	1,650	↓
Accounts Payable Electronic Payments Issued		1,142	1,130	1,200	1,250	↑
Payroll Fund Checks Issued		109	120	120	120	↔
Payroll Direct Deposits		3,352	3,344	3,350	3,350	↔
Miscellaneous Billing Invoices Issued		776	832	835	850	↑
Total Registered Voters		8,489	8,489	8,635	8,635	↑
Number of Elections		2	2	3	3	↔
Total Cost of Elections		\$28,300	\$16,437	\$31,000	\$41,000	↑
Cost per Election		\$14,150	\$8,219	\$10,333	\$13,667	↑

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>GENERAL GOVERNMENT (Cont.)</u>				
Clerk/Treasurer Department				
Salaries	\$195,274	\$210,000	\$207,500	\$212,500
Fringes	125,634	126,000	127,000	135,000
Office Supplies	6,266	7,000	6,000	6,000
Postage	17,801	19,000	18,000	20,000
Telephone	930	1,000	2,000	2,000
Data Processing	27,500	29,200	29,200	34,900
Dues & Publications	692	1,000	1,000	1,000
Travel & Education	1,881	1,500	3,000	3,000
Act 425 Disbursements	4,604	5,200	5,000	6,000
Bad Debt Expense (1)	162	4,500	10,000	5,000
Total Clerk/Treasurer Department	\$380,744	\$404,400	\$408,700	\$425,400

(1) Bad Debt Expense represents delinquent taxes that Wexford County paid to the City of Cadillac but were subsequently unable to collect, therefore requiring the City to repay the amounts received from the County.

<u>CLERK/TREASURER MEASURES</u>				
Full-Time Positions	3.750	3.750	3.750	3.750
Part-Time Positions	0.000	0.000	0.000	0.000
Cost Per Resident	\$36.77	\$39.05	\$39.47	\$41.08

Election Services

Salaries	\$13,922	\$19,000	26,000	\$27,000
Office Supplies	2,515	12,000	15,000	12,000
Contractual Services	0	0	0	0
Total Election Services	\$16,437	\$31,000	\$41,000	\$39,000

<u>ELECTIONS MEASURES</u>				
Full-Time Positions	0.000	0.000	0.000	0.000
Part-Time Positions	15.000	15.000	15.000	15.000
Cost Per Resident	\$1.59	\$2.99	\$3.96	\$3.77
Registered Voters	7,214	7,304	7,300	7,300
Cost per registered voter	\$2.28	\$4.24	\$5.62	\$5.34

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>GENERAL GOVERNMENT (Cont.)</u>				
Assessor				
Postage	\$3,385	\$4,000	\$3,000	\$4,000
Contractual Services	0	2,000	3,000	4,000
Wexford County Contract	135,667	137,000	138,000	142,000
Data Processing	6,600	7,000	7,000	7,300
Board of Review	1,198	2,000	2,300	2,300
Total Assessor	\$146,850	\$152,000	\$153,300	\$159,600

ASSESSING MEASURES				
Full-Time Positions	0	0	0	0
Part-Time Positions	4	4	4	4
Cost Per Resident	\$14.18	\$14.68	\$14.80	\$15.41

City Assessor The function of the City Assessor has been contracted with the Wexford County Equalization Department. A new contract was approved by the City Council in March 2022 for an initial 5-year term with automatic 1-year extensions after the initial term. Payments to the County are made quarterly. The City is responsible for the board of review that is held periodically as required by the General Property Tax Act. Contractual Services activity includes professional fees and potential appraisal costs associated with justifying and defending the assessed property values. Joe Porterfield has been the Wexford County Equalization Director since 2009.

Annual costs of the assessing contract are as follows:

Service	Charge	# of Parcels	Annual Cost
Per Parcel assessing charge	\$21.04	6,300	\$132,552
Per Parcel assessment roll maintenance	\$1.35	6,300	\$8,505
Total Charges			\$141,057

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>GENERAL GOVERNMENT (Cont.)</u>				
Legal Services				
Legal Services - General Counsel	\$97,874	65,000	\$65,000	\$65,000
Legal Services - Special	118,931	100,000	100,000	100,000
Legal Services - Prosecution	30,931	32,000	35,000	42,000
Total Legal Services	\$247,736	\$197,000	\$200,000	\$207,000

Cost Per Resident	\$23.92	\$19.02	\$19.31	\$19.99
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City Attorney Legal Services Mr. Michael Homier of Foster, Swift, Collins & Smith, PC's Grand Rapids office has been the chief counsel for the City of Cadillac since 2010. Several other attorneys from the firm provide counsel in specific areas of expertise.



City Prosecution Services Since April 2010, prosecution of City cases have been handled by the Wexford County Prosecutor. Prosecution and legal services provided under this arrangement include all eligible traffic misdemeanors, all other eligible misdemeanors (including MIP), all traffic civil infractions, parking infractions, and other civil infractions of a traditional criminal-type nature such as disorderly conduct and others. Prosecution for cases involving ordinance violations are handled on a per-hour basis.

Costs for Legal Services General counsel services provided by Foster, Swift, Collins & Smith, PC are currently billed at an hourly rate of \$231.20 per hour. There is no annual maximum included in the agreement, and the rate increases in accordance with the CPI each year. The Wexford County Prosecutor's Office will handle all general prosecution-related cases for a flat annual fee. Other special legal services include environmental, labor, property tax, and other special kinds of legal work. These are typically billed between \$231 and \$275 per hour, depending on the specific work being done. The vast majority of these special services are performed by the City Attorney.

MEASURE	Fiscal Year:	Actual			Projected	Budget
		2023	2024	2025	2026	2027
City Attorney Hours Billed		427	645	935	700	720
City Attorney Costs		\$93,307	\$141,246	\$235,955	\$165,000	\$165,000
Prosecutor Costs		\$30,931	\$30,634	\$30,931	\$32,500	\$42,000

* A portion of City Attorney charges are accounted for in other funds based on the nature of the work.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>GENERAL GOVERNMENT (Cont.)</u>				
City Hall				
Salaries	\$42,533	\$45,000	\$45,000	\$47,500
Fringes	35,659	38,000	38,000	41,000
Operating Supplies	17,422	20,000	15,000	15,000
Contractual Services	6,127	6,000	6,000	6,000
Service/Lease Contracts	1,623	1,700	2,000	2,000
Data Processing	6,600	2,000	2,000	2,400
Liability Insurance	141,839	138,000	140,000	150,000
Utilities	82,163	93,000	100,000	95,000
Repair and Maintenance	23,179	25,000	25,000	25,000
Equipment Rental	7,800	7,500	7,500	7,500
Parking Assessment	0	0	0	0
Capital Outlay	22,116	9,000	0	0
Total City Hall	\$387,061	\$385,200	\$380,500	\$391,400

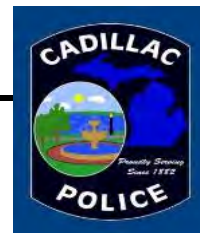
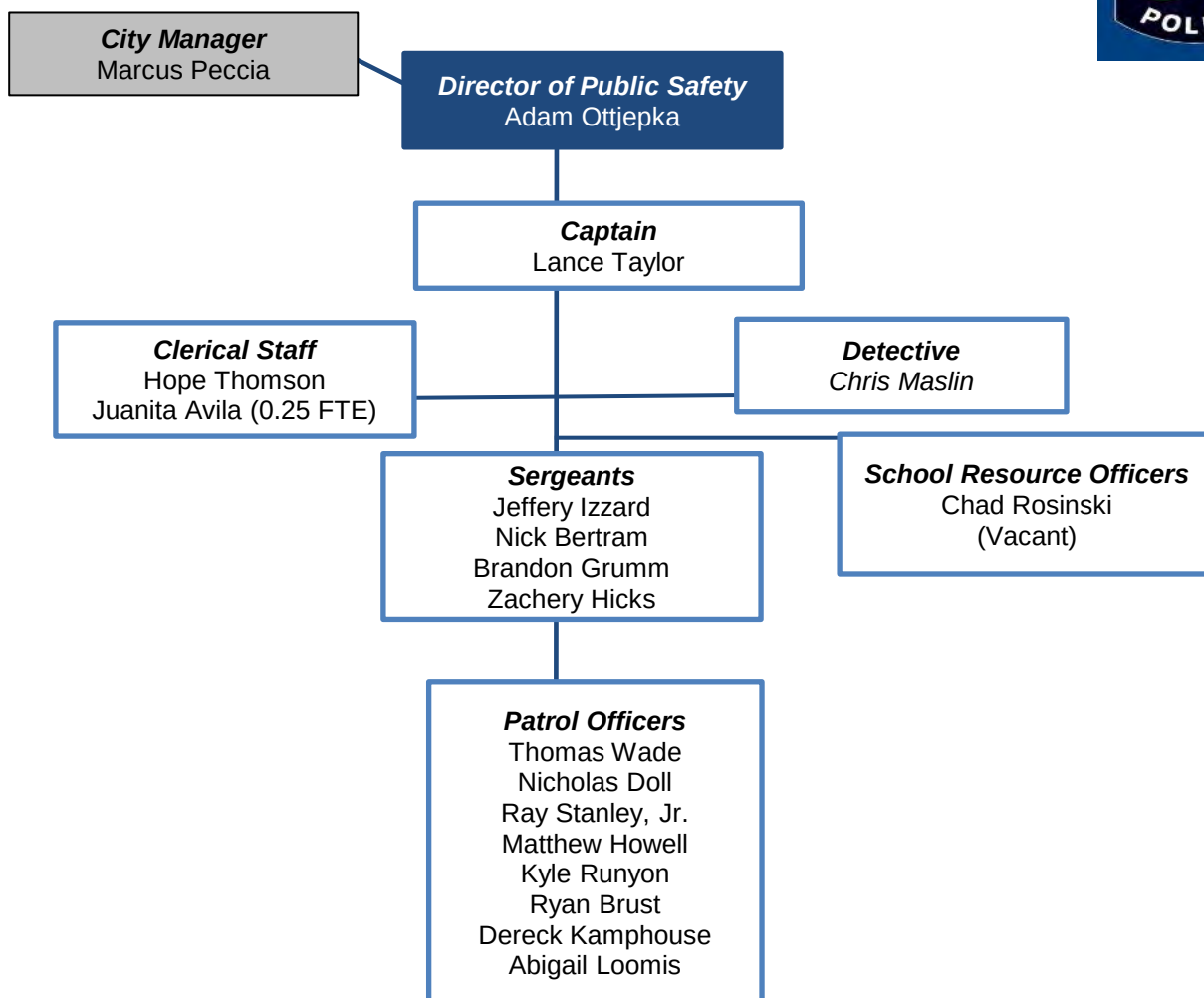
<u>CITY HALL MEASURES</u>				
Full-Time Positions	1.50	1.00	1.00	1.00
Part-Time Positions	0.50	0.50	0.00	0.00
Cost per Resident	\$37.38	\$37.20	\$36.75	\$37.80

TOTAL GENERAL GOVERNMENT	\$2,035,612	\$2,078,000	\$2,107,300	\$2,173,900
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<u>TOTAL GENERAL GOVERNMENT MEASURES</u>				
Full-Time Positions	10.150	9.900	9.900	9.900
Part-Time Positions	25.000	25.000	24.000	24.000
Cost per Resident	\$196.58	\$200.68	\$203.51	\$209.94
% of General Fund Budget	21.42%	20.05%	20.85%	22.30%



Cadillac Municipal Complex The maintenance of the physical plant, which is occupied 24 hours per day, is anticipated to increase as the facility ages. To this point, the roof on the complex needed major maintenance in 2022 and was resurfaced at a cost of about \$145,000. No other major upgrades have been done on the complex in the last decade, and several proposed capital improvements to the municipal complex have been postponed as a result of funding constraints.

Fund: General Fund**POLICE DEPARTMENT****CHART OF ORGANIZATION****Values Statement**

The members of the Cadillac Police Department realize that we are stewards of the public's trust. The badge that each member wears is a symbol of this trust. Therefore, we embrace the values of *honesty, integrity, and loyalty*, while serving our community with *respect, pride, and commitment*.

Mission Statement:***It is the mission of the Cadillac Police Department to:***

The Cadillac Police Department is committed to providing exceptional services by effectively evaluating the needs of the community through partnerships, problem solving and intervention. This department-wide community policing philosophy is delivered in an unbiased manner that displays our passion and commitment to our community with professionalism and integrity.

Fund: General Fund**PERFORMANCE MEASURES - POLICE DEPARTMENT**

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Sworn Officers		17	17	17	17	↔
Police Reports Completed		3,966	3,704	3,800	3,800	↔
Police Reports per Sworn Officer		233	218	224	224	↔
Traffic Citations Issued		214	718	500	500	↑
Traffic Verbal Warnings Issued		1,140	1,597	1,500	1,500	↑
Criminal Investigations		2,487	1,817	2,100	2,100	↔
Freedom of Information Requests Fulfilled		188	190	190	190	↔
Handgun Registrations		139	119	130	130	↔
K-9 Unit Tracking Calls		2	2	5	5	↑
K-9 Unit Demonstrations		13	9	10	10	↔
K-9 Unit Searches		8	23	20	20	↑
Non-Criminal Investigations		1,863	2,313	2,000	2,000	↔
Total Calls for Service		8,777	9,299	9,000	9,000	↑
Total Arrests		578	558	560	560	↔
Average Mileage of Fleet		67,050	53,155	60,000	70,000	↔
Average Mileage of Patrol Vehicles		35,757	48,805	40,000	45,000	↔
Operating Cost per Sworn Officer		\$135,907	\$157,561	\$162,718	\$170,518	↑

Cadillac Police Community Partnership Community partnership is a crime prevention and community policing initiative for the Cadillac Police Department. The initiative consists of four focus areas: **Neighborhoods, Schools, Businesses, and Rental Housing**. The initiative includes such things as neighborhood watch, citizens academies, clean-up days, ride-a-long programs, junior police, retail fraud training and education, and crime-free leasing addendums, to name a few. To the right is an image of the signs that are appearing throughout the community to raise awareness of the efforts. The community has given great response to this initiative.



Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>PUBLIC SAFETY</u>				
Police Department				
Salaries - Full-Time Staff	\$1,244,677	\$1,280,000	\$1,360,000	\$1,417,500
Salaries - Overtime	94,534	105,000	102,000	105,000
Fringes	1,130,878	1,050,000	1,075,000	1,125,000
Office Supplies	5,370	6,500	7,000	6,000
Operating Supplies	33,171	30,000	30,000	35,000
Fuel Costs	35,411	36,000	30,000	32,000
Operating Supplies - Community Service	829	1,000	1,000	1,000
Contractual Services	7,525	5,000	5,000	5,000
Uniform Cleaning	9,596	11,000	12,000	10,000
Data Processing	64,300	68,200	68,200	85,300
Dues & Publications	3,136	6,000	2,500	3,000
Radio & Equipment Maintenance	472	5,000	6,500	7,000
Telephone	7,445	8,000	8,000	8,000
Travel & Education	18,655	20,000	20,000	20,000
Vehicle Repair and Maintenance	14,025	24,000	24,000	24,000
Uniforms and Maintenance	8,521	12,000	15,000	15,000
Capital Outlay	189,651	95,000	80,000	96,000
Total Police Department	\$2,868,196	\$2,762,700	\$2,846,200	\$2,994,800

<i>POLICE DEPARTMENT MEASURES</i>				
Full-Time Positions	16.950	16.950	16.950	16.750
Part-Time Positions	16.000	16.000	16.000	16.000
Cost per Resident	\$276.99	\$266.80	\$274.86	\$289.21

Fund: General Fund

CADILLAC POLICE DEPARTMENT FLEET DETAILS			
#	Vehicle	Assignment	Miles
1	2021 Interceptor SUV	School Resource Ofcr.	83,294
3	2021 Interceptor SUV	Training	122,911
6	2024 Dodge Durango	Primary Road Patrol	18,788
7	2017 Interceptor SUV	Backup Patrol	80,256
9	2023 Chevrolet Tahoe	K9	16,252
10	2023 Dodge Durango	Primary Road Patrol	64,175
11	2023 Dodge Durango	Sergeant Road Patrol	30,064
13	2020 Dodge Ram	Detective	51,395
15	2024 Jeep Cherokee	Captain	11,258



Average Mileage all Vehicles: 53,155

Average Mileage Patrol Fleet: 48,805

Public Safety Benchmarking

 CADILLAC POLICE DEPARTMENT		FY2026 Police Budget	Number of Sworn Officers	Citizens Served Per Officer	Per Capita Costs	% of General Fund
Comparable City	Pop.					
Manistee	6,241	\$1,807,213	12	520.08	\$289.57	21.86%
Big Rapids	8,565	\$2,394,000	18	475.83	\$279.51	18.81%
Alpena	10,116	\$2,483,335	16	632.25	\$245.49	16.77%
Traverse City	15,782	\$6,122,200	33	478.24	\$387.92	23.30%
Sault Ste. Marie	13,288	\$4,062,600	24	553.67	\$305.73	25.09%
Coldwater	14,314	\$3,318,992	21	681.62	\$231.87	24.14%
Sturgis	11,030	\$3,780,014	19	580.53	\$342.70	30.71%
City of Cadillac	10,521	\$2,846,200	16	657.56	\$270.53	29.21%
Average:				572.47	\$294.17	23.74%

 CADILLAC FIRE DEPARTMENT		FY2026 Fire Budget	Full-Time Officers	Citizens Served Per FT Officer	Per Capita Costs	% of General Fund
Comparable City	Pop.					
Manistee	6,241	\$1,421,587	8	780.13	\$227.78	17.19%
Big Rapids	8,565	\$1,547,800	9	951.67	\$180.71	12.16%
Alpena (Fire + EMS)	10,116	\$4,008,360	28	361.29	\$396.24	27.06%
Traverse City (Fire + EMS)	15,782	\$4,920,600	25	631.28	\$311.79	18.73%
Sault Ste. Marie	13,288	\$2,153,100	18	738.22	\$162.03	13.30%
Coldwater	14,314	\$2,475,668	15	954.27	\$172.95	18.01%
Sturgis	11,030	\$1,990,828	14	787.86	\$180.49	16.18%
City of Cadillac	10,521	\$1,890,000	11	956.45	\$179.64	19.40%
Average:				770.15	\$226.45	17.75%

Fund: General Fund**Fire Department Information**

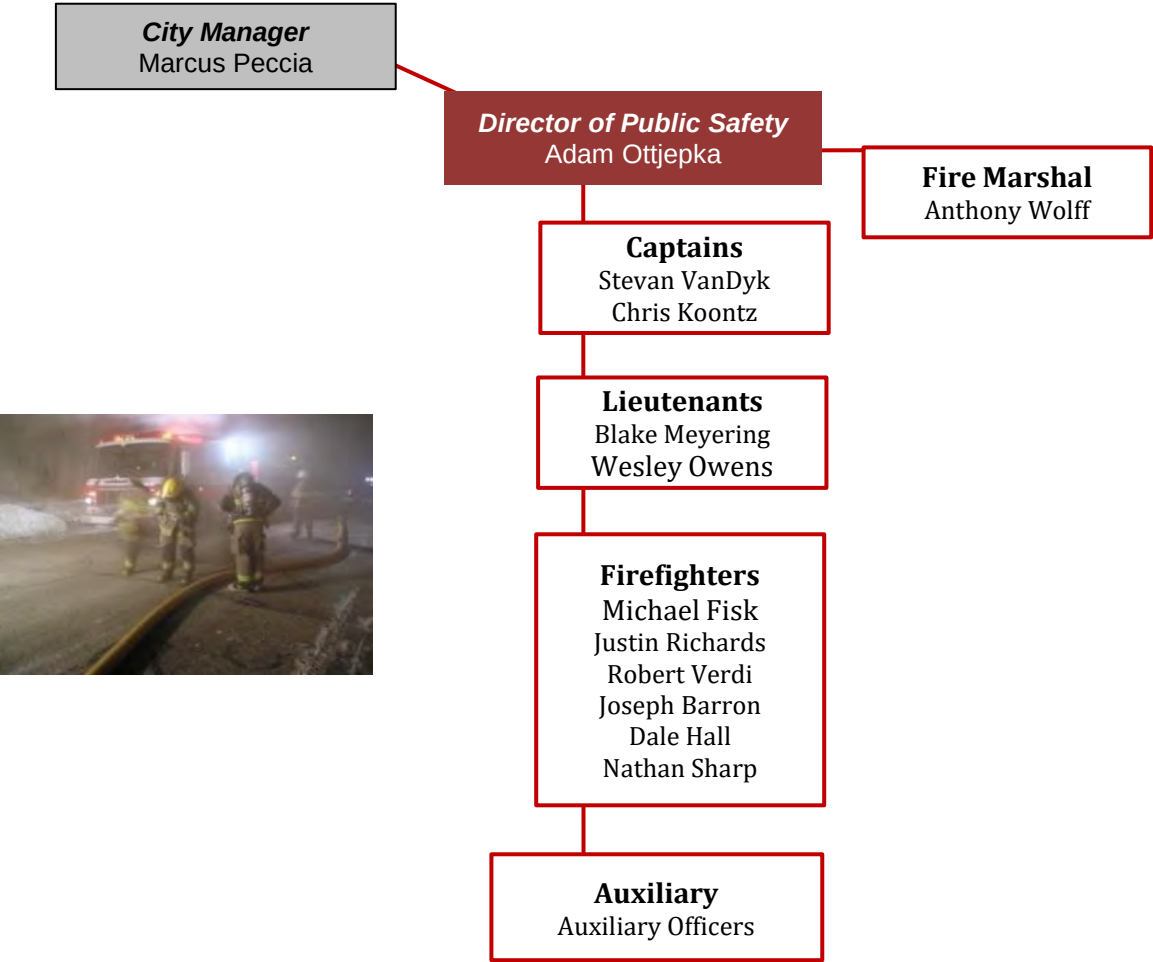
The Cadillac Fire Department uses a capable and well-trained staff of 11 full-time firefighters and 9 part-time firefighters to provide 24-hour fire protection to the City of Cadillac and Clam Lake Township. In addition to their fire fighting duties and in conjunction with the City's rental housing ordinance, the firefighters conduct periodic rental housing inspections designed to help prevent fires. The rental program requires that all rental property be inspected for building, electrical, mechanical, and housekeeping deficiencies and must have their rental certificate renewed every three years through a passing inspection.

PERFORMANCE MEASURES - FIRE DEPARTMENT

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Total calls for service		2,500	2,334	2,500	2,500	↔
Number of Medical Emergency Responses		1,950	1,790	1,800	1,800	↓
Number of Fires reported		37	51	40	40	↔
Total Hours Spent in Training		1,936		2,000	2,000	↔
Number of Fire Inspections		337		400	400	↔
Ambulance Runs - In Service Area		1,673	1,536	1,550	1,550	↔
Ambulance Runs - Outside Service Area		258	254	250	250	↓
Operating Cost per Fire Fighter		\$164,636	\$162,984	\$171,955	\$174,573	↑

Fund: General Fund

FIRE DEPARTMENT CHART OF ORGANIZATION



Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>PUBLIC SAFETY (Cont.)</u>				
Fire Department				
Salaries - Full-Time Staff	\$739,054	\$750,000	\$765,000	\$802,500
Salaries - FLSA Overtime	46,970	49,000	48,000	51,000
Salaries - Overtime	159,969	200,000	125,000	125,000
Salaries - Volunteer	16,128	13,000	15,000	15,000
Fringes	670,152	695,000	680,000	726,000
Office Supplies	199	1,500	2,000	2,000
Operating Supplies	25,021	26,000	30,000	30,000
Operating Supplies-Community Service	(439)	1,000	1,000	1,000
Marshal Division Expenses	1,050	3,000	5,000	3,000
Fuel Costs	8,620	11,000	11,000	10,000
Uniform Cleaning	4,598	4,000	5,000	5,000
Subsistence Allowance	24,385	20,000	20,000	20,500
Data Processing	28,500	30,300	30,300	37,600
Dues & Publications	348	1,500	2,500	1,500
Radio & Equipment Maintenance	912	5,500	6,000	6,000
Telephone	1,484	1,500	2,000	2,000
Travel & Education	21,104	11,000	15,000	15,000
Vehicle Repair & Maintenance	27,985	45,000	40,000	40,000
Vehicle Preventive Maintenance	7,463	6,000	10,000	10,000
Uniforms & Maintenance	9,323	12,000	12,000	12,000
Employee Safety	0	5,200	5,200	5,200
Capital Outlay	50,366	262,000	262,000	0
Total Fire Department	\$1,843,192	\$2,153,500	\$2,092,000	\$1,920,300

<u>FIRE DEPARTMENT MEASURES</u>				
Full-Time Positions	11.500	11.500	11.500	11.500
Part-Time Positions	17.000	18.000	18.000	18.000
Cost per Resident	\$178.00	\$207.97	\$202.03	\$185.45

TOTAL PUBLIC SAFETY	\$4,711,388	\$4,916,200	\$4,938,200	\$4,915,100
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<u>TOTAL PUBLIC SAFETY MEASURES</u>				
Full-Time Positions	28.450	28.450	28.450	28.500
Part-Time Positions	33.000	34.000	34.000	34.000
Cost per Resident	\$454.99	\$474.77	\$476.89	\$474.66
% of General Fund Budget	49.58%	47.44%	48.85%	50.41%

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>PUBLIC WORKS</u>				
Engineering Services				
Contractual Services	\$68,821	\$90,000	\$50,000	\$70,000
Data Processing	6,100	0	0	0
Total Engineering Services	\$74,921	\$90,000	\$50,000	\$70,000

<i>ENGINEERING SERVICES DEPARTMENT MEASURES</i>				
Full-Time Positions	0.00	0.00	0.00	0.00
Part-Time Positions	0	0	0	0
Cost per Resident	\$7.24	\$8.69	\$4.83	\$6.76

Engineering Services The engineering department, which operates under the direction of the City Manager, is responsible for the planning, design, inspection and testing of the City street construction projects and any other related construction jobs. Beginning in FY2018 when the former City Engineer retired, the City contracts with a private engineering firm to provide City Engineering services. Funds for this arrangement are budgeted in Contractual Services, and are also included in total project costs for various City street construction projects.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>PUBLIC WORKS (Cont.)</u>				
Public Works - Administration				
Salaries	\$38,465	\$35,000	\$25,000	\$23,500
Fringes	28,230	24,000	18,000	16,000
Operating Supplies	1,666	600	500	500
Travel and Education	38	800	3,000	2,000
Street Lighting	99,142	94,000	85,000	90,000
Telephone	1,200	1,400	1,500	1,500
Maintenance of Dam	728	2,000	5,000	3,000
Equipment Rental	12,428	4,000	2,000	3,500
Parking Lots	70,000	0	0	0
Data Processing	0	18,400	18,400	19,100
Hydrant Rental	24,000	24,000	24,000	24,000
Total Public Works - Administration	\$275,897	\$204,200	\$182,400	\$183,100

<u>PUBLIC WORKS - ADMINISTRATION MEASURES</u>				
Full-Time Positions	1.10	1.10	1.10	1.80
Part-Time Positions	0.00	0.00	0.00	0.00
Cost per Resident	\$26.64	\$19.72	\$17.61	\$17.68

Parking Lots - The General Fund began funding 100% of downtown parking lot maintenance operations in FY2024 after the former parking lot assessment that was in place for many years was not renewed. These costs were formerly accounted for in an Enterprise Fund, but will be appropriated in the General Fund moving forward.

Parking Lot Maintenance

Salaries	\$0	\$2,000	\$8,000	\$10,000
Fringes	0	1,300	6,000	7,100
Contractual Services	0	15,000	15,000	15,000
Equipment Rental	0	4,000	5,000	5,000
	0	22,300	34,000	37,100

Parking Lot Snow Removal

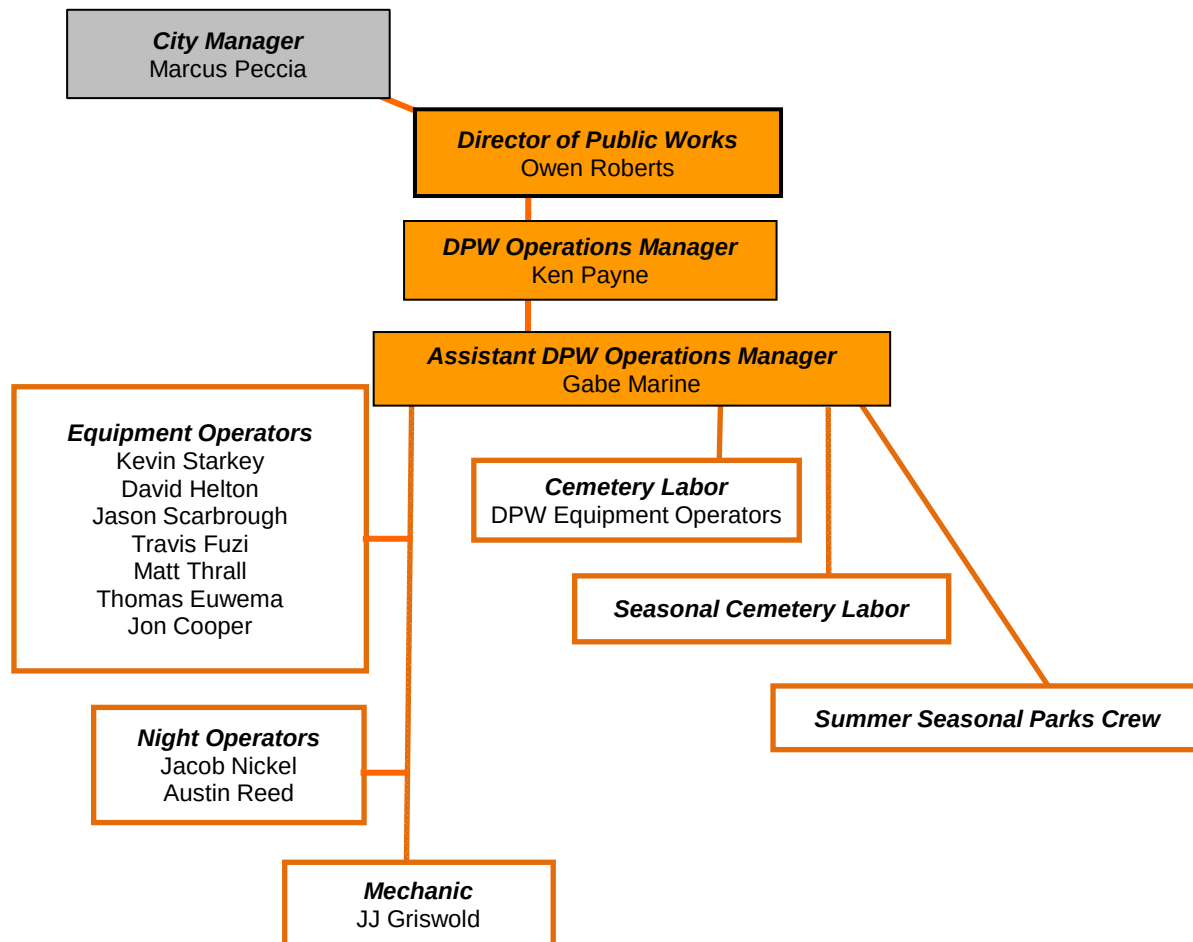
Salaries	0	8,000	8,000	8,000
Fringes	0	6,000	6,000	6,000
Operating Supplies	0	1,000	1,500	1,500
Equipment Rental	0	28,000	16,000	16,000
	0	43,000	31,500	31,500

Parking Lot Snow Hauling

Salaries	0	11,000	6,000	8,000
Fringes	0	8,500	4,500	5,700
Equipment Rental	0	35,000	15,000	15,000
	0	54,500	25,500	28,700

Total Parking Lots

	\$0	\$119,800	\$91,000	\$97,300
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Fund: General Fund**Public Works Department Structure and Organization****PERFORMANCE MEASURES - PUBLIC WORKS**

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Hours spent on Community Promotions		1,633	2,010	2,400	2,400	↑
Hours spent plowing sidewalks		232	342	240	250	↔
Miles of sidewalks maintained		53	53	53	53	↔

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>PUBLIC WORKS (Cont.)</u>				
Sidewalks and Alleys				
Salaries	\$9,601	\$16,000	\$15,000	\$15,000
Salaries - Part Time	0	0	0	0
Fringes	6,867	12,000	11,200	10,700
Operating Supplies	412	1,500	3,000	1,500
Equipment Rental	45,094	45,000	35,000	35,000
Total Sidewalks and Alleys	\$61,974	\$74,500	\$64,200	\$62,200
Leaves				
Salaries	\$12,480	\$11,000	14,000	\$14,000
Fringes	7,425	9,000	10,400	11,000
Equipment Rental	42,026	25,000	35,000	35,000
Total Leaves	\$61,931	\$45,000	\$59,400	\$60,000
Grass and Weed Control				
Salaries	\$11,587	\$10,000	\$8,500	\$10,500
Fringes	6,956	7,000	6,000	7,100
Equipment Rental	30,531	25,000	22,000	25,000
Total Grass and Weed Control	\$49,074	\$42,000	\$36,500	\$42,600
Composting				
Salaries	\$1,359	\$2,000	\$3,000	\$3,000
Fringes	885	1,200	2,200	2,300
Equipment Rental	5,417	4,000	4,000	5,000
Total Composting	\$7,661	\$7,200	\$9,200	\$10,300

Sidewalks This account reflects the maintenance costs for the City-owned sidewalks and the plowing of alleys. In 1998, the city began a special assessment sidewalk replacement project to upgrade severely deteriorated sidewalks throughout the city. This program was last undertaken in FY2009 and will have to be evaluated again soon.

Leaf Pick-Up Many tree-lined streets adorn the City adding to the beauty but also requiring a large cleanup effort during the fall. Burning of leaves is prohibited and residents are required to purchase special bags to provide an economical way to remove the leaves from private property. The State of Michigan has legislated that no leaves or grass clippings can be deposited in any Michigan landfills.

Grass and Weed Control The City has an ordinance prohibiting noxious weeds. Periodically throughout the summer, crews will mow areas that are in violation of this ordinance. Grass and Weed Control is for maintaining city right of way and city owned lots as well as privately owned lots which are in violation of ordinance.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>PUBLIC WORKS (Cont.)</u>				
Waste Removal				
Salaries	\$1,071	\$2,400	\$1,000	\$1,000
Fringes	838	0	600	600
Removal Contract	728,390	780,000	780,000	825,000
Equipment Rental	774	900	500	500
Total Waste Removal	\$731,073	\$783,300	\$782,100	\$827,100
TOTAL PUBLIC WORKS	\$1,262,531	\$1,366,000	\$1,274,800	\$1,352,600
Public Works per Resident Costs	\$121.92	\$131.92	\$123.11	\$130.62

Waste Removal This group of accounts reflects the solid waste contract. The current contract is with Republic Services. The contractor serves approximately 3,300 customers weekly with curbside pickup. The City also contracts with Ms. Green to provide bi-weekly recycling services. The City does the billing and collects from the customers and reimburses the contractor. In addition the contractor offers a Tidy Tote garbage can for a fee of \$2.10 per month of which the City gets \$0.45 for a collection fee. About 2,800 customers take advantage of this on a monthly basis. Rate adjustments are finalized in April based on inflationary indexes and effective on the first day of the new fiscal year.

MONTHLY CONTRACT FEES				
Fiscal Year	Refuse	Recycling	Total	Increase
2018	\$8.54	\$2.40	\$10.94	3.99%
2019 (1)	\$10.00	\$2.53	\$12.62	15.36%
2020	\$10.55	\$2.58	\$13.13	4.04%
2021	\$10.82	\$2.55	\$13.36	1.75%
2022	\$11.10	\$2.71	\$13.73	2.77%
2023 (2)	\$13.02	\$3.42	\$16.44	19.74%
2024	\$13.20	\$3.43	\$16.63	1.16%
2025	\$13.54	\$3.52	\$17.06	2.59%
2026	\$13.89	\$3.53	\$17.42	2.11%
2027 (3)	\$14.85	\$3.76	\$18.61	6.83%

- (1) The City approved a four-year extension for recycling and solid waste.
 (2) Contracts extended 5 years.
 (3) Projected; pending final inflation indexes.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>CULTURE AND RECREATION</u>				
Arts Council	\$10,500	\$15,500	\$15,500	\$16,000
Cadillac Community Television (CCTV)				
Contractual Services	25,000	30,000	30,000	30,000
Telephone and Internet	0	6,000	8,000	8,000
Total CCTV	\$25,000	\$36,000	\$38,000	\$38,000

Arts Council The City contributes funds to the local Arts Council to assist in programming. They support a number of different organizations. Revenues from the various events as well as donations produce enough to offset most of the costs and the City is asked to contribute a portion of the remaining balance. The Arts Council is established by a City Ordinance, but operates independently with its own board.

Cadillac Community Television (CCTV) Beginning July 1, 2010 the City assumed responsibility for the operation of the local PEG channels. These operations were formerly overseen by Cadillac Area Public Schools (CAPS). The Wexford-Missaukee Intermediate School District has played an important role by providing educational classes in production and other TV-related fields.

In early 2016 the City contracted with the Wexford-Missaukee Intermediate School District (ISD) to have the ISD take over the operations of the channels. The partnership with the ISD will enhance the operations of the channels and will give local students increased opportunities to gain experience in this field as well. It is expected that the ISD will maintain a contractual relationship with a third party contractor to perform much of the day to day responsibility of operating the channels.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Parks				
Salaries	\$50,041	\$57,000	\$57,000	\$59,000
Salaries - Part Time	84,014	70,000	70,000	75,000
Fringes	44,886	57,000	57,000	58,000
Operating Supplies	13,630	25,000	25,000	25,000
Utilities	37,679	45,000	40,000	45,000
Repair and Maintenance	48,518	40,000	40,000	45,000
Equipment Rental	43,511	32,000	35,000	40,000
Data Processing	1,200	1,300	1,300	1,700
Contractual Services	19,241	15,000	25,000	25,000
Rental Building	0	1,500	1,500	1,500
Capital Outlay	11,898	25,000	33,000	10,000
Total Parks	\$354,618	\$368,800	\$384,800	\$385,200
TOTAL CULTURE AND RECREATION	\$390,118	\$420,300	\$438,300	\$439,200
Cost per Resident	\$37.67	\$40.59	\$42.33	\$42.41

Municipal Parks The Department of Public Works is responsible for maintaining four City Parks, totaling 117 acres. This work is performed by approximately nine summer students, and DPW personnel. The scope of the work includes spring cleanup, summer lawn maintenance, inspection and repair of playground equipment, cleaning of all bathrooms, landscape work, fall leaf collection, and winter storage of tables and equipment.

PERFORMANCE MEASURES - PARKS AND RECREATION

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Total Park Acres		117	117	117	117	↔
Total Parks Maintenance Costs		\$379,046	\$342,720	\$343,800	\$375,200	↔
Parks Maintenance Cost per Acre		\$3,240	\$2,929	\$2,938	\$3,207	↔
Parks Maintenance Cost per Resident		\$37	\$33	\$33	\$36	↔
Park Acres per 1,000 Population		11	11	11	11	↔
Seasonal Parks Maintenance Employees		15	15	15	15	↔

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>ECONOMIC DEVELOPMENT AND ASSISTANCE</u>				
Community Development				
Salaries	168,135	174,000	175,000	180,000
Fringes	103,197	138,000	138,000	140,000
Office Supplies	1,613	4,000	5,000	5,000
Contractual Services	0	45,000	45,000	5,000
Data Processing	15,400	17,300	17,300	16,200
Dues & Publications	594	1,800	1,000	1,000
Telephone	2,480	4,000	4,000	4,500
Travel & Education	4,997	6,000	6,000	7,000
Publisher's Costs	4,092	4,200	3,000	5,000
Total Community Development	\$300,508	\$394,300	\$394,300	\$363,700

<u>COMMUNITY DEVELOPMENT MEASURES</u>				
Full-Time Positions	1.650	1.650	1.650	1.650
Part-Time Positions	0.500	0.000	0.000	0.000
Cost Per Resident	\$29.02	\$38.08	\$38.08	\$35.12

Code Enforcement

Salaries	\$41,278	\$45,000	\$41,000	\$45,000
Fringes	30,636	32,000	31,000	35,000
Supplies	16	500	1,500	1,500
Total Code Enforcement	\$71,930	\$77,500	\$73,500	\$81,500

<u>CODE ENFORCEMENT MEASURES</u>				
Full-Time Positions	0.000	0.000	0.000	0.250
Part-Time Positions	0.000	0.000	0.000	0.000
Cost per Resident	\$6.95	\$7.48	\$7.10	\$7.87

Community Development The Community Development department is responsible for the preparation and maintenance of the City Master Plan and for the administration and enforcement of the City's zoning and land division ordinances. The director of the department serves as the secretary of the Zoning Board of Appeals and the Planning Commission and serves as staff liaison to various other committees as necessary. The General Fund is responsible for 45% of the Community Development Director's salary. The remaining portions are funded by other activities of the City. The salary of the Community Development Coordinator is accounted for in this account as well as 20% of the salary of an administrative employee.

Code Enforcement Code enforcement provides funds for enforcing various ordinances related to blight and zoning issues. In FY2025, additional resources were allocated to increase enforcement activities.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>ECONOMIC DEVELOPMENT AND ASSISTANCE (Continued)</u>				
Community Promotions				
Salaries	\$38,083	\$48,000	\$30,500	\$40,000
Fringes	23,139	30,000	19,400	25,000
Operating Supplies	7,077	10,000	12,000	10,000
Contractual Services	1,020	4,000	2,500	5,000
Utilities	767	2,000	3,000	3,000
Equipment Rental	19,317	40,000	25,000	25,000
Special Projects	2,500	1,000	2,500	2,500
Chamber of Commerce	2,000	2,000	2,000	2,000
Community Development	75,691	300,000	85,000	5,000
Total Community Promotions	\$169,594	\$437,000	\$181,900	\$117,500
TOTAL ECONOMIC DEVELOPMENT	\$542,032	\$908,800	\$649,700	\$562,700
<u>INTERGOVERNMENTAL EXPENDITURES</u>				
Airport	33,000	33,000	33,000	35,000
Recreation	45,326	40,000	66,200	50,000
Total Intergovernmental Expenditures	\$78,326	\$73,000	\$99,200	\$85,000

Community Promotions The Community Development line item accounts for small grants received for a variety of purposes. This has included projects like assisting with the redevelopment of the Cobbs-Mitchell building in downtown Cadillac through the administration of a State of Michigan Cool Cities grant, which was passed through to the developer that acquired the facility to help offset construction costs.

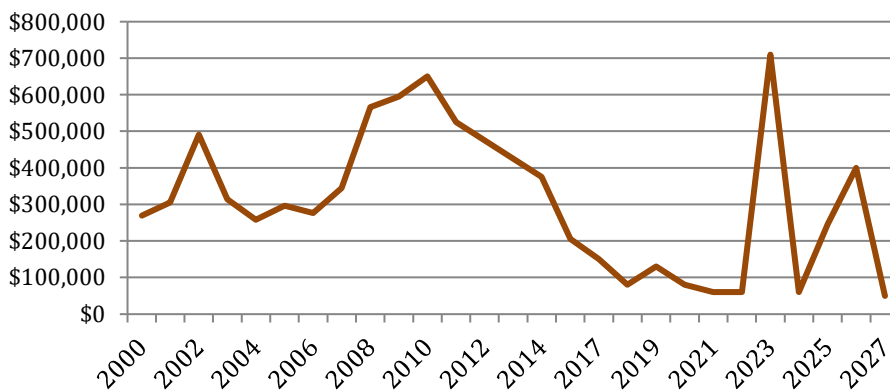
Intergovernmental Expenditures Funds are transferred to the Wexford County Airport, which is a joint effort with Wexford County. The County funds 60% and the City funds the remaining 40% of costs after the operational revenues are considered. Recreation is a joint program with the Cadillac Community School system which provides many opportunities for all age groups.

Fund: General Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>OTHER FINANCING</u>				
Transfers to Other Funds:				
Local Street	\$245,000	\$400,000	\$400,000	\$50,000
Cemetery Operating Fund	100,000	100,000	100,000	100,000
Transfer Out-Other	56,972	36,000	36,000	6,000
Transfer Out-Lake Treatment	80,000	65,000	65,000	65,000
Total Other Financing	\$481,972	\$601,000	\$601,000	\$221,000
TOTAL EXPENDITURES	\$9,501,979	\$10,363,300	\$10,108,500	\$9,749,500

Local Street Contribution

Local Street Operations Contribution
Since 2000



The transfer from the General Fund to the Local Street Fund to help fund local street maintenance steadily declined 2010-2021 as a result of increases in vehicle registration fees, gas taxes, and two debt issues by the City to fund street construction projects. However, dramatic increases in construction costs are putting new pressure on the General Fund. A special appropriation was made in FY2023 to transfer additional funds for major construction projects.

Comparable City	Population	2026 General Fund Budget	Per Capita Expenditures
Manistee	6,241	\$8,269,099	\$1,324.96
Big Rapids	8,565	\$12,727,400	\$1,485.98
Alpena	10,116	\$14,811,133	\$1,464.13
Traverse City	15,782	\$26,276,200	\$1,664.95
Sault St. Marie	13,288	\$16,194,500	\$1,218.73
Coldwater	14,314	\$13,746,666	\$960.37
Sturgis	11,030	\$12,307,561	\$1,115.83
CADILLAC	10,521	\$9,743,000	\$926.05

Fund: General Fund

General Fund Capital Outlay

FY2027

City Hall

*No projects scheduled	<u>\$0</u>	\$0
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Police Department

Police Patrol Vehicle	\$80,000	
Sidearm Replacements	<u>\$16,000</u>	\$96,000

Fire Department

*No projects scheduled	<u>\$0</u>	\$0
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Parks and Recreation

Riding Mower	<u>\$10,000</u>	\$10,000
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Total	<u><u>\$106,000</u></u>	
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Source of Funds

General Governmental Reserves	\$106,000	
	<u><u>\$106,000</u></u>	

Footnotes:

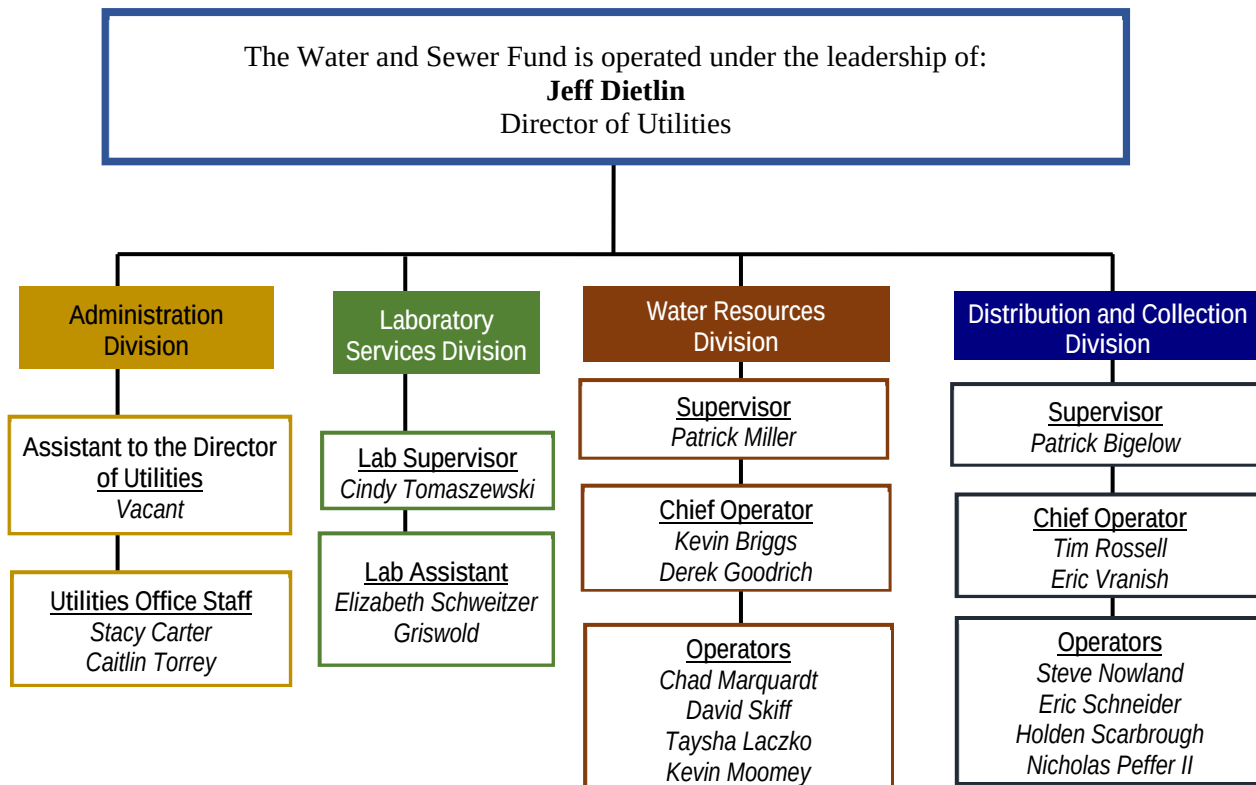
Capital Outlay is further explained at the beginning of the General Fund budget section, and in the Capital Improvement section found later in the budget document.

Fund: Water and Sewer Fund**Type:** Enterprise Fund**Oversight:** Director of Utilities**Nature and Purpose:**

The Water and Sewer Fund combines the activities of the Utilities Department into one fund for budgetary and accounting purposes. The purpose of the fund is to record the operations of combined Water and Sewer Systems. The nature of the fund is self-supporting, meaning it does business with individuals and firms outside the local unit departments and is therefore classified as an enterprise fund. A distinguishing feature of this fund is that fixed assets are recorded within the fund and depreciation is charged. The Cadillac City Charter dictates that user rates within the water and sewer systems must be set at a level that will meet all costs of the utilities.

Section 16.4 of the City Charter states, "The Council shall have the power to fix from time to time, such just and reasonable rates and other charges as may be deemed advisable for supplying the inhabitants of the city and others with such public utility services as the city may provide. The rates and charges of any municipal public utility for the furnishing of public utility services shall be so fixed as to at least meet all the costs of such utilities. There shall be no discrimination in such rates within any classification of users thereof, nor shall free service be permitted, but higher rates may be charged for service outside the city limits."

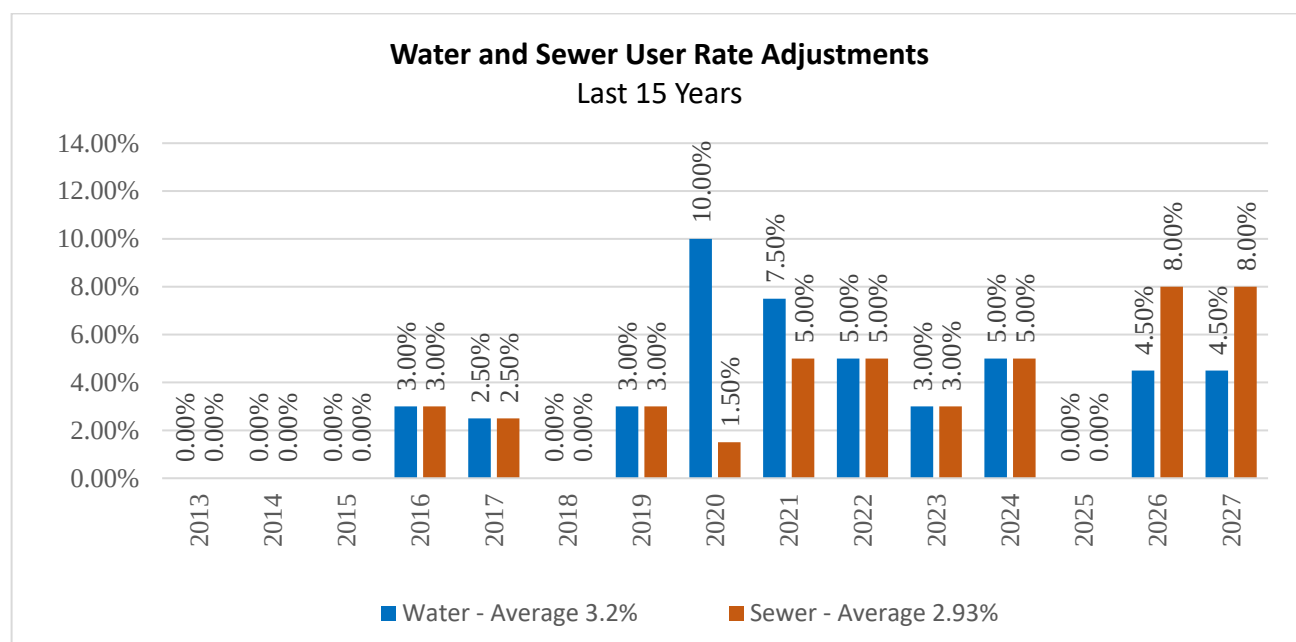
Utilities Department Structure There are four operating sections within the Utilities Department. The structure of the department and these four distinct sections is as follows:



Fund: Water and Sewer Fund

User Rates and Charges Rates for water and wastewater treatment are analyzed each year during the budget process. An outside professional has been assisting the City with a thorough analysis of rates. Because of cost increases outside of the City's control, this outside analysis confirmed the need for a series of above-normal increases in sewer rates, and consistent level of water rate increases to keep up with required system maintenance and upgrades. Rate increases are recommended in partnership with close analyses of system costs.

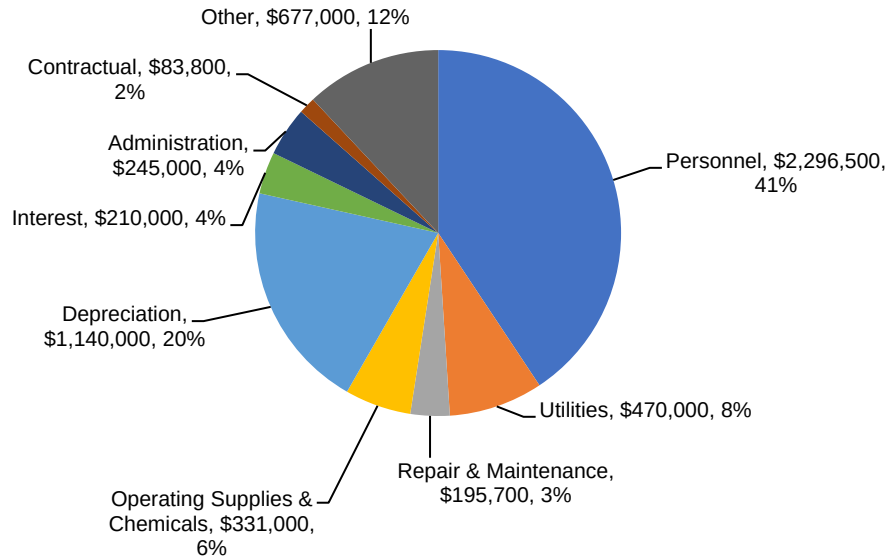
Rate changes must be made by an ordinance that is passed by the City Council. The process to pass an ordinance provides the opportunity for at least two public comment periods, including a formal public hearing at a City Council meeting. Once passed, the new rates typically go into effect on the first day of a new fiscal year – July 1. A 15-year history of rate adjustments is presented below.



Note: FY2027 increase is proposed and must be approved by City Council.

Rate Comparisons The City pays close attention to a regional rate comparison study updated every few years by a private engineering firm. The latest version of the study from 2025 by Gosling Czubak Engineering Sciences, Inc is a valuable tool to compare Cadillac's rates versus systems in the region. The study was based on about 30 communities in Cadillac's general region – the northern lower and eastern upper peninsulas of the state. The study reported that the typical monthly water bill was \$33.15, and the typical monthly sewer bill was \$51.30 for a total of \$84.45 per month. By contrast, the typical monthly water bill in Cadillac was just \$19.96, and the typical monthly sewer bill in Cadillac was \$30.71 per month for a total of \$50.67 which was \$33.78 – or 40% - below the typical bill reported in the study.

At the time of the study, Cadillac's typical bill was **6th lowest** out of 27 water system respondents to the survey, and **7th lowest** out of 30 sewer system respondents. This is important context for annual decisions related to water and sewer rates.

Fund: Water and Sewer Fund**Water & Sewer Fund - Expenses by Type**

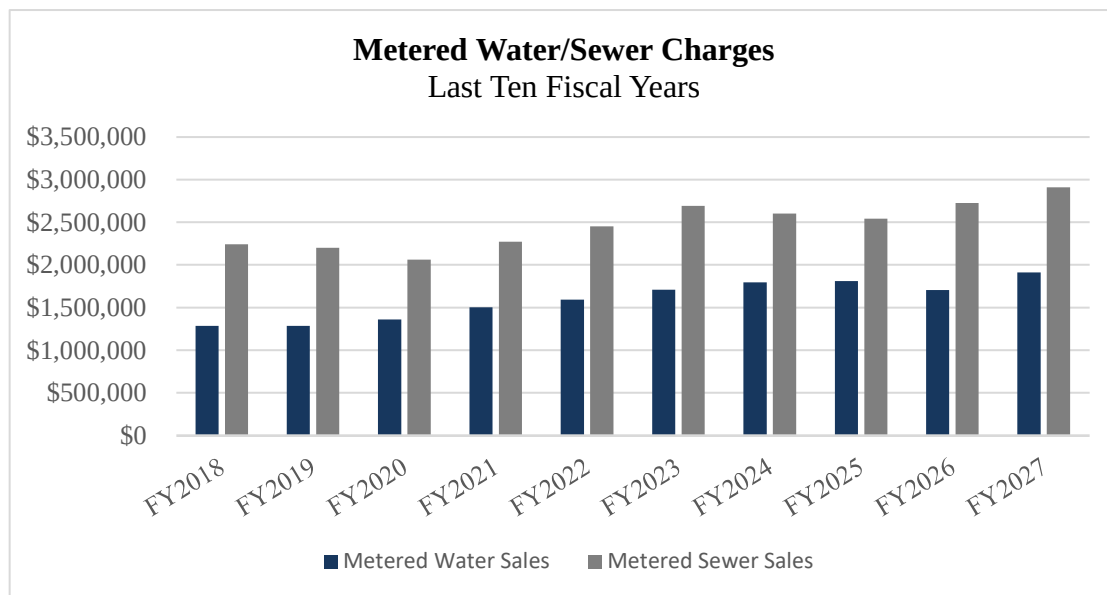
Staffing The Utilities Department has 22 full-time employees and employs up to 5 seasonal employees in the summer months. Many of these employees are required to carry licenses issued by the State of Michigan. These licenses require rigorous testing and the City is fortunate to have licensed staff throughout the department. In order to sign various permits and other documents, the department must have at least one employee with the highest level of State licensing to manage the systems. Utilities Director Jeff Dietlin has these required licenses.

Loan Funding/Interest Expense - Debt Service requirements increased in the last several years due to the City using bond financing to fund the final phase of the well field relocation project. All debt issued in this fund is for the purpose of upgrading water and sewer equipment and infrastructure. There are four outstanding debt issues, including:

Issue	Outstanding	Current Principal	Current Interest
2007 State of Michigan (Sewer)	\$660,205	\$220,000	\$8,941
2011 State of Michigan DWRF (Water)	828,856	130,000	20,722
2013 Revenue Refunding (Combined)	370,000	370,000	4,995
2021 State of Michigan DWRF (Water)	8,368,027	243,680	178,516
	\$10,227,088	\$963,680	\$213,174

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Water Sales	\$1,811,567	\$1,705,000	\$1,950,000	\$1,915,000
Sewer Sales - Flat Rate	48,603	53,000	50,000	56,000
Sewer Sales - Metered	2,541,811	2,725,000	2,775,000	2,910,000
Fire Protection	148,272	156,000	150,000	161,000
Hydrant Rental	24,000	24,000	24,000	24,000
Charges for Services	33,306	34,000	35,000	35,000
Services & Materials	15,484	32,000	30,000	30,000
Penalties	82,982	75,000	65,000	75,000
Interest Income	33,831	33,000	30,000	30,000
Sale of Surplus Material	0	2,000	5,000	5,000
Lake Mitchell Sewer Authority	253,017	263,000	250,000	280,000
Leachate	10,855	12,000	15,000	13,000
Laboratory Fees	100,173	100,000	85,000	100,000
Gain (Loss) on Sale of Assets	861	0	0	0
Other Income	406,883	2,000	5,000	5,000
Total Revenues	\$5,511,645	\$5,216,000	\$5,469,000	\$5,639,000



Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses</u>				
Total Administration	\$1,607,593	\$1,437,900	\$1,462,400	\$1,527,700
Water Resources				
Preliminary Treatment	\$50,960	\$52,700	\$49,600	\$59,800
Primary Treatment	39,764	39,900	39,300	48,300
Secondary Treatment	122,479	129,000	119,700	132,200
Tertiary Treatment	105,944	99,500	96,200	107,500
Sludge Removal	162,432	178,500	172,300	187,000
Nutrient Removal	112,828	131,400	85,600	106,200
Effluent Disposal	80,853	90,500	82,400	94,100
Building & Grounds	307,491	337,000	319,200	341,600
Industrial Surveillance	47,802	82,000	39,300	71,000
Lift Station-Sanitary	137,527	142,500	121,000	135,300
Vehicles	24,655	30,500	39,700	41,500
Total Water Resources	\$1,192,735	\$1,313,500	\$1,164,300	\$1,324,500
Distribution and Collection				
Building & Water Tank	\$41,682	\$61,000	\$49,100	\$56,400
Pumping Station	285,022	301,000	272,500	276,800
Wells & Well Field	56,774	87,000	104,600	105,000
General Street Expense	15,791	19,400	36,900	32,100
Meter Reading & Delinquent Accounts	28,155	36,000	28,700	31,800
Meter Operations & Maintenance	257,782	302,500	280,500	297,000
Customer Service	61,184	32,500	41,500	44,000
Maintenance-Mains & Hydrants	94,438	107,000	156,100	159,500
New Water Service	9,683	20,000	23,400	25,900
Water Service Maintenance	45,353	49,000	21,600	34,000
Sanitary Sewer	89,150	82,000	151,000	162,900
Vehicles	31,313	43,500	51,200	52,200
Total Distribution and Collection	\$1,016,327	\$1,140,900	\$1,217,100	\$1,277,600
Laboratory Division				
General Laboratory	\$81,225	\$76,500	\$86,000	\$90,500
Contract Laboratory	50,659	62,500	59,900	65,200
Total Laboratory Division	\$131,884	\$139,000	\$145,900	\$155,700
Total Non-Operating	\$1,426,451	\$1,365,000	\$1,380,000	\$1,350,000
Total Expenses	\$5,374,990	\$5,396,300	\$5,369,700	\$5,635,500
NET POSITION AT YEAR END				
Change in Net Position	\$136,655	(\$180,300)	\$99,300	\$3,500
Total Net Position - Beginning of Year	16,507,293	16,643,948	16,643,948	16,463,648
Total Net Position at Year End	\$16,643,948	\$16,463,648	\$16,743,248	\$16,467,148

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses</u>				
Administration				
Salaries and Wages	\$506,787	\$450,000	\$487,500	\$522,500
Fringes	440,980	352,000	363,200	375,000
Office Supplies	11,812	13,000	12,500	13,500
Postage	22,016	25,000	25,000	26,000
Safety Supplies	4,437	2,500	5,000	5,000
Contractual Services	95,263	14,000	15,000	15,000
Engineering Fees	42,696	75,000	30,000	37,000
Audit	5,000	5,000	5,000	5,000
G.I.S. Contractual Services	808	4,000	5,000	5,000
Legal Fees	4,706	12,000	30,000	30,000
State Mandated Fees	23,727	24,000	24,000	24,000
Data Processing	56,800	67,700	60,200	67,700
Liability Insurance	72,500	75,000	75,000	75,000
Dues & Publications	2,995	4,000	5,500	5,500
Telephone	9,055	9,000	10,000	10,000
Alarm Systems	4,753	4,600	4,500	4,500
Travel & Education - Salary	2,877	10,500	8,500	10,000
Travel & Education - Hourly	4,968	8,000	10,500	11,000
Vehicle Repair & Maintenance	73	600	1,000	1,000
Employee Safety	4,000	4,000	5,000	5,000
Administration - City	245,000	245,000	245,000	245,000
Public Relations	46,340	33,000	35,000	35,000
Total Administration	\$1,607,593	\$1,437,900	\$1,462,400	\$1,527,700

Cost and Expense Analysis

Administration This account addresses the assistance given to this fund by other administrative and management personnel of the City. This includes the cashier, accountant, city manager, and other portions of employees' time that is directly related to work with the utilities system.

Fund: Water and Sewer Fund**PERFORMANCE MEASURES - WATER RESOURCES DIVISION**

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Number of Customers - Sewer		3,622	3,629	3,625	3,625	↔
Miles of Sewer Main		51	51	51	51	↔
Number of Water Resources FTE		7	7	7	7	↔
Water Resources service connections per FTE		517	518	518	518	↔
Millions of Gallons Treated per Day		1.759	1.759	1.770	1.770	↑
Industrial Monitoring and Pretreatment Discharge permits		20	20	20	20	↔
Rate Increase - Sewer		5.00%	0.00%	8.00%	8.00%	↑
Number of NPDES Permit Violations		3	3	0	0	↓

Water Resources Division Responsibilities:

- * Lift station operation and maintenance
- * Industrial pretreatment program
- * Biosolids management program
- * Floor drain inspection program
- * Groundwater treatment plant operation
- * Operation and maintenance of the City of Cadillac's wastewater treatment plant. The plant reclaims the used water of City residents, businesses and industries before discharge to the Clam River. The treatment plant is regulated by the Michigan Department of Natural Resources and staffed by state licensed operators.

Objective:

To treat and reclaim nearly two million gallons of water used by our city and sewer service areas each day.

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Water Resources Division:				
Preliminary Treatment				
Salaries and Wages	\$20,662	\$21,000	\$18,200	\$23,500
Fringes	14,394	14,000	12,000	16,000
Operating Supplies	648	200	800	1,000
Utilities	3,239	3,500	3,300	4,000
Disposal Costs	11,209	11,000	12,000	12,000
Repair & Maintenance	808	3,000	3,300	3,300
Total	\$50,960	\$52,700	\$49,600	\$59,800
Primary Treatment				
Salaries and Wages	\$22,135	\$22,500	\$22,000	\$27,000
Fringes	15,222	15,000	14,500	18,500
Operating Supplies	235	400	800	800
Repair & Maintenance	2,172	2,000	2,000	2,000
Total	\$39,764	\$39,900	\$39,300	\$48,300
Secondary Treatment				
Salaries and Wages	\$23,064	\$21,000	\$20,800	\$26,000
Fringes	15,867	14,000	13,700	18,000
Operating Supplies	591	1,000	1,200	1,200
Utilities	80,984	86,000	80,000	83,000
Repair & Maintenance	1,973	7,000	4,000	4,000
Total	\$122,479	\$129,000	\$119,700	\$132,200

Cost and Expense Analysis

Preliminary Treatment Preliminary treatment includes the flow equalization tank, detritor and grit removal. Flow equalization averages the normal 24 hour variances in wastewater flow. By reducing the peak flow, the plant can treat a higher daily average flow.

Primary Treatment Primary treatment covers the operation of the primary treatment tanks and related sludge pumping. The primary process removes 30 to 40% of the pollutants in the wastewater.

Secondary Treatment Secondary treatment includes aeration tanks with fine bubble diffusers that have air supplied by centrifugal blowers, secondary clarifiers, and a return sludge system. Primary effluent flows in the aeration tanks where it is mixed with return sludge that provides the bacteria for treatment. After eight hours of aeration, the mixed liquor is settled in the secondary clarifiers, then returned to the aeration tanks to continue the cycle. The secondary treatment process provides 85-90% removal of pollutants.

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Water Resources Division (Cont.)				
Tertiary Treatment				
Salaries and Wages	\$22,746	\$25,000	\$20,300	\$26,000
Fringes	15,757	15,000	13,400	18,000
Operating Supplies	7,534	4,000	4,000	4,000
Utilities	43,407	45,000	50,000	50,000
Repair & Maintenance	16,500	10,500	8,500	9,500
Total	\$105,944	\$99,500	\$96,200	\$107,500
Sludge Treatment				
Salaries and Wages	\$28,543	\$27,000	\$26,700	\$31,000
Fringes	19,401	18,500	17,600	21,000
Operating Supplies	2,012	2,000	2,000	2,000
Laboratory	8,103	8,500	10,000	10,000
Injection Contract Cost	75,483	90,000	90,000	95,000
Utilities	21,485	25,000	21,000	23,000
Repair & Maintenance	7,405	7,500	5,000	5,000
Total	\$162,432	\$178,500	\$172,300	\$187,000
Nutrient Removal				
Salaries and Wages	\$18,415	\$21,000	\$17,100	\$23,000
Fringes	12,769	15,000	11,300	16,000
Operating Supplies	47	400	700	700
Chemicals	79,798	75,000	50,000	60,000
Repair & Maintenance	1,799	20,000	6,500	6,500
Total	\$112,828	\$131,400	\$85,600	\$106,200

Cost and Expense Analysis

Tertiary Treatment Tertiary treatment includes screw pumps and sand filters. The secondary effluent is lifted by the pumps about 18 feet into the Rotating Biological Contractors (RBC) system. The average pollutant removal after tertiary treatment is greater than 97%.

Sludge Treatment and Disposal The sludge treatment process includes sludge pumps, a 325,000 gallon primary digester, a 325,000 gallon secondary digester, a 550,000 gallon sludge storage tank, and 675,000 gallon storage tank. Sludge, or bio-solids, is the residual solid produced during the wastewater treatment process. The solids are first pumped into the primary digester which is heated to 95 degrees F where most organic matter is reduced in an anaerobic environment. A useable methane gas is produced (8,500,000 cf per year) along with about two million gallons of treated bio-solids for application to agricultural farm land as fertilizer. The fertilizer injections are done under contract.

Fund: Water and Sewer Fund**Cost and Expense Analysis**

Nutrient Removal Nutrient removal consists of phosphorus and ammonia removal from the wastewater. Both compounds are fertilizers that would promote weed growth and eutrophication of the receiving stream if discharged in excessive amounts. Phosphorus is removed by the addition of ferric chloride. The majority of ammonia is converted in the secondary treatment process. Any remaining ammonia is converted to nitrate by microbes that oxidize the ammonia as the water passes through the RBC's.

Buildings and Grounds Buildings and Grounds includes the maintenance and operations of the buildings and grounds at the wastewater treatment plant. The operation and maintenance of the Lift Station buildings and grounds are also included. Water usage in the past few years has not been constant, with significant increases and decreases despite a relatively constant number of users. Much of this can be attributed to factors such as changes in industrial processes which would affect water consumption, or even the weather. Actual water usage per person in Cadillac is approximately 70 gallons per day.

*Wastewater Treatment Facility***Water and Sewer System - 15 Largest Users**

<u>Customer</u>	2025 Usage and Billing				
	Cubic Feet		Gallons		Total Billing
	<u>Water</u>	<u>Sewer</u>	<u>Water</u>	<u>Sewer</u>	
Cadillac Castings	6,949,900	5,906,900	51,985,252	44,183,612	\$457,903
Avon Rubber & Plastics	8,282,700	7,671,800	61,954,596	57,385,064	\$350,647
AAR Cadillac Manufacturing	16,539,800	6,507,100	123,717,704	48,673,108	\$342,040
Cadillac Renewable Energy	16,030,100	2,434,400	119,905,148	18,209,312	\$263,884
Piranha Hose	3,537,100	3,537,100	26,457,508	26,457,508	\$151,600
Munson Healthcare	1,407,900	1,407,900	10,531,092	10,531,092	\$87,449
Pheasant Ridge	989,700	989,700	7,402,956	7,402,956	\$54,100
Country Acres	1,119,100	1,119,100	8,370,868	8,370,868	\$53,646
Borg-Warner	980,500	980,500	7,334,140	7,334,140	\$47,435
Hutchinson Antivibration	762,200	762,200	5,701,256	5,701,256	\$42,485
Lakeside Auto Wash	717,200	717,200	5,364,656	5,364,656	\$32,864
Leisure Park	573,000	573,000	4,286,040	4,286,040	\$27,367
Four Winns	165,000	165,000	1,234,200	1,234,200	\$16,632
Rexair, Inc.	87,500	87,500	654,500	654,500	\$11,744
Superclean Car Wash	209,100	209,100	1,564,068	1,564,068	\$11,432
	58,350,800	33,068,500	436,463,984	247,352,380	\$1,951,228

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Water Resources Division (Cont.)				
Effluent Disposal				
Salaries and Wages	\$13,163	\$15,000	\$15,000	\$20,000
Fringes	9,136	10,000	9,900	13,600
Operating Supplies	351	2,500	2,500	2,500
Plant Lab Supplies	10,936	16,000	9,500	11,500
Chemicals	0	0	500	500
Contracted Laboratory	30,235	27,000	26,000	26,000
Utilities	16,197	18,000	17,000	18,000
Repair & Maintenance	835	2,000	2,000	2,000
Total	\$80,853	\$90,500	\$82,400	\$94,100
Building & Grounds				
Salaries and Wages	\$138,544	\$147,000	\$144,000	\$155,000
Fringes	76,869	98,000	95,000	105,400
Operating Supplies	29,071	30,000	31,000	31,000
Utilities	45,721	32,000	32,000	32,000
Repair & Maintenance	17,286	30,000	17,200	18,200
Total	\$307,491	\$337,000	\$319,200	\$341,600
Industrial Surveillance				
Salaries and Wages	\$11,913	\$16,000	\$14,000	\$23,000
Fringes	8,142	10,500	9,300	16,000
Operating Supplies	5,116	5,000	6,000	6,000
Laboratory	22,466	50,000	9,000	25,000
Repair & Maintenance	165	500	1,000	1,000
Total	\$47,802	\$82,000	\$39,300	\$71,000

Cost and Expense Analysis

Effluent Disposal Effluent Disposal includes disinfection equipment and tanks. Tertiary effluent flows into a new ultraviolet (UV) process where submerged UV bulbs disinfect the wastewater with ultraviolet energy. This system, constructed in 2003, eliminates the use of chlorine disinfection and sulfur dioxide dechlorination process, but requires increased electrical usage to operate. The treated water is then discharged into the Clam River. The Clam River is monitored at six locations up-stream and down-stream by the Water Resources personnel on a weekly basis.



Industrial Surveillance The Cadillac Utilities Department administers an Industrial Monitoring and Pretreatment (IMP) program. Sample flows are collected from several industrial plants at varying intervals and analyzed for toxic and hazardous substances.

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Water Resources Division (Cont.)				
Lift Station - Sanitary				
Salaries and Wages	\$24,964	\$25,000	\$23,600	\$27,000
Fringes	15,501	17,000	15,600	19,000
Operating Supplies	4,462	7,000	9,000	9,000
Disposal Fees	1,391	1,500	1,300	1,300
Utilities	59,905	62,000	50,000	55,000
Repair & Maintenance	31,304	30,000	21,500	24,000
Total	\$137,527	\$142,500	\$121,000	\$135,300
Vehicles				
Salaries and Wages	\$2,425	\$2,400	\$2,200	\$3,000
Fringes	1,565	1,600	1,500	2,500
Operating Supplies	914	3,000	5,000	5,000
Fuel Costs	15,567	16,000	22,000	22,000
Repair & Maintenance	4,184	7,500	9,000	9,000
Total	\$24,655	\$30,500	\$39,700	\$41,500
Total Water Resources Division	\$1,192,735	\$1,313,500	\$1,164,300	\$1,324,500

Cost and Expense Analysis

Lift Stations Lift stations includes operation and maintenance of the plant lift station, plus five major and six minor lift stations. These facilities are used to lift up sewage by pump from deep sewers to higher points in the gravity system so that it can flow to the wastewater treatment plant for treatment.



Vehicles Several vehicles and over-the-road pieces of equipment are used in plant operations, lift station operation and maintenance, and building and grounds maintenance. Costs of maintenance and fuel are included in this department.

Fund: Water and Sewer Fund**PERFORMANCE MEASURES - WATER DISTRIBUTION AND COLLECTION DIVISION**

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Number of Customers - Water		3,594	3,605	3,605	3,605	↔
Miles of Water Main		74	74	74	74	↔
Number of Distribution and Collection FTE		7	7	7	7	↔
Water Service Connections per FTE		513	515	515	515	↔
Millions of Gallons Pumped per Day		1.950	1.950	2.000	2.000	↔
Total Calls for Service		726	726	775	775	↔
Total Calls for Service Per FTE		104	104	111	111	↔
MISS-DIG Responses		596	596	600	600	↔
Meter Repairs		59	59	100	100	↑
New Meter Installations		12	12	15	15	↑
Feet of Sanitary Sewers Cleaned		30,573	30,573	37,000	37,000	↔
Rate Increase - Water		5.00%	0.00%	4.50%	4.50%	↑

Distribution and Collection Division Purpose:

This division is responsible for the operation of the public water system, sanitary sewer system and storm sewer system. The public water system supplies water to approximately 3,500 accounts. These accounts range from domestic users to industrial customers using up to 500,000 gallons of water per day. The water system personnel must be licensed by the Michigan Department of Environment, Great Lakes and Energy (EGLE). The sanitary sewer system collects the wastewater from the users and transports it to the wastewater treatment plant. The storm sewer system collects storm water and transports it to the lakes, rivers, and seepage ponds.

Objective: To supply the water used within the city each day and to maintain the water distribution system, sanitary collection system, and storm water collection system.

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Distribution & Collection Division				
Building & Water Tank				
Salaries and Wages	\$13,419	\$17,000	\$14,500	\$17,500
Fringes	6,822	11,000	9,600	11,900
Operating Supplies	20,741	30,000	23,000	25,000
Repair & Maintenance	700	3,000	2,000	2,000
Total	\$41,682	\$61,000	\$49,100	\$56,400
Pumping Station				
Salaries and Wages	\$6,108	\$8,000	\$6,000	\$7,000
Fringes	4,022	6,000	4,000	4,800
Operating Supplies	7,756	12,000	14,000	14,000
Chemicals	20,010	35,000	25,500	28,000
Laboratory Control	17,590	14,000	16,000	16,000
Utilities	221,606	225,000	205,000	205,000
Repair & Maintenance	7,930	1,000	2,000	2,000
Total	\$285,022	\$301,000	\$272,500	\$276,800
Wells & Well Field				
Salaries and Wages	\$18,857	\$22,000	\$16,000	\$18,000
Fringes	11,519	15,000	10,600	12,500
Operating Supplies	2,695	4,000	4,500	4,500
Wellhead Protection	0	0	15,000	15,000
Contractual Services	21,303	21,000	25,000	25,000
Repair & Maintenance	2,400	25,000	33,500	30,000
Total	\$56,774	\$87,000	\$104,600	\$105,000

Cost and Expense Analysis

Buildings and Water Tank Buildings consist of six well houses that enclose the active wells, one pump station that meters and treats the water, and one supplies garage building. Water storage is provided in a one million gallon elevated storage tank located on the North Street Hill.

Pumping Station The City's pumping station meters and chlorinates in excess of 770 million gallons of water per year. This can fluctuate from year to year due to various circumstances. Vacant homes and idle businesses use little or no water, thereby decreasing total flow in the City's system. The costs of chemicals and utilities are the pumping stations' major costs.

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Distribution & Collection Division (Cont.)				
General Street Expense				
Salaries and Wages	\$1,517	\$1,100	\$1,100	\$1,100
Fringes	885	800	800	1,000
Operating Supplies	182	5,000	10,000	10,000
Contractual Services	13,207	12,500	25,000	20,000
Total	\$15,791	\$19,400	\$36,900	\$32,100
Meter Reading & Delinquent Accounts				
Salaries and Wages	\$18,320	\$21,000	\$17,100	\$18,500
Fringes	9,835	15,000	11,300	13,000
Operating Supplies	0	0	300	300
Total	\$28,155	\$36,000	\$28,700	\$31,800
Meter Operations & Maintenance				
Salaries and Wages	\$124,113	\$160,000	\$140,000	\$148,000
Fringes	78,829	105,000	92,500	101,000
Operating Supplies	54,840	37,500	48,000	48,000
Total	\$257,782	\$302,500	\$280,500	\$297,000
Customer Service				
Salaries and Wages	\$38,974	\$20,000	\$25,000	\$26,000
Fringes	22,210	12,500	16,500	18,000
Total	\$61,184	\$32,500	\$41,500	\$44,000
Maintenance - Mains & Hydrants				
Salaries and Wages	\$51,686	\$42,000	\$63,000	\$64,000
Fringes	24,878	20,000	41,600	44,000
Operating Supplies	8,108	18,000	20,000	20,000
Contractual Services	800	12,000	7,500	7,500
Repairs and Maintenance	8,966	15,000	24,000	24,000
Total	\$94,438	\$107,000	\$156,100	\$159,500

Cost and Expense Analysis

General Street Expense Repairs or maintenance under the City streets are done through the City DPW or other local contractors to replace the street surfaces.

Meter Reading & Delinquent Accounts The utility system bills customers monthly and all meters can be read in one day. The City has upgraded water meters with a new meter remote that allows for automatic meter reading. A number of meters are upgraded or replaced each year as needed.

Maintenance - Mains and Hydrants The City maintains 475 fire hydrants. All fire hydrant records and histories are computerized. The General Fund contributes \$50 per fire hydrant as a ready-to-serve charge. The City replaces water mains annually as streets are torn up to be resurfaced.

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Distribution & Collection Division (Cont.)				
New Water Service				
Salaries and Wages	\$4,644	\$7,000	\$6,400	\$7,800
Fringes	2,566	4,500	4,200	5,300
Operating Supplies	2,135	7,500	11,000	11,000
Contractual Services	338	1,000	1,800	1,800
Total	\$9,683	\$20,000	\$23,400	\$25,900
Water Service Maintenance				
Salaries and Wages	\$27,196	\$25,000	\$10,000	\$16,000
Fringes	17,138	16,000	6,600	11,000
Operating Supplies	1,019	6,000	4,000	5,000
Repair & Maintenance	0	2,000	1,000	2,000
Total	\$45,353	\$49,000	\$21,600	\$34,000
Sanitary Sewer				
Salaries and Wages	\$22,794	\$25,000	\$48,500	\$55,000
Fringes	13,777	15,000	32,000	37,400
Operating Supplies	3,248	8,000	10,000	10,000
Contractual Services	14,328	9,000	9,500	9,500
Damage Contractual Services	16,043	10,000	26,000	26,000
Repair & Maintenance	18,960	15,000	25,000	25,000
Total	\$89,150	\$82,000	\$151,000	\$162,900
Vehicles				
Salaries and Wages	\$264	\$1,000	\$2,200	\$2,200
Fringes	80	500	1,500	1,500
Operating Supplies	969	6,000	7,500	7,500
Fuel & Oil	12,962	16,000	22,000	22,000
Repair & Maintenance	17,038	20,000	18,000	19,000
Total	\$31,313	\$43,500	\$51,200	\$52,200
Total Distribution and Collection	\$1,016,327	\$1,140,900	\$1,217,100	\$1,277,600

Cost and Expense Analysis

Sanitary Sewer This section includes equipment used to clean sanitary sewer, along with the related costs of labor, repairs and maintenance. It also includes costs for outside contractors to do TV inspections. This important maintenance activity has decreased over the last couple of years due to the limited availability of maintenance labor.

Fund: Water and Sewer Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenses (Cont.)</u>				
Laboratory Division				
General Laboratory				
Salaries and Wages	\$35,641	\$32,000	\$35,000	\$37,000
Fringes	18,812	20,000	23,500	25,500
Operating Supplies	24,513	22,000	23,500	23,500
Repair & Maintenance	2,147	1,000	1,700	1,700
Equipment Rental	112	1,000	500	1,000
Research & Development	0	500	1,800	1,800
Total	\$81,225	\$76,500	\$86,000	\$90,500
Contract Laboratory				
Salaries and Wages	\$18,307	\$22,500	\$22,400	\$24,000
Fringes	10,300	15,000	14,800	16,500
Operating Supplies	17,945	22,000	19,000	21,000
Repair & Maintenance	4,107	2,000	2,000	2,000
Equipment Rental	0	500	500	500
Research & Development	0	500	1,200	1,200
Total	\$50,659	\$62,500	\$59,900	\$65,200
Total Laboratory Division	131,884	139,000	145,900	155,700
Non-Operating				
Interest Expense	\$252,080	\$230,000	\$240,000	\$210,000
Depreciation	1,174,371	1,135,000	1,140,000	1,140,000
Total	\$1,426,451	\$1,365,000	\$1,380,000	\$1,350,000
TOTAL EXPENSES	\$5,374,990	\$5,396,300	\$5,369,700	\$5,635,500

Non-Operating

Four revenue bond issues comprise the interest expense activity. Specific information on these debt issues is provided in the footnote on the page entitled Cash Flow Analysis.

Depreciation has increased based on recent capital investments. It is calculated based on annual depreciation schedules using the straight-line method of depreciation.

Fund: Water and Sewer Fund**PERFORMANCE MEASURES - LABORATORY DIVISION**

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Number of Laboratory Analyses Performed		31,702	31,702	32,000	32,000	↔
Charges for Services - Laboratory		\$88,297	\$100,173	\$85,000	\$85,000	↔
Number of Laboratory FTE		2	2	2	2	↔
Analyses Performed per FTE		15,851	15,851	16,000	16,000	↔

Cost and Expense Analysis

Laboratory Services Division This division consists of two distinct areas: general use for internal functions and contract for external purposes. Laboratory Services has now received certification from the State of Michigan in the areas of bacteriological analysis and metals analysis. Volatile organic testing is completed by a contract laboratory.

Analyses Performed:	2020	2021	2022	2023	2024	2025
Lead and Copper	127	158	137	138		
Metals	4,908	3,424	3,260	2,813		
Volatile Organic	60	60	60	60		
Bacterial Testing	2,140	2,123	2,194	2,191		
Wet Chemistry	26,500	26,500	26,500	26,500		

Purpose:

This division provides analytical laboratory support to the water and wastewater operations. Laboratory services also provides contract analytical support to other communities and industries.

Objective:

To provide analytical laboratory results required by state and federal regulatory services.



Fund: Water and Sewer Fund**Source and Use of Funds For Capital Improvements****FY2027****Source of Funds**

Funds on Hand - Unrestricted	\$706,000	
Bond Fund	4,005,000	
		<u>\$4,711,000</u>

Total Source of Funds**Use of Funds****Anticipated Capital Investment**

Stimson Street (Lester to Carmel)	\$130,000	
Two (2) Service Trucks	100,000	
Anaerobic Digester Cleaning	75,000	
Wastewater/Lab Fume Hoods	35,000	
Backhoe	123,000	
Handheld Radio Meter Reader	10,000	
Lake, Leeson, Leisure Street Pumps	125,000	
Muffle Furnace/Drying Oven	8,000	
Lift Station Pumps	60,000	
Muffin Monster Cutter Stack	16,000	
Diffuser Head Replacement	24,000	
WWTP Headworks Project	3,500,000	*
Lift Station Exteriors and Doors	85,000	*
WWTP Handrail Replacement	100,000	*
Main Building Roof Replacement	50,000	*
Major Building Exterior Repairs	175,000	*
Visitor/Client Entrance - WWTP	95,000	*

Total Use of Funds	<u>\$4,711,000</u>
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* Anticipated to be included in bond financing. See note below.

Capital Improvements and Purchases

Through the use of strong financial planning and sound cash management, the City has been able to use a "pay-as-you-go" financing approach to fund many capital improvements and purchases. Unfortunately, a recent report was just received that pretty significantly increases the recommended upgrades at the Cadillac Wastewater Plant. This will most certainly delay the bond issue and related projects and will require further analysis on rates and user charges in order to fully fund needed upgrades and ongoing maintenance.

Fund: Water and Sewer Fund**Cash Flow Analysis****FY2027****Additions**

Net Income from Operations	\$3,500
Bond Funds	4,005,000
Depreciation	1,140,000

Total Additions 5,148,500

Deductions

Principal Payments (1)	\$963,680
Capital Improvements	4,711,000

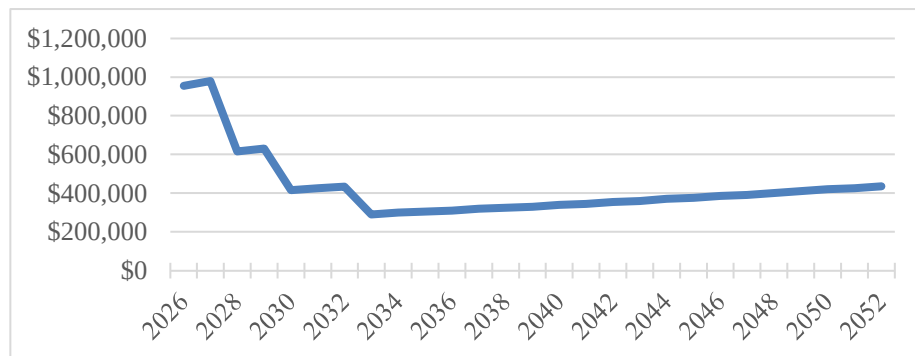
Total Deductions 5,674,680

Net Increase (Decrease) of Available Cash (\$526,180)

Footnotes:

(1) Principal payments include:

	<i>Principal</i>	<i>Interest</i>
<u>2013 Revenue Refunding Bond (Final Payment 9/1/2026)</u>		
September 1, 2026 (2.70%)	370,000	4,995
<u>2007 State of Michigan SRF Loan (Final payment 10/1/28)</u>		
October 1, 2026 (1.625%)	220,000	5,364
April 1, 2027 (1.625%)		3,577
<u>2011 State of Michigan DWRF Loan (Final Payment 4/1/2032)</u>		
October 1, 2026 (2.50%)		10,361
April 1, 2027 (2.50%)	130,000	10,361
<u>2021 State of Michigan DWRF Loan</u>		
October 1, 2026 (2.125%)		89,258
April 1, 2027 (2.125%)	243,680	89,258
Total Debt Payments	\$963,680	\$213,174
		\$1,176,854



Water and Sewer System
Future Debt Principal Payments

Fund: Water and Sewer Fund**Water and Sewer Rates**

Rates and Charges proposed as of July 1, 2026 - The user rates of the water and sewer systems must be set in a manner sufficient to cover the costs of providing the services while also providing capital funds to pay for infrastructure maintenance and upgrades. For the current year, updated results of a comprehensive professional rate study affirmed the need for rate increases of approximately 4.5% for water and 8% for sewer. Further analysis is underway on a final rate structure, but these increases are critical in order to continue to maintain and reinvest in these critical municipal systems.

Ready-to-Serve Charge

<u>Meter Size</u>	<u>CURRENT</u>		<u>PROPOSED</u>	
	<u>Water</u>	<u>Wastewater</u>	<u>Water</u>	<u>Wastewater</u>
5/8"	9.24	13.87	9.66	14.98
3/4"	13.59	20.85	14.20	22.52
1"	22.63	34.71	23.65	37.49
1-1/2"	45.36	69.41	47.40	74.96
2"	72.36	111.10	75.62	119.99
3"	158.45	243.22	165.58	262.68
4"	271.66	416.67	283.88	450.00
6"	566.00	868.23	591.47	937.69
8"	815.03	1,250.21	851.71	1,350.23

Commodity Charge

<u>Water</u>	<u>Current</u>	<u>Proposed</u>	
<u>Monthly Volume (Cubic Feet - CF)</u>		<u>Monthly Volume (Cubic Feet - CF)</u>	
0 to 600	\$1.93	0 to 10,000	\$1.93
601 to 10,000	\$1.65	10,001 to 250,000	\$1.64
10,001 to 100,000	\$1.46	250,001 and above	\$1.35
100,001 to 250,000	\$1.27		
250,001 and above	\$1.12		
		<i>*Note: Proposing to move to 3-tiered system with new rates for FY2027.</i>	
<u>Wastewater</u>			
Per 100 cubic feet per month	\$3.21	\$3.47	

Unmetered Users (Flat Rate)

	<u>Current</u>	<u>Proposed</u>
1. Monthly room charge (Living, Dining, Bedroom and Kitchens)		
1 to 3 rooms	\$12.01	\$12.97
4 to 6 rooms	\$13.45	\$14.53
7 to 8 rooms	\$15.88	\$17.15
Each additional room	\$2.21	\$2.39
2. Additional for each bathtub and shower	\$5.75	\$6.21
3. Additional for each toilet	\$6.33	\$6.84

Fund: Water and Sewer Fund**Continuing Disclosure Information****Revenue as Billed By Meter Classification**

Fiscal Year Ended June 30, 2025

<u>Meter Classification</u>	Water Supply		Wastewater Treatment	
	Revenue	Percent of Total	Revenue	Percent of Total
Unmetered	\$86	0.00%	\$50,541	1.96%
5/8"	728,338	41.57%	1,018,558	39.45%
3/4"	4,529	0.26%	5,482	0.21%
1"	74,111	4.23%	99,239	3.84%
1-1/2"	98,435	5.62%	138,543	5.37%
2"	262,011	14.95%	661,443	25.62%
3"	55,372	3.16%	102,237	3.96%
4"	208,301	11.89%	228,759	8.86%
6"	297,228	16.96%	277,052	10.73%
8"	23,843	1.36%		0.00%
	\$1,752,254	100.00%	\$2,581,854	100.00%

Monthly Wastewater Treatment Ready-To-Serve Charge by Meter Classification

Last Ten Fiscal Years and Current Proposed

Fiscal Year	Meter Classification								
	5/8"	3/4"	1"	1-1/2"	2"	3"	4"	6"	8"
2017	10.30	15.48	25.78	51.56	82.53	180.66	309.51	644.92	928.65
2018	10.30	15.48	25.78	51.56	82.53	180.66	309.51	644.92	928.65
2019	10.61	15.95	26.56	53.11	85.00	186.08	318.79	664.27	956.51
2020	10.77	16.19	26.96	53.91	86.28	188.87	323.57	674.23	970.86
2021	11.31	17.00	28.31	56.60	90.59	198.31	339.75	707.95	1,019.40
2022	11.87	17.85	29.72	59.43	95.12	208.23	356.74	743.34	1,070.37
2023	12.23	18.39	30.61	61.21	97.97	214.48	367.44	765.64	1,102.48
2024	12.84	19.31	32.14	64.27	102.87	225.20	385.81	803.92	1,157.60
2025	12.84	19.31	32.14	64.27	102.87	225.20	385.81	803.92	1,157.60
2026	13.87	20.85	34.71	69.41	111.10	243.22	416.67	868.23	1,250.21
2027 (Proposed)	14.98	22.52	37.49	74.96	119.99	262.68	450.00	937.69	1,350.23

* FY2027 Proposed rate increase of 8% must be approved by ordinance of the City Council

Fund: Water and Sewer Fund**Continuing Disclosure Information (Continued)****Monthly Ready-To-Serve Charge For Fire Protection**Fiscal Year Ended June 30, 2026 and 2027 *(Proposed)*

<u>Line Size</u>	Current 2026	Proposed 2027 (4.5%)	Change
3/4"	\$3.30	\$3.45	\$0.15
1"	\$5.65	\$5.90	\$0.25
1-1/2"	\$11.22	\$11.72	\$0.50
2"	\$18.12	\$18.94	\$0.82
3"	\$39.33	\$41.10	\$1.77
4"	\$67.66	\$70.70	\$3.04
6"	\$141.20	\$147.55	\$6.35
8"	\$203.46	\$212.62	\$9.16
10"	\$327.71	\$342.46	\$14.75
12"	\$485.76	\$507.62	\$21.86

Monthly Water Supply Ready-To-Serve Charge By Meter Classification

Last Ten Fiscal Years and Current Proposed

Fiscal Year	Meter Classification								
	5/8"	3/4"	1"	1-1/2"	2"	3"	4"	6"	8"
2017	6.39	9.40	15.66	31.38	50.06	109.64	187.95	391.62	563.90
2018	6.39	9.40	15.66	31.38	50.06	109.64	187.95	391.62	563.90
2019	6.58	9.68	16.13	32.33	51.56	112.92	193.59	403.36	580.82
2020	7.24	10.65	17.74	35.56	56.72	124.21	212.95	443.70	638.90
2021	7.78	11.45	19.07	38.23	60.97	133.53	228.92	476.97	686.82
2022	8.17	12.02	20.03	40.14	64.02	140.20	240.37	500.82	721.16
2023	8.42	12.38	20.63	41.34	65.94	144.41	247.58	515.84	742.79
2024	8.84	13.00	21.66	43.41	69.24	151.63	259.96	541.63	779.93
2025	8.84	13.00	21.66	43.41	69.24	151.63	259.96	541.63	779.93
2026	9.24	13.59	22.63	45.36	72.36	158.45	271.66	566.00	815.03
2027 <i>(Proposed)</i>	9.66	14.20	23.65	47.40	75.62	165.58	283.88	591.47	851.71

* FY2027 Proposed rate increase of 4.5% must be approved by ordinance of the City Council

Fund: Water and Sewer Fund**Continuing Disclosure Information (Continued)**

Number of Water Supply and Wastewater Treatment Customers
Last Ten Fiscal Years

<u>Fiscal Year</u>	Water Supply Customers		Wastewater Treatment Customers	
	Number	Percent of Change	Number	Percent of Change
2016	3,549	(0.14)	3,569	(0.20)
2017	3,567	0.51	3,608	1.09
2018	3,589	0.62	3,623	0.42
2019	3,574	(0.42)	3,610	(0.36)
2020	3,559	(0.42)	3,598	(0.33)
2021	3,578	0.53	3,612	0.39
2022	3,580	0.06	3,606	(0.17)
2023	3,591	0.31	3,620	0.39
2024	3,594	0.08	3,622	0.06
2025	3,605	0.31	3,629	0.19

Average Number of Water Supply and Wastewater Treatment Customers By Meter Classification
Fiscal Year Ended June 30, 2025

<u>Meter Classification</u>	Average Customers	
	Water Supply	Wastewater Treatment
Unmetered	1	120
5/8"	3,278	3,219
3/4"	10	11
1"	129	112
1-1/2"	82	74
2"	77	69
3"	11	11
4"	12	10
6"	4	3
8"	1	0
	<u>3,605</u>	<u>3,629</u>

SPECIAL REVENUE FUNDS DESCRIPTION

Special Revenue Funds are used to account for the proceeds of specific revenue sources (other than special assessments, expendable trusts, or major capital projects) that are legally restricted to expenditures for specific purposes. The budgeting and accounting for this group of funds is done on the modified accrual basis.

Special Revenue Funds in the City of Cadillac include:

Major Street Fund – Used to account for the financial activity of the streets designated by the State of Michigan as major thoroughfares and the maintenance contract of the state trunklines.

Local Street Fund – Receives all local street money paid to cities by the State, accounts for all construction, maintenance, traffic services, and winter maintenance on all streets classified as local.

Cemetery Operating Fund – This fund records the financial activities of running the cemetery. Revenues from endowment funds supplement charges for services to finance these activities.

Cadillac Development Fund – This fund was established with grant monies from an Urban Development Action Grant to assist in economic development and Housing and Urban Development funds to assist low and moderate income families to bring their homes up to the city building codes.

Building Inspection Fund - This fund accounts for permit fees and building inspection costs.

Naval Reserve Center Fund – This fund was established to account for the rental of the Naval Reserve Center.

Lake Treatment Fund - This fund is established for collection of an added voted millage dedicated for the eradication of Eurasian water milfoil and other invasive aquatic species in Lake Cadillac.

H. L. Green Operating Fund – This fund was established to account for the rental and sale of the H. L. Green building in downtown Cadillac.

Fund: Major Street Fund**Type:** Special Revenue Fund**Oversight:** Director of Public Works**Nature and Purpose:**

Each Michigan city is required to establish a major street fund in compliance with Act 51 of the Public Acts of 1951. The Major Street Fund is designed to support the operation and maintenance of the 21.99 miles of roadway as well as the 7.80 miles of State Trunklines in the City. The State highways are Old M-55 and US-131. These highways are maintained for the State of Michigan by the City under a contract with the Michigan Department of Transportation. This fund technically has no employees but utilizes the Department of Public Works, the Water and Sewer Fund and the General Fund to furnish staffing, supplies and equipment.

The purpose of this fund is to:

1. Receive all major street funds paid to the City by the State of Michigan.
2. Account for construction, maintenance and other authorized operations pertaining to all streets classified as major and for State trunkline maintenance.
3. Receive money reimbursed to the City by the State for trunkline maintenance.

PERFORMANCE MEASURES - MAJOR STREET SYSTEM

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Miles of Major Streets		21.90	21.90	21.90	21.90	↔
Miles of State Trunk Line		7.80	7.80	7.80	7.80	↔
Operating Expenditures per Road Mile		\$19,625	\$21,947	\$24,612	\$23,457	↑
Operating Expenditures per Resident		\$42	\$46	\$52	\$50	↑
Hours Spent in Major Street Maintenance		4,067	3,752	4,610	4,820	↑
Cost per Hour of Major Street Maintenance		\$106	\$128	\$117	\$107	↔
Total Winter Maintenance Expenditures		\$152,077	\$207,670	\$225,000	\$168,000	↑
Hours Spent in Winter Maintenance		910	1,176	1,551	1,076	↑
Cost per Hour of Winter Maintenance		\$167	\$177	\$145	\$156	↔
Winter Maintenance Expenditures per Mile		\$6,944	\$9,483	\$10,274	\$7,671	↔
Winter Maintenance Expenditures per Resident		\$15	\$20	\$22	\$16	↔
State Trunk Line Maintenance Expenditures		\$188,434	\$285,947	\$353,800	\$288,800	↑
State Trunk Line Maintenance Exp. Per Mile		\$24,158	\$36,660	\$45,359	\$37,026	↑
Total Hours of State Trunk Line Maintenance		1,338	2,243	2,970	3,142	↑

Fund: Major Street Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Michigan Transportation Fund - Act 51	\$1,243,364	\$1,210,000	\$1,210,000	\$1,360,000
State Trunkline Maintenance	278,074	353,800	274,400	288,800
State of Michigan - Other	0	0	0	210,000
Miscellaneous	800	1,100	0	0
Interest Income	19,140	8,500	8,000	3,000
Transfer In - General Fund	0	0	0	0
Total	\$1,541,378	\$1,573,400	\$1,492,400	\$1,861,800
Expenditures				
Construction	\$422,181	\$55,000	\$60,000	\$250,000
Surface Maintenance	56,521	55,000	58,900	60,700
Sweeping and Flushing	85,809	108,500	89,900	104,300
Forestry	72,753	57,000	66,200	67,400
Catch Basin	1,716	21,500	32,400	32,500
Drainage	6,007	8,500	10,500	12,100
Traffic Services	50,164	63,500	62,400	68,700
Winter Maintenance	207,670	225,000	156,900	168,000
Administration	92,224	101,000	95,500	95,500
State Trunkline	285,947	353,800	274,400	288,800
Transfers Out and Other Financing Uses	592,000	632,000	632,000	712,000
Total	\$1,872,992	\$1,680,800	\$1,539,100	\$1,860,000
Fund Balance				
Net Change in Fund Balance	(\$331,614)	(\$107,400)	(\$46,700)	\$1,800
Fund Balance - Beginning of Year	469,538	137,924	137,924	30,524
FUND BALANCE AT YEAR END	\$137,924	\$30,524	\$91,224	\$32,324

Revenue Details

The major source of revenue is the gas and weight taxes collected by the State of Michigan and shared with local units of government. The formula received by cities is based on miles of streets, population and a factor placed by the State. Budgeted revenue is projection of funding anticipated for the current fiscal year based upon estimates provided through the State of Michigan. These revenues are increasing due to new legislation passed by the State of Michigan. These reforms increased vehicle registration fees and gas taxes, both of which flow through the Michigan Transportation Fund before being disbursed to local units. The second major source of revenue is for the state trunkline contract. This revenue item should reflect an amount close to the total expenditures for trunkline maintenance.

Fund: Major Street Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenditures</u>				
Construction				
Construction	\$422,181	\$55,000	\$60,000	\$250,000
Surface Maintenance				
Salaries and Wages	\$17,354	\$18,000	\$20,000	\$22,000
Fringes	12,206	14,000	14,900	15,700
Operating Supplies	7,663	9,000	9,000	8,000
Equipment Rental	19,298	14,000	15,000	15,000
Total Surface Maintenance	\$56,521	\$55,000	\$58,900	\$60,700
Sweeping and Flushing				
Salaries and Wages	\$12,041	\$19,000	\$20,000	\$20,000
Fringes	7,596	14,500	14,900	14,300
Equipment Rental	66,172	75,000	55,000	70,000
Total Sweeping and Flushing	\$85,809	\$108,500	\$89,900	\$104,300
Forestry				
Salaries and Wages	\$12,714	12,000	\$15,000	\$16,000
Fringes	9,323	10,000	11,200	11,400
Operating Supplies	1,990	4,000	5,000	5,000
Contractual Services	25,150	10,000	10,000	10,000
Equipment Rental	23,576	21,000	25,000	25,000
Total Forestry	\$72,753	\$57,000	\$66,200	\$67,400
Catch Basin				
Salaries & Wages	\$468	\$5,000	\$11,000	\$11,000
Fringes	329	3,500	7,900	8,000
Operating Supplies	808	3,000	3,500	3,500
Equipment Rental	111	10,000	10,000	10,000
Total Catch Basin	\$1,716	\$21,500	\$32,400	\$32,500
Drainage				
Salaries and Wages	\$2,115	\$2,000	\$2,000	\$3,000
Fringes	1,655	1,500	1,500	2,100
Contractual Services	0	1,000	2,000	2,000
Equipment Rental	2,237	4,000	5,000	5,000
Total Drainage	\$6,007	\$8,500	\$10,500	\$12,100

Fund: Major Street Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenditures (Continued)</u>				
Traffic Services				
Salaries and Wages	\$10,278	\$13,000	\$14,000	\$15,000
Fringes	7,049	10,000	10,400	10,700
Operating Supplies	8,158	7,500	8,000	8,000
Contractual	14,265	20,000	15,000	20,000
Equipment Rental	10,414	13,000	15,000	15,000
Total Traffic Services	\$50,164	\$63,500	\$62,400	\$68,700
Winter Maintenance				
Salaries and Wages	\$25,089	\$35,000	\$24,000	\$25,000
Fringes	15,695	25,000	17,900	18,000
Operating Supplies	56,275	40,000	35,000	40,000
Equipment Rental	110,611	125,000	80,000	85,000
Total Winter Maintenance	\$207,670	\$225,000	\$156,900	\$168,000
Administration				
Salaries and Wages	\$45,336	\$50,000	\$47,000	\$50,000
Fringes	37,818	42,000	40,000	37,000
Supplies	0	0	0	0
Audit	1,000	1,000	1,000	1,000
Equipment Rental	8,070	8,000	7,500	7,500
Total Administration	\$92,224	\$101,000	\$95,500	\$95,500
Transfer Out and Other Financing Uses				
Contribution - Local Street	400,000	400,000	400,000	485,000
Transfers Out	192,000	232,000	232,000	227,000
Total Transfers Out and Other	592,000	632,000	632,000	\$712,000
State Trunkline				
Surface Maintenance				
Salaries and Wages	\$2,942	\$2,000	\$2,000	\$2,000
Fringes	2,019	1,500	1,500	1,500
Operating Supplies	843	1,000	1,000	1,000
Equipment Rental	2,108	4,000	5,000	5,000
Total Surface Maintenance	\$7,912	\$8,500	\$9,500	\$9,500
Sweeping & Flushing				
Salaries and Wages	\$478	\$2,000	\$2,000	\$2,500
Fringes	241	1,500	1,500	1,800
Equipment Rental	2,155	2,500	3,000	3,000
Total Sweeping & Flushing	\$2,874	\$6,000	\$6,500	\$7,300

Fund: Major Street Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenditures (Cont.)</u>				
State Trunkline (Cont.)				
Shoulder Maintenance				
Salaries and Wages	\$0	\$500	\$1,000	\$1,000
Fringes	0	300	700	700
Operating Supplies	0	0	0	0
Equipment Rental	0	400	800	800
Total Shoulder Maintenance	\$0	\$1,200	\$2,500	\$2,500
Traffic Signs				
Utilities	\$0	\$0	\$0	\$0
Total Traffic Signs	\$0	\$0	\$0	\$0
Trees and Shrubs				
Salaries and Wages	\$270	\$1,000	\$15,000	\$15,000
Fringes	210	600	11,200	11,000
Equipment Rental	133	500	2,500	2,500
Total Trees and Shrubs	\$613	\$2,100	\$28,700	\$28,500
Drainage				
Salaries and Wages	\$995	\$2,500	\$7,000	\$7,500
Fringes	549	1,500	4,800	5,500
Contractual Services	0	0	0	0
Equipment Rental	215	500	500	500
Total Drainage	\$1,759	\$4,500	\$12,300	\$13,500
Winter Maintenance				
Salaries and Wages	\$31,363	\$40,000	\$30,000	\$35,000
Fringes	21,171	32,000	22,400	25,000
Operating Supplies	63,964	48,000	50,000	50,000
Equipment Rental	105,929	130,000	75,000	80,000
Total Winter Maintenance	\$222,427	\$250,000	\$177,400	\$190,000
Snow Hauling				
Salaries and Wages	\$11,805	\$19,000	\$10,000	\$10,000
Fringes	7,342	14,500	7,500	7,500
Equipment Rental	31,215	48,000	20,000	20,000
Total Snow Hauling	\$50,362	\$81,500	\$37,500	\$37,500
Total State Trunkline	\$285,947	\$353,800	\$274,400	\$288,800
Total Expenditures	\$1,872,992	\$1,680,800	\$1,539,100	\$1,860,000

Fund: Local Street Fund**Type:** Special Revenue Fund**Oversight:** Director of Public Works**Nature and Purpose:**

Each Michigan city is required to establish this fund to comply with Act 51 of the Public Acts of 1951. The Local Street system has 41.79 miles of roadway, and 1.83 miles, or 4.4% of the streets are unpaved. The local streets represent 66% of all the roads within the City. This fund technically has no employees but utilizes the Department of Public Works, the Water and Sewer Fund and the General Fund to furnish staffing, supplies and equipment. The purpose of this fund is to:

1. Receive all local street funds paid to the City by the State of Michigan.
2. Account for construction, maintenance, traffic services and winter maintenance on all streets classified as local streets within the City of Cadillac.
3. Account for money received from the Major Street Fund and the General Fund contributions for local street maintenance.

PERFORMANCE MEASURES - LOCAL STREET SYSTEM

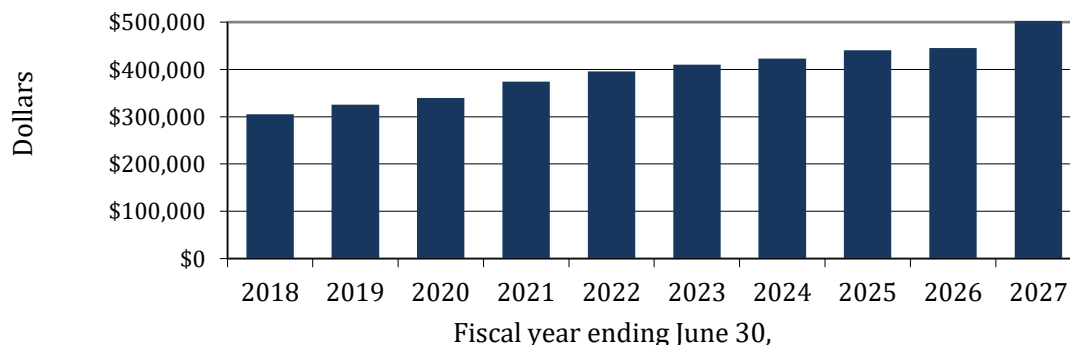
MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Miles of Local Streets		41.72	41.90	41.79	41.79	↔
Operating Expenditures per Road Mile		\$9,643	\$10,362	\$11,971	\$12,291	↑
Operating Expenditures per Resident		\$39	\$42	\$48	\$49	↑
Hours Spent in Local Street Maintenance		3,657	3,761	4,433	4,906	↑
Cost per Hour of Local Street Maintenance		\$110	\$115	\$113	\$105	↔
Total Winter Maintenance Expenditures		\$108,127	\$145,518	\$171,000	\$141,500	↔
Hours Spent in Winter Maintenance		652	854	1,152	1,033	↑
Cost per Hour of Winter Maintenance		\$166	\$170	\$148	\$137	↔
Winter Maintenance Expenditures per Mile		\$2,592	\$3,473	\$4,092	\$3,386	↑
Winter Maintenance Expenditures per Resident		\$10	\$14	\$16	\$14	↔
% of Local Streets remaining Unpaved		4.38%	4.38%	4.38%	4.38%	↔

Fund: Local Street Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Michigan Transportation Fund - Act 51	\$440,753	\$445,000	\$445,000	\$450,000
State of Michigan - Other	\$0	\$0	\$0	\$210,000
Interest Income	12,657	9,000	5,000	8,500
Other Revenue	2,000	1,700	2,000	2,000
Telecommunications Right-of-Way	0	50,000	50,000	50,000
General Fund	245,000	400,000	400,000	50,000
Major Street Fund	400,000	400,000	400,000	485,000
Surplus	0	0	0	0
Total	\$1,100,410	\$1,305,700	\$1,302,000	\$1,255,500
Expenditures				
Construction	\$480,460	\$525,000	\$500,000	\$400,000
Surface Maintenance	95,699	73,500	77,900	86,000
Sweeping and Flushing	70,896	103,000	97,900	104,500
Forestry	93,252	93,000	85,900	92,000
Catch Basin	4,510	17,400	36,000	36,000
Drainage	5,702	9,700	7,700	7,500
Traffic Services	18,595	34,000	47,500	47,500
Winter Maintenance	145,518	171,000	138,400	141,500
Administration	110,047	114,000	113,500	113,500
Transfers Out and Other Uses	192,000	232,000	232,000	227,000
TOTAL EXPENDITURES	\$1,216,679	\$1,372,600	\$1,336,800	\$1,255,500
Fund Balance				
Net Change in Fund Balance	(\$116,269)	(\$66,900)	(\$34,800)	\$0
Fund Balance - Beginning of Year	297,291	181,022	181,022	114,122
Ending Fund Balance	\$181,022	\$114,122	\$146,222	\$114,122

Fund Analysis

Michigan Transportation Funding
Last Ten Fiscal Years



Fund: Local Street Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenditures</u>				
Construction				
Construction	\$480,460	\$500,000	\$500,000	\$400,000
Surface Maintenance				
Salaries and Wages	\$24,102	\$20,000	\$20,000	\$25,000
Fringes	17,557	15,000	14,900	18,000
Operating Supplies	8,591	8,500	8,000	8,000
Equipment Rental	45,449	30,000	35,000	35,000
Total Surface Maintenance	\$95,699	\$73,500	\$77,900	\$86,000
Sweeping and Flushing				
Salaries and Wages	\$9,503	\$18,000	\$18,000	\$20,000
Fringes	5,585	15,000	14,900	14,500
Equipment Rental	55,808	70,000	65,000	70,000
Total Sweeping and Flushing	\$70,896	\$103,000	\$97,900	\$104,500
Forestry				
Salaries and Wages	\$19,397	\$20,000	\$20,000	\$20,000
Fringes	13,626	14,000	13,400	14,500
Operating Supplies	2,809	14,000	7,500	7,500
Contractual Services	25,950	15,000	10,000	15,000
Equipment Rental	31,470	30,000	35,000	35,000
Total Forestry	\$93,252	\$93,000	\$85,900	\$92,000
Catch Basin				
Salaries and Wages	\$1,327	\$5,000	\$12,000	\$12,000
Fringes	969	3,500	8,500	8,500
Operating Supplies	0	500	1,000	1,000
Utilities	1,786	1,900	2,000	2,000
Repairs and Maintenance	0	2,500	2,500	2,500
Equipment Rental	428	4,000	10,000	10,000
Total Catch Basin	\$4,510	\$17,400	\$36,000	\$36,000
Drainage				
Salaries and Wages	\$2,028	\$3,000	\$3,000	\$3,000
Fringes	1,568	2,200	2,200	2,000
Operating Supplies	0	0	0	0
Equipment Rental	2,106	4,500	2,500	2,500
Total Drainage	\$5,702	\$9,700	\$7,700	\$7,500

Construction Current year reconstruction of Aldrich Street was funded by a transfer from the General Fund. This budget proposes an appropriation to reconstruct a portion of Stimson Street and also complete a series of major preventative maintenance, including some slurry sealing, and asphalt overlays.

Fund: Local Street Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
<u>Expenditures (Cont'd)</u>				
Traffic Services				
Salaries and Wages	\$5,386	\$8,000	\$10,000	\$10,000
Fringes	3,527	5,000	7,500	7,500
Operating Supplies	5,211	6,000	10,000	10,000
Contractual Services	0	5,000	5,000	5,000
Equipment Rental	4,471	10,000	15,000	15,000
Total Traffic Services	\$18,595	\$34,000	\$47,500	\$47,500
Winter Maintenance				
Salaries and Wages	\$18,133	\$26,000	\$22,000	\$24,000
Fringes	11,493	19,000	16,400	17,500
Operating Supplies	33,928	26,000	30,000	30,000
Equipment Rental	81,964	100,000	70,000	70,000
Total Winter Maintenance	\$145,518	\$171,000	\$138,400	\$141,500
Administration				
Salaries and Wages	\$54,942	\$56,000	\$56,000	\$60,000
Fringes	46,035	49,000	49,000	45,000
Audit	1,000	1,000	1,000	1,000
Equipment Rental	8,070	8,000	7,500	7,500
Total Administration	\$110,047	\$114,000	\$113,500	\$113,500
Transfers Out and Other Uses				
Transfers Out - Debt Service	192,000	232,000	232,000	227,000
TOTAL EXPENDITURES	\$1,216,679	\$1,372,600	\$1,336,800	\$1,255,500

Fund: Cemetery Operating Fund**Type:** Special Revenue Fund**Oversight:** Director of Finance/DPW**Nature and Purpose:**

The Cemetery Operating Fund is in existence for the operation of the City-owned Maple Hill Cemetery located on the southern boundaries of Cadillac. It is a well-manicured facility and is viewed by many people as they travel on U.S. 131, which runs parallel to the facility.

The General Fund of the City typically subsidizes over 50% Cemetery operations.

Advisory Board & Cemetery Management

Article 18, Section 18.1 of the City Charter reflects that an advisory board shall be established to handle policy related cemetery rules and ordinances relating to the cemetery. The City Manager, for all practical purposes, has delegated this responsibility to the Director of Finance/DPW. The Assistant DPW Operations Manager is responsible for the daily activity of cemetery personnel, which consists primarily of seasonal workers in addition to labor supplied by the DPW as needed. The seasonal workers do not typically work during the winter months, but begin working when the snow melts to maintain the Cemetery.

Advisory Board**Charles LaBar**, *Member***Bryan Elenbaas**, *Member***Thomas Olmsted**, *Member***Keri Lanning**, *Secretary***Owen Roberts**, *Ex-Officio, Director of Finance/DPW***PERFORMANCE MEASURES - MAPLE HILL CEMETERY**

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Number of Lots Sold		31	35	25	25	↓
Number of Burials		16	28	20	20	↔
Number of Cremains		38	38	30	30	↔
Total Generated Revenue		\$46,128	\$58,274	\$58,000	\$58,000	↔
General Fund Contribution		\$100,000	\$100,000	\$100,000	\$100,000	↑
G.F. Contribution as % of Expenditures		61%	70%	45%	53%	↑

Fund: Cemetery Operating Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenue				
Charges For Services:				
Sale of Lots & Burial Rites	\$13,725	\$12,000	\$13,000	\$13,000
Grave Openings & Storage	34,800	35,000	35,000	35,000
Foundations & Miscellaneous	9,749	11,000	10,000	10,000
Miscellaneous:				
Transfer In - Perpetual Care	0	50,000	50,000	29,000
Transfer In - General Fund	100,000	100,000	100,000	100,000
Contributions from Private Sources	7,142		0	0
Interest Income	1,162	1,800	0	0
Total	\$166,578	\$209,800	\$208,000	\$187,000
Expenditures				
Salaries - Regular	\$21,886	\$30,000	\$30,000	\$33,000
Salaries - Part Time	36,124	38,000	40,000	40,000
Fringes	19,284	24,000	25,000	29,000
Liability Insurance	575	500	500	500
Operating Supplies	18,661	14,000	15,000	15,000
Audit	500	500	500	500
Utilities	3,242	4,500	8,500	8,500
Contractual Services	3,000	4,000	5,000	500
Equipment Rental	24,268	21,000	20,000	20,000
Repair and Maintenance	484	9,000	10,000	11,000
Capital Outlay	14,575	75,000	75,000	29,000
Total	\$142,599	\$220,500	\$229,500	\$187,000
Fund Balance				
Net Change in Fund Balance	23,979	(12,500)	(21,500)	0
Fund Balance - Beginning of Year	22,731	46,710	46,710	34,210
Ending Fund Balance	\$46,710	\$34,210	\$25,210	\$34,210

Cemetery Staffing

Beginning in FY2017, Cemetery maintenance was added to the responsibilities of Department of Public Works (DPW) personnel. The Assistant DPW Operations Manager will oversee the operations and be the primary point of contact for scheduling of other cemetery services like burials, etc. A significant portion of the maintenance at the Cemetery is done by part-time seasonal labor.

Fund: Cadillac Development Fund**Type:** Special Revenue Fund**Oversight:** Community Development Director**Nature and Purpose:**

This fund was established as the result of an \$800,000 UDAG grant to to the City, which in turn was loaned to assist construction of the Hampton Inn. The Inn was constructed on schedule and the loan was paid in full in fiscal year 2000.

It is the City Council's desire to reuse these funds as low interest loans to enhance commercial development in the future. In cooperation with the Cadillac Downtown Development Authority, a Low-Interest Façade Improvement Program was created in 1999. All commercial properties in the DDA district are eligible to apply for a maximum \$30,000 loan to undertake approved facade improvements. A design review committee of the Downtown Development Authority helps to administer the program. Additional commercial redevelopment programs and opportunities are currently under exploration.

The Community Development Director is a full-time position funded 40% by this fund and 60% by the General Fund. This fund pays for the annual contract with the Alliance for Economic Success.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Interest Income	\$10,464	\$4,000	\$5,000	\$5,000
Interest Income - Loans	7,209	7,000	7,500	7,000
State of Michigan - Match on Main Grants	25,000	0	0	0
Other Income	0	0	0	0
Surplus	0	59,500	61,000	65,500
Total	\$42,673	\$70,500	\$73,500	\$77,500
Expenditures				
Urban Redevelopment and Housing Administration	\$34,502	\$5,000	\$10,000	\$10,000
Community Development Director	55,517	65,500	63,500	67,500
	\$90,019	\$70,500	\$73,500	\$77,500
Fund Balance				
Net Change in Fund Balance	(\$47,346)	(\$59,500)	(\$61,000)	(\$65,500)
Fund Balance - Beginning of Year	497,122	449,776	449,776	390,276
Ending Fund Balance	\$449,776	\$390,276	\$388,776	\$324,776

Fund: Cadillac Development Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Expenditures				
Urban Redevelopment and Housing Administration				
Administration	\$0	\$0	\$0	\$0
Contractual Services	34,502	5,000	10,000	10,000
Transfer Out - Other	0	0	0	0
Total Administration	\$34,502	\$5,000	\$10,000	\$10,000
Community Development Director				
Salaries	\$34,485	\$36,500	\$42,000	\$40,000
Fringes	21,032	29,000	21,500	27,500
Contractual Services	0	0	0	0
Total Community Development Director	\$55,517	\$65,500	\$63,500	\$67,500
Total Expenditures	\$90,019	\$70,500	\$73,500	\$77,500

Cadillac Development Fund Goals:

1. Continue to make funds available to the DDA's low interest loan facade improvement program at 0% interest.
2. Partner efforts with the Cadillac DDA to encourage redevelopment of key commercial sites.
3. Maintain the principal and use the interest for grants as much as possible.

Community Development Director

The Community Development Director also serves as the administrator of planning and zoning.

Interest Income - Loans

This line item accounts for the interest received on various loans made to other internal City functions.

Fund: Building Inspection Fund**Type:** Special Revenue Fund**Oversight:** Community Development Director**Nature and Purpose:**

The Building Inspection Fund segregates all financial activities related to building inspections and the issuance of building permits, in accordance with state law. The City resumed building activities in FY2016 after turning over the responsibility to Wexford County about five years earlier. The City contracts with Associated Government Services, Inc. for the inspection and permitting process, with other administrative duties handled by City staff.

PERFORMANCE MEASURES - BUILDING PERMIT ACTIVITIES

MEASURE	Fiscal Year:	Actual				Projected	Trend
		2022	2023	2024	2025	2026	
Building Permit Revenue		\$45,525	\$53,298	\$59,872	\$77,909	\$80,000	↑
Total Permits Issued:		354	429	466	383	395	↔
Building		89	82	64	70	65	↓
Electrical		101	117	152	122	120	↔
Mechanical		79	114	136	94	100	↔
Plumbing		25	37	46	31	50	↑
Other		60	79	68	66	60	↔

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenue				
Charges For Services:				
Building Permits	\$76,107	\$76,000	\$70,000	\$80,000
Interest Income	757	0	0	0
Total	\$76,864	\$76,000	\$70,000	\$80,000
Expenditures				
Contractual Services	74,127	73,000	67,000	76,400
Administration	3,000	3,000	3,000	3,600
Total	\$77,127	\$76,000	\$70,000	\$80,000
Fund Balance				
Net Change in Fund Balance	(263)	0	0	0
Fund Balance - Beginning of Year	19,907	19,644	19,644	19,644
Ending Fund Balance	\$19,644	\$19,644	\$19,644	\$19,644

Fund: Naval Reserve Center Fund**Type:** Special Revenue Fund**Oversight:** Director of Finance**Nature and Purpose:**

In 1947 the City of Cadillac began leasing the Naval Reserve Center to the Department of Navy. The lease was for \$1 per year. During this time the Navy was responsible for all operational costs of the Naval Reserve Center including all utilities and property and building maintenance. This resulted in no cost to the City of Cadillac. Due to military downsizing by the federal government, the Department of Navy vacated the Naval Reserve Center on June 1, 1996. Since then, the City has rented the building to various non-profit organizations for office, classroom, storage, and recreational space.



The only current tenants at the facility are the Senior Center, Up North Arts, and the Wexford Genealogical Society. In order to sustain the facility, new tenants and/or funding sources must be found. There is currently not enough revenue to support the costs of keeping the facility open. This will be a focus of the upcoming fiscal year.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Rental Income:				
City of Cadillac Parks Division	1,500	1,500	1,500	1,500
Senior Citizens Center	9,326	9,700	9,500	10,300
Other Rent	6,000	0	0	0
Up North Arts, Inc	6,000	9,100	9,000	9,300
Wexford Genealogical Society	3,724	3,800	3,500	3,900
Miscellaneous	48	5,000	5,000	5,000
Transfer In	5,500	6,000	6,000	6,000
Surplus	0	0	0	0
Total	\$32,098	\$35,100	\$34,500	\$36,000
Expenditures				
Building Maintenance	\$6,535	\$10,000	\$10,500	\$11,000
Liability Insurance	2,000	3,000	3,000	3,000
Utilities	21,245	21,500	21,000	22,000
Capital Outlay	0	0	0	0
Total	\$29,780	\$34,500	\$34,500	\$36,000
Fund Balance				
Net Change in Fund Balance	\$2,318	\$600	\$0	\$0
Fund Balance - Beginning of Year	1,989	4,307	4,307	4,907
Ending Fund Balance	\$4,307	\$4,907	\$4,307	\$4,907

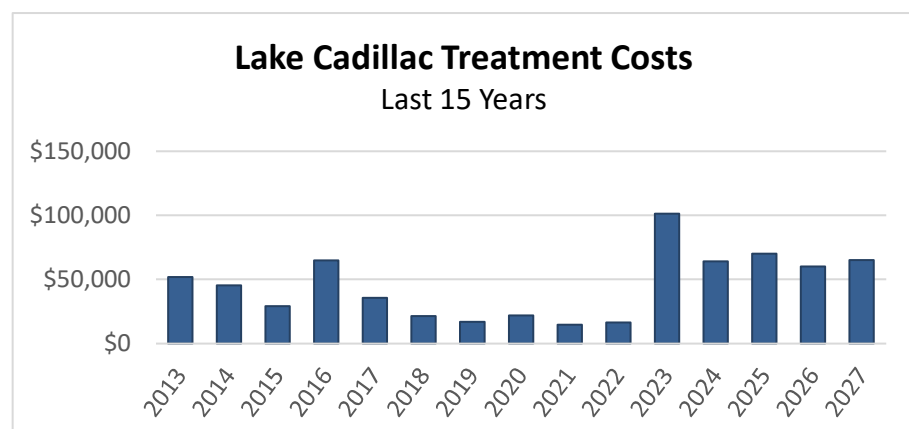
Fund: Lake Treatment Fund**Type:** Special Revenue Fund**Oversight:** City Manager**Nature and Purpose:**

Lake Cadillac is a 1,150 acre freshwater inland lake located within the city's boundaries. The lake is considered the city's greatest natural asset and one of its most important recreational resources. Unfortunately, like many of Michigan's inland lakes, Lake Cadillac experiences the presence of several invasive aquatic species including Eurasian watermilfoil and Zebra mussels.

The Lake Treatment Fund was formed to segregate revenues received exclusively for the treatment of milfoil and other invasive aquatic plant and animal species in Lake Cadillac. The voters of Cadillac approved a millage in February 2011 to provide resources for this treatment. Funds raised from the lake treatment millage were dedicated to the implementation of measures oriented to the control of these undesirable plants and animals. These funds were used to retain a qualified freshwater aquatic consultant to assist on matters of invasive species management and for lake treatment programs, public education, and related activities. The millage is no longer in place and the General Fund is now covering the costs of lake treatment.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Transfer In	80,000	60,000	65,000	65,000
Interest Income	83	200	0	0
Total	\$80,083	\$60,200	\$65,000	\$65,000
Expenditures				
Contractual Services	\$70,051	\$60,000	\$65,000	\$65,000
Total	\$70,051	\$60,000	\$65,000	\$65,000
Fund Balance				
Net Change in Fund Balance	\$10,032	\$200	\$0	\$0
Fund Balance - Beginning of Year	10,390	20,422	20,422	20,622
Ending Fund Balance	\$20,422	\$20,622	\$20,422	\$20,622

Treatment Services The principal use of Contractual Service funds is for engineering and treatment services provided by outside professionals. Total treatment and management service costs have ranged from under \$20,000 to \$100,000 and change from year to year based on actual treatment needs.



Fund: H.L. Green Operating Fund**Type:** Special Revenue Fund**Oversight:** Director of Finance**Nature and Purpose:**

In 1994 the City Council agreed to purchase a vacant building located in downtown Cadillac at 105-109 South Mitchell Street, commonly known as the H.L. Green building. This structure, originally built in the 1800's, had been vacant for three years since its last tenant, the H.L. Green Dime Store, went out of business. With the aid and vision of the Cadillac Downtown Development Authority and the Cadillac Downtown Fund, the building was purchased and renovated. A low-interest loan from the Michigan Jobs Commission and the Urban Land Assembly Fund (ULAF) for \$200,000 was secured to fund the renovation of the structure into three separate storefronts. With all of the storefronts renovated, the City of Cadillac sold the building to local retailers in 1997 on a land contract.

The purpose of this fund is to track revenues and expenses associated with the operation of the building, to assure receipt of land contract payments, and to ensure repayments of funding sources utilized in the initial development. Once a use is determined for the remaining funds on hand, the fund will be eliminated.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Interest Income	1,860	2,000	500	1,500
Total	\$1,860	\$2,000	\$500	\$1,500
Expenditures				
Audit	\$0	\$0	\$0	\$0
Operating Supplies	0	0	0	0
Transfer Out	0	0	0	0
Total	\$0	\$0	\$0	\$0
Fund Balance				
Net Change in Fund Balance	\$1,860	\$2,000	\$500	\$1,500
Fund Balance - Beginning of Year	52,709	54,569	54,569	56,569
Ending Fund Balance	\$54,569	\$56,569	\$55,069	\$58,069

Debt Management Policy

All of the City's Debt Service funds qualify as nonmajor funds. These funds are accounted and budgeted for on a modified accrual basis. Due to its conservative basis of accounting for tax revenues, the City of Cadillac is not required to borrow money for operations. More information regarding the City's debt policy can be found in the Supplemental Section of the Operating Budget document.

When incurred, the City's long-term general obligation and special assessment debt is handled through a debt service fund. The revenue bond requirements are handled through the Enterprise Fund. By virtue of the State of Michigan, local government can not issue debt in excess of 10% of the assessed valuation of the taxable property.

The City has two Debt Service Fund currently for debt issues used to fund infrastructure projects:

2016 GO Capital Improvement Bonds Debt Service Fund

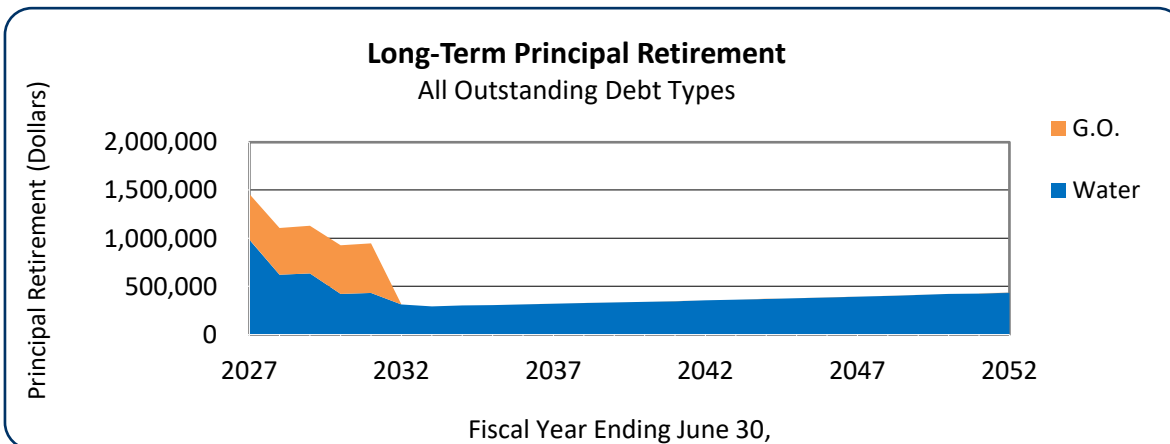
2020 GO Capital Improvement Bonds Debt Service Fund

LEGAL DEBT MARGIN - JUNE 30, 2025 (amounts expressed in thousands)

Taxable Valuation		<u><u>\$308,178</u></u>
Statutory Debt Limit - 10% of Assessed Valuation		\$30,818
Amount of Debt Applicable to Limit:		
Gross Bonded Debt	\$14,848	
Less		
Assets Available for Debt Service	0	
Bond Debt Not Subject To Limit:		
Special Assessment Bonds		
Revenue Bonds	11,198	
Other Debt	<u>11,198</u>	
Total Amount of Debt Applicable to Debt Limit		<u><u>3,650</u></u>
LEGAL DEBT MARGIN		<u><u>\$27,168</u></u>

Principal Retirement Schedule

The City of Cadillac only uses debt financing for capital projects. The amortization period of the debt principal is scheduled for no longer than the estimated life of the capital asset that the principal of the debt is used to acquire or construct.



Debt Service Summary - Fiscal Year Ending June 30, 2027

			July 1, 2026 - June 30, 2027 Debt Service Requirements	
<u>Description of Debt</u>	<u>Fund Servicing Debt</u>	<u>Debt Outstanding July 1, 2026</u>	<u>Principal</u>	<u>Interest</u>
Revenue Bonds (All debt service provided by Water and Sewer revenues)				
2007	State of Michigan SRF	660,205	\$220,000	\$8,941
2011	State of Michigan DWRF	828,856	130,000	20,722
2013	Revenue Refunding	370,000	370,000	4,995
2021	State of Michigan DWRF	8,368,027	243,680	178,516
General Obligation Bonds				
2016	Major/Local Streets/DDA	1,125,000	215,000	24,639
2020	Major/Local Streets/Tax	2,545,000	260,000	55,226
Total Debt		<u>\$13,897,088</u>	<u>\$1,438,680</u>	<u>\$293,039</u>

Other Debt Statistics

<u>Fiscal Year Ending June 30,</u>	<u>Total Debt Per Capita (inclusive of all funds)</u>	<u>Rate of Principal Retirement</u>
	<u>2010 Census - 10,355 2020 Census - 10,371</u>	
2018	1,029.71	7.83%
2019	938.10	7.82%
2020	864.71	8.82%
2021	1,174.70	8.59%
2022	1,133.66	8.90%
2023	1,907.68	6.73%
2024	1,788.42	7.32%
2025	1,613.43	8.32%
2026	1,479.20	9.27%
2027	1,339.99	10.35%

Notes: New debt was issued in FY2017 to fund street reconstruction and The Plaza at Cadillac Commons. The City issued bonds in July 2020 to fund \$4 million in street improvements. Additionally, in FY2023 the City began to draw proceeds from \$9.8 million in debt secured by revenues of the Water and Sewer System that was used to fund the final phase of the well field relocation project.

Fund: 2016 G.O. Capital Improvement Bonds Debt Retirement Fund**Type:** Debt Service Fund**Oversight:** Director of Finance**TITLE OF ISSUE:** *General Obligation Limited Tax Bonds, Series 2016***DATE OF ISSUE:** August 3, 2016**PURPOSE:** For the purpose of paying all or part of acquiring and constructing various street improvements in the City, including all appurtenances and attachments pursuant to Act 34, Public Acts of Michigan 2001.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Transfer In from Local Street Fund	\$82,000	\$82,000	\$82,000	\$81,000
Transfer In from Major Street Fund	82,000	82,000	82,000	81,000
Interest Income	30		0	0
Total	\$164,030	\$164,000	\$164,000	\$162,000
Expenditures				
Bond Principal Paid	\$140,000	\$140,000	\$140,000	\$143,300
Interest Expense	22,945	20,600	21,000	17,500
Audit	500	500	500	500
Total	\$163,445	\$161,100	\$161,500	\$161,300
Fund Balance				
Net Change in Fund Balance	\$585	\$2,900	\$2,500	\$700
Fund Balance - Beginning of Year	3,366	3,951	3,951	6,851
Ending Fund Balance	\$3,951	\$6,851	\$6,451	\$7,551

Debt Service Requirements - Remaining Amortization of Bonds

Fiscal Year	Major Street Fund		Local Street Fund		DDA	
	Principal	Interest	Principal	Interest	Principal	Interest
2027	71,600	8,213	71,700	8,213	71,700	8,213
2028	73,400	6,643	73,300	6,643	73,300	6,643
2029	75,000	5,037	75,000	5,037	75,000	5,037
2030	76,600	3,395	76,700	3,395	76,700	3,395
2031	78,400	1,716	78,300	1,716	78,300	1,716
	\$375,000	\$25,004	\$375,000	\$25,004	\$375,000	\$25,004

Interest Rate: 2.19%**Total Outstanding Bonds:** \$1,125,000**Total Remaining Interest Costs:** \$75,012

Fund: 2020 G.O. Capital Improvement Bonds Debt Retirement Fund**Type:** Debt Service Fund**Oversight:** Director of Finance**TITLE OF ISSUE:** *General Obligation Limited Tax Bonds, Series 2020***DATE OF ISSUE:** July 14, 2020**PURPOSE:** For the purpose of paying all or part of acquiring and constructing various street improvements in the City, including all appurtenances and attachments pursuant to Act 34, Public Acts of Michigan 2001.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Transfers In	\$220,000	\$293,000	\$318,000	\$292,000
Other Income	25,009	\$25,000	\$0	\$25,000
Interest Income	1,417	0	0	0
Total	\$246,426	\$318,000	\$318,000	\$317,000
Expenditures				
Bond Principal Paid	250,000	255,000	255,000	260,000
Interest Expense	66,185	62,500	62,500	56,000
Audit	500	500	500	500
Total	\$316,685	\$318,000	\$318,000	\$316,500
Fund Balance				
Net Change in Fund Balance	(\$70,259)	\$0	\$0	\$500
Fund Balance - Beginning of Year	70,668	409	409	409
Ending Fund Balance	\$409	\$409	\$409	\$909

Fund: 2020 G.O. Capital Improvement Bonds Debt Retirement Fund**DEBT SERVICE DETAILS**

AMOUNT OF ISSUE		AMOUNT REDEEMED		<u>Balance</u>
		<u>Prior</u>	<u>Current</u>	
	\$4,000,000	\$1,200,000	\$255,000	\$2,545,000

DUE DATES	DEBT SERVICE REQUIREMENTS			
	RATE	PRINCIPAL	INTEREST	TOTAL
11/1/2026	2.17%		\$27,613	\$27,613
5/1/2027	2.17%	\$260,000	\$27,613	\$287,613
11/1/2027	2.17%		\$24,792	\$24,792
5/1/2028	2.17%	\$265,000	\$24,792	\$289,792
11/1/2028	2.17%		\$21,917	\$21,917
5/1/2029	2.17%	\$270,000	\$21,917	\$291,917
11/1/2029	2.17%		\$18,988	\$18,988
5/1/2030	2.17%	\$275,000	\$18,988	\$293,988
11/1/2030	2.17%		\$16,004	\$16,004
5/1/2031	2.17%	\$280,000	\$16,004	\$296,004
11/1/2031	2.17%		\$12,966	\$12,966
5/1/2032	2.17%	\$290,000	\$12,966	\$302,966
11/1/2032	2.17%		\$9,819	\$9,819
5/1/2033	2.17%	\$295,000	\$9,819	\$304,819
11/1/2033	2.17%		\$6,619	\$6,619
5/1/2034	2.17%	\$300,000	\$6,619	\$306,619
11/1/2034	2.17%		\$3,364	\$3,364
5/1/2035	2.17%	\$310,000	\$3,364	\$313,364
		\$2,545,000	\$284,164	\$2,829,164

CAPITAL PROJECTS FUNDS DESCRIPTION

Capital Projects Funds account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by proprietary funds and trust funds). The accounting for this group of accounts is on the modified accrual basis.

Industrial Park Fund - The purpose is acquisition and development of a 300 acre tract of land into an industrial park for manufacturing companies. Part of the development costs of the project have been through a small cities grant from the State of Michigan and the Department of Commerce.

Special Assessment Capital Projects Fund - Accounts for preliminary and construction work on projects that are subsequently paid from special assessments. Also accounts for bond proceeds received and subsequently used to fund major construction and capital projects.

Downtown Infrastructure Project Fund - Accounts for a capital project in the Downtown Cadillac area that will reconstruct a portion of streets, sidewalks, and on-street parking. Phase I of the project is complete, while Phase II is expected to begin in 2025.

Fund: Industrial Park Fund**Type:** Capital Project Fund**Oversight:** City Manager**Nature and Purpose:**

This fund was created to account for capital expansion and development within Cadillac's 3 industrial parks which include:

Cadillac Industrial Park

Developed in 1981, this 48-acre parcel of land established the Cadillac Industrial Park.

Harry VanderJagt Industrial Park

Industrial growth in the 80's and 90's was a reflection of the City's ability to purchase and develop enough land to encourage an industrial explosion. Demands were great for a second park so the 200-acre Harry VanderJagt Industrial Park was established. The streets and utilities were put in place with a Federal Economic Development Administration Grant.

James E. Potvin Industrial Park

The VanderJagt park is nearly full at this time. Additional inquiries were routinely received by the City and accordingly a third park was constructed as a result of the demand for industrial space. This newest park, the James E. Potvin Industrial Park, has been broken into two phases, with phase one being complete. All public utilities are in place for this phase, which encompasses 14 lots over a 65 acre area.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Sale of Property	\$0	\$0	\$0	\$0
Grant Funds	0	500,000	600,000	0
Interest Income	9,398	12,000	5,000	12,000
Surplus	0	0	45,500	38,500
Total	\$9,398	\$512,000	\$650,500	\$50,500
Expenditures				
Audit	\$500	\$500	\$500	\$500
Contractual Services	10,059	250,000	650,000	50,000
Fees and Commissions	4,939	0	0	0
Total	\$15,498	\$250,500	\$650,500	\$50,500
Fund Balance				
Net Change in Fund Balance	(\$6,100)	\$261,500	(\$45,500)	(\$38,500)
Fund Balance - Beginning of Year	330,272	324,172	324,172	585,672
Ending Fund Balance	\$324,172	\$585,672	\$278,672	\$547,172

Grant Funds

The City recently required an industrial parcel that is in need of clearing and cleanup. A grant was received to cover 100% of the estimated costs of this project which should be completed in FY2026. Once completed, the parcel will become marketable and developable. The fund purchased the parcel in FY2024, and the acquisition costs will be reimbursed as part of the grant funds anticipated to be received in FY2026.

Fund: Special Assessment Capital Projects Fund**Type:** Capital Project Fund**Oversight:** Director of Finance**Nature and Purpose:**

This fund is a Capital Projects Fund and was established to account for construction projects that are paid for through special assessments on the benefited property. Its use has been expanded to include other infrastructure-related capital projects, including those funded through the use of debt. The fund is budgeted and accounted for on a modified accrual basis.

Excess funds are used for capital projects and engineering.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Interest Income	\$2,111	\$1,800	\$500	\$1,500
Special Assessment	1,295	1,300	2,500	1,500
Surplus	0	0	22,300	22,500
Total Revenue	\$3,406	\$3,100	\$25,300	\$25,500
Expenditures				
Audit	\$500	\$500	\$500	\$500
Construction	0	0	25,000	25,000
Total Expenditures	\$500	\$500	\$25,500	\$25,500
Fund Balance				
Net Change in Fund Balance	\$2,906	\$2,600	(\$22,500)	(\$22,500)
Fund Balance - Beginning of Year	65,698	68,604	68,604	71,204
FUND BALANCE AT YEAR END	\$68,604	\$71,204	\$46,104	\$48,704

Fund: Downtown Infrastructure Project Fund**Type:** Capital Project Fund**Oversight:** Community Development Director**Nature and Purpose:**

This temporary fund was created to account for the project costs related to downtown public infrastructure on Cass, Mitchell, Shelby and Chapin Streets. This project began in July 2020 and Phase 1 is complete, while Phase 2 is expected to take place in 2025 and 2026. Pursuant to the construction of the Cadillac Lofts Phase 2 project, it is expected that public infrastructure surrounding the project will be upgraded utilizing a combination of funding from a CDBG grant and residual bond funds on hand. Bond funds are repaid using captured taxes from an approved brownfield development plan at the site. The grant is still in pending status but final word regarding a grant agreement is expected by spring 2026.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Grant Revenue	\$0	\$0	\$0	\$800,000
Interest Income	4,879	7,000	0	0
Total	\$4,879	\$7,000	\$0	\$800,000
Expenditures				
Construction	\$0	\$0	\$464,000	\$1,270,000
Total	\$0	\$0	\$464,000	\$1,270,000
Fund Balance				
Net Change in Fund Balance	\$4,879	\$7,000	(\$464,000)	(\$470,000)
Fund Balance - Beginning of Year	460,531	465,410	465,410	472,410
Ending Fund Balance	\$465,410	\$472,410	\$1,410	\$2,410

PERMANENT FUNDS DESCRIPTION

Permanent Funds are used to report resources that are legally restricted to the extent that only earnings, not principal, may be used for purposes that support the City's programs. Permanent Funds are accounted for on a modified accrual basis.

The City appropriates resources for the following Permanent Funds:

Cemetery Perpetual Care Fund - Perpetual care of a cemetery lot is part of the purchase price. This principal amount is an endowment and the interest is used to maintain the cemetery operation.

Capital Projects Trust Fund - The gain from the sale of the City's investment in an electric cogeneration plant has been set aside as an endowment for capital projects. Investment earnings from the endowment will be used for capital projects as deemed appropriate by the City Council.

Fund: Cemetery Perpetual Care Fund**Type:** Permanent Fund**Oversight:** Director of Finance**Nature and Purpose:**

The Cemetery Perpetual Care Fund is a permanent fund established to maintain the operation of the cemetery. With assets of over \$700,000, earnings on these funds are used for the primary purpose of maintaining the cemetery and help offset normal operating or capital costs. This fund is accounted for on a modified accrual basis. Revenue projections for the investments are based on the estimated investment climate, while the sale of cemetery lots which generate perpetual care income is based on a historical trend.

Perpetual Care of Lots

A portion of each sale of a cemetery lot is designated for perpetual care and is set aside into this trust fund to maintain a well manicured cemetery. When a burial plot is sold, 50% of the cost is set aside into this fund for endowment. The amount of interest earned is dependent upon the investment market each year.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Perpetual Care of Lots	\$13,725	\$12,000	\$10,000	\$10,000
Interest Income	25,983	26,000	20,000	25,000
Surplus	0	12,500	20,500	0
TOTAL REVENUES	\$39,708	\$50,500	\$50,500	\$35,000
Expenditures				
Audit	\$500	\$500	\$500	\$500
Transfer out - Cemetery Operating	0	50,000	50,000	29,000
Total	\$500	\$50,500	\$50,500	\$29,500
Fund Balance				
Net Change in Fund Balance	\$39,208	(\$12,500)	(\$20,500)	\$5,500
Fund Balance - Beginning of Year	673,155	712,363	712,363	699,863
Ending Fund Balance	\$712,363	\$699,863	\$691,863	\$705,363

Fund: Capital Projects Trust Fund**Type:** Permanent Fund**Oversight:** Director of Finance**Nature and Purpose:**

Established in 1998, this fund is an endowment fund created by the City Council with the intent to be used for capital items such as public infrastructure. The City Council's intent is to use only the earnings generated from the principal of the endowment. The funds came from the sale of the City's partnership interest in the electric cogeneration power plant. Several projects have been accomplished over the past few years as earnings have allowed.

This fund is a Permanent Fund and is accounted for on a modified accrual basis, similar to all other Governmental Fund types.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Interest Income	\$3,921	\$3,000	\$2,000	\$2,000
Surplus	0	0	0	0
Total	\$3,921	\$3,000	\$2,000	\$2,000
Expenditures				
Audit	\$0	\$0	\$0	\$0
Contribution - Public Infrastructure	0	0	0	0
Total	\$0	\$0	\$0	\$0
Fund Balance				
Net Change in Fund Balance	\$3,921	\$3,000	\$2,000	\$2,000
Fund Balance - Beginning of Year	132,906	136,827	136,827	139,827
Ending Fund Balance	\$136,827	\$139,827	\$138,827	\$141,827

Past Public Infrastructure Projects

<i>Fiscal Year</i>	<i>Projects Assisted with Fund Earnings</i>	<i>Amount</i>
1999	Cummer Street	\$16,171
2000	Alley behind Milliken's	10,433
2002	Elm Street Triangle (gravel street)	33,900
2004	Balsam Street (gravel street)	10,000
2008	Alley between Henry and Evart Streets (gravel)	10,000
2009	Diggins Hill Tennis Court Restoration Project	25,000
2011	Chestnut Street	20,000
2012	Gunn-Seventh Street	25,000
2015	Lakefront Accessible Playground	12,654
2016	Rotary Pavilion	140,000
2018	The Market at Cadillac Commons	325,000
Total:		\$628,158

ENTERPRISE FUNDS DESCRIPTION

Enterprise Funds are used to report any activity for which a fee is charged to external users for goods or services and that tries to recover a majority of its costs through user charges.

The City appropriates resources for the following Enterprise Funds:

Major Enterprise Fund (Reported in Major Fund Section):

Water and Sewer Fund - Used to account for the operations of the City's water and sewer systems.

Nonmajor Enterprise Funds:

Building Authority Operating Fund - Used to account for activities related to the lease of the City-owned facility located at 120 W. Chapin Street and leased to the Michigan Department of Environment, Great Lakes and Energy.

Fund: Building Authority Operating Fund**Type:** Enterprise Fund**Oversight:** Director of Finance**Nature and Purpose:**

The Cadillac Building Authority was reestablished by the City Council in accordance with P.A. 31 of 1948. The purpose of the building authority was to facilitate the sale of bonds to fund construction of municipal structures. A building authority was previously used by the City of Cadillac in 1977 to issue bonds for the construction of the Municipal Complex and then in 1994 for the construction of the State of Michigan Department of Environment, Great Lakes and Energy (EGLE). This fund accounts for lease revenue and facility costs.



Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Rental Income	\$161,006	\$193,000	\$193,000	\$193,000
Interest Income	58,527	15,000	8,000	8,000
Total	\$219,533	\$208,000	\$201,000	\$201,000
Expenditures				
Building Maintenance	24,021	30,000	40,000	40,000
Contractual Services	10,702	18,000	20,000	35,000
Audit	500	500	500	500
Liability Insurance	4,500	2,000	2,000	5,000
Utilities	4,038	4,500	4,500	4,500
Administration	25,000	25,000	25,000	25,000
Depreciation	70,238	70,800	71,000	71,000
Total	\$138,999	\$150,800	\$163,000	\$181,000
Net Position				
Change in Net Position	\$80,534	\$57,200	\$38,000	\$20,000
Total Net Position - Beginning of Year	1,739,908	1,820,442	1,820,442	1,877,642
TOTAL NET POSITION - END OF YEAR				
Invested in Capital Assets	1,155,067	1,084,267	1,084,267	1,013,267
Unrestricted	665,375	793,375	774,175	884,375
TOTAL NET POSITION	\$1,820,442	\$1,877,642	\$1,858,442	\$1,897,642

Fund Highlights

The City of Cadillac rents the building to the State of Michigan and the rent is based on the operating expenses as well as the debt payments on the bond. The lease with the State of Michigan has been extended through March 31, 2036 and the bonds have been paid in full for a number of years.. Interest Income is earned by investing cash reserves and idle funds in accordance with the City's investment policy. The City is responsible for a small amount of operating costs, building repairs, snow removal, and also lease management.

INTERNAL SERVICE FUNDS DESCRIPTION

Internal Service Funds are established to finance and account for services and/or commodities furnished by a designated program to other programs within the City. Since the services and commodities are supplied exclusively to programs under the City's jurisdiction, they are distinguishable from those services which are rendered to the public in general and which are accounted for in general, special revenue or enterprise funds.

The City of Cadillac Central Stores and Municipal Garage Fund, Information Technology Fund, Self-Insurance Fund and Safety Fund make up the Internal Service Funds category.

Central Stores and Municipal Garage Fund - Operates the motor pool for the City.

Information Technology Fund - Provides computer services to the various internal and external agencies that use the City's computers, computer software programs, and enterprise-wide networking infrastructure.

Self-Insurance Fund - A self-funded account that provides for hospitalization and life insurance for municipal employees at a limited amount of risk to the City.

Safety Fund - This fund was created to educate and encourage safety throughout the City organization.

Fund: Stores and Garage Fund**Type:** Internal Service Fund**Oversight:** Director of Public Works**Nature and Purpose:**

This fund is used to record the operations of the Stores and Garage Department as well as provide equipment and staffing for various street construction and maintenance activities. This fund provides services to the Major Street Fund, Local Street Fund, General Fund, Cemetery Operating Fund, and several other City-operated funds. The major source of revenue for this fund is supplied by equipment rental rates. This fund owns all of its own equipment and rents it to the other funds at a base rate established by the State of Michigan. Services and materials revenue is for work done for City residents such as brush removal, parking lot cleaning, and tree removal. About 70 pieces of equipment are maintained by this fund ranging from plow trucks to trailers to mowers and loaders. In addition to equipment, the Stores and Garage Fund is responsible for the City inventory of items such as salt, salt/sand mix and other road maintenance supplies used on a regular basis.

PERFORMANCE MEASURES - STORES AND GARAGE FUND

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Number of Vehicles/Equipment Maintained		70	70	70	70	↔
Total Fuel Costs		\$48,811	\$59,255	\$85,000	\$70,000	↑
Gallons of Diesel Used		10,077	14,880	17,000	13,000	↑
Gallons of Unleaded Fuel Used		5,471	5,014	5,500	5,500	↔
Average Cost per Gallon - Diesel		\$3.00	\$2.82	\$3.50	\$3.85	↑
Average Cost per Gallon - Unleaded		\$2.57	\$2.56	\$2.75	\$3.00	↑
Total Annual Cost of Road Salt *		\$159,689	\$56,804	\$139,460	\$167,900	↔
Tons of Road Salt Purchased		2,300	813	1,979	2,300	↔
Cost per Ton - Road Salt		\$69.43	\$69.87	\$70.47	\$73.00	↑
Total Capital Investment		\$83,066	\$410,013	\$130,000	\$405,000	↑

*Represents tons of salt purchased; usage varies depending on severity of winter.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Charges for Services:				
Services & Materials	\$18,736	\$10,000	\$30,000	\$30,000
Equipment Rental	912,532	960,000	790,000	820,000
Miscellaneous				
Sale of Surplus Material/Equipment	1,207	8,000	10,000	10,000
Other	1,748	0	0	0
Total	\$934,223	\$978,000	\$830,000	\$860,000

Fund: Stores and Garage Fund**Expenses****Administration**

Salaries and Wages	\$149,504	\$150,000	\$140,000	\$145,000
Fringes	125,785	110,000	100,600	105,000
Operating Supplies	1,682	45,000	45,000	45,000
Fuel Costs	59,255	85,000	60,000	70,000
Audit	500	1,000	1,000	1,000
Data Processing	10,700	0	0	0
Travel & Education	42	1,000	1,000	1,000
Insurance	30,000	30,300	30,000	30,000
Utilities	23,764	24,000	25,000	25,000
Employee Safety	4,396	4,000	4,000	4,000
General Administrative Charges	24,000	12,000	12,000	12,000
Depreciation	238,875	255,000	250,000	255,000
Equipment Maintenance	115,189	95,000	90,000	100,000
Equipment Rental	43,682	10,000	20,000	12,000
Interest Expense	7,209	6,000	6,000	5,300
Total Administration	\$834,583	\$828,300	\$784,600	\$810,300

Outside Work

Salaries and Wages	\$1,538	\$3,000	\$5,000	\$7,000
Fringes	1,243	2,000	3,700	5,000
Supplies	191	1,000	5,000	5,000
Equipment Rental	1,618	1,500	5,000	5,000
Total Outside Work	\$4,590	\$7,500	\$18,700	\$22,000

Building & Grounds

Salaries and Wages	\$1,333	\$3,000	\$8,000	\$10,000
Fringes	709	2,000	6,000	7,100
Operating Supplies	514	3,500	5,000	5,000
Repair and Maintenance	2,507	3,000	5,000	5,000
Equipment Rental	453	1,000	500	500
Total Building & Grounds	\$5,516	\$12,500	\$24,500	\$27,600

Total Expenses

\$844,689	\$848,300	\$827,800	\$859,900
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Net Position

Change in Net Position	\$89,534	\$129,700	\$2,200	\$100
Total Net Position - Beginning of Year	799,982	889,516	889,516	1,019,216
Total Net Position - End of Year	\$889,516	\$1,019,216	\$891,716	\$1,019,316

Fund: Stores and Garage Fund**Source and Use of Funds For Capital Improvements****FY2027****Source of Funds:**

Operating Funds on Hand	\$405,000	
Internal Loan	0	
Total Source of Funds		\$405,000

Use of Funds:**Equipment:**

3/4-Ton Work Truck	\$55,000	
Mechanical Street Sweeper	350,000	
Total Use of Funds		\$405,000

Footnote: Replacing aging equipment is a vital part of the ongoing operations in this department. All proposed equipment purchases will replace outdated models, saving the department costs arising from increased maintenance on older equipment.

Cash Flow Analysis**FY2027****ADDITIONS:**

Depreciation	\$255,000	
Net Income (Loss)	100	
TOTAL ADDITIONS		\$255,100

DEDUCTIONS:

Principal Payment - Internal Loan	\$50,000	
Capital Items	405,000	
TOTAL DEDUCTIONS		\$455,000

NET INCREASE (DECREASE) OF AVAILABLE CASH		(\$199,900)
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Fund: Information Technology Fund**Type:** Internal Service Fund**Oversight:** Director of Finance**Nature and Purpose:**

The City of Cadillac is committed to leveraging technology to improve productivity, and ongoing IT investments have helped streamline City services at every department level. The City IT Department coordinates and supports the infrastructure, hardware, operating systems, and user software for all City departments. This includes file servers, data security and backup, Internet connections and security, remote connectivity, user workstations and software, printers, and other related computer equipment and processes.

As an internal service fund, revenues are received from contributions by other City funds and activities.

Currently the IT Department equipment list includes the following:

- > Approximately 65 workstations including desktop and notebook computers;
- > Multiple file servers including Application, Storage, and Security servers;
- > Numerous printers, tablets, scanners, and other related equipment and software.
- > Management of an increasing number of software-as-a-service platforms for email, police reporting, fire reporting, GIS, etc.in addition to other cloud-based systems. Subscription fees are accounted for in the "Software and Programming' line item.

PERFORMANCE MEASURES - INFORMATION TECHNOLOGY

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2024	2025	2026	2027	
Number of Workstations		65	65	65	65	↔
Cost per Workstation		\$3,922	\$4,163	\$4,751	\$5,385	↑
Number of Workstations Replaced		11	11	20	20	↑
Total Capital Investment		\$19,745	\$16,614	\$24,000	\$147,000	↑

Fund: Information Technology Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Charges for Services - Intergovernmental				
General Fund				
City Council	\$12,200	\$13,000	\$13,000	\$4,000
City Manager	10,200	10,900	10,900	12,200
Finance	44,900	47,600	47,600	57,600
Assessor	6,600	7,000	7,000	7,300
Treasurer	27,500	29,200	29,200	34,900
Municipal Complex	6,600	2,000	2,000	2,400
Police	64,300	68,200	68,200	85,300
Fire	28,500	30,300	30,300	37,600
Public Works	6,100	18,400	18,400	19,100
Parks and Recreation	1,200	1,300	1,300	1,700
Community Development	15,400	17,300	17,300	16,200
Water & Sewer	56,800	60,200	60,200	67,700
Stores and Garage	10,700	0	0	0
Total Intergovernmental Services	291,000	305,400	305,400	346,000
Interest Income	6,483	5,000	4,000	4,000
Sale of Property	0	0	0	0
Total Revenue	\$297,483	\$310,400	\$309,400	\$350,000
Expenses				
Salaries	\$3,000	\$3,000	\$3,000	\$3,000
Fringes	967	1,300	1,300	1,500
Office Supplies	2,524	2,000	6,000	6,000
Audit	500	500	500	500
Contractual Services	43,537	61,000	60,500	71,000
Hardware and Accessories	16,614	24,000	20,000	22,000
Software and Programming	130,474	142,000	137,500	150,000
Liability Insurance	11,744	10,000	10,000	15,000
Telephone	6,883	8,000	8,500	9,000
Repair and Maintenance	0	1,000	2,000	2,000
Depreciation	24,360	26,000	30,000	40,000
Administration	30,000	30,000	30,000	30,000
Total Expenses	\$270,603	\$308,800	\$309,300	\$350,000
Net Position				
Change in Net Position	\$26,880	\$1,600	\$100	\$0
Total Net Position - Beginning of Year	281,002	307,882	307,882	309,482
Total Net Position - End of Year	\$307,882	\$309,482	\$307,982	\$309,482

Fund: Information Technology Fund

Expense Descriptions

Salaries and Fringes

The Accounting Manager for the City is the primary internal IT point of contact. A portion of the salary for the position is allocated to this fund.

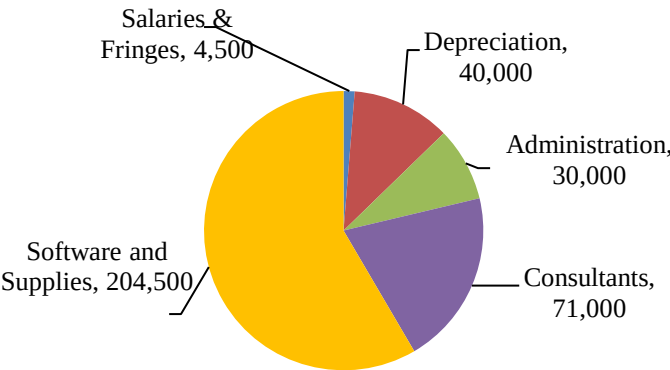
Software and Programming

This line item accounts for the annual maintenance and subscription fees for the many software programs used throughout the City. Included in these fees are the City's financial software (including Utility Billing, Financials, Community Development, and Payroll) and tax billing software (including tax billing and special assessment tracking). The monthly cost of the data line that provides internet access to the municipal complex is allocated to this line item as well, as are other services such as programming and maintenance of the phone system in the municipal complex.

Contractual Services

In January, 2007, the City made the decision to contract out the provision of Information Technology services. A contract was awarded to a new vendor beginning July 1, 2012. VC3, Inc. is now serving as the City's contracted IT department.

Expenses by Type
Current Budget Request



Fund: Information Technology Fund**Other Financial Analysis****Source and Use of Funds For Capital Improvements****FY2027****Source of Funds:**

Revenues:

Operating Revenues/Reserves	125,000	
Total Source of Funds		\$125,000

Use of Funds

IT Infrastructure (Servers, Firewalls)	\$125,000	
Total Use of Funds		\$125,000

Footnote: Replacement of equipment is essential within this department. All of the items are replaced due to age and the need to upgrade technology. The computer replacement program utilized by the City schedules replacements once computers have been deployed for 3-4 years. The capital expense for software will upgrade existing desktop software packages to the latest versions, taking advantage of the latest efficiency-enhancing functionality that exists.

Cash Flow Analysis**FY2027****Additions**

Depreciation	\$40,000	
Net Income (Loss)	0	
Total Additions		\$40,000

Deductions

Capital Items	125,000	
Total Deductions		\$125,000

Net Increase (Decrease) in Available Cash

	(\$85,000)
Projected Working Capital - Beginning of Year	\$200,000
Projected Working Capital - End of Year	\$115,000

Budget staff has confirmed that there will be sufficient cash on hand to handle the projected cash flow needs for FY2027.

Fund: Self Insurance Fund**Type:** Internal Service Fund**Oversight:** City Manager**Nature and Purpose:**

This fund provides for the health and life insurance of all full-time City employees and their families, as well as eligible retirees. Eligible retirees receive health insurance until age 65, in accordance with the applicable collective bargaining agreement or non-union schedule of benefits. The various funds within the City are charged an employer contribution rate equivalent to the estimated cost of providing the benefits on a per month per employee cost basis.

Basic and Master Medical

The employer contribution rate has held fairly consistent for several years and has provided the fund with solid reserves to help mitigate the risk of higher-than-normal claims years. City staff continues to actively manage the health care plans to ensure that cost increases are held as low as possible. Employee contributions are periodically increased to help offset the rise in costs. The overall management of the health care plan is vital to containing health care costs and ensuring that the City will be able to provide health care benefits to its employees in the future.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Employer Contributions	\$1,468,175	\$1,565,000	\$1,580,000	\$1,760,000
Employer Contributions-Dental	87,595	90,000	100,000	99,000
Employer Contributions-Optical	20,870	20,000	20,000	20,000
Employer Contributions-Life	7,527	8,000	8,000	8,000
Employee Contribution	122,011	125,000	102,000	135,000
Interest Income	3,621	5,000	4,000	3,000
Reimbursement from OPEB Trust	160,000	160,000	160,000	170,000
Surplus	0	0	0	0
Total	\$1,869,799	\$1,973,000	\$1,974,000	\$2,195,000
Expenses				
Reinsurance Premiums	\$1,211,787	\$1,450,000	\$1,515,000	\$1,665,000
Administration	55,998	42,000	40,000	50,000
Benefit Payments				
Health Insurance	524,084	465,000	405,000	460,000
Life Insurance	17,138	10,000	12,000	20,000
Total	\$1,809,007	\$1,967,000	\$1,972,000	\$2,195,000
Net Position				
Change in Net Position	\$60,792	\$6,000	\$2,000	\$0
Total Net Position - Beginning of Year	236,577	297,369	297,369	303,369
Total Net Position - End of Year	\$297,369	\$303,369	\$299,369	\$303,369

Fund: Self Insurance Fund**System Benefits Highlights****Health Insurance**

The City provides a health maintenance organization (HMO) plan for eligible City employees and retirees. This plan, currently offered through Blue Care Network, was initiated in 2014. This plan reduced overall insurance costs and as of January 1, 2017 the former PPO plan is closed to new enrollments.

Life Insurance

The City provides life insurance for active employees. The City also provides for a small life insurance policy for qualified retirees. Depending on the applicable bargaining unit or non-union schedule of benefits, the benefit ranges from \$2,500 to about \$7,500. The benefit is paid to the retiree's estate upon their death.

Health Insurance Retiree Benefit Payments

This fund continues to cover retiree health premiums partially on a "pay-as-you-go" basis and partially from the trust account established to prefund these benefits. No new hires are eligible for this benefit in retirement.

Plan Cost Summaries

Plan Type	Annual Costs			Total	Employee Co-Pay	Co-Pay as % of Total Costs	# of Participants
	Medical	Dental	Vision				
Blue Cross Blue Shield PPO							
Single	\$12,113	\$467	\$106	\$12,686	\$1,456	11.48%	1
Two-Person	\$28,971	\$864	\$202	\$30,037	\$3,494	11.63%	1
							2
Blue Care Network HMO							
Single	\$8,970	\$467	\$106	\$9,543	\$614	6.43%	6
Two-Person	\$21,840	\$864	\$202	\$22,906	\$1,473	6.43%	31
Family	\$26,520	\$1,552	\$297	\$28,369	\$1,841	6.49%	47
							84

* An additional 6 employees/retirees that are eligible for health care participate in the City's opt-out program. The City provides opt-out payments of up to \$4,000 per year for electing other available coverage. Savings from the opt-out program vary between \$4,000 up to \$18,000 per employee that opts out, so it is estimated that the program saves the City around \$80,000 per year in medical insurance costs.

Fund: Safety Fund**Type:** Internal Service Fund**Oversight:** Safety Coordinator**Nature and Purpose:**

The Safety Fund was created to enable the development of a safety culture that would enhance employee performance by assisting employees in maintaining the highest possible level of health and safety. The Safety Coordinator is tasked with assisting employees in maintaining a safe and healthy work environment. The Safety Coordinator chairs the City of Cadillac Safety Committee, which is comprised of representatives from each city department and meets frequently to discuss and address safety issues, evaluate training, and review on the job accidents.

The Safety Coordinator also provides resources to ensure that all city departments are in compliance with MIOSHA (Michigan Occupational Safety and Health Administration) regulations. This is accomplished through continuing education, review of MIOSHA material, and preventative inspections coordinated through the Consultation, Education and Training section of MIOSHA.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Interest Income	\$170	\$0	\$0	\$0
General Fund	0	4,000	4,000	4,000
Water and Sewer Fund	4,000	4,000	4,000	4,000
Stores & Garage Fund	4,000	4,000	4,000	4,000
Surplus	0	0	0	0
Total	\$8,170	\$12,000	\$12,000	\$12,000
Expenditures				
Salaries and Wages	\$3,000	\$3,000	\$3,000	\$3,000
Fringes	1,786	2,000	2,000	2,000
Operating Supplies	2,420	5,000	4,000	4,000
Audit	500	500	500	500
Dues and Publications	0	500	500	500
Travel and Education	519	1,000	2,000	2,000
Total	\$8,225	\$12,000	\$12,000	\$12,000
Net Position				
Change in Net Position	(\$55)	\$0	\$0	\$0
Total Net Position - Beginning of Year	8,837	8,782	8,782	8,782
Total Net Position - End of Year	\$8,782	\$8,782	\$8,782	\$8,782

Fund: Safety Fund**Safety Program Highlights*****Safety Committee***

The Safety Committee is comprised of employees from various departments with a total of 7 members. Cindy Tomaszewski, the City's Laboratory Supervisor, fills the role of Safety Coordinator for the City. In 2016, Safety and Wellness combined due to their overlapping nature and to strengthen both messages to the employee population.

Safety Statistics				
Cases	2022	2023	2024	2025
Deaths	0	0	0	0
Number of cases with days away from work	2	2	0	0
Number of cases with job transfer/restriction	2	1	1	2
Other recordable cases	5	0	2	4
Days				
Total days away from work	143	103	0	0
Total days of job transfer/restriction	144	13	11	104
Total hours worked - all employees	162,859	165,621	169,065	167,368

GOALS**FY2027**

1. Offer CPR/AED training to all departments.
2. Make on-line safety trainings available to all departments, on-demand.
3. Update City emergency response plan.
4. Fully populate safety committee with representative and alternate from all City departments.

FY2026 Safety Committee Highlights:

- ~ Offered headlamps and Yak-Trax personal safety equipment to all City employees.
- ~ Offered Fire Extinguisher hands-on training to all City Departments.
- ~ Facilitated multi-department safety training for certified confined space.
- ~ Safety Orientation Training for seasonal and new full-time employees.

Fund: Police and Fire Retirement Fund**Type:** Pension Trust Fund**Oversight:** Director of Finance**Nature and Purpose:**

This fund was established to administer the police and fire retirement system authorized by a vote of the Citizens of Cadillac in 1977 when they agreed to an added millage to cover the costs of the retirement system for the police and fire employees. Michigan Public Act 345 of 1937 governs the activities of the system. The board of directors have the responsibility of administering the system and maintaining an actuarially sound fund.

The financial objective is to establish and receive contributions, expressed as a percent of active payroll, which will remain approximately level from year to year and will not be increased for future generations. The system is supported by a City-wide millage, investment income from the retirement assets, and an employee contribution of 3% of salary. To fund the system, the City contributes 19.62% of the police member salaries and 22.64% of the fire members' salaries. The system is meeting its annual funding requirements. The system is 93.3% funded, up from 83.85% on the previous valuation due to investment experience and assumption changes due to a recent experience study. In 2001 the police officers and the fire officers agreed to an employee deduction to cover the actuarial costs of increasing the retirement factor from 2.0 to 2.5. The members agreed to make contributions to cover the additional benefit, which was subsequently capped at 3% of salary, requiring the City to make up any difference. Certain members are now exempt from the cost-share based on eligibility for retiree health care.

PERFORMANCE MEASURES - POLICE AND FIRE RETIREMENT SYSTEM

MEASURE	Actuarial Valuation Date: June 30,				Trend
	2022	2023	2024	2025	
Actuarially Accrued Pension Liabilities	\$15,634,629	\$16,270,145	\$16,498,488	\$16,041,519	↓
Funding Value of Accrued Assets	\$12,970,887	\$13,319,401	\$13,833,830	\$14,974,064	↑
Unfunded Actuarially Accrued Liabilities	\$2,663,742	\$2,950,744	\$2,664,658	\$1,067,455	↓
Funded Ratio (Assets/Liabilities)	82.96%	81.86%	83.85%	93.35%	↓
Total Pension Payments	\$1,098,793	\$1,110,844	\$1,096,263	\$1,057,350	↔
Number of Retirees	40	41	40	37	↓
Average Annual Pension	\$27,470	\$27,094	\$27,407	\$28,577	↑
Contribution Required (% of payroll) - Police	21.89%	29.91%	29.18%	29.91%	↑
Contribution Required (% of payroll) - Fire	33.25%	33.03%	32.11%	33.03%	↑
Total Contribution Required	\$468,400	\$434,410	\$573,038	\$642,175	↑
Number of Active Members	26	26	26	26	↔
Average Annual Salary - Police	66,263	73,233	73,962	79,123	↑
Average Annual Salary - Fire	\$70,030	\$85,773	\$82,043	\$81,326	↔

Fund: Police and Fire Retirement Fund

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Additions				
Contributions - Employer	\$1,055,633	\$812,000	\$815,000	\$855,000
Contributions - Employee	35,890	\$33,000	\$30,000	30,000
Interest and Dividend Income	1,807	5,000	\$1,500	5,000
Net Appreciation (Depreciation) in the Fair Value of Plan Investments	1,321,199	500,000	300,000	270,000
Investment Expenses	(29,711)	(30,000)	(30,000)	(30,000)
Total Additions	\$2,384,818	\$1,320,000	\$1,116,500	\$1,130,000
Deductions				
Benefit Payments				
Retirement	\$1,057,350	\$1,050,000	\$1,100,000	\$1,100,000
Administrative Expenses				
Audit	2,500	2,500	2,500	2,500
Contractual Services	14,795	20,000	12,500	27,500
Total Deductions	\$1,074,645	\$1,072,500	\$1,115,000	\$1,130,000
Net Change in Net Position	\$1,310,173	\$247,500	\$1,500	\$0
Net Position				
Beginning of Year	\$13,658,498	\$14,968,671	\$14,968,671	\$15,216,171
End of Year	\$14,968,671	\$15,216,171	\$14,970,171	\$15,216,171

Plan and Membership Information

In July, 2006 the Police and Fire Retirement System removed their investment managers and contracted with the Municipal Employees Retirement System of Michigan to manage the investments. This has proven to enhance the returns of the system's assets and provide long-term cost savings to the City.

Retirement Board

Jay Thiebaut, Chairperson - Citizen Member

Keri Lanning, Secretary/Treasurer - City Treasurer

Chris Shankland, Citizen Member

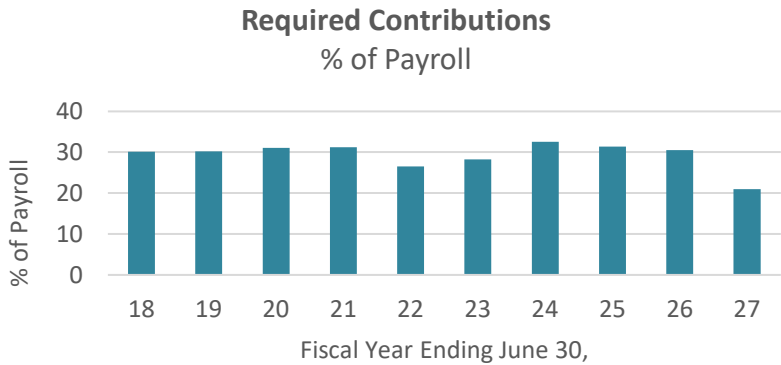
Blake Meyering, Fire Fighter Member

Chad Rosinski, Police Member

Note: The board, in conformance with P.A. 345, consists of two citizens approved by the City Council, the City treasurer, a firefighter and a police officer.

Fund: Police and Fire Retirement Fund

Plan Financial Details



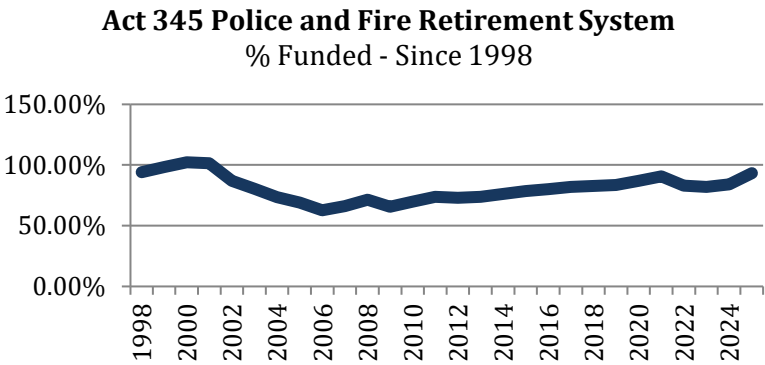
Required Contribution

Contribution rates have trended upward based on actual annual returns and assumption changes. The blended annual required contribution as a percentage of payroll decreased to 20.91% from 30.48% due primarily to the smoothing of annual returns on the assets of the system as well as changes in some of the assumptions used for annual actuarial valuations.

Contribution Rates

The Retirement System is supported by City contributions and investment income generated by retirement system assets. Contributions which satisfy the funding objective are determined by an annual actuarial valuation and are sufficient to:

1. Cover the actuarial present value of benefits assigned to the current year by the actuarial cost methods; and
2. Amortize over a period of future years the actuarial present value of benefits not covered by valuation assets and anticipated future normal costs (unfunded actuarial accrued liability).



Funded Status

Enhanced retirement benefits in the early 2000's had a detrimental impact on the overall funded status of the plan. System assets have been recovering, and as of the last valuation dated June 30, 2024 the plan is now 84% funded.

Summary of Actuarial Methods and Assumptions

Last Valuation Date	June 30, 2025
Actuarial Cost Method	Entry age normal
Amortization Method	Level percent of payroll
Remaining Amortization Period	10
Remaining Amortization - Benefit Increase	6
Asset Valuation Method	5-year smoothed market

Assumptions:

Investment Rate of Return	7.25%
Assumed Rate of Payroll Growth	3.00%
Assumed Rate of Membership Growth	0.0%

Fund: Police and Fire Retirement Fund**Summary of Act 345 Benefits & Conditions**

<i>Eligibility:</i>	<i>Benefit:</i>
<i>Regular Retirement</i>	
Age 50 with 25 or more years of service or age 60 regardless of service.	Straight life pension equals 2.5% of average final compensation (AFC) times first 25 years of service plus 1% of AFC times years of service in excess of 25 years.
<i>Deferred Retirement</i>	
10 or more years of service.	Computed as service retirement but based upon service, AFC and benefit in effect at termination. Benefit begins at the date the member would have been eligible to retire if employment had continued.
<i>Death After Retirement</i>	
Payable to a surviving spouse, if any, upon the death of a retired member who was receiving a straight life pension which was effective July 1, 1975 or later.	Spouse's pension equals 60% of the straight life pension the deceased retiree was receiving.
<i>Duty Disability Retirement</i>	
Payable upon the total and permanent disability of a member in the line of duty.	To age 55: 50% of AFC. At age 55: same credit as service retirement pension with service credit from date of disability to age 55.
<i>Non-Duty Disability Retirement</i>	
Payable upon the total and permanent disability of a member with 5 or more years of service.	To age 55: 1.5% of AFC times years of service. At age 55: same as service retirement pension.
<i>Duty Death in Service Retirement</i>	
Payable upon the expiration of worker's compensation to the survivors of a member who died in the line of duty.	Same amount that was paid by Worker's Compensation.
<i>Non-Duty Death in Service Retirement</i>	
Payable to a surviving spouse, if any, upon the death of a member with 20 or more years of service.	Accrued straight life pension actuarially reduced in accordance with an Option 1 election.

COMPONENT UNIT FUNDS DESCRIPTION

Component Units

This section contains the discretely presented component units, which are reported separately to indicate their legal separation from the City, but which are financially accountable to the City as a reporting entity.

Local Development Finance Authority (LDFA) - The LDFA was created by the City Council pursuant to the provisions of Act 251, Public Acts of 1986 (now consolidated under PA57 of 2018). The members of the board of the LDFA are appointed by the City Council. The LDFA has a stated purpose to provide for the acquisition, construction and financing of a groundwater treatment facility, which will consist of a complex of wells and pumps installed on property where contaminated groundwater is located, piping sufficient to carry the contaminated groundwater to the cleaning facility, and the cleaning facility itself. Money to finance these projects will come from tax increments attributed to increases in the value of real and personal property resulting from new construction, and property value increases within the industrial park.

Local Development Finance Authority Capital Projects Fund - This fund was established to account for the receipt of captured taxes after all debt service obligations had been met. These tax increment financing revenues are restricted for capital projects.

Downtown Development Authority (DDA) - The DDA was established through City Ordinance under Act 197 of the Public Acts of Michigan of 1975 (now consolidated under PA57 of 2018). The City Council determined that it was necessary and in the best interest of the City to halt property value deterioration, to eliminate the causes and to promote economic growth in the downtown area. The members of the board of the DDA are appointed by the City Council. Its operational and capital budgets and bonded debt must be approved by the City Council. The DDA is authorized to impose an ad valorem tax (2 mill maximum) on all taxable property within the established DDA district. The DDA is a volunteer organization.

Downtown Development Authority Capital Projects Fund - This fund was established to provide a source of revenue for the DDA to undertake various capital and public infrastructure improvements within the DDA Development District.

Brownfield Redevelopment Authority - This fund identifies contaminated sites and remediates them, as well as provides the financing to do so. This fund was established pursuant to Michigan Public Act 381 of 1996.

Cadillac West Corridor Improvement Authority - This fund was established to account for the receipt of captured taxes in accordance with a tax increment financing plan adopted in 2025, and to account for expenditures as authorized by the TIF plan.

Fund: Local Development Finance Authority Operating Fund**Type:** Component Unit - Special Revenue Fund**Oversight:** Director of Utilities**Nature and Purpose:**

The Local Development Finance Authority (LDFA) established an operating fund which reflects the operational costs of the groundwater cleanup process in the industrial park. This fund has a sole source of revenue which is the special assessments paid by the industrial community within the contaminated area. Since the last assessment expired in FY2012, efforts have been underway to study the current status of the treatment and determine the best plan of action for future operations.

The cleanup process of the groundwater is a benefit to the industrial park area and is not intended to identify any plant or organization as contaminating the groundwater but instead presents a positive solution to an existing challenge. The City Council adopts the special assessment roll based on acreage owned by a property owner which establishes a corresponding percentage of the total operational costs to effectively monitor the clean-up.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Special Assessment Revenue	\$0	\$0	\$0	\$0
Interest Income	0	0	0	0
Transfer In	260,000	482,000	392,000	420,000
Total	\$260,000	\$482,000	\$392,000	\$420,000
Expenditures				
Salaries and Wages - Regular	\$25,083	\$23,000	23,700	24,000
Fringes	16,722	15,000	15,000	16,000
Operating Supplies	1,051	8,000	9,000	9,500
Chemicals	0	0	200	0
Contractual Services	12,779	200,000	98,000	135,000
Legal Contractual Services	0	0	6,500	0
Audit	600	600	600	500
Contracted Lab Costs	21,473	50,000	45,000	50,000
Utilities	175,849	180,000	180,000	170,000
Repair & Maintenance	1,712	14,000	14,000	15,000
Total	\$255,269	\$490,600	\$392,000	\$420,000
Fund Balance				
Net Change in Fund Balance	\$4,731	(\$8,600)	\$0	\$0
Fund Balance - Beginning of Year	5,860	10,591	10,591	1,991
Ending Fund Balance	\$10,591	\$1,991	\$10,591	\$1,991

Fund: Local Development Finance Authority Operating Fund

System Information

The purge and treat system was constructed during 1995 and 1996 with start-up in September of 1996. System design includes a chromium removal process and dual stage air stripping for volatile organic chemical (VOC) removal. Maximum design flow for the treatment system is 3.2 million gallons per day (MGD). Treated groundwater is discharged to the Clam River near the old Lake Cadillac dam.

Groundwater is pumped from 18 purge wells located in two defined water bearing formations referred to as the upper and intermediate aquifers. In 1996, influent VOC concentrations exceeded 600 parts per billion (ppb). Last year, influent VOC concentrations were just below 200 ppb. (One part per billion is approximately equal to one second in 32 years.) Chromium concentrations have been reduced to clean-up criteria and the Environmental Protection Agency (USEPA) has been petitioned for closure of the chromium treatment process.

Board of Directors:	
Matthew Schichtel, Chairperson	
Brian Warner, Vice-Chairperson	
William Tencza, Treasurer	Retired Chamber President
Julie Theobald	Wexford County Commissioner
Jennifer Brown	Superintendent, Cadillac Area Public Schools
Doug Sprik	Cadillac Area Public Schools
Mike Hamner	Site Leader, Avon Protection
David Johnson	
Marcus Peccia	City Manager, City of Cadillac
Michael Solomon	Wexford County Drain Commissioner
* A member of the staff of the Cadillac Utilities Department serves as Secretary of the Board.	

Fund Financial Highlights

Fund Balance

At the inception of the treatment system, a special assessment provided most of the funding to cover all operating costs. The assessment has not been renewed since 2012, so reserves and a transfer from the TIF captures are being utilized to cover the operating costs of the treatment plant. Work is underway to identify the future needs of the system, including work to identify funding for future treatment.

Contractual Services

The Soil Vapor Extraction site was closed in FY2016 in accordance with EPA clearance. A contracted environmental engineering firm is working on a comprehensive study regarding the current status of the groundwater cleanup process and the future needs for the facility.

Fund: Local Development Finance Authority Capital Projects Fund**Type:** Component Unit - Capital Project Fund**Oversight:** Director of Utilities**Nature and Purpose:**

This fund accounts for tax increment finance revenues (TIF) collected on behalf of the LDFA after debt service requirements have been met. The TIF revenues are used in accordance with the tax increment financing plan first approved by the LDFA board and City Council in 1991.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Tax Increment Financing Revenue	\$161,989	\$197,000	\$167,000	\$205,000
Interest Income	37,984	40,000	32,000	35,000
Transfer In	0	431,300	0	0
Surplus	0	0	243,500	230,500
Total	\$199,973	\$668,300	\$442,500	\$470,500
Expenditures				
Audit	\$500	\$500	\$500	\$500
Contractual Services	40,209	30,000	50,000	50,000
Transfer Out	260,000	482,000	392,000	420,000
Total	\$300,709	\$512,500	\$442,500	\$470,500
Fund Balance				
Net Change in Fund Balance	(\$100,736)	\$155,800	(\$243,500)	(\$230,500)
Fund Balance - Beginning of Year	1,187,723	1,086,987	1,086,987	1,242,787
Ending Fund Balance	\$1,086,987	\$1,242,787	\$843,487	\$1,012,287

Tax Increment Finance Revenues

Tax increment finance (TIF) revenues collected by Cadillac's LDFA are restricted in their use by the TIF plan. There is ongoing tax capture after the debt service requirements have been fulfilled which is accounted for in this fund. Accounting for them in a separate fund segregates them for purposes that comply with the TIF plan. Details of the TIF capture are presented on the next page.

Fund: Local Development Finance Authority Capital Projects Fund**LDFA Groundwater Treatment System****Transfer Out**

LDFA funds are utilized to operate the treatment facility. Operations costs were historically funded through an assessment against properties within the treatment district. This assessment needs to be renewed, and in the interim these captured tax dollars are funding treatment costs.

**LDFA Treatment Facility**

The groundwater treatment system started up in September 1996, and has since treated well over 20 billion gallons of groundwater.

Source of Tax Increment Financing Revenue

The Local Development Finance Authority captures taxes in the LDFA District as follows:

	<u>Ad Valorem</u>	<u>IFT</u>	<u>Total</u>
Total LDFA District Taxable Value	\$6,173,029	\$1,824,122	\$7,997,151
Base Value	(551,400)	0	(551,400)
Captured Value	\$5,621,629	\$1,824,122	\$7,445,751

Taxes Captured:

	<u>Millage</u>	<u>Ad Valorem</u>	<u>IFT</u>	<u>Total</u>
City Operating	13.12560	\$73,787	\$11,971	\$85,759
Police and Fire Retirement (City)	2.60000	14,616	2,371	16,988
Wexford County Allocated	6.54720	36,806	5,971	42,777
Wexford County - Animal Control	0.19290	1,084	176	1,260
Wexford County - Public Safety	1.40010	7,871	1,277	9,148
Wexford County - MSU Extension	0.16390	921	149	1,071
Wexford County - Veterans	0.09630	541	88	629
CWTA	0.57930	3,257	528	3,785
Cadillac-Wexford Public Library	0.72410	4,071	660	4,731
Council on Aging	0.96560	5,428	881	6,309
Total Taxes Captured	26.39500	\$148,383	\$24,074	\$172,457

Note: Captured taxes are calculated by multiplying the millage rate by the captured value. The millage rate must first be divided by 1000, as one mill is equal to \$1 in taxes per \$1,000 in taxable value. IFT parcels receive exemptions of 50% of taxes. Total City-wide taxable value is approximately \$333,000,000. The LDFA captures about 1.7% of the ad valorem tax roll, and 71.4% of the IFT tax levy.

Fund: Downtown Development Authority Operating Fund**Type:** Component Unit - Special Revenue Fund**Oversight:** DDA Director**Nature and Purpose:**

The volunteer board members of the Cadillac Downtown Development Authority (DDA) are charged with the responsibility of encouraging economic development and halting declining property values in the Downtown Development District, for the benefit of the Downtown District's businesses and the community at large, as prescribed according to the provisions of Public Act 57 of 2018 (as amended).

The DDA's purpose is to use its various resources to invest in the Downtown Development District and fund public improvements that will spur additional private investment and development in the downtown area. This economic development purpose requires the DDA to recognize the infrastructure and marketing needs of the downtown, and then to prioritize and act upon those needs so that the downtown will incur economic growth as a result. DDA activities must meet public purposes and be financially supported by legally ascribed funding methods.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Tax Revenue	\$35,292	\$36,500	\$34,500	\$37,000
Contributions From Private Sources	7,020	6,000	20,000	7,000
Facility Rental	0	6,000	0	15,000
Interest Income	702	500	500	500
Transfer In - DDA TIF Funds	0	95,000	95,000	95,000
Total	\$43,014	\$144,000	\$150,000	\$154,500
Expenditures				
Salaries and Wages - Regular	\$13,790	\$70,000	\$67,000	\$74,000
Salaries and Wages - Part Time	4,984	1,000	2,500	0
Fringes	11,996	54,000	57,000	56,000
Office Supplies	603	1,500	1,000	2,300
Contractual Services	6,352	9,500	10,000	10,000
Audit	500	500	500	500
Travel and Education	0	3,200	3,500	2,500
Publisher's Costs	689	1,000	1,000	1,000
Rent	350	4,200	4,200	4,200
Downtown Marketing	140	2,000	3,000	4,000
Total	\$39,404	\$146,900	\$149,700	\$154,500
Fund Balance				
Change in Fund Balance	\$3,610	(\$2,900)	\$300	\$0
Fund Balance - Beginning of Year	20,903	24,513	24,513	21,613
Ending Fund Balance	\$24,513	\$21,613	\$24,813	\$21,613

Fund: Downtown Development Authority Operating Fund

Fund Structure and Staffing

Parcels of property within the Downtown Development District (including real and personal property) are anticipated to generate about \$37,000 in property tax revenue from the DDA's levy.

DDA Staff

Beginning in spring 2025, the DDA is proposed to be led by a newly-hired Main Street Manager. This staff member will lead the implementation of the Main Street Program, and because of the synergy between the positions will lead the DDA as well. The funding of this position will be a combination of the operating millage, downtown marketing funds available via the TIF plan, and private contributions. It is expected that the Main Street Program could become self-supporting through revenue generated from sponsorships, events, etc. In the meantime, the DDA has pledged to subsidize the position for a minimum of three years. In addition, during the summer months a seasonal employee cleans and monitors the downtown area to enhance the image of the community.

Cadillac Downtown Development Authority Board of Directors			
Name	Position	Business	Occupation
Steve Barnes	Chairperson	Simply Delightful	Owner
Malorie Bosscher	Vice-Chairperson	Serendipity	Manager
Marcus A. Peccia	Secretary/Treasurer	City of Cadillac	City Manager
Brian Kelsey	Member	Horizon Bank	Banking
Chris Huckle	Member	Cadillac News	Owner/Publisher
Chris Crawley	Member	Junior Achievement	Program Coordinator
Aaron Fekete	Member	Owl Eye Coffee	Owner
Heather Goodman	Member	WildFlour Bakery	Owner
Tereesa Arn	Member	Habitat for Humanity	Coordinator
Antoinette Schippers	Member	Retired	Retired

Fund Financial Highlights

Tax Revenue

The tax revenues of the DDA are based on a millage levied on properties within the district for operating purposes. The district-wide taxable value has finally seen more significant growth in the last five years, which has provided some additional funds to support district activities.

Fiscal Year	Taxable Value	Millage	Taxes	Change
2018	\$13,604,610	1.9548	\$26,594	-1.05%
2019	\$13,701,055	1.9548	\$26,783	0.71%
2020	\$13,838,572	1.9548	\$27,052	1.00%
2021*	\$13,866,620	1.9387	\$26,883	-0.62%
2022*	\$14,404,136	1.9173	\$27,467	2.17%
2023*	\$15,833,798	1.8501	\$29,252	6.50%
2024	\$17,057,806	1.8501	\$32,735	11.91%
2025*	\$18,612,296	1.8081	\$35,292	7.81%
2026*	\$20,635,612	1.7668	\$36,459	3.31%
2027	\$21,043,853	1.7668	\$37,180	1.98%

* Headlee Rollback

Note: Current taxable value is projected pending final approved tax roll.

Fund: Downtown Development Authority Capital Projects Fund**Type:** Component Unit - Capital Project Fund**Oversight:** DDA Director**Nature and Purpose:**

In November, 1992 the Cadillac Downtown Development Authority (DDA) and the Cadillac City Council approved the DDA's Development and Tax Increment Financing (TIF) plans. The purpose of these plans is to provide a source of revenue for the DDA to undertake various capital and public infrastructure improvements within the DDA Development District. It is anticipated that this public investment will in turn enhance the Development District and initiate spin-off private investment, resulting in an overall increase in downtown economic development and the elimination of declining property taxes.

While the plans were established in 1992, the first TIF capture was not realized until FY1997. In order for a TIF capture to be realized, the base property value for the entire DDA Development District must be exceeded by future years property values. From 1993 to 1995, property values in the DDA Development District continued to show an overall net decline. It was not until 1996 that the district's overall property values exceeded the 1992 base value (\$11,650,150), producing the first DDA TIF revenue capture of \$13,000. The purpose of Cadillac's DDA Capital Projects Fund is to receive these TIF revenues and track their expenditures on Development Plan projects.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Tax Revenue	\$171,427	\$175,000	\$160,000	\$205,000
Local Community Stabilization Payment	25,166	20,000	23,000	20,000
Interest Income	4,333	0	3,000	6,000
Total	\$200,926	\$195,000	\$186,000	\$231,000
Expenditures				
Audit	\$500	\$0	\$500	\$500
Contractual Services	41,217	20,000	30,000	55,000
Construction	0	0	0	0
Debt Service	81,473	80,500	80,500	80,500
Transfer Out - DDA	0	82,000	75,000	95,000
Total	\$123,190	\$182,500	\$186,000	\$231,000
Fund Balance				
Net Change in Fund Balance	\$77,736	\$12,500	\$0	\$0
Fund Balance - Beginning of Year	100,011	177,747	177,747	190,247
Ending Fund Balance	\$177,747	\$190,247	\$177,747	\$190,247

Fund: Downtown Development Authority Capital Projects Fund

Other Fund Information

In accordance with the Michigan Public Act 57 of 2018 (recodified from Public Act 197 of 1975), as amended, the Cadillac DDA must spend its TIF revenues only as prescribed by law and only on projects listed in its Development Plan. Typically, these projects are of a public infrastructure nature, but can include overall district marketing efforts and some operational expenditures, as directly related to the DDA office and staff. The Cadillac DDA has detailed a number of such public improvements in its Development Plan, including additional sidewalks and lighting improvements along downtown side streets, parking lot improvements, public water and sewer improvements associated with private developments, and building acquisitions/demolitions. In 2016 the DDA utilized bond financing in conjunction with City of Cadillac bond issuance to finance the costs of reconstructing a core downtown parking area that is now known as The Plaza at Cadillac Commons. Budgeted debt service expenditures are to cover this debt. Final debt service payment will occur on May 1, 2031.

Source of Tax Increment Financing Revenue

The DDA Capital Projects Fund captures taxes in the DDA District as follows:

	Ad Valorem	Less: Brownfield	Net Capture
Total DDA District Taxable Value	\$21,053,853		
1996 Base Value	(11,650,150)		
Captured Value	\$9,403,703		
Taxes Captured:	Millage	Capture	
City Operating	13.12560	\$123,429	(\$15,447) \$107,982
Police and Fire Retirement (City)	2.60000	24,450	(3,027) \$21,423
Wexford County - Allocated	6.66150	62,643	(7,623) \$55,020
Wexford County - Veterans	0.09810	923	(113) \$810
Wexford County - Animal Control	0.19640	1,847	(226) \$1,621
Wexford County - Public Safety	1.42460	13,397	(1,640) \$11,757
Wexford County - MSU Extension	0.16690	1,569	(192) \$1,377
CWTA	0.58950	5,543	(678) \$4,865
Cadillac-Wexford Public Library	0.73680	6,929	(848) \$6,081
Council on Aging	0.98250	9,239	(1,131) \$8,108
Total Taxes Captured	26.58190	\$249,969	(\$30,925) \$219,044

Note: Captured taxes are calculated by multiplying the millage rate by the captured value. The millage rate must first be divided by 1000, as one mill is equal to \$1 in taxes per \$1,000 in taxable value. Total City-wide taxable value is projected to be \$333,000,000. The DDA captures about 2.8% of the ad valorem tax roll. Current taxable value is projected pending final approved tax roll.

Fund: Brownfield Redevelopment Fund**Type:** Component Unit - Special Revenue Fund**Oversight:** City Manager**Nature and Purpose:**

The Cadillac Brownfield Redevelopment Authority (BRA) was established on December 6, 1996. It was the first Authority established in the State of Michigan under Michigan Public Act 381 of 1996. The BRA is charged with the redevelopment of brownfield sites throughout the City of Cadillac. A "brownfield" is defined as a previously developed property that is either perceived or known to have environmental contamination. Due to the increased risks and costs associated with brownfield sites, prior to P.A. 381, many developers consistently opted to invest in "greenfields", or previously undeveloped parcels. The rapid development of greenfields is known statewide to have contributed to the growing problem of urban sprawl and the costly, unwarranted extension of public utilities (i.e., water and sewer).

After creating the Cadillac BRA, efforts were undertaken by this board to establish a Brownfield Redevelopment Authority Plan. The Plan was first approved on August 4, 1997 which has since been amended and re-approved to add additional sites and accomodate additional projects. The Brownfield Redevelopment Plan identifies brownfields throughout the City of Cadillac, and defines "eligible activities" (i.e., environmental assessment, environmental remediation) that will be undertaken by the BRA to reduce or eliminate known contamination, so that it is economically feasible for the private sector to redevelop these properties. Eligible activities are funded through the capture of tax dollars via tax increment financing, which is enabled by the private redevelopment of brownfield sites.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Current Property Taxes	\$125,323	\$132,100	\$135,000	\$173,500
State Grants	1,623	560,000	0	0
Other Income	7,500	10,000	0	0
Interest Income	10,784	14,000	0	10,000
Total	\$145,230	\$716,100	\$135,000	\$183,500
Expenditures				
Contractual Services	\$148,273	\$720,000	\$160,000	\$208,500
Principal Payment	0	0	0	0
Audit	0	0	0	0
Total	\$148,273	\$720,000	\$160,000	\$208,500
Fund Balance				
Net Change in Fund Balance	(\$3,043)	(\$3,900)	(\$25,000)	(\$25,000)
Fund Balance - Beginning of Year	249,090	246,047	246,047	242,147
Ending Fund Balance	\$246,047	\$242,147	\$221,047	\$217,147

Fund Highlights

Brownfield Redevelopment Authority Board of Directors:	
Carla Filkins	Regan O'Neill
Mike Figliomeni	Marcus A. Peccia, Chair
Brian Warner	

Fund Financial Information**Captured Taxes**

Currently, there are taxes being captured on seven projects. Several additional projects are in the planning phase and are expected to be added to the Brownfield TIF capture roll within the next couple of years. Projected tax captures for FY2027 are as follows:

Total Brownfield Taxable Value	\$5,935,244
Base Value	1,115,537
Captured Value	\$4,819,707
Captured Taxes	
City Operating	\$48,367
Police and Fire Retirement (City)	9,473
Wexford County	23,853
CWTA	2,121
Council on Aging	3,535
Library	2,651
Public Safety	5,126
MSU Extension	600
Animal Control	707
Veterans Services	353
CAPS Operating	39,024
State Education Tax	13,626
Wexford-Missaukee ISD	23,704
Total Taxes Captured	\$173,140

Each project is captured differently, and the specific taxes which each project can capture will also vary.

Fund: Corridor Improvement Authority Fund**Type:** Component Unit - Special Revenue Fund**Oversight:** Community Development Director**Nature and Purpose:**

This fund accounts for the collection of captured taxes pursuant to the Cadillac West Corridor Improvement Authority's tax increment financing plan. The authority was established by the Cadillac City Council on April 15, 2013. The development and approval of the TIF plan gained traction in 2018 and a full board was seated. The TIF plan was approved by the Cadillac City Council in 2025 and FY2027 is the first year the authority is eligible to capture taxes. Captured tax dollars must be used in accordance with the approved TIF plan.

Fund Details	2024/25 Actual	2025/26 Estimated	2025/26 Adopted	2026/27 Proposed
Revenues				
Tax Increment Financing Revenue	\$0	\$0	\$0	\$6,600
Interest Income	196	200	100	0
Total	\$196	\$200	\$100	\$6,600
Expenditures				
Operating Supplies	0	3,000	3,000	3,000
Contractual Services	0	0	3,000	3,000
Total	\$0	\$3,000	\$6,000	\$6,000
Fund Balance				
Net Change in Fund Balance	\$196	(\$2,800)	(\$5,900)	\$600
Fund Balance - Beginning of Year	6,173	6,369	6,369	3,569
Ending Fund Balance	\$6,369	\$3,569	\$469	\$4,169

Tax Increment Finance Revenues

Tax increment finance (TIF) revenues collected by the Corridor Improvement Authority are restricted in their use by the TIF plan. Details of the TIF capture are presented on the next page.

Fund: Corridor Improvement Authority Fund**Summary of Tax Increment Financing Plan**

The Authority established the TIF plan to revitalize the district. The TIF will enable the authority to reach their goal of creating a clean and safe environment for tourists and residents. The TIF district is working to become a well-branded bikeable and walkable tourism village. This geographically unique district touches two lakes connected by a canal, two MDOT highways, a state campground, welcome center, and day use park.

Goals of the district include creating a well-rounded tourist experience by creating safe walkways, redeveloping aging properties, adding amenities such as a fishing pier or boat docks, and beautifying the district with branding and decorative displays.

Source of Tax Increment Financing Revenue

The Cadillac West Corridor Improvement Authority captures taxes in the district as follows:

	<u>Ad Valorem</u>
Total District Taxable Value	\$6,213,559
Base Value	(5,961,649)
Captured Value	<u>\$251,910</u>

Taxes Captured:	<u>Millage</u>	<u>Ad Valorem</u>
City Operating	13.12560	\$3,306
Police and Fire Retirement (City)	2.60000	655
Wexford County Allocated	6.54720	1,649
Wexford County - Animal Control	0.19290	49
Wexford County - Public Safety	1.40010	353
Wexford County - MSU Extension	0.16390	41
Wexford County - Veterans	0.09630	24
CWTA	0.57930	146
Cadillac-Wexford Public Library	0.72410	182
Council on Aging	0.96560	243
Total Taxes Captured	<u>26.39500</u>	<u>\$6,649</u>

6-Year Capital Improvement Program

What is the 6-Year Capital Improvement Program?

An important part of the City's annual financial planning process is the development of the 6-Year Capital Improvement Program. In it, projects are identified that need to be addressed over the next six fiscal years. The program serves as a crucial planning component within the City's overall operational management structure. Since its inception, the majority of projects undertaken within the City have come through this planning document. The program provides important information that aids in maintaining the City's critical infrastructure as well as the equipment needed to carry out the delivery of services to the community.

What is a Capital Project?

For the purposes of the Capital Improvement Program, a capital project has been identified by the city as any project that exceeds the City Council purchasing threshold of \$7,500 and has an estimated useful life of greater than one year. This includes items like police cars, fire trucks, streets and other construction projects, parks maintenance equipment, snow plows, street sweepers, etc. This program identifies those projects that meet the criteria above that will be addressed in the next six years.



Project Types:

- All projects requiring debt or borrowing;
- Any acquisition or leasing of land;
- Purchase of major equipment and vehicles valued in excess of \$7,500 with an estimated useful life of greater than one year;
- Construction of new buildings or facilities including engineering design and pre-construction costs;
- Major building improvements costing in excess of \$7,500 that are not routine expenses and that substantially enhance the value of the structure;
- Major equipment or furnishing valued in excess of \$7,500 and required to furnish new buildings or other projects; and
- Major studies costing in excess of \$7,500 and requiring the use of outside professional consultants.

How is the program developed?

The program is developed in the Financial Services Department using project information submitted by each department within the City. Once all project requests have been received, the requests are reviewed and added to the program where appropriate. Projects identified in previous programs remain in the current program unless a different priority or strategy makes it unnecessary to do so. Once a final proposed document has been completed, the program is distributed to the City Council and is also made available for the public to review. The Council holds work sessions to discuss the program, and citizen input is sought through both the work session and through a public hearing process. Once the public hearing has been completed, the program is finalized and approved by Council.

6-Year Capital Improvement Program

How are project priorities determined?

A wide range and variety of capital improvements could be included in the Capital Improvement Program. Listed below are several criteria that help determine the selection of projects:

- Relationship to overall community needs;
- Relationship to other projects;
- Distribution of projects throughout the City;
- Required to fulfill any federal or state judicial or administrative requirements;
- Impact on annual operating and maintenance costs;
- Relationship to other community plans;
- Relationship to source and availability of funds;
- Relationship to overall fiscal policy and capabilities; and
- Project's readiness for implementation.

Capital Budget vs. Capital Improvement Program

While the Capital Improvement Program looks out multiple years for capital projects, the first year of the Capital Improvement Program is integrated into the annual Capital Budget. The Capital Budget shows project priorities, cost estimates, financing methods, tax schedules, and estimated annual operating and maintenance costs. This Capital Budget is subsequently incorporated into the annual operating budget for appropriation of funds to carry out the project.

What are the advantages of a Capital Improvement Program?

An effective and ongoing Capital Improvement Program provides significant benefits to elected officials, staff, and the taxpayers within the City of Cadillac. Some of these benefits are:

- Coordination of the community's physical planning with its fiscal planning activities;
- Ensuring that public improvements are undertaken in the most desirable order of priority;
- Assisting in stabilization of the tax rate over a period of years;
- Producing savings in total project costs by promoting a "pay as you go" policy of capital financing, thereby eliminating additional interest and other financing charges;
- Providing adequate time for planning and engineering of proposed projects;
- Ensuring the maximum benefit of the monies expended for public improvements; and
- Permitting municipal construction activities to be coordinated with those of other public agencies within the community.

These are important benefits for the Cadillac community. Capital improvement programming and capital budgeting allow officials and citizens to set priorities for capital investment and accrue maximum physical benefit with a minimum of capital expenditures through an orderly process of project development, selection, scheduling, and implementation.

6-Year Capital Improvement Program

Program Summary

On a departmental basis, the 6-Year Capital Improvement Program includes the following request levels, presented by fiscal year:

Fund	Year 1 - FY2027	Year 2 - FY2028	Year 3 - FY2029	Year 4 - FY2030	Year 5 - FY2031	Year 6 - FY2032	Grand Total
General Fund							
Municipal Complex and Administration		145,000	250,000		300,000		695,000
Police Department	80,000	265,000	134,000	84,000	85,000	90,000	738,000
Fire Department		2,250,000			750,000		3,000,000
Parks	10,000	57,500	110,000	10,000		10,000	197,500
General Fund Total	90,000	2,717,500	494,000	94,000	1,135,000	100,000	4,630,500
Major Street Fund	250,000	1,350,000	1,900,000	250,000	250,000	1,050,000	5,050,000
Local Street Fund	400,000	1,250,000	2,450,000	250,000	250,000	250,000	4,850,000
Cemetery Operating Fund	29,000	10,000	65,000	10,000	10,000	10,000	134,000
Water and Sewer Fund	4,711,000	1,625,000	710,000	782,500	1,100,000		8,928,500
Stores and Garage Fund	405,000	60,000	60,000	300,000	360,000	60,000	1,245,000
Information Technology Fund	140,000	190,000	40,000	20,000	40,000	130,000	560,000
Industrial Park Fund	50,000			600,000			650,000
Community Development	1,435,000	400,000	1,810,000	7,350,000	500,000		11,495,000
Naval Reserve Fund		100,000					100,000
Grand Total	7,510,000	7,702,500	7,529,000	9,656,500	3,645,000	1,600,000	37,643,000

Source of Funds

It is also important to identify the sources of funding that will be used to fund each year's projects. This helps to determine the viability of each year's requests and serves as a critical planning tool for current and future operating budgets. For the current 6-year program, the following sources of funding have been identified by fiscal year:

Source of Funds	Year 1 - FY2027	Year 2 - FY2028	Year 3 - FY2029	Year 4 - FY2030	Year 5 - FY2031	Year 6 - FY2032	Total
General Governmental Revenues	185,000	2,911,500	914,000	869,000	1,280,000	100,000	6,259,500
Donations	0	0	0	0	0	0	0
Other Funds	0	100,000	940,000	750,000	0	0	1,790,000
Operating Revenues	1,280,000	1,025,000	545,000	1,112,500	1,510,000	200,000	5,672,500
Act 51	650,000	500,000	500,000	500,000	500,000	925,000	3,575,000
Bond/Loan Proceeds	4,475,000	2,210,000	3,380,000	3,500,000	0	0	13,565,000
Grants	920,000	956,000	1,250,000	2,925,000	355,000	375,000	6,781,000
Special Assessments	0	0	0	0	0	0	0
	7,510,000	7,702,500	7,529,000	9,656,500	3,645,000	1,600,000	37,643,000

2026-2027 Capital Budget

The following projects have been planned and proposed for funding in FY2027. Included in the chart is an estimate of the impact that the project will have on the annual operating budget.

Fund	Project Cost	Operating Budget Impacts
General Fund		
Police Patrol Vehicle	80,000	1,000
Riding Lawn Mower	10,000	500
General Fund Total	90,000	1,500
Major Street Fund		
Road Major Preventative Maintenance	250,000	2,000
Major Street Fund Total	250,000	2,000
Local Street Fund		
Stimson Street (Lester to Carmel)	225,000	1,000
Road Major Preventative Maintenance	175,000	2,000
Local Street Fund Total	400,000	3,000
Cemetery Operating Fund		
Riding Lawn Mower	9,000	500
Utility Vehicle	20,000	500
Cemetery Operating Fund Total	29,000	1,000
Stores and Garage Fund		
3/4-Ton 4X4 Pickup Truck w/Plow	55,000	1,500
Mechanical Street Sweeper	350,000	2,500
Stores and Garage Fund Total	405,000	4,000
Information Technology Fund		
IT Infrastructure	120,000	0
Computer Replacement	20,000	500
Information Technology Fund Total	140,000	500
Industrial Park Fund		
Entrance Signs	50,000	500
Industrial Park Fund Total	50,000	500

Community Development		
Cass/Mitchell/Chapin Upgrades	1,270,000	1,000
Diggins Hill Sensory Playground	165,000	(1,000)
Community Development Total	1,435,000	0
Water and Sewer Fund		
Stimson Street (Lester to Carmel)	130,000	1,000
Two (2) Service Trucks	100,000	3,000
Anaerobic Digester Cleaning	75,000	0
Wastewater/Lab Fume Hoods	35,000	0
Backhoe	123,000	5,000
Handheld Radio Meter Reader	10,000	(500)
Lake, Leeson, Leisure Street Pumps	125,000	2,500
Muffle Furnace/Drying Oven	8,000	0
Lift Station Pumps	60,000	1,000
Muffin Monster Cutter Stack	16,000	500
Diffuser Head Replacement	24,000	500
WWTP Headworks Project	3,500,000	5,000
Lift Station Exteriors and Doors	85,000	500
WWTP Handrail Replacement	100,000	0
Main Building Roof Replacement	50,000	500
Major Building Exterior Repairs	175,000	0
Visitor/Client Entrance - WWTP	95,000	0
Water and Sewer Fund Total	4,711,000	19,000
Year 1 - FY2027 Total	7,510,000	31,500

General Fund Projects General governmental revenues, like property taxes and revenue from the State of Michigan are utilized to fund General Fund projects. For FY2027 the Police Department is scheduled to replace a patrol vehicle in order to keep the fleet safe and operable. In the Parks Department, one of the riding lawn mowers in the fleet will be replaced to keep the summer maintenance operations working at full capacity and avoid costly repairs of older equipment.

Major and Local Street Fund Projects Several streets in both major and local systems are scheduled for reconstruction in the budget based on the schedule provided in the 6-Year CIP. In both the Major and Local Street Funds, new state road-funding is budgeted and if received at full projected levels will provide the resources to complete major preventative maintenance projects in both systems. This significantly reduces maintenance costs, including pothole filling and crack sealing, and extends the lives of the streets by up to 10 or 12 years, depending on the type of maintenance. For FY2027, approximately 650 feet of Stimson Street will be reconstructed, and utilities infrastructure will be replaced while the street is torn up. Funding challenges will limit the final amount of construction that can be undertaken, and efforts are underway to identify projects that could be completed with less costly methods. The Michigan State legislature passed a new road funding package in the fall of 2025. This new

legislation is expected to provide much-needed funding for road maintenance and reconstruction. A portion of what the State projected for new revenue for Cadillac is included in the current budget.

Water and Sewer Projects The Water and Sewer Fund has identified \$4,711,000 in projects for this fiscal year. Underground water and sewer infrastructure is scheduled for replacement during the Stimson Street reconstruction project. This coordination is important so that this replacement can be done while the street is already torn up. Replacing old infrastructure reduces maintenance costs associated with aging pipes. A major improvement project at the City's wastewater treatment facility will be initiated in the current year and is expected to include major equipment, building and infrastructure upgrades. This will be the first major plant upgrade since 2007. The project is expected to be funded by the issuance of bonds. In addition, several pieces of equipment will be upgraded/replaced this year as part of the normal schedule of replacement. This helps ensure that both the water distribution and the wastewater collection and treatment systems operate at optimal levels and is a tool to help minimize repair and maintenance costs as well as down time. Updating equipment and facilities will positively impact maintenance budgets throughout the utilities system. All of these purchases and projects rely on user charges for funding and it is incumbent upon the Cadillac City Council to set rates at a level that provides for operations and ongoing capital investment.

Stores and Garage Fund This fund provides the fleet of equipment that maintains all the City's streets and other public works infrastructure. The City plans to replace a service truck and a street sweeper, both of which are used frequently in public works repair and maintenance operations. Replacing this equipment helps contain the costs of repair, maintenance and downtime associated with aging equipment.

Information Technology (IT) Fund Leveraging technology to enhance the efficiency of operations continues to be a critical management tool as the trend of staffing reductions continues. The current year provides funding to continue the regular replacement of computers, and also to replace the entire server and firewall infrastructure that are the backbone of the City IT network. These assets have reached the end of their support life and need to be upgraded. This will help reduce annual maintenance costs and downtime associated with outdated technology. In conjunction with the City's contract with an outside provider for a comprehensive suite of IT services, these regular upgrades help staff operate efficiently and safeguard the City against data loss that could result from failing to maintain and upgrade core IT hardware and software.

Community Development The Community Development section of the program contains two important projects for the year. First, the City will upgrade streets, parking and sidewalk infrastructure in the area of a major downtown development. This project will be funded by a combination of residual bond dollars and a CDBG grant. This project will relieve ongoing street maintenance budgets by upgrading the public infrastructure around the project. Construction should also take place of a new sensory playground at Diggins Hill. This project will be funded by a MDNR grant with a 30% City match.

Summary of Other Upcoming Projects The projects above are scheduled for the current fiscal year. Other projects identified in the 6-year Capital Improvement Program for the FY2027-2032 fiscal years are summarized below:

Year 2 - FY2028	Project	Cost
Municipal Complex and Administration	Upgrade Municipal Complex Restrooms	50,000
	Municipal Complex Updates	50,000
	Administration Vehicle	45,000
Police Department	Active Shooter Shields	21,000
	Bulletproof Vests	12,000
	Police Patrol Vehicle	82,000
	Radios	150,000
Fire Department	Aerial Ladder Truck	2,250,000
Parks	Shoreline Stabilization	7,500
	Parking Lot Upgrade - Chestnut Street	35,000
	Video Surveillance and Lighting	15,000
Major Street	W. Division Street (Colfax to Leeson)	500,000
	Road Major Preventative Maintenance	250,000
	Lake Street (Chestnut to Cass)	600,000
Local Street	Crippen Street (Mitchell to Hemlock)	500,000
	E. Bremer Street (Mitchell to Hemlock)	500,000
	Road Major Preventative Maintenance	250,000
Maple Hill Cemetery	Riding Lawn Mower	10,000
Department of Public Works	Alley Plow Truck	60,000
Information Technology	IT Infrastructure	20,000
	Computer Replacement	20,000
	ERP Software Upgrade	150,000
Cadillac Community Center	Roof Repair	100,000
Community Development	Neighborhood Park	400,000
Water and Wastewater	Crippen Street (Mitchell to Hemlock)	300,000
	E. Bremer Street (Mitchell to Hemlock)	300,000
	W. Division Street (Colfax to Leeson)	100,000
	Analytical Lab Balance	10,000
	1/2 Ton Service Truck	55,000
	Ultraviolet System Upgrade	110,000
	Automated Screen and Screw Conveyor	400,000
	Grit Collection Equipment	350,000
Year 2 - FY2028 Total		7,702,500

Year 3 - FY2029	Project	Cost
Municipal Complex and Administration	Heating and Cooling Renovation	250,000
Police Department	Police Patrol Vehicle	84,000
	Public Safety Emerging Technology	50,000
Parks	Kenwood Parking Lot	60,000
	Riding Lawn Mower	10,000
	Skate Park Equipment	40,000
Major Street	Linden Street (W. Division to Arthur)	400,000
	Road Major Preventative Maintenance	250,000
	Other Bond-Funded Projects TBD	1,250,000
Local Street	Road Major Preventative Maintenance	250,000

	Other Bond-Funded Projects TBD	1,000,000
	Brick Streets (Shelby and Mason)	1,200,000
Maple Hill Cemetery	Entrance Pillars	50,000
	Video Surveillance and Lighting	15,000
Department of Public Works	3/4-Ton 4X4 Pickup Truck	60,000
Information Technology	IT Infrastructure	20,000
	Computer Replacement	20,000
Community Development	Diggins Hill Improvements	850,000
	City Dock and Grounds Upgrades	700,000
	Intellistreets Controls & Networking	125,000
	Wayfinding Signage Upgrades	135,000
Water and Wastewater	Linden Street	160,000
	Two (2) 1/2-Ton Service Trucks	100,000
	Revolution Blower	280,000
	Plant Tile Floors	75,000
	Aqua Disk Filter Cloths	40,000
	1/2-Ton Service Truck	55,000
Year 3 - FY2029 Total		7,529,000

Year 4 - FY2030	Project	Cost
Police Department	Police Patrol Vehicle	84,000
Parks	Riding Lawn Mower	10,000
Major Street	Road Major Preventative Maintenance	250,000
Local Street	Road Major Preventative Maintenance	250,000
Maple Hill Cemetery	Riding Lawn Mower	10,000
Department of Public Works	Plow Truck	300,000
Information Technology	Computer Replacement	20,000
Industrial Parks	James E. Potvin Industrial Park Expansion	600,000
Community Development	Sidewalk Construction	350,000
	Kenwood Park Development	1,000,000
	Mitchell Street Corridor Vision/Streetscape	6,000,000
Water and Wastewater	Construction/Job Cargo Trailer	7,500
	Sewer Combo Unit	550,000
	Televised Inspection Van/Trailer	225,000
Year 4 - FY2030 Total		9,656,500

Year 5 - FY2031	Project	Cost
Municipal Complex and Administration	Fire Garage Expansion	300,000
Police Department	Police Patrol Vehicle	85,000
Fire Department	Fire Truck	750,000
Major Street	Road Major Preventative Maintenance	250,000
Local Street	Road Major Preventative Maintenance	250,000
Maple Hill Cemetery	Riding Lawn Mower	10,000
Department of Public Works	3/4-Ton 4X4 Pickup Truck	60,000
	Plow Truck	300,000
Information Technology	IT Infrastructure	20,000
	Computer Replacement	20,000
Community Development	Cadillac West Fishing Pier	500,000
Water and Wastewater	Sewer Lining	500,000

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	Gas Storage and Energy Production	600,000
Year 5 - FY2031 Total		3,645,000
Year 6 - FY2032	Project	Cost
Police Department	Police Patrol Vehicle	90,000
Parks	Riding Lawn Mower	10,000
Major Street	North Boulevard (M-115 to Rose Street)	800,000
	Road Major Preventative Maintenance	250,000
Local Street	Road Major Preventative Maintenance	250,000
Maple Hill Cemetery	Riding Lawn Mower	10,000
Department of Public Works	3/4-Ton 4X4 Pickup Truck	60,000
Information Technology	IT Infrastructure	100,000
	Computer Replacement	30,000
Year 6 - FY2032 Total		1,600,000
Grand Total		37,643,000

A full copy of the 2027-2032 6-Year Capital Improvement Program can be found on the City's website at www.cadillac-mi.net.

FINANCIAL POLICIES

BUDGETARY POLICIES

1. The annual operating budget including proposed expenditures and the means of financing them, must be presented by the City Manager to the City Council on or before April 1st of each year.
2. Public hearings are conducted to obtain taxpayer comments.
3. Prior to May 31st, the budget is legally enacted through the passage of a budget ordinance. Budgets are submitted on a line item basis but adopted by the City Council on a major function basis.
4. All transfers of budget amounts between functions within the General Fund and any revisions that alter the total expenditures of any fund must be approved by City Council. General Fund expenditures may not legally exceed budgeted appropriations at the major function level. Expenditures in all other governmental type funds may not exceed appropriations at the total fund level.
5. Formal budgetary integration is employed as a management control device during the year for all governmental fund types.
6. Budgets are reviewed, monthly, and amended, if needed, quarterly. The budget is amended on a fund basis for all funds other than the general fund, which is amended on a departmental basis.

ACCOUNTING POLICIES

1. The accounts of the City of Cadillac are organized on the basis of funds and account groups. A fund is an independent fiscal and accounting entity with a self-balancing set of accounts. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstrating compliance with finance-related legal and contractual provisions. The minimum number of funds is maintained consistent with legal and managerial requirements. Account groups are a reporting device to account for certain assets and liabilities of the governmental funds not recorded directly in those funds.

2. The City of Cadillac has the following fund types:

A. **Governmental funds** are used to account for the government's general government activities. Governmental fund types use the flow of current financial resources measurement focus and the modified accrual basis of accounting. Under the modified accrual basis of accounting revenues are recognized when measurable and available. "Measurable" means the amount of the transaction can be determined and "available" means collectible within the current period or soon thereafter to pay liabilities of the current period. The City considers all revenues available if they are collected within 60 days after year end. Expenditures are recorded when the related fund liability is incurred, except for unmatured interest on general long-term debt which is recognized when due, and certain compensated absences and claims and judgments which are recognized when the obligations are expected to be liquidated with expendable available financial resources. Property taxes, franchise taxes, license, interest and special assessments are susceptible to accrual. Sales taxes collected and held by the state at year end on behalf of the City are also recognized as revenue. Other receipts and taxes become measurable and available when cash is received by the government and are recognized as revenue at that time. Entitlements and shared revenues are recorded at the time of receipt or earlier if the susceptible to accrual criteria are met. Expenditure-driven grants are recognized as revenue when the qualifying expenditures have been incurred and all other grant requirements have been met.

Governmental funds include the following fund types:

The **General Fund** is the City's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

Special Revenue Funds account for revenue sources that are legally restricted to expenditures for specific purposes.

The **Debt Service Funds** account for the servicing of general long-term debt not being financed by proprietary or non-expendable trust funds.

Permanent Funds account for assets of which the principal may not be spent.

B. **Proprietary Funds** are accounted for on the flow of economic resources measurement focus and use the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time liabilities are incurred. The City applies all applicable Financial Accounting Standards Board pronouncements in accounting and reporting for the proprietary operations. Proprietary funds include the following fund types:

The **Enterprise Funds** are used to account for those operations that are financed and operated in a manner similar to private business or where the City Council has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

Internal Service Funds account for operations that provide services to other departments or agencies of the government, or to other governments, on a cost-reimbursement basis.

C. **Fiduciary Funds** account for assets held by the government in a trustee capacity or as an agent on behalf of others. Trust funds account for assets held by the government under the terms of a formal trust agreement.

The **Pension Trust Funds** are accounted for in essentially the same manner as the proprietary funds, using the same measurement focus and basis of accounting. The pension trust fund accounts for the assets of the government's public safety employees' pension plan.

Fund Balance Policies

Fund balances will vary by each fund and fund type but as a general rule the State of Michigan has indicated in Public Act 2 the fund balance shall not be negative. In the General Fund, the Cadillac City Council has established a policy of striving to keep the reserve for working capital at 15% of the operating budget. This reserve is for unexpected decreases in revenues or increases in expenditures. A reserve account records a portion of the fund balance which must be segregated for some future use and which is, therefore, not available for further appropriation or expenditure. The City Council has identified several reserved accounts in the General Fund. These funds typically can be turned quickly into liquid assets. Fund balances are shown in all funds with the exception of proprietary funds which involves retained earnings. Retained earnings are not as liquid since often the assets are equipment or water lines or some other form of illiquid asset.

Basis of Budgeting

The City of Cadillac does not distinguish between Basis of Budgeting and Basis of Accounting. The principles set forth as the Basis of Accounting are strictly observed in the budgeting process. A fund's Basis of Budgeting and Basis of Accounting determines when a transaction or event is recognized within a fund's operating statement. The State of Michigan has indicated in Public Act 2 the fund balance shall not be negative.

• Governmental Funds	Modified Accrual
• Proprietary Funds	Full Accrual
• Internal Service Funds	Full Accrual
• Pension Trust Funds	Modified Accrual

POLICY: General Finance**Administrative Policy A-10****Dated:** November 5, 1993

PURPOSE: Many financial policies may already exist in practice by need to be put in written form in a central location. This will allow City Council and management to view the present approach to financial management from an overall, long-range vantage point.

POLICY:

- 1) Generally Accepted Accounting Principles (GAAP) – The City of Cadillac will establish and maintain a high standard of accounting practices. Accounting standards will conform to generally accepted accounting principles as promulgated by the Government Accounting Standards Board.
- 2) Audit
 - a) An annual audit will be conducted by a properly licensed independent public accounting firm.
 - b) All general purpose, combined and individual fund and account group statements and schedules shall be subject to full scope audit.
 - c) Any employee will be prosecuted to the extent of the law in any instance where the employee is proven to have committed any illegal act such as theft.
- 3) Financial Statements
 - a) The finance office will prepare monthly financial reports for internal management purposes. These reports will be combined on or before ten (10) days following the end of the month.
 - b) Annually, the finance office will prepare a comprehensive annual financial report. This report shall be made available to the elected officials, bond rating agencies, creditors and citizens.
 - c) Annually, the City will submit its comprehensive annual financial reports to the GFOA to determine its eligibility to receive the GFOA's Certificate of Achievement for Excellence in Financial Reporting.
- 4) Budgets
 - a) The fund balance in the General Fund shall have a reserve set aside entitled Working Capital. The amount is equivalent to three months of capital needed to operate or 15% of the General Fund expenditures.
 - b) Format and balancing of budgets will be in accordance with the State of Michigan Public Act 2 of 1968.

POLICY: Debt Management**Administrative Policy B-13****Dated:** March 29, 1994**Reviewed:** January 22, 2004

PURPOSE: Because of its conservative basis of accounting for tax revenues, the City of Cadillac is not required to borrow money for operations. When incurred, the City's long term general obligation and special assessment debt is handled through a debt service fund. The revenue bond requirements are handled through an Enterprise Fund. The following objectives are employed by the City of Cadillac in managing its debt:

POLICY:

- 1) Long term debt will be confined to capital improvements that cannot be financed from current revenues.
- 2) The payback period of the debt will not exceed the expected useful life of the project.
- 3) The total general obligation debt will not exceed ten percent of the assessed valuation to the taxable property.
- 4) Long term debt will not be used for operations.
- 5) The City of Cadillac will maintain good communications with the bond rating agencies about its financial condition and will follow a policy of full disclosure on every financial report and bond prospectus.

Finance Provisions of the Cadillac City Charter – ARTICLE 10

GENERAL FINANCE

Section (10.1) **Fiscal Year**. The Fiscal Year of the city shall begin on the first day of July of each year and end on the thirtieth day of June of the following year.

Section (10.2) **Budget Procedures**. On or before the first day of April in each year, the City Clerk and the City Manager, acting upon recommendations submitted by the various department heads and the City Council, shall draw up the ensuing fiscal year, specifying in detail all proposed expenditures for the support of the various departments, and for every other purpose for which any money will be required to be paid from any of the several general funds of the city during the year; and also the estimated amount of revenue from all sources other than tax levy. The estimate thus made shall be called "The Annual City Budget" and filed with the City Clerk.

Section (10.3) **Budget Hearing**. A public hearing on the proposed budget shall be held before its final adoption, in the second half of the month of April as the City Council shall direct.

Notice of such public hearing, a summary of the proposed budget and notice that the proposed budget is on file in the office of the Clerk shall be published at least ten (10) days in advance of the hearing. The complete proposed budget shall be on file for public inspection during office hours at such office for a period of not less than ten (10) days prior to such public hearing.

Section (10.4) **Adoption of Budget**. Not before the 10th day of May, nor later than the last day in May in each year, the City Council shall by ordinance adopt a budget for the next fiscal year, shall appropriate the money needed for municipal purposes during the next fiscal year of the city and shall provide for a levy of the amount necessary to be raised by taxes upon real and personal property for municipal purposes, subject to the limitations contained in Section 1 (11).

Section (10.5) **Budget Control**. Except for expenditures which are to be financed by the issuance of bonds or by special assessment, or for other expenditures not chargeable to a budget appropriation, no money shall be drawn from the treasury of the city except in accordance with an appropriation thereof for such specific purposes, nor shall any obligation for the expenditure on money be incurred without an appropriation covering all payments which will be due under such obligation in the current fiscal year. The City Council by resolution may transfer any unencumbered appropriation balance or any portion thereof, from one account, department, fund, or agency to another.

The City Council may make additional appropriations during the fiscal year for unanticipated expenditures required of the city, but such additional appropriations shall not exceed the amount by which actual and anticipated revenues of the year are exceeding the revenues as estimated in the budget unless the appropriations are necessary to relieve an emergency endangering the public health, peace or safety. No expenditure may be charged directly to the contingency fund. Instead, the necessary part of the appropriation for the contingency fund or similar other fund shall be transferred to the appropriate account and the expenditure thus charged to such account.

At the beginning of each quarterly period during the fiscal year, and more often if required by the City Council, the City Treasurer shall submit to the City Council data showing the relationship between the estimated and actual revenues and expenditures to date; and if it shall appear that the revenues are less than anticipated, the City Council may reduce appropriations, except amounts required for debt and interest charges, to such a degree as may be necessary to keep expenditures within the revenues. Along with such reports, the City Treasurer shall report operating revenues and disbursements of cemetery funds with a copy furnished the Cemetery Board.

Section (10.6) **Depository**. The City Council shall designate the depository or depositories for the city funds, and shall provide for the regular deposit of all city monies.

Section (10.7) **Independent Audit**: An independent audit shall be made of all accounts including special and trust funds of the city government at least annually. Such audit shall be made as soon after the close of the fiscal year as possible by certified public accountants selected by the City Council.

COLLECTIVE BARGAINING AGREEMENTS

Command Officers Association of Michigan – Cadillac Command Officers Association

Contract Expiration Date: June 30, 2026*

Membership: 6

1 Captain
1 Detective
4 Sergeants

Fraternal Order of Police Labor Council – Cadillac Police Officers Association

Contract Expiration Date: June 30, 2026*

Membership: 10

8 Patrol Officers
2 School Resource Officers

International Association of Firefighters Local 704

Contract Expiration Date: June 30, 2027

Membership: 11

1 Fire Marshal
2 Captains
2 Lieutenants
6 Fire Fighters

United Steelworkers of America Local 14317

Contract Expiration Date: June 30, 2028

Membership: 23

6 Water Division Members
6 Sewer Division Members
1 Laboratory Division Member
10 Street Division Members

** Negotiations beginning Spring 2026*

Taxable Value and Estimated Actual Value of Taxable Property
Last Ten (10) Fiscal Years

Fiscal Year Ended June 30,	Real Property Valuation	Personal Property Valuation	Total Taxable Valuation	Estimated Actual Value	Ratio of Total Assessed to Total Estimated Actual Value	Total Direct Tax Rate
2016	\$190,288,151	\$53,285,900	\$243,574,051	\$525,383,000	46.36%	16.5473
2017	190,631,321	31,243,800	221,875,121	493,984,600	44.92%	16.5473
2018	192,217,626	31,297,400	223,515,026	508,651,200	43.94%	16.5473
2019	198,547,361	24,640,400	223,187,761	514,587,200	43.37%	16.5166
2020	206,299,451	24,379,900	230,679,351	539,083,200	42.79%	16.5166
2021	212,531,605	26,549,700	239,081,305	586,476,706	40.77%	16.3774
2022	221,321,737	32,887,200	254,208,937	645,626,400	39.37%	16.2630
2023	235,068,706	35,835,500	270,904,206	688,907,400	39.32%	16.0922
2024	252,800,758	34,404,660	287,205,418	777,189,728	36.95%	16.0922
2025	274,606,441	35,840,720	310,447,161	903,519,640	34.36%	15.9397

Source: City of Cadillac Treasurer's Office

Note: Property in the City is reassessed each year. Property is assessed at 50% of estimated actual value. Due to State legislation, however, annual increases in taxable value are limited to 5% or a state-determined rate of inflation, whichever is less. When homes are sold, taxable values are then "uncapped" and brought up to their assessed value. Tax rates are per \$1,000 of taxable value. Valuations based on Ad Valorem Parcels.

Principal Property Taxpayers
Most Recent Fiscal Year and Nine (9) Years Ago

Taxpayer	2025			2016		
	Taxable Value	Rank	Percentage of Total City Taxable Value ^a	Taxable Value	Rank	Percentage of Total City Taxable Value ^b
Consumers Energy	\$14,250,655	1	4.96%	\$6,812,100	5	2.80%
Cadillac Renewable Energy LLC ^c	13,502,025	2	4.70%	11,171,700	2	4.60%
AAR Cadillac Manufacturing	6,159,688	3	2.14%	3,431,000	10	1.41%
Hutchinson Antivibration System	5,617,296	4	1.96%	6,936,764	4	2.86%
Avon Protection Systems Inc.	4,655,629	5	1.62%	7,022,800	3	2.89%
925 Frisbie Street LLC ^e	3,576,340	6	1.25%	0		0.00%
Piranha Hose Products Inc.	3,441,919	7	1.20%	3,707,930	9	1.53%
Store Capital LLC	3,043,774	8	1.06%	0		0.00%
Spectrum Mid-America, LLC	2,895,000	9	1.01%	0		0.00%
Rexair, Inc.	2,180,933	10	0.76%	3,930,401	7	1.62%
Cadillac Casting ^d	0		0.00%	11,928,800	1	4.91%
Avon Automotive	0		0.00%	4,221,800	6	1.74%
FIAMM Technologies, Inc.	0		0.00%	3,808,134	8	1.57%
Totals	<u>\$59,323,259</u>		<u>20.66%</u>	<u>\$62,971,429</u>		<u>25.92%</u>

Source: City of Cadillac Treasurer's Office

^a Based on total taxable value of \$310,447,161

^b Based on total taxable value of \$243,574,051

^c Formerly Beaver MI Associates LTD Partnership.

^d Formerly CMI Cast Parts.

^e Formerly Four Winn's Boats, LLC.

Property Tax Levies and Collections
Last Ten (10) Fiscal Years

Fiscal Year Ended June 30,	Taxes Levied for the Fiscal Year	Collected within the		Collections in Subsequent Years	Total Collections to Date ^a	
		Fiscal year of Levy	Percentage		Amount	Percentage
		Amount	of Levy			of Levy
2016	\$4,165,174	\$4,015,955	96.42%	\$149,219	\$4,165,174	100.00%
2017	3,739,341	3,615,423	96.69%	123,918	3,739,341	100.00%
2018	3,782,234	3,643,714	96.34%	138,521	3,782,234	100.00%
2019	3,749,906	3,612,489	96.34%	137,418	3,749,906	100.00%
2020	3,840,060	3,706,106	96.51%	133,954	3,840,060	100.00%
2021	3,963,594	3,803,814	95.97%	159,780	3,963,594	100.00%
2022	4,184,156	4,060,183	97.04%	123,973	4,184,156	100.00%
2023	4,398,915	4,270,803	97.09%	128,113	4,398,915	100.00%
2024	4,659,301	4,537,374	97.38%	121,928	4,659,301	100.00%
2025	4,938,005	4,739,343	95.98%	198,662	4,938,005	100.00%

Source: City of Cadillac Treasurer's Office

^a In 1977 the Wexford County Treasurer began pooling all delinquent taxes together and financing delinquencies through bond sales. The proceeds from the bond sale are paid to the City giving the effect of 100% tax collection in a given year. The responsibility for the collection of the delinquent tax is shifted to the county treasurer.

Demographic and Economic Statistics

Last Ten (10) Calendar Years

Fiscal		Personal	Per		Local	State	
Year	Population¹	Income	Capita	School	Unemployment	Unemployment	Civilian
<u>Year</u>	<u>Population¹</u>	<u>(amounts</u>	<u>Personal</u>	<u>School</u>	<u>Percentage</u>	<u>Percentage</u>	<u>Labor</u>
		<u>in thousands)</u>	<u>Income²</u>	<u>Enrollment³</u>	<u>Rate⁴</u>	<u>Rate⁴</u>	<u>Force⁴</u>
2016	10,355	\$341,228	\$32,953	3,616	4.4	4.6	21,206
2017	10,355	352,981	34,088	3,459	5.1	4.3	21,605
2018	10,355	372,708	35,993	3,414	3.9	4.0	21,622
2019	10,355	384,595	37,141	3,533	4.2	4.2	22,513
2020	10,355	426,191	41,158	3,490	6.8	8.6	22,994
2021	10,355	459,358	44,361	3,477	4.2	6.3	21,956
2022	10,315	451,818	43,802	3,552	4.3	4.1	21,763
2023	10,315	545,519	52,886	3,532	4.3	3.9	21,891
2024	10,315	N/A	N/A	3,370	4.7	4.5	22,430
2025	10,315	N/A	N/A	3,349	5.6	5.2	22,962

Data Sources:¹ Bureau of the Census² Bureau of Economic Analysis³ School Districts⁴ Michigan Department of Technology, Management & Budget (Local unemployment and civilian labor force based on Wexford-Missaukee Labor Market Area; Personal and Per Capita income based on Cadillac Micropolitan Statistical Area)**Notes:**

(1) Personal income information is a total for the year. Unemployment rate is a seasonally adjusted yearly average, when available. School enrollment is based on the school census at the start of the school year and includes public and private schools.

(2) Per Capita Personal Income for 2024 currently unavailable from Bureau of Economic Analysis; as of December 16, 2025.

Principal Employers
Current Year and Nine (9) Years Ago

		<u>2025</u>	<u>2016</u>
<u>Employer</u>	<u>Industry Description</u>	<u>Employees</u>	<u>Employees</u>
Cadillac Area Public Schools	Elementary and Secondary Schools	250-499	250-499
Hutchinson Antivibration Systems Inc ³	Other Rubber Product Manufacturing	250-500	100-249
Akwel ⁴	Other Motor Vehicle Parts Manufacturing	250-499	250-499
Avon Protection Systems Inc	Coating, Engraving & Heat Treating Metal	250-499	250-499
Cadillac Casting Inc	Gray & Ductile Iron Foundries (mfrs)	250-499	250-499
Four Winn's/Glastron/Wellcraft/Rec Boat	Ship and Boat Building	250-499	250-499
Munson Healthcare Cadillac Hospital ¹	General Medical and Surgical Hospitals	250-499	500-999
Rexair	Vacuum Cleaners-Houshold Dealers	250-499	100-249
AAR Mobility Systems	Rapid deployment mobile equipment mfg	100-249	500-999
BorgWarner Cadillac	Other Motor Vehicle Parts Manufacturing	100-249	100-249
Fiamm Technologies	Other Motor Vehicle Parts Manufacturing	100-249	100-249
Piranha Hose Products Inc	Rubber and Plastic Hoses and Tubing	100-249	100-249
Wexford Senior Care Center ²	Residential Care Homes	100-249	100-249
Northern Lakes Community Mental Health	Counselors-Licensed Professionals	100-249	
Real Life Living Services	Community and Home-based Care	100-249	
Michigan Rubber Products Inc	Other Rubber Product Manufacturing	50-99	100-249

Note: Data is representative of the City of Cadillac.

¹ Formerly Mercy Hospital Cadillac

² Formerly Lakeview Lutheran Manor

³ Formerly Paulstra CRC

⁴ Formerly Avon Automotive

Sources: Michigan Department of Technology, Management & Budget, Labor Market Information

GLOSSARY OF TERMS USED IN BUDGET

The Annual Budget contains specialized and technical terminology unique to public finance and budgeting. To assist the reader of the Annual Budget document in understanding these terms, a budget glossary has been included in the document.

ACCRUAL ACCOUNTING A basis of accounting in which revenues are recognized in the accounting period in which they are earned, and expenses are recognized in the period in which they are incurred.

AGENCY FUND A fund used to account for assets held by the city as an agent for individuals, private organizations, other governments and/or other funds.

ANNEXATION The incorporation of a land area into an existing city or village with a resulting change in the boundaries of that unit of local government.

APPROPRIATION A legal authorization made by the City Council which permits the City to incur obligations and to make expenditures for specific purposes.

APPROVED BUDGET The revenue and expenditure plan for the City for the fiscal year as reviewed and given final approval by the City Council.

ASSESSED VALUATION The taxable value placed upon property as a basis for levying taxes, equal to 50% of market value, as required by state law.

AUTOMOBILE PARKING SYSTEM FUND This fund accounts for Operations of the on-street and off-street parking facilities within the City.

AUDIT A comprehensive review of the manner in which the government's resources were actually utilized. The main purpose of an audit is to issue an opinion over the presentation of financial statements and to test the controls over the safekeeping of assets while making any recommendations for improvements where necessary.

BALANCED BUDGET A balanced budget is where the revenues and other financing sources match the expenditures and other financing uses or expenses.

BOND A certificate or instrument certifying the existence of a debt. Local units of government only have those powers to borrow monies expressly granted by law. Municipal obligations are generally classified as either general obligation or special obligation bonds. A special obligation bond is payable from a specially identified source; general obligation bond is payable without reference to a specific source.

BONDED DEBT That portion of indebtedness represented by outstanding bonds.

BUDGET ADJUSTMENT Adjustments made to the budget during the fiscal year by the City Council to properly account for unanticipated changes which occur in revenues and/or expenditures and for programs initially approved during the fiscal year.

BUDGET Under the Michigan Uniform Budgeting and Accounting Act (MCL 141.421 et.seq.), budget means a plan of financial operation for a given period of time, including an estimate of all proposed expenditures from the funds of a local unit and the proposed means of financing the expenditures. It does not include a fund for which the local unit acts as a trustee or agent, an intragovernmental service fund, an enterprise fund, a public improvement or building fund or a special assessment fund.

BUDGET CALENDAR The schedule of key dates or milestones which the City departments follow in the preparation, adoption, and administration of the budget.

CAPPED VALUE The capped value will be the previous year's final SEV minus losses increased by the consumer price index or 5%, whichever is less, plus additions. Loss is a component of property which is physically removed, for example the removal of a garage. Addition is a component of property which is physically added such as a family room or finishing a basement.

CAPITAL EXENDITURES Tangible capital-type items should be capitalized if they have an estimated useful life of at least two years following the date of acquisition. Capitalization thresholds are best applied to individual items rather than to groups of similar items. Threshold is \$5,000 or greater of any individual item. Infrastructure assets are treated separately from other capital assets for purposes of establishing capitalization thresholds. As a general rule, capitalization thresholds for non-infrastructure items should be designed to encompass approximately 80 percent of a government's total non-infrastructure tangible capital-type items.

CAPITAL IMPROVEMENT PROGRAM The first year of the CIP is the Capital Improvements Budget and funding for the improvements identified therein is contained in the proposed annual budget. The remaining four years of the CIP lists the capital projects identified for implementation and its estimated cost. Through placement in a year, the priority is indicated and each year, the list of projects is reviewed for need, cost and priority.

CAPITAL PROJECTS FUND Capital Project Funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by proprietary funds, special assessment funds and trust funds).

CAPITAL OUTLAY Expenditures relating to the purchase of equipment, facility modifications, land, and other fixed assets.

CEMETERY OPERATING FUND This fund records the financial activities of running the cemetery. Revenues from endowment funds supplement charges for services to finance these activities.

COUNCIL A legislative, executive, advisory or administrative governmental body, such as a city council or a citizen's advisory council, whose elected or appointed members are assigned certain duties and responsibilities by law.

CURRENT TAX COLLECTIONS The City functions as the collection agent for the schools and county.

DEBT SERVICE FUNDS Debt Service Funds are used to account for the accumulation of resources for, and the payment of, general long-term debt principal, interest, and related costs. The accounting for this group of funds is the modified accrual method.

DEPRECIATION The process of estimating and recording the expired useful life of a fixed asset which is distributed over its revenue-producing years.

DOWNTOWN DEVELOPMENT AUTHORITY (DDA) An authority that is created pursuant to state statute that is designed to assist in the economic growth of the central business district from parking plans to mall development. A tax levy of two mills maximum can be levied by the board when needed.

ENTERPRISE FUNDS Enterprise funds are used to account for the acquisition, operation and maintenance of governmental facilities and services which are entirely or predominantly self-supported by user charges. The significant characteristic of Enterprise Funds is that the accounting system must make it possible to show whether the activity is operated at a profit or loss, similar to comparable private enterprises. Thus, the reports of enterprise funds are self-contained and creditors, legislators or the general public can evaluate the performance of the municipal enterprise on the same basis as they can the performance of investor-owned enterprises in the same industry.

FIDUCIARY FUND Funds used to report assets held in a trustee or agency capacity for others and which therefore cannot be used to support the government's own programs. The fiduciary fund category includes pension (and other employee benefit) trust funds, investment trust funds, private-purpose trust funds, and agency funds.

FISCAL YEAR The twelve-month period designated as the operating year for an entity. The fiscal year for the City of Cadillac is July 1 – June 30.

FUND An independent fiscal and accounting entity with a self-balancing set of accounts recording cash and/or other financial resources, together with all related liabilities, obligations, reserves, and equities which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

FUND BALANCE The excess of the assets of an expendable fund, or of a nonexpendable trust fund, over its liabilities.

GENERAL FUND The General Fund is the general operating fund of the City. It is used to account for the resources devoted to finance the services traditionally associated with local government, except those activities that are required to be accounted for in another fund. Transactions are recorded on the modified accrual basis.

GENERAL OBLIGATION BONDS Bonds that finance a variety of public improvement projects which pledges the full faith and credit of the City.

GOVERNMENTAL FUND A fund generally used to account for tax-supported activities.

HOME RULE The authority of local government to frame, adopt or change their own charter and to manage their own affairs with minimal state interference.

INFRASTRUCTURE The basic physical framework or foundation of the City, referring to its buildings, roads, bridges, sidewalks, water and sewer systems.

INVENTORY A detailed listing of property currently held by the government.

INTERNAL SERVICE FUNDS Internal Service funds are established to finance and account for services and/or commodities furnished by a designated program to other programs within the City. Since the services and

commodities are supplied exclusively to programs under the City jurisdiction, they are distinguishable from those services which are rendered to the public in general and which are accounted for in general, special revenue or enterprise funds.

LOCAL STREET FUND Receives all local street money paid to the cities by the State, accounts for all construction, maintenance, traffic services, and snow and ice control on all streets classified as local.

LOCAL DEVELOPMENT FINANCE AUTHORITY (LDFA) Financing authority used to capture taxes within a specific district. The board of directors is appointed by the City Council. The LDFA has the ability to bond for construction related projects and oversee the district.

LEGAL LEVEL OF CONTROL The City Manager is authorized to transfer budgeted amounts within departments within any fund; however, any revisions which alter the total expenditures of any fund or the transfer of funds between departments must be approved by the City Council.

MAJOR FUND Governmental or Enterprise Fund reported as a separate column in the basic fund financial statements.

MAJOR STREET FUND Used to account for the financial activity of the streets designated by the State of Michigan as major thoroughfares and the maintenance contract of the state trunklines.

MILL A taxation unit equal to one dollar of tax obligation for every \$1,000 of assessed valuation of property.

MILLAGE The total tax obligation per \$1,000 of assessed valuation of property.

MODIFIED ACCRUAL ACCOUNTING A basis of accounting in which expenditures are accrued but revenues are accounted for when they become measurable and available.

NONMAJOR FUND Any fund not meeting the requirements to be reported as a Major Fund in the basic financial statements.

NPDES National Pollutant Discharge Elimination System. A permit issued by the State of Michigan for the wastewater treatment plant to discharge treated effluent in the State's waters.

OBJECTIVE Objectives are the methods by which goals are to be obtained. More refined definition to the goal and a focused effort.

OPEB Other Post-Employment Benefits.

PERMANENT FUNDS Governmental fund type used to report resources that are legally restricted to the extent that only earnings, and not principal, may be used for purposes that support the reporting government's programs (i.e., for the benefit of the government of its citizenry).

POLICEMAN AND FIREMAN RETIREMENT SYSTEM Maintained under the State of Michigan Act 345 of 1937. This retirement fund is for police and fire personnel of the City.

PROPOSED BUDGET City's revenue and expenditure plan for the fiscal year as prepared and recommended by the City Manager for the Mayor and the City Council's consideration.

PROPERTY TAX A tax based on the assessed value of property, either real or personal. Tax liability falls on the owner of record as of tax day. Real property includes all lands, buildings and fixtures on the land. Personal property is generally movable and not affixed to land. It includes equipment, furniture, electric and gas transmission and distribution equipment and the like.

RISK MANAGEMENT An organized attempt to protect a government's assets against accidental loss in the most economical method.

RESERVE Funds designated to be allocated in order to meet potential liabilities during the fiscal year.

RESOLUTION Official action of a legislative body, primarily administrative or ministerial in nature.

REVENUE BOND INDEBTEDNESS Bonds of the City which are supported by the revenue generating capacity of the water and wastewater system.

SPECIAL REVENUE FUNDS Special Revenue Funds are used to account for the proceeds of specified revenue sources (other than special assessments, expendable trusts, or major capital projects) that are legally restricted to expenditures for specified purposes.

STATE EQUALIZED VALUATION (SEV) The assessed valuation of property in the City as determined by the local assessor and then reviewed and adjusted, if necessary, by the county and state, to assure that it equals 50% of market value, as required by the State of Michigan.

STRUCTURALLY BALANCED BUDGET A budget where recurring revenues equal or exceed recurring expenditures.

SURPLUS Prior years' earnings used to balance the current operating budget. An excess of the assets of a fund over its liabilities and reserves.

TAXABLE VALUE Taxable value is simply the lesser of the assessed value or capped value. Property tax revenues are derived by multiplying the taxable value by the applicable tax rate.

TAX BASE The total value of taxable property in the City.

TAX INCREMENT FINANCING A tax incentive designed to attract business investment by the dedication of property tax revenue from the redevelopment of an area (tax increment district) to finance development related costs in that district. Tax increment financing divides tax revenue from the area into two categories: 1. taxes on the predevelopment value of the tax base that are kept by each taxing body; and 2. taxes from increased property values resulting from redevelopment that are deposited by some taxing entities in a tax increment fund and are used to finance public improvements in the redevelopment area. In Michigan, there are four different types of authorities with tax increment financing powers:

1. Tax increment finance authority (no longer an option for a new authority),
2. Downtown development authority,

3. Local development financing authority, and
4. Brownfield redevelopment authority.

TAX RATE An amount levied on assessed property value, real and personal, within the City of Cadillac. The City Council establishes the tax rate each year at budget time in order to finance various funds.

TRANSFER OF FUNDS A procedure established by the city charter used to revise a budgeted amount after the budget has been adopted by the city council.

UDAG Initials for federal grant program issued by the U.S. Department of Housing and Urban Development. The funding of this program no longer exists at the federal level. Urban Development Action Grant (UDAG).

VARIANCE Authorization for the construction of a structure or for the establishment of a use which is prohibited by a zoning ordinance. Generally, a variance may not be granted unless the literal enforcement of the zoning ordinance would cause a property owner “practical difficulties or unnecessary hardship.”

WATER AND WASTEWATER DISPOSAL SYSTEM FUND The customers of the City’s tertiary treatment plant have the revenues and expenses of the system accounted for in this fund as well as the financial activity of the seven well water systems which provide water to the City.

WORKING CAPITAL Working capital is generally defined as current assets minus current liabilities. Working capital measures how much in liquid assets less short-term obligations is available to be used for budgeted expenditures.

WWTP Initials for Wastewater Treatment Plant.

ZONING Division of a municipality into districts; the regulation of structures according to their construction, nature, and extent of use and the regulation of land according to nature and use.